

PT Bank Rakyat Indonesia (Persero) Tbk
and its Subsidiaries

Consolidated financial statements
as of December 31, 2021
and for the years then ended
with independent auditors' report



PT BANK RAKYAT INDONESIA (PERSERO) Tbk.

KANTOR PUSAT

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BOARD OF DIRECTORS' STATEMENT
 REGARDING
 THE RESPONSIBILITY FOR THE CONSOLIDATED FINANCIAL STATEMENTS
 AS OF DECEMBER 31, 2021
 AND FOR THE YEAR THEN ENDED
 PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND SUBSIDIARIES

We, the undersigned:

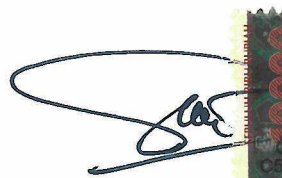
1. Name : Sunarso
 Office Address : Jl. Jenderal Sudirman No.44-46 Jakarta 10210
 Residential Address : Jl. At Taqwa II No. 4 Jati Pulo, Palmerah, Jakarta barat
 Telephone : 021 - 575 1761
 Title : President Director
2. Name : Viviana Dyah Ayu R.K.
 Office Address : Jl. Jenderal Sudirman No. 44-46 Jakarta 10210
 Residential Address : Jl. Bumi Serpong Damai Blok L. 10/3 Serpong, Tangerang Selatan
 Telephone : 021 - 575 1751
 Title : Finance Director

Declare that:

1. We are responsible for the preparation and the presentation of the consolidated financial statements of PT Bank Rakyat Indonesia (Persero) Tbk and Subsidiaries;
2. PT Bank Rakyat Indonesia (Persero) Tbk and Subsidiaries' consolidated financial statements have been prepared and presented in accordance with Indonesian Financial Accounting Standards;
3. a. All information in the consolidated financial statements of PT Bank Rakyat Indonesia (Persero) Tbk and Subsidiaries has been disclosed in a complete and truthful manner;
 b. PT Bank Rakyat Indonesia (Persero) Tbk and Subsidiaries' consolidated financial statements do not contain any incorrect material information or facts, nor do they omit material information or facts;
4. We are responsible for PT Bank Rakyat Indonesia (Persero) Tbk and Subsidiaries' internal control system.

This statement has been made truthfully.

Jakarta, February 3, 2022
 For and on behalf of the Board of Directors


Sunarso
 President Director


Viviana Dyah Ayu R.K.
 Finance Director

**PT BANK RAKYAT INDONESIA (PERSERO) TBK
AND ITS SUBSIDIARIES
CONSOLIDATED FINANCIAL STATEMENTS
AS OF DECEMBER 31, 2021
AND FOR THE YEARS THEN ENDED
WITH INDEPENDENT AUDITORS' REPORT**

Table of Contents

	Page
Independent Auditor's Report	
Consolidated Statement of Financial Position	1 - 4
Consolidated Statement of Profit or Loss and Other Comprehensive Income.....	5 - 7
Consolidated Statement of Changes in Equity	8 - 9
Consolidated Statement of Cash Flows	10 - 11
Note to the Consolidated Statement	12 - 307
Statement of Financial Position - Parent Entity	Appendix 1
Statement of Profit or Loss and Other Comprehensive Income - Parent Entity	Appendix 2
Statement of Changes in Equity - Parent Entity	Appendix 3
Statement of Cash Flows - Parent Entity	Appendix 4
Note to the Financial Information - Parent Entity	Appendix 5

Independent Auditors' Report

Report No. 00049/2.1032/AU.1/07/1681-2/1/II/2022

The Shareholders and the Boards of Commissioners and Directors PT Bank Rakyat Indonesia (Persero) Tbk.

We have audited the accompanying consolidated financial statements of PT Bank Rakyat Indonesia (Persero) Tbk. and its subsidiaries, which comprise the consolidated statements of financial position as of December 31, 2021, and the consolidated statements of profit or loss and other comprehensive income, changes in equity, and cash flows for the year ended December 31, 2021, and a summary of significant accounting policies and other explanatory information.

Management's responsibility for the financial statements

Management is responsible for the preparation and fair presentation of such consolidated financial statements in accordance with Indonesian Financial Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' responsibility

Our responsibility is to express an opinion on such consolidated financial statements based on our audits. We conducted our audits in accordance with Standards on Auditing established by the Indonesian Institute of Certified Public Accountants. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether such consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditors consider internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Independent Auditors' Report (continued)

Report No. 00049/2.1032/AU.1/07/1681-2/1/II/2022 (continued)

Opinion

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of PT Bank Rakyat Indonesia (Persero) Tbk. and its subsidiaries as of December 31, 2021, and their consolidated financial performance and cash flows for the year ended December 31, 2021, in accordance with Indonesian Financial Accounting Standards.

Other matter

Our audits of the accompanying consolidated financial statements of PT Bank Rakyat Indonesia (Persero) Tbk. ("BRI") as of December 31, 2021, and for the year ended December 31, 2021, were performed for the purpose of forming an opinion on such consolidated financial statements taken as a whole. The accompanying financial information of BRI (parent entity), which comprises the statements of financial position as of December 31, 2021, and the statements of profit or loss and other comprehensive income, changes in equity, and cash flows for the year ended December 31, 2021, and a summary of significant accounting policies and other explanatory information (collectively referred to as the "Financial Information of the Parent Entity"), which is presented as a supplementary financial information to the accompanying consolidated financial statements, is presented for the purposes of additional analysis and is not a required part of the accompanying consolidated financial statements under Indonesian Financial Accounting Standards. The Financial Information of the Parent Entity is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the accompanying consolidated financial statements. The Financial Information of the Parent Entity has been subjected to the auditing procedures applied in the audits of the accompanying consolidated financial statements in accordance with Standards on Auditing established by the Indonesian Institute of Certified Public Accountants. In our opinion, the Financial Information of the Parent Entity is fairly stated, in all material respects, in relation to the accompanying consolidated financial statements taken as a whole.

Purwantono, Sungkoro & Surja



Christophorus Alvin Kossim
Public Accountant Registration No. AP.1681

February 3, 2022



00049

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
As of December 31, 2021
(Expressed in millions of Rupiah, unless otherwise stated)

	Notes	December 31, 2021	December 31, 2020 ^{*)}
ASSETS			
Cash	2a,2c,3	26,299,973	32,274,988
Current accounts with Bank Indonesia	2a,2c,2f,4	56,426,573	51,530,969
Current accounts with Other Banks	2a,2c,2d, 2e,2f,5,44	14,065,097	12,266,266
Allowance for impairment losses		(29,078)	(93,843)
		<u>14,036,019</u>	<u>12,172,423</u>
Placement with Bank Indonesia and Other Financial Institutions	2a,2c,2d, 2e,2g,6,44	58,982,842	67,851,406
Allowance for impairment losses		(6,177)	(18,070)
		<u>58,976,665</u>	<u>67,883,336</u>
Securities	2a,2c,2d, 2e,2h,7,44	372,048,648	327,305,619
Allowance for impairment losses		(311,120)	(348,941)
		<u>371,737,528</u>	<u>326,956,678</u>
Export Bills and Notes Receivable	2c,2d,2e, 2i,8,44	29,664,225	27,573,004
Allowance for impairment losses		(1,142,349)	(1,326,190)
		<u>28,521,876</u>	<u>26,246,814</u>
Securities Purchased Under Agreement to Resell	2c,2u, 9	54,915,498	46,818,568
Derivative Receivables	2c,2aj,10	730,083	1,576,659
Loans	2c,2d,2e, 2j,11,44	994,416,523	943,787,634
Allowance for impairment losses		(84,883,734)	(66,810,179)
		<u>909,582,789</u>	<u>876,977,455</u>

*) As restated regarding the implementation of SFAS No. 38 (see notes 1f, 2b and 51)

The accompanying notes to the consolidated financial statements form an integral part
of these consolidated financial statements taken as a whole

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
CONSOLIDATED STATEMENT OF FINANCIAL POSITION (continued)
As of December 31, 2021
(Expressed in millions of Rupiah, unless otherwise stated)

	Notes	December 31, 2021	December 31, 2020 ^{*)}
ASSETS (continued)			
Sharia Receivable and Financing	2c,2d,2e, 2k,12,44	9,159,501	49,065,478
Allowance for impairment losses		(1,410,907)	(2,582,167)
		<u>7,748,594</u>	<u>46,483,311</u>
Finance Receivables	2c,2d,2e,2l, 13,44	39,291,429	27,339,856
Allowance for impairment losses		(1,584,776)	(1,002,307)
		<u>37,706,653</u>	<u>26,337,549</u>
Acceptances Receivables	2c,2d,2e, 2m,14,44	9,554,238	6,817,436
Allowance for impairment losses		(488,233)	(546,260)
		<u>9,066,005</u>	<u>6,271,176</u>
Investment in Associated Entities	2c,2d,2e, 2n,15,44	6,086,062	1,519,699
Allowance for impairment losses		(14,335)	(19,370)
		<u>6,071,727</u>	<u>1,500,329</u>
Premises and Equipment	2d,2o,2p, 16		
Cost		65,038,484	60,884,854
Accumulated Depreciation		(17,068,297)	(17,178,222)
Book value - net		<u>47,970,187</u>	<u>43,706,632</u>
Deferred Tax Assets - net	2ak,38c	16,284,898	9,885,990
Other Assets - net	2c,2e,2p, 2q,17	32,022,666	33,492,467
TOTAL ASSETS		<u>1,678,097,734</u>	<u>1,610,065,344</u>

*) As restated regarding the implementation of SFAS No. 38 (see notes 1f, 2b and 51)

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of these consolidated financial statements taken as a whole

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
CONSOLIDATED STATEMENT OF FINANCIAL POSITION (continued)
As of December 31, 2021
(Expressed in millions of Rupiah, unless otherwise stated)

	Notes	December 31, 2021	December 31, 2020 ^{*)}
LIABILITIES, TEMPORARY SYIRKAH FUNDS AND EQUITY			
LIABILITIES			
Liabilities Due Immediately	2c,2s,18	18,735,387	15,473,574
Deposits from Customers	2c,2d,2t,44		
Demand Deposits	19	220,590,197	184,848,351
<i>Wadiah</i> Demand Deposits		-	6,258,078
Saving Deposits	20	497,676,739	460,671,367
<i>Wadiah</i> Saving Deposits		-	9,247,604
Time Deposits	21	420,476,279	426,399,550
Total Deposits from Customers		1,138,743,215	1,087,424,950
Deposits from Other Banks and Financial Institutions	2c,2d,2t,22,44	13,329,434	23,785,997
Securities Sold Under Agreement to Repurchase	2c,2d,2u,7,23,44	29,408,508	40,478,672
Derivative Payables	2c,2aj,10	199,695	407,774
Acceptances Payable	2c,2d,2m,14,44	9,554,238	6,817,436
Taxes Payable	2ak,38a	4,214,318	1,949,356
Marketable Securities Issued	2c,2v,24	55,306,697	57,757,028
Fund Borrowings	2c,2d,2w,25,44	68,458,547	72,164,236
Estimated Losses on Commitments and Contingencies	2d,2e,2an,26,44	7,000,268	3,681,709
Liabilities for Employee Benefits	2d,2ae,27,42,44	18,105,921	13,435,842
Other Liabilities	2c,2y,2z,28,45b	22,753,327	22,259,520
Subordinated Loans and Marketable Securities	2c,2x,29	501,375	1,465,392
TOTAL LIABILITIES		1,386,310,930	1,347,102,486
TEMPORARY SYIRKAH FUNDS			
<i>Mudharabah</i> Demand Deposits		-	1,623,563
<i>Mudharabah</i> Saving Deposits		-	6,147,015
<i>Mudharabah</i> Time Deposits	2d, 2t	-	25,726,398
TOTAL TEMPORARY SYIRKAH FUNDS		-	33,496,976

*) As restated regarding the implementation of SFAS No. 38 (see notes 1f, 2b and 51)

The accompanying notes to the consolidated financial statements form an integral part of these consolidated financial statements taken as a whole

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
CONSOLIDATED STATEMENT OF FINANCIAL POSITION (continued)
As of December 31, 2021
(Expressed in millions of Rupiah, unless otherwise stated)

	Notes	December 31, 2021	December 31, 2020 ^{*)}
LIABILITIES, TEMPORARY SYIRKAH FUNDS AND EQUITY (continued)			
EQUITY			
Capital stock - par value Rp50 (full Rupiah) per share			
Authorized capital - 300,000,000,000 shares (consisting of 1 Series A Dwiwarna Shares and 299,999,999,999 Series B shares)			
Issued and fully paid capital			
- 151,559,001,604 shares (consisting of 1 Series A Dwiwarna shares and 151,559,001,603 Series B shares) for December 31, 2021 and 123,345,810,000 shares (consisting of 1 Series A Dwiwarna shares and 123,345,809,999 Series B shares) for December 31, 2020	1,31a	7,577,950	6,167,291
Additional paid-in-capital	31b	76,242,898	3,411,813
Revaluation surplus arising from premises and equipment - net of tax	2o,16	17,006,230	17,099,207
Differences arising from the translation of foreign currency financial statements	2ah,31c	(115,975)	(54,749)
Unrealized gain (loss) on fair value through other comprehensive income securities - net of deferred tax	2h	1,949,387	4,623,064
Allowance for impairment losses on fair value through other comprehensive income securities	2h	547,026	975,877
Gain/(loss) on remeasurement of defined benefit plan - net of deferred tax	2ae	(1,423,685)	(1,469,726)
Treasury Stock	1d	(45,997)	(1,649,076)
Stock Option	2af,30	19,255	72,894
Provision for bonus shares compensation	31f	210,266	1,228,805
Impact of transaction with non-controlling interest	31g	1,758,580	-
Pro forma capital arising from acquisition transaction with an entities under common control		-	29,538,484
Retained earnings	31d,31e		
Appropriated		3,022,685	3,022,685
Unappropriated		181,986,363	163,949,482
Total Retained Earnings		185,009,048	166,972,167
Total Equity Attributable to Equity Holders of the Parent Entity		288,734,983	226,916,051
Non-controlling Interest		3,051,821	2,550,831
TOTAL EQUITY		291,786,804	229,466,882
TOTAL LIABILITIES, TEMPORARY SYIRKAH FUNDS AND EQUITY		1,678,097,734	1,610,065,344

*) As restated regarding the implementation of SFAS No. 38 (see notes 1f, 2b and 51)

The accompanying notes to the consolidated financial statements form an integral part of these consolidated financial statements taken as a whole

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND
OTHER COMPREHENSIVE INCOME
For the Year Ended December 31, 2021
(Expressed in millions of Rupiah, unless otherwise stated)

		Year ended December 31,	
	Notes	2021	2020 ^{a)}
INCOME AND EXPENSES FROM OPERATIONS			
Interest and Sharia Income	32		
Interest income	2z	141,164,784	128,910,617
Sharia income	2k,2ab	2,358,545	6,853,944
Total Interest and Sharia Income		143,523,329	135,764,561
Interest and Sharia expenses	33		
Interest expenses	2z	(28,135,797)	(39,883,405)
Sharia expenses	2ab	(1,293,103)	(2,297,043)
Total Interest and Sharia expenses		(29,428,900)	(42,180,448)
Interest and Sharia income - net		114,094,429	93,584,113
Premium income	2ac	6,989,783	6,205,775
Claim expense	2ac	(5,946,708)	(5,327,065)
Premium income - net		1,043,075	878,710
Other operating income			
Other fees and commissions	2aa	17,062,124	16,180,935
Recovery of assets written-off		9,005,760	7,252,171
Gain on sale of securities and Government Recapitalization			
Bonds - net	2h,7	3,452,785	2,871,331
Gain on foreign exchange - net	2ah,2ai	1,713,531	1,257,838
Unrealized gain on changes in fair value of securities	2h,7	120,067	342,351
Others		9,861,540	10,195,129
Total other operating income		41,215,807	38,099,755
Provision for allowance for impairment losses on financial assets - net	2e,34	(35,806,312)	(33,024,492)
Reversal of (provision for) allowance for estimated losses on commitments and contingencies - net	2an,26d	(3,321,266)	(2,157,162)
Provision for allowance for impairment losses non-financial assets - net	2p	(163,243)	(98,374)
Other operating expenses			
Salaries and employee benefits	2d,2ae,35,42,44	(38,047,126)	(33,105,269)
General and administrative	2o,36	(23,269,044)	(21,004,682)
Others		(14,601,938)	(13,393,898)
Total other operating expenses		(75,918,108)	(67,503,849)
OPERATING INCOME		41,144,382	29,778,701

*) As restated regarding the implementation of SFAS No. 38 (see notes 1f, 2b and 51)

The accompanying notes to the consolidated financial statements form an integral part of these consolidated financial statements taken as a whole

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND
OTHER COMPREHENSIVE INCOME (continued)
For the Year Ended December 31, 2021
(Expressed in millions of Rupiah, unless otherwise stated)

	Notes	Year ended December 31,	
		2021	2020 ^{*)}
INCOME AND EXPENSES FROM OPERATIONS (continued)			
NON OPERATING (EXPENSES) INCOME - NET	37	(152,317)	214,705
INCOME BEFORE TAX EXPENSE		40,992,065	29,993,406
TAX EXPENSE	2ak,38b	(7,835,608)	(8,951,971)
INCOME BEFORE PRO FORMA NET INCOME ARISING FROM ACQUISITION TRANSACTION WITH ENTITIES UNDER COMMON CONTROL		33,156,457	21,041,435
PRO FORMA NET INCOME ARISING FROM ACQUISITION TRANSACTION WITH ENTITIES UNDER COMMON CONTROL		(2,400,691)	(2,381,042)
NET INCOME		30,755,766	18,660,393
Items not to be reclassified to profit or loss			
Remeasurement of liabilities for employee benefits		487,841	(2,473,364)
Income taxes related to items not to be reclassified to profit or loss		(67,751)	464,563
Revaluation surplus arising from premises and equipment	16	(92,127)	81,910
Items to be reclassified to profit or loss			
Differences arising from the Translation of foreign currency financial statements	2aj	(61,226)	(39,780)
Unrealized gain (loss) on Fair value through other Comprehensive Income Securities and Government Recapitalization Bonds	2h	(3,143,546)	4,633,558
Allowance for impairment losses on fair value through other comprehensive income securities	2h	(425,090)	868,462
Income taxes related to items to be reclassified to profit or loss		478,796	(698,690)
Other comprehensive income for the year - after tax		(2,823,103)	2,836,659

*) As restated regarding the implementation of SFAS No. 38 (see notes 1f, 2b and 51)

The accompanying notes to the consolidated financial statements form an integral part of these consolidated financial statements taken as a whole

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND
OTHER COMPREHENSIVE INCOME (continued)
For the Year Ended December 31, 2021
(Expressed in millions of Rupiah, unless otherwise stated)

		Year ended December 31,	
	Notes	2021	2020
TOTAL COMPREHENSIVE INCOME FOR THE YEAR BEFORE PRO FORMA COMPREHENSIVE INCOME ARISING FROM ACQUISITION TRANSACTION WITH ENTITIES UNDER COMMON CONTROL		30,333,354	23,878,094
PRO FORMA COMPREHENSIVE INCOME ARISING FROM ACQUISITION TRANSACTION WITH ENTITIES UNDER COMMON CONTROL		(2,776,220)	(2,120,315)
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		27,557,134	21,757,779
INCOME FOR THE YEAR ATTRIBUTABLE TO:			
Equity holders of the parent entity		31,066,592	18,654,753
Non-controlling Interest		(310,826)	5,640
TOTAL		30,755,766	18,660,393
TOTAL COMPREHENSIVE INCOME FOR THE YEAR ATTRIBUTABLE TO:			
Equity holders of the parent entity		27,855,902	21,727,515
Non-controlling Interest		(298,768)	30,264
TOTAL		27,557,134	21,757,779
EARNINGS PER SHARE ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT ENTITY (full Rupiah)	2ah,49		
Basic		238	152
Diluted		238	151

*) As restated regarding the implementation of SFAS No. 38 (see notes 1f, 2b and 51)

The accompanying notes to the consolidated financial statements form an integral part of these consolidated financial statements taken as a whole

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
For the Year Ended December 31, 2021
(Expressed in millions of Rupiah, unless otherwise stated)

	Notes	Issued and fully paid capital	Additional paid-in capital	Pro forma capital arising from acquisition transaction with an entities under common control	Allowance for impairment losses on fair value through other comprehensive income securities	Differences arising from the translation of foreign currency financial statements	Unrealized gain (loss) on fair value through other comprehensive income securities net of deferred tax	Gain on remeasurement of defined benefit plan - net of deferred tax	Treasury Stock	Provision for bonus shares compensation	Revaluation surplus arising from premises and equipment net of tax	Stock option	Retained earnings		Total equity attributable to equity holders of the parent entity	Non-controlling interest	Total equity
													Appropriated	Unappropriated			
Balance as of December 31, 2019 (previously stated)		6,167,291	2,900,994	-	-	(14,970)	715,770	189,519	(2,106,014)	21,796	17,099,207	22,409	3,022,685	178,304,746	206,323,433	2,460,903	208,784,336
Acquisition transaction under common control		-	-	24,919,043	-	-	-	-	-	-	-	-	-	-	24,919,043	17,631	24,936,674
Initial implementation of SFAS 71			-	-	111,385	-	-	-	-	-	-	-	-	(12,386,452)	(12,275,067)	(52,327)	(12,327,394)
Balance as of January 1, 2020 (after restatement)		6,167,291	2,900,994	24,919,043	111,385	(14,970)	715,770	189,519	(2,106,014)	21,796	17,099,207	22,409	3,022,685	165,918,294	218,967,409	2,426,207	223,423,993
Income for the year		-	-	-	-	-	-	-	-	-	-	-	-	18,654,753	18,654,753	5,640	18,660,393
Other comprehensive income	2h,2ae, 2ah	-	-	-	864,492	(39,779)	3,907,294	(1,659,245)	-	-	-	-	-	-	3,072,762	24,624	3,097,386
Pro forma net income arising from acquisition transaction with entities under common control		-	-	2,380,168	-	-	-	-	-	-	-	-	-	-	2,380,168	874	2,381,042
Pro forma comprehensive income arising from acquisition transaction with entities under common control		-	-	(260,727)	-	-	-	-	-	-	-	-	-	-	(260,727)	-	(260,727)
Total comprehensive income for the year		-	-	2,119,441	864,492	(39,779)	3,907,294	(1,659,245)	-	-	-	-	-	18,654,753	23,846,956	31,138	23,878,094
Acquisition transaction under common control		-	-	2,500,000	-	-	-	-	-	-	-	-	-	-	2,500,000	(1,483)	2,498,517
Distribution of Dividend income	31d	-	-	-	-	-	-	-	-	-	-	-	-	(20,623,565)	(20,623,565)	(3,614)	(20,627,179)
Bonus Shares	31f	-	510,819	-	-	-	-	-	504,285	1,207,009	-	-	-	-	2,222,113	-	2,222,113
Stock Option	30	-	-	-	-	-	-	-	-	-	-	50,485	-	-	50,485	94,548	145,033
Treasury Stock	1d	-	-	-	-	-	-	-	(47,347)	-	-	-	-	-	(47,347)	-	(47,347)
Change of non-controlling Interest		-	-	-	-	-	-	-	-	-	-	-	-	-	-	4,035	20,183
Balance as of December 31, 2020		6,167,291	3,411,813	29,538,484	975,877	(54,749)	4,623,064	(1,469,726)	(1,649,076)	1,228,805	17,099,207	72,894	3,022,685	163,949,482	226,916,051	2,550,831	229,466,882

The accompanying notes to the consolidated financial statements form an integral part of these consolidated financial statements taken as a whole

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY (continued)
For the Year Ended December 31, 2021
(Expressed in millions of Rupiah, unless otherwise stated)

	Notes	Issued and fully paid capital	Additional paid-in capital	Pro forma capital on acquisition transaction with entities under common control	Allowance for impairment losses on fair value through other comprehensive income securities	Differences arising from the translation of foreign currency financial statements	Unrealized gain (loss) on fair value through other comprehensive income securities bonds - net of deferred tax	Gain on remeasurement of defined benefit plan- net of deferred tax	Treasury Stock	Provision for bonus shares compensation	Revaluation surplus arising from premises and equipment net of tax	Impact of transaction with non-controlling interest	Retained earnings		Total equity attributable to equity holders of the parent entity	Non-controlling interest	Total equity
													Appropriated	Unappropriated			
Balance as of December 31, 2020		6,167,291	3,411,813	29,538,484	975,877	(54,749)	4,623,064	(1,469,726)	(1,649,076)	1,301,699	17,099,207	-	3,022,685	163,949,482	226,916,051	2,550,831	229,466,882
Income for the year		-	-	-	-	-	-	-	-	-	-	-	-	31,066,592	31,066,592	(310,826)	30,755,766
Other comprehensive Income for the year	2h,2ae, 2ah	-	-	-	(428,851)	(61,226)	(2,673,677)	46,041	-	-	(92,977)	-	-	-	(3,210,690)	12,058	(3,198,632)
Pro forma net income arising from acquisition transaction with entities under common control		-	-	2,397,718	-	-	-	-	-	-	-	-	-	-	2,397,718	2,973	2,400,691
Pro forma comprehensive income arising from acquisition transaction with entities under common control		-	-	375,503	-	-	-	-	-	-	-	-	-	-	375,503	26	375,529
Total other comprehensive Income for the year				2,773,221	(428,851)	(61,226)	(2,673,677)	46,041	-	-	(92,977)	-	-	31,066,592	30,629,123	(295,769)	30,333,354
Acquisition transaction with entities under common control		-	(23,370,339)	(32,311,705)	-	-	-	-	-	-	-	-	-	-	(55,682,044)	5,977	(55,676,067)
Diference arising from restructuring transaction of subsidiary		-	-	-	-	-	-	-	-	-	-	1,758,850	-	-	1,758,580	-	1,758,580
Distribution of Dividend income	31d	-	-	-	-	-	-	-	-	-	-	-	-	(12,125,589)	(12,125,589)	-	(12,125,589)
Bonus shares	31f	-	1,154,211	-	-	-	-	-	1,278,122	(1,018,539)	-	-	-	-	1,413,794	-	1,413,794
Stock option	30	-	62,862	-	-	-	-	-	324,957	(51,457)	-	-	-	-	336,362	(1,710)	334,652
Change of non controlling interest		-	-	-	-	-	-	-	-	-	-	-	-	-	-	2,012,244	2,012,244
Loss of controlling on subsidiary		-	565,209	-	-	-	-	-	-	(2,182)	-	-	-	(904,122)	(341,095)	(1,452,824)	(1,793,919)
Shares issuance		1,410,659	94,514,192	-	-	-	-	-	-	-	-	-	-	-	95,829,801	233,072	96,062,873
Balance as of December 31, 2021		7,577,950	76,242,898	-	547,026	(115,975)	1,949,387	(1,423,685)	(45,997)	229,521	17,006,230	1,758,580	3,022,685	181,986,363	288,734,983	3,051,821	291,786,804

The accompanying notes to the consolidated financial statements form an integral part of these consolidated financial statements taken as a whole.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
CONSOLIDATED STATEMENT OF CASH FLOWS
For the Year Ended December 31, 2021
(Expressed in millions of Rupiah, unless otherwise stated)

		For the year ended December 31,	
	Notes	2021	2020*)
CASH FLOWS FROM OPERATING ACTIVITIES			
Income received			
Interest and investment income		140,183,030	125,439,096
Sharia income		2,358,545	6,853,944
Premium income		6,989,783	6,205,775
Expense paid			
Interest expense		(28,533,680)	(39,883,405)
Sharia expense		(1,293,103)	(2,297,043)
Claim expense		(5,946,708)	(5,327,065)
Recovery of assets written-off		9,005,760	7,252,171
Other operating income		34,345,472	31,580,969
Other operating expenses		(73,658,162)	(63,609,646)
Non-operating (expense) income - net		(203,971)	179,491
Payment of corporate income tax		(11,164,431)	(5,936,444)
Cash flows before changes in operating assets and liabilities		72,082,535	60,457,843
Changes in operating assets and liabilities:			
Decrease (Increase) in operating assets:			
Placement with Bank Indonesia and Other Financial Institutions		945,891	264,550
Securities at fair value through profit or loss		9,164,531	(12,440,166)
Export bills and notes receivable		(2,091,221)	6,744,495
Securities purchased under agreement to resell		(8,096,930)	(24,236,324)
Loans		(68,377,027)	(80,715,775)
Sharia receivables and financing		39,905,977	(23,299,281)
Finance receivable		(11,951,573)	(23,148,260)
Other assets		1,422,631	23,311,739
Increase (decrease) in operating liabilities:			
Liabilities due immediately		3,261,813	7,924,262
Deposits:			
Demand Deposits		35,741,846	16,022,216
Wadiah Demand Deposits		(6,258,078)	4,237,212
Saving Deposits		37,005,372	55,315,884
Wadiah Saving Deposits		(9,247,604)	2,295,916
Time Deposits		(5,923,271)	13,175,897
Deposits from Other Banks and other financial institutions		(10,456,563)	5,816,168
Derivative liabilities		(208,079)	223,169
Securities sold under agreement to repurchase		(11,070,164)	(9,424,266)
Others liabilities		253,264	(1,398,837)
(Decrease) increase of temporary syirkah fund		(33,496,976)	8,678,142
Net cash provided by operating activities		32,588,374	29,804,584

*) As restated regarding the implementation of SFAS No. 38 (see notes 1f, 2b and 51)

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
CONSOLIDATED STATEMENT OF CASH FLOWS (continued)
For the Year Ended December 31, 2021
(Expressed in millions of Rupiah, unless otherwise stated)

		For the year ended December 31,	
	Notes	2021	2020 ^{a)}
CASH FLOWS FROM INVESTING ACTIVITIES			
Sales from premises and equipments		51,654	35,214
Investment in associated entity		(315,724)	(284,347)
Dividend receipts	15	4,349	5,530
Acquisition of premise and equipment	16	(8,254,116)	(4,375,066)
(Increase) in available-for-sale and held to maturity securities and Government Recapitalization Bonds		(64,581,768)	(111,830,687)
Net cash used in investing activities		(73,095,605)	(116,449,356)
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds from (payment of) borrowing		(4,229,199)	41,131,054
Additional Capital		41,059,206	-
Dividends paid		(12,125,589)	(20,623,565)
Proceeds from marketable securities issued	24	12,547,672	12,619,200
Payments of marketable securities due	24	(14,608,236)	(11,245,300)
Net cash provided by financing activities		22,643,854	21,881,389
NET DECREASE IN CASH AND CASH EQUIVALENTS		(17,863,377)	(64,763,383)
EFFECT OF EXCHANGE RATE CHANGES ON FOREIGN CURRENCIES		(2,190)	(352,878)
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE YEAR		171,790,168	236,906,429
CASH AND CASH EQUIVALENTS AT END OF THE YEAR		153,924,601	171,790,168
Cash and cash equivalents at end of the year consist of:	2a		
Cash	3	26,299,973	32,274,988
Current accounts with Bank Indonesia	4	56,426,573	51,530,969
Demand Deposits with Other Banks	5	14,065,097	12,266,266
Placement with Bank Indonesia and other financial institution - maturing within three months or less since the acquisition date	6	57,132,958	65,043,738
Certificates of Bank Indonesia and Deposits			
Certificates of Bank Indonesia - maturing within three months or less since the acquisition date	7	-	10,674,207
Total Cash and Cash Equivalent		153,924,601	171,790,168

*) As restated regarding the implementation of SFAS No. 38 (see notes 1f, 2b and 51)

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL

a. Establishment

PT Bank Rakyat Indonesia (Persero) Tbk (hereinafter referred to as "BRI") was established on and started its commercial operations on December 18, 1968 based on Law No. 21 Year 1968. On April 29, 1992, based on Government of the Republic of Indonesia (the "Government") Regulation No. 21 Year 1992, the legal status of BRI was changed to a limited liability company (Persero). The change into a limited liability corporation was documented by Notarial Deed No. 133 dated July 31, 1992 of Notary Muhani Salim, S.H., approved by the Minister of Justice of the Republic of Indonesia in its Decision Letter No. C2-6584.HT.01.01.TH.92 dated August 12, 1992 and published in Supplement No. 3A of the Republic of Indonesia State Gazette No. 73 dated September 11, 1992. BRI's Articles of Association was then amended by Notarial Deed No. 7 dated September 4, 1998 of Notary Imas Fatimah, S.H., pertaining to Article 2 on "Term of Corporate Establishment" and Article 3 on "Purpose, Objectives and Business Activities" to comply with the provisions of Law No. 1 Year 1995 on "Limited Liability Company", approved by the Ministry of Justice of the Republic of Indonesia in its Decision Letter No. C2-24930.HT.01.04.TH.98 dated November 13, 1998 and published in Supplement No. 7216 of the Republic of Indonesia State Gazette No. 86 dated October 26, 1999 and notarial deed No. 7 dated October 3, 2003 of Notary Imas Fatimah, S.H., among others, regarding BRI's status and compliance with the Capital Market Laws approved by the Minister of Justice and Human Rights of the Republic of Indonesia in its Decision Letter No. C-23726 HT.01.04.TH.2003 dated October 6, 2003 and published in Supplement No. 11053 of the Republic of Indonesia State Gazette No. 88 dated November 4, 2003.

Based on Bank Indonesia's Decision Letter No. 5/117/DPwB2/PWPwB24 dated October 15, 2003, regarding "SK appointment of BRI as a foreign exchange commercial bank", BRI has been designated as a foreign exchange bank through Letter of Monetary Board No. SEKR/BRI/328 dated September 25, 1956.

Based on Notarial Deed No. 51 dated May 26, 2008 of Notary Fathiah Helmi, S.H., BRI amended its Articles of Association, among others, to comply with the provisions of Law No. 40 Year 2007 on "Limited Liability Company" and Capital Market and Financial Institution Supervisory Agency's ("Bapepam-LK") Regulation, whose function has been transferred to the Financial Services Authority ("OJK") since January 1, 2013, No. IX.J.I on "The Main Principles of the Articles of Association of a Company that Conduct Public Offering of Shares and Public Company", which was approved by the Minister of Law and Human Rights of the Republic of Indonesia in its Decision Letter No. AHU-48353.AH.01.02.Year 2008, dated August 6, 2008 and was published in Supplement No. 23079 of the Republic of Indonesia State Gazette No. 68 dated August 25, 2009.

Furthermore, BRI's Articles of Association are documented in Notarial Deed Number 3 dated March 9, 2021, of Notary Fathiah Helmi, S.H., in Jakarta regarding amendments to the Articles of Association from the Minister of Law and Human Rights of the Republic of Indonesia Number AHU-AH.01.03-0159493 dated March 12, 2021 which last amended in Notarial Deed Number 4 dated October 06, 2021 of Notary Fathiah Helmi, SH in Jakarta regarding Amendment to the Articles of Association from the Minister of Human Rights Law of the Republic of Indonesia Number AHU-AH.01.03-0457763 dated October 7, 2021. The changes were made in the context of compliance to the OJK Regulation ("POJK") No. 15/POJK.04/2020 regarding the Plan and Organizing of Public Companies' General Meeting of Shareholders ("GMS") and POJK No. 16/POJK.04/2020 regarding the Electronic Holding of Public Company GMS, as well as paid-in capital.

According to Article 3 of the BRI's Articles of Association, BRI's scope of business is to conduct business in the banking sector and optimize the utilization of BRI's resources to produce high quality and highly competitive services to gain benefits in order to increase company value by implementing the principles of limited liability company.

BRI is owned by the Government of the Republic of Indonesia as the majority shareholder.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

b. Recapitalization Program

As a realization of the Recapitalization Program for Commercial Banks, set forth in Government Regulation No. 52 Year 1999, regarding the Addition of Capital Investment by the Republic of Indonesia in State-Owned Banks, BRI has received in full the recapitalization with a nominal amount of Rp29,149,000 in the form of Government Recapitalization Bonds issued in 2 (two) phases, that is at the nominal amounts of Rp20,404,300 on July 25, 2000 and Rp8,744,700 on October 31, 2000.

Furthermore, as stated in the Management Contract dated February 28, 2001 between the Republic of Indonesia represented by the Government through the Minister of Finance and BRI, the Government determined that in order to achieve a Minimum Capital Adequacy Liability of 4%, BRI's recapitalization requirement is Rp29,063,531. Therefore, BRI has returned the excess recapitalization of Rp85,469 in the form of Government Recapitalization Bonds to the Republic of Indonesia on November 5, 2001.

On September 30, 2003, the Minister of Finance issued Decision Letter No. 427/KMK.02/2003 dated September 30, 2003 regarding the final amount and implementation of Government's rights, which arose as a result of the addition in capital investment during the Recapitalization Program for Commercial Banks. Based on the Decision Letter, the Minister of Finance determined that the final amount of BRI's recapitalization requirement is Rp29,063,531.

c. Initial Public Offering of Shares and Stock Split

In relation to BRI's Initial Public Offering (IPO), based on the registration statement dated October 31, 2003, the Government, through the Minister of State-Owned Enterprises agreed to conduct an IPO of 3,811,765,000 Series B common shares of BRI, consisting of 2,047,060,000 Series B common shares owned by the Republic of Indonesia (divestment) and 1,764,705,000 new Series B common shares, alongside over-subscription option and over-allotment option.

The IPO consists of the international public offering (under Rule 144A of the Securities Act and "S" Regulation) and the Indonesian public offering. BRI submitted its registration to Bapepam-LK and the registration statement became effective based on the Chairman of Bapepam-LK Letter No. S-2646/PM/2003 dated October 31, 2003.

BRI's IPO consists of 3,811,765,000 shares with a nominal value of Rp500 (full Rupiah) per share and a sale price of Rp875 (full Rupiah) per share. Subsequently, over-subscription option of 381,176,000 shares and over-allotment option of 571,764,000 shares were exercised at Rp875 (full Rupiah) per share on November 10, 2003 and December 3, 2003, respectively. After BRI's IPO and the underwriters' exercise of the over-subscription option and the over-allotment option, the Republic of Indonesia owns 59.50% of BRI shares. On November 10, 2003, the offered shares started to be traded on Jakarta and Surabaya Stock Exchanges (currently the Indonesia Stock Exchange). At the same time, all BRI shares were also listed (Note 31b).

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

c. Initial Public Offering of Shares and Stock Split (continued)

Based on Notarial Deed No. 38 dated November 24, 2010 of Notary Fathiah Helmi, S.H., stock split was performed from a nominal value of Rp500 (full Rupiah) per share to Rp250 (full Rupiah) per share. The deed had been received and recorded in the Legal Entity Administration System database in accordance with the Ministry of Law and Human Rights of the Republic of Indonesia Letter No. AHU.AH.01.10-33481 dated December 29, 2010. The stock split was performed in 2011 and BRI scheduled the last day on which shares with a nominal value of Rp500 (full Rupiah) would be traded in Regular Market and Negotiated Market was January 10, 2011 and the date of commencement of legitimate trade for shares with new nominal value of Rp250 (full Rupiah) was January 11, 2011.

Based on Notarial Deed No. 54 dated October 27, 2017 of Notary Fathiah Helmi, S.H., stock split was performed from a nominal value of Rp250 (full Rupiah) per share to Rp50 (full Rupiah) per share. The deed had been received and recorded in the Legal Entity Administration System database in accordance with the Ministry of Law and Human Rights of the Republic of Indonesia Letter No. AHU.AH.01.03-0187521 dated November 3, 2017. The stock split was performed in 2017 and BRI scheduled the last day on which shares with a nominal value of Rp250 (full Rupiah) would be traded in Regular Market and Negotiated Market was November 9, 2017 and the date of commencement of legitimate trade for shares with new nominal value of Rp50 (full Rupiah) was November 10, 2017.

Due to the establishment of Ultra Micro Holding, BRI increased additional paid in capital through Right Issue with Pre-Emptive Rights ("PMHMETD") I. Related to PMHMETD I, BRI had obtained shareholder approval in accordance with the results of the Extraordinary General Meeting of Shareholder dated July 22, 2021 was documented in Notarial Deed No. 61 dated July 22, 2021 of Notary Fathiah Helmi S.H. in Jakarta and had received an effective statement from the Financial Services Authority (OJK) on August 30, 2021 through its letter No. S-152/D.04/2021 dated August 30, 2021.

In PMHMETD I, BRI offered for as many as 28,213,191,604 new Series B shares with a nominal value of Rp50 per share in the form of Pre-Emptive Rights ("HMETD") with exercised price of Rp3,400. HMETD would be traded and exercised was from September 13 to September 22, 2021

From this limited public offering, BRI has increased its share capital by 28,213,191,604 shares, resulting the composition of BRI's share ownership become 56.82% owned by the Government of the Republic of Indonesia and 43.18% owned by the public.

d. Treasury Stock

BRI, through its letter No. R.224-DIR/DIS/09/2015 dated September 25, 2015, submitted a request for OJK's approval on BRI's shares buyback for as many as Rp5,000,000, and it was approved by OJK through its letter No. S-101/PB.31/2015 dated October 6, 2015. Furthermore, BRI conveyed its information disclosure to the Financial Services Authority (OJK) in regards to the buyback plan for shares previously issued and listed on the Stock Exchange for as many as Rp2,500,000 through its letter No. B.695-DIR/SKP/10/2015 dated October 9, 2015. The buyback is carried out within a period of 3 months between October 12, 2015 until January 12, 2016. As of January 12, 2016, BRI has repurchased 221,718,000 shares prior to the stock split. During the 2016 buyback, the average cost per share was Rp10,944 with the funds used at Rp2,418,947,067,500 (full amount). So that after the stock split (1:5), the shares bought back were recorded at 1,108,590,000 shares with an average cost per share of Rp2,182.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

d. Treasury Stock (continued)

On May 23 up to May 27, 2019, there were issuance of shares in relation to the bonus shares program for BRI employees (Note 31f) which are sourced from treasury stock. This has resulted to a reduction in treasury stock of 143,415,500 shares with an acquisition price per share of Rp2,182 (full amount) or equivalent to a total of Rp312,933,098,043 (full amount), ESA 1 grant price of Rp3,630 (full amount) or equivalent to Rp520,598,265,000 (full amount) which the difference between the value of treasury stock and the total of implementation cost based on the fair price was recorded as additional paid-in capital amounted to Rp207,665,166,957 (full amount).

On February 25-28, 2020, there was the implementation of bonus share program to BRI employees (Note 31f) sourced from treasury shares. This has resulted to a reduction in treasury stock of 231,111,000 shares at an acquisition price of Rp2,182 (full amount) per share or equivalent to a total of Rp504,284,970,744 (full amount), where this implementation consisted of ESA 1 program of 4,396,700 shares with a fair price of Rp3,630 (full amount) per share or equivalent to Rp15,960,021,000 (full amount) and ESA 2 program of 226,714,300 shares with a fair price of Rp4,410 (full amount) per share or equivalent to Rp999,810,063,000 (full amount). The difference between the value of treasury stock and the total of implementation cost based on the fair price was recorded in additional paid-in capital amounted to Rp511,485,113,256 (full amount).

BRI, through its letter No. R. 154-DIR/ALM/03/2020 dated March 10, 2020, submitted a request for OJK's approval on BRI's shares buyback for as many as Rp3,000,000, and it was approved by OJK through its letter No. S.47/PB. 31/2020 dated March 12, 2020. Furthermore, BRI conveyed its information disclosure to the Financial Services Authority (OJK) in regards to the buyback plan for shares previously issued and listed on the Stock Exchange for as many as Rp3,000,000 through its letter No. B. 427-DIR/SKP/03/2020 dated March 13, 2020. The buyback is carried out within a period between March 13, 2020 until June 12, 2020. As of June 12, 2020, BRI has repurchased 16,400,000 shares (par value of Rp50 (full amount) per share) at an acquisition price of Rp47,254,000,000 with an average purchase price of Rp2,881.34. Upon this transaction, the total treasury stock owned by BRI is 750,463,500 shares.

On February 5, 2021, there was the implementation of a bonus share program for BRI employees (Note 31f) sourced from treasury shares. This resulted to a reduction in treasury shares of 84,600 shares with an acquisition price per share of Rp2,182 (full amount) or equivalent to a total of Rp184,597,481 (full amount), bonus share discretion program fair price of Rp3,240 (full amount) or equivalent to Rp274,104,000 (full amount), the difference between the value of treasury shares and the total of implementation cost based on the fair price is recorded in additional paid-in capital amounting to Rp89,506,518 (full amount).

On March 31, 2021, there was the implementation of a bonus share program for BRI employees (Note 31f) sourced from treasury shares. This resulted to a reduction in treasury stock of 2,096,400 shares at an acquisition price of Rp2,182 (full amount) per share or equivalent to a total of Rp4,574,351,773 (full amount), where this implementation consisted of ESA 1 of 831,000 shares with fair price of Rp3,630 (full amount) per share or equivalent to Rp3,016,530,000 (full amount) and ESA 2 of 1,265,400 shares with a fair price of Rp4,410 (full amount) per share or equivalent to Rp5,580,414,000 (full amount). The difference between the value of the treasury stock and the total of implementation costs based on the fair price is recorded in additional paid-in capital amounting to Rp4,022,592,226 (full amount).

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

d. Treasury Stock (continued)

On October 7 - December 17, 2021, there was the implementation of the stock option program for BRI employees (Note 30) sourced from treasury stock. This has resulted in a reduction in treasury stock of 11,613,900 shares with an acquisition price of Rp2,182 (full amount) per share or equivalent to Rp25,341,568,431 (full amount), the ESOP 1 and 2 programs grant price of Rp2,240 (full amount) or equivalent to Rp26,015,136,000 (full amount). The difference between the value of treasury stock and the total implementation costs based on the grant price was recorded in additional paid-in capital amounted to Rp4,680,363,069 (full amount).

On October 25, 2021, there was the implementation of a bonus share program on BRI employees (Note 31f) sourced from treasury stock. This has resulted in a reduction in treasury stock of 590,000 shares at an acquisition price of Rp2,182 (full amount) per share or equivalent to Rp1,287,381,963 (full amount), the fair price of the Discretionary Pool of Rp3,750 (full amount) per share or equivalent to Rp2,212,500,000 (full amount). The difference between the value of treasury stock and the total of implementation cost based on the grant price was recorded in additional paid-in capital amounted to Rp925,118,037 (full amount).

On October 27, 2021, there was the implementation of a bonus share program on BRI employees (Note 30) sourced from treasury stock. This has resulted in a reduction in treasury stock of 263,904,800 shares at an acquisition price of Rp2,182 (full amount) per share or equivalent to Rp575,841,151,426 (full amount), the grant price of ESA 3 of Rp4,020 (full amount) or equivalent to Rp1,060,897,296,000 (full amount), the difference between the value of treasury stock and the total of implementation cost based on the grant price was recorded in additional paid-in capital amounted to Rp485,056,144,574 (full amount).

On November 5 - December 6, 2021, the stock option program was implemented on BRI employees (Note 30) sourced from treasury stock. This resulted in a reduction in treasury stock of 124,565,200 shares at an acquisition price of Rp2,182 (full amount) per share or equivalent to Rp271,801,680,741 (full amount), the ESOP 1 and 2 programs grant price of of Rp2,240 (full amount) or equivalent to Rp279,026,048,000 (full amount). The difference between the value of treasury stock and the total of implementation cost based on the grant price was recorded in additional paid-in capital amounted to Rp7,224,367,259 (full amount).

On December 17, 2021, there was the implementation of a bonus share program on BRI employees (Note 31f) sourced from treasury stock. This has resulted in a reduction in treasury stock of 282,159,300 shares at an acquisition price of Rp2,182 (full amount) per share or equivalent to Rp615,672,531,146 (full amount), the fair price of ESA 4 of Rp3,926 (full amount) or equivalent to Rp1,107,757,411,800 (full amount), the difference between the value of treasury stock and the total of implementation cost based on the grant price was recorded in additional paid-in capital amounted to Rp492,084,880,654 (full amount).

On December 17, 2021, there was the implementation of the stock option program on BRI employees (Note 30) sourced from treasury stock. This has resulted in a reduction in treasury stock of 11,004,400 shares at an acquisition price of of Rp2,182 (full amount) at an acquisition price of or equivalent to Rp24,011,637,404 (full amount), ESOP 1 and 2 grant price of Rp2,240 (full amount) or the equivalent of Rp24,649,856,000 (full amount). The difference between the value of treasury stock and the total of implementation cost based on the grant price was recorded in additional paid-in capital amounted to Rp4,660,603,096 (full amount).

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

d. Treasury Stock (continued)

On December 27, 2021, there was the implementation of a bonus share program on BRI employees (Note 31f) sourced from treasury stock. This has resulted in a reduction in treasury stock of 6,049,800 shares consisting of 16,000 ESA 1 shares grant price of Rp3,630 per share or equivalent to Rp58,080,000 (full amount), ESA 2 of 266,400 shares grant price of Rp4,410 (full amount) per share or equivalent to Rp1,174,824,000 (full amount), ESA 3 of 4,813,700 shares at grant price of Rp4,020 (full amount) per share or equivalent to Rp19,351,074,000 (full amount), and ESA 4 of 953,700 shares at grant price of Rp3,926 (full amount) per share or equivalent to Rp3,744,226,200 (full amount). The difference between the value of treasury stock and the total of implementation cost based on the grant price was recorded in additional paid-in capital amounted to Rp11,127,520,477 (full amount).

On December 28, 2021, the stock option program was implemented on BRI employees (Note 30) sourced from treasury stock. This has resulted in a reduction in treasury stock of 1,742,600 shares with an acquisition price of Rp2,182 (full amount) per share or equivalent to Rp3,802,358,996 (full amount), the implementation price of the ESOP 1 and 2 programs of Rp2,240 (full amount) or equivalent to Rp3,903,424,000 (full amount). The difference between the value of treasury stock and the total of implementation cost based on the grant price was recorded in additional paid-in capital amounted to Rp732,402,204 (full amount).

As of December 30, 2021, there was the implementation of a bonus share program on BRI employees (Note 31f) sourced from treasury stock. This has resulted in a reduction in treasury stock of 30,720,900 shares with details of 30,252,500 shares with an acquisition price per share of Rp2,182 (full amount) per share or equivalent to Rp66,011,055,629 (full amount) and 468,400 shares with an acquisition price per share of Rp2,881 (full amount) per share or equivalent to Rp1,349,460,400 (full amount), the grant price of Special ESA is Rp4,080 (full amount) or equivalent to Rp125,341,272,000 (full amount). The difference between the value of treasury stock and the total of implementation cost based on the grant price was recorded in additional paid-in capital amounted to Rp57,980,755,971 (full amount). As of December 31, 2021, BRI's total treasury stock were 15,931,600 shares.

e. Structure and Management

As of December 31, 2021 and 2020, BRI has the following networks of work unit :

	December 31, 2021	December 31, 2020
Regional Offices	18	19
Head Internal Audit Office	1	1
Regional Internal Audit Offices	18	19
Domestic Branch Offices	450	461
Special Branch Office	1	1
Overseas Branch/Representative Office	6	5
Domestic Sub-branch Offices	588	608
Overseas Sub-branch Offices	3	3
Cash Offices	525	547
BRI Unit	5,222	5,382
Teras and Teras Mobile	1,829	1,999
Floating Teras	4	4

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

e. Structure and Management (continued)

As of December 31, 2021, BRI has 5 (five) overseas branch offices located in New York, Cayman Islands, Singapore, Timor Leste and Taipei and 1 (one) overseas representative office located in Hong Kong.

As of December 31, 2020, BRI has 4 (four) overseas branch offices located in New York, Cayman Islands, Singapore and Timor Leste and 1 (one) overseas representative office located in Hong Kong.

As of December 31, 2021 BRI has 9 (nine) subsidiaries, which are PT Bank Raya Indonesia Tbk (formerly PT Bank Rakyat Indonesia Agroniaga Tbk), BRI Remittance Co. Ltd. Hong Kong, PT Asuransi BRI Life, PT BRI Multifinance Indonesia, PT BRI Danareksa Sekuritas (formerly PT Danareksa Sekuritas), PT BRI Ventura Investama, PT BRI Asuransi Indonesia (formerly PT Asuransi Bringin Sejahtera Artamakmur), PT Pegadaian and PT Permodalan Nasional Madani. Although as of December 31, 2020 BRI has 8 (eight) subsidiaries, which are PT Bank BRI Syariah Tbk, PT Bank Raya Indonesia Tbk (formerly PT Bank Rakyat Indonesia Agroniaga Tbk), BRI Remittance Co. Ltd. Hong Kong, PT Asuransi BRI Life, PT BRI Multifinance Indonesia, PT BRI Danareksa Sekuritas (formerly PT Danareksa Sekuritas), PT BRI Ventura Investama and PT BRI Asuransi Indonesia (formerly PT Asuransi Bringin Sejahtera Artamakmur).

Based on the accounting policies of BRI, the coverage of BRI's key management are members of boards of commissioners, directors, senior executive vice president, audit committee, remuneration committee, head of divisions, head of internal audit work unit and Head of Regional Internal Audits, head of regional officer, head of special branch and head of branches. The number of BRI's employees as of December 31, 2021 and 2020 are (unaudited):

	December 31, 2021	December 31, 2020
PT Bank Rakyat Indonesia (Persero) Tbk	60,966	61,531
Subsidiaries	18,432	22,814
	79,398	84,345

The composition of BRI's Board of Commissioners as of December 31, 2021 was appointed based on the Extraordinary and Annual General Meeting of Shareholders (GMS) of BRI, each of which was stated in the Notarial Deed of Fathiah Helmi, S.H., No. 24 dated April 23, 2021 and Notarial Deed of Fathiah Helmi, S.H., No. 5 dated October 7, 2021. The composition of the Board of Commissioners of BRI as of December 31, 2020 was appointed based on the BRI Annual GMS stated in the Notarial Deed of Fathiah Helmi, S.H., No. 19 dated February 18, 2020 and Notarial Deed of Fathiah Helmi, S.H., No. 9 dated November 16, 2020:

	December 31, 2021	December 31, 2020
President Commissioner/ Commissioner :	Kartika Wirjoatmodjo	Kartika Wirjoatmodjo
Vice President/ Independent Commissioner :	Rofikoh Rokhim	Ari Kuncoro
Independent Commissioner :	Hendrikus Ivo	Rofikoh Rokhim
Independent Commissioner :	Zulnahr Usman	Hendrikus Ivo
Independent Commissioner :	Dwi Ria Latifa	Zulnahr Usman
Independent Commissioner :	R. Widyo Pramono	Dwi Ria Latifa
Independent Commissioner :	Heri Sunaryadi*)	R. Widyo Pramono
Commissioner :	Nicolaus Teguh Budi	Nicolaus Teguh Budi
	Harjanto	Harjanto
Commissioner :	Hadiyanto	Hadiyanto
Commissioner :	Rabin Indrajad	Rabin Indrajad
	Hattari	Hattari

*) Effective after the issuance of approval from Financial Service Authority and in accordance with the prevailing regulations

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

e. Structure and Management (continued)

The composition of BRI's Board of Directors as of December 31, 2021 was appointed based on the Extraordinary and Annual General Meeting of Shareholders (GMS) of BRI, each of which was stated in the Notarial Deed of Fathiah Helmi, S.H., No. 24 dated April 23, 2021 and as stated under the Notarial Deed of Fathiah Helmi, S.H., No. 5 dated October 7, 2021. The composition of the Board of Directors of BRI as of December 31, 2020 was appointed based on the BRI Annual GMS, stated in the Notarial Deed of Fathiah Helmi, S.H., No. 19 dated February 18, 2020 and as stated under the Notarial Deed of Fathiah Helmi, S.H., No. 9 dated November 16, 2020:

		<u>December 31, 2021</u>	<u>December 31, 2020</u>
President Director	:	Sunarso	Sunarso
Vice President Director	:	Catur Budi Harto	Catur Budi Harto
Director	:	Viviana Dyah Ayu R.K	Haru Koesmahargyo
Director	:	Amam Sukriyanto	Priyastomo
Director	:	Indra Utoyo	Indra Utoyo
Director	:	Handayani	Handayani
Director	:	Supari	Supari
Director	:	Arga Mahanana Nugraha	Ahmad Solichin Lutfiyanto
Director	:	Agus Sudiarto	Agus Sudiarto
Director	:	Agus Noorsanto	Agus Noorsanto
Director	:	Agus Winardono	Herdy Rosadi Harman
Director	:	Ahmad Solichin Lutfiyanto	Wisto Prihadi*)

*) The effective dismissal starting November 11, 2020 was made official at The Bank's Extraordinary General Meeting of Shareholders on January 21, 2021.

The composition of BRI's Audit Committee as of December 31, 2021 was appointed based on Directors' Decision Letter No. Kep 594-DIR/HCB/09/2021 dated September 30, 2021, as of December 31, 2020 was appointed based on Directors' Decision Letter No. Kep 548-DIR/HCB/08/2020 dated August 12, 2020.

		<u>December 31, 2021</u>	<u>December 31, 2020</u>
Chairman	:	Hendrikus Ivo	Hendrikus Ivo
Member	:	R. Widyo Pramono	Ari Kuncoro
Member	:	Rofikoh Rokhim	Rofikoh Rokhim
Member	:	Zulnahr Usman	R. Widyo Pramono
Member	:	Sahat Pardede	Pamuji Gesang Raharjo
Member	:	Irwanto	Sunuaji Noor Widiyanto
Member	:	Bambang Harudi	Sahat Pardede
Member	:	Bardiyono Wiyatmojo	Handayani Wibowo

As of December 31, 2021 and 2020, the Corporate Secretary of BRI was Aestika Oryza Gunarto, as appointed based on Letter No. R.453-DIR/HCB/08/2020 dated August 7, 2020.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

e. Structure and Management (continued)

As of December 31, 2020 The Executive Vice President of the BRI Internal Audit Unit was Hari Siaga Amijarso, as appointed based on Directors' Decision Letter No. R. 401-DIR/KHC/07/2019 dated July 15, 2019 regarding the Appointment of the Executive Vice President of the BRI Internal Audit Unit. While as of December 31, 2020 The Executive Vice President of the BRI's Internal Audit Unit was Catur Budi Harto - Vice President Director - who was appointed to take over the role of the Executive Vice President of the Internal Audit Unit in accordance with the Minutes of Position Handover of Position No. B.35-DIR/SAI/10/2021 dated October 29, 2021 and Directors' Decision Letter No.S.367a-DIR/CDS/08/2021 dated 18 October 18, 2021 regarding the Amendment to the Directors' Decision Letter No. No.S.367-DIR/CDS/08/2021 dated August 6, 2021 regarding the Appointment of a Substitute Director for PT Bank Rakyat Indonesia (Persero) Tbk. On issuance of the Consolidated Financial Statements of December 31, 2021, Anik Hidayati is a Temporary Substitute for the Executive Vice President of the BRI's Internal Audit Unit in accordance with the Directors' Decision Letter No. 45-DIR/HCB/01/2022 dated January 13, 2022 regarding Assignment as a Temporary Substitute Officer (PGS) Executive Vice President of BRI's Internal Audit Unit.

f. Subsidiaries

PT Bank BRIsyariah Tbk (BRIS)

On June 29, 2007, BRI signed the Sale and Purchase of Shares Agreement with the shareholders of PT Bank Jasa Arta ("BJA") to acquire 100% of BJA's shares at a purchase price of Rp61,000,000,000 (full Rupiah). Based on BRI's Extraordinary General Meeting of Shareholders, as stated in the Notarial Deed No. 3 dated September 5, 2007 of Notary Imas Fatimah, S.H., the shareholders has approved the acquisition of BJA and BRI has obtained the approval of Bank Indonesia in its Letter No. 9/188/GBI/DPIP/Rahasia dated December 18, 2007 and No. 9/1326/DPIP/Prz dated December 28, 2007. The acquisition was completed on December 19, 2007 based on Acquisition Deed No. 61 of Notary Imas Fatimah, S.H., in which BRI acquired 99.99875% of the total shares issued by BJA and 0.00125% of the total shares was granted to BRI's Employee Welfare Foundation (Yayasan Kesejahteraan Pekerja BRI).

Based on Notarial Deed No. 45 dated April 22, 2008 of Notary Fathiah Helmi, S.H., the name of BJA was changed into PT Bank Syariah BRI ("BSB"). Based on the Governor of Bank Indonesia's Decision Letter No. 10/67/KEP.GBI/DpG/2008 dated October 16, 2008, BSB obtained the approval to change its business activities from a conventional commercial bank into a commercial bank that conducts business activities based on sharia principles. Within 60 (sixty) days from the decision letter date, BSB was obliged to conduct its business activities based on sharia principles and within a maximum of 360 (three hundred sixty) days from the decision letter date, BSB was obliged to settle all its loans and liabilities to debtors or customers from the previous conventional banking activities.

On December 19, 2008, through "the Spin-off Agreement of BRI's Sharia Business Unit" No. 27 dated December 19, 2008 of Notary Fathiah Helmi, S.H., BRI agreed to spin-off BRI's Sharia Business Unit ("UUS BRI") into BSB effective from January 1, 2009. The spin-off, as of the effective date, resulted in the following:

1. All assets and liabilities of UUS BRI owned by BRI, through legal transfer, were to become the rights or property of, liabilities of, or expenditures to be fulfilled by BSB, the receiving entity.
2. All UUS BRI's operations, business and activities were legally transferred to and thus, were operated for the benefit of, at the risks of loss of, and under the responsibility of BSB.
3. All UUS BRI's rights, claims, authorities and liabilities arising from any agreements, actions or events present, made, performed, or occurred on or before the effective spin-off date including but not limited to the stated list of assets and liabilities of UUS BRI and all legal relations between UUS BRI and other parties were legally transferred to and thus, were operated for the benefit of, at the risks of loss of and under the responsibility of BSB.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

f. Subsidiaries (continued)

PT Bank BRISyariah Tbk (BRIS) (continued)

Based on the Deed of Declaration on BSB Shareholders Decision No. 18 of Notary Fathiah Helmi, S.H., dated April 14, 2009, the name of PT Bank Syariah BRI was changed to PT Bank BRISyariah ("BRIS"), and approved by Bank Indonesia based on Governor of Bank Indonesia's Decision Letter No. 11/63/KEP.GBI/DpG/2009 dated December 15, 2009.

Based on the Deed of Declaration on the Extraordinary General Meeting of PT Bank BRISyariah's Shareholders No. 8 dated January 8, 2018 of Fathiah Helmi, S.H., a Notary in Jakarta, the Articles of Association of BRIS has been amended regarding the increase in the authorized capital of BRIS to Rp7.5 trillion, consisting of 15 billion shares with a nominal value of Rp500 (full Rupiah) per share, and change of name from PT Bank BRISyariah to PT Bank BRISyariah Tbk. The amendment has obtained approval and notice of acceptance in the Legal Entity Administration System in accordance with the Minister of Law and Human Rights of the Republic of Indonesia's Letters No. AHU-0000386.AH.01.02.Year 2018 dated January 10, 2018 and No. AHU-AH.01.03-0009224 dated January 10, 2018. The Deed also included shareholders' approval on several other matters, which were:

1. BRIS' plan to raise funds from the public through Initial Public Offering (IPO).
2. Amendment to BRIS' Articles of Association, in order to become a Public Company, in accordance with laws and regulations in the Capital Market including Regulation No. IX.J.1, Regulation of the Financial Services Authority (POJK) No. 32/POJK.04/2014 with its amendments and POJK No. 33/POJK.04/2014.
3. The issuance of new shares in the course of the management and employees stock options program, maximum of 3% (three percent) of the issued and paid-up capital after the IPO is completed.

Based on Letter of Financial Service Authority (OJK) No. S.37/D.04/2018 dated April 30, 2018 regarding effective notification of PT Bank BRISyariah's IPO registration statement pursuant to the latest letter submitted to OJK No. S.B.147-PDR/04-2018 dated April 24, 2018, OJK did not require any additional information, had no further responses and the registration statement became effective.

BRIS' Initial Public Offering (including Employee Stock Allocation) consists of 2,623,350,600 new shares, with a nominal value of Rp500 (full Rupiah) per share and a sale price of Rp510 (full Rupiah) per share. The offered shares started to be listed and traded on the Indonesian Stock Exchange on May 9, 2018. According to Government Regulations No. 29 Year 1999 regarding Commercial Bank Stock Purchase Article 4 Paragraphs 2 and 3, which stipulated that BRIS can only list its shares in the Stock Exchange at most 99% from its total shares, thus, 97,161,135 of BRIS' shares owned by BRI is not listed on the Stock Exchange, and therefore, BRIS' shares listed on the Stock Exchange totaled 9,618,952,363 shares. After BRIS' IPO, according to Letter No. DE/V/18-2545 dated May 24, 2018 from PT Datindo Entrycom, as Corporate Securities Administration Bureau, BRI owned 73.00% of BRIS' shares.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

f. Subsidiaries (continued)

PT Bank BRIsyariah Tbk (BRIS) (continued)

BRIS' Articles of Association has been amended several times. The latest amendment was documented in the Deed of Declaration on PT Bank BRIsyariah Tbk's Annual General Meeting of Shareholders No. 27 dated July 17, 2019, of Fathiah Helmi, S.H., a Notary in Jakarta, among others regarding changes to the period of office terms for members of the Company's management, and other adjustments to the provisions of BRIS' Articles of Association that are relevant to the Company's activities. The amendment has been accepted and recorded in the Legal Entity Administration System in accordance with the Minister of Law and Human Rights of the Republic of Indonesia's Letter No. AHU-AH.01.03-0302291 dated July 23, 2019.

BRIS' shares ownership structure as of December 31, 2020 consists of BRI owning 71.64%, DPLK Bank Rakyat Indonesia-Sharia Shares owning 8.25%, and the public owning 20.11%.

According to Article 3 of BRIS' latest Articles of Association, the scope of BRIS' business is to conduct banking activities based on the sharia principles.

Total assets of BRIS as of December 31, 2020 amounted to Rp57,871,075 or 3.59% of the total consolidated assets.

Total fund management income for the years ended on the dates December 31, 2020 amounted to Rp4,347,121 or 3.06% of the consolidated total interest, sharia and premium income.

On October 12, 2020, PT Bank Mandiri (Persero) Tbk (Mandiri), PT Bank Rakyat Indonesia (Persero) Tbk (BRI), PT Bank Negara Indonesia (Persero) Tbk (BNI), PT Bank Syariah Mandiri (BSM), PT Bank BRIsyariah Tbk (BRIS), and PT Bank BNI Syariah (BNIS) have signed a Conditional Merger Agreement (CMA) or a Conditional Merger Agreement for the merger of BSM, BRIS, and BNIS (Merger Participating Banks).

Based on the CMA, after the effective date of the merger, PT Bank BRIsyariah Tbk (BRIS) will become the surviving entity and all shareholders of PT Bank BNI Syariah (BNIS) and PT Bank Syariah Mandiri (BSM) will become shareholders of the entity that accept pooling based on the pooling ratio.

On February 1, 2021, PT Bank Syariah Tbk ("BSI") effectively became a merged bank in accordance with the approval of the Capital Market Financial Services Authority (OJK) through its letter No. S-289/D.04/2020 dated December 11, 2020 and OJK Banking through Decree No. 4/KDK.03/2021 dated January 27, 2021 regarding the Granting for the Merger of PT Bank Syariah Mandiri and PT Bank BNI Syariah into PT Bank BRIsyariah Tbk and changes in business licenses.

Since the effective date of the merger, the share ownership structure consists of PT Bank Mandiri (Persero) Tbk at 50.95%, PT Bank Negara Indonesia (Persero) Tbk at 24.91%, BRI at 17.29%, DPLK Bank Rakyat Indonesia- Sharia Shares at 1.83%, PT BNI Life Insurance at 0.01%, PT Mandiri Sekuritas at 0.00% and public at 5.01%.

Due to MESOP 2021 that started since 30 trading days from May 1, 2021 resulted changes in Articles of Association of BSI as stated under Notarial Deed No. 54 dated July 27, 2021 of Notary Ashoya Ratam S.H., M.Kn, thus BRI owned 17.25% of BSI's shares, PT Bank Mandiri (Persero) Tbk at 50.83%, PT Bank Negara Indonesia (Persero) Tbk at 24.85%, DPLK Bank Rakyat Indonesia-Sharia Shares at 1.6%, PT BNI Life Insurance at 0.01%, PT Mandiri Sekuritas at 0.00% and public at 5.46%. This amendment was accepted and recorded in the Legal Entity Administration System by the Minister of Law and Human Rights of the Republic of Indonesia in its Acceptance Letter of Articles of Association Amendment Notice No. AHU-AH.01.03.0434796 dated August 5, 2021.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

f. Subsidiaries (continued)

PT Bank BRIsyariah Tbk (BRIS) (continued)

Since February 1, 2021, BRI has lost control of BRIS which resulted in BRI have to derecognize BRIS' net assets at their carrying amount of Rp909,707 and the carrying amount of any former non-controlling interest in BRIS when control was lost (including any components of other comprehensive income attributable to non-controlling interest) amounting to Rp1,452,824. After that, BRI recognized the investment in BSI in accordance with the combined ratio wherein the difference between BRIS's net assets and BSI's investment was recorded as additional paid-in capital of Rp565,209 (Note 31b).

After the initial measurement, the investment value of BSI was then added or subtracted to recognize BRI's share of BSI's profit or loss in accordance with SFAS No. 15 "Investments in Associates and Joint Ventures".

PT Bank Raya Indonesia Tbk (Bank Raya) (formerly PT Bank Rakyat Indonesia Agroniaga Tbk (BRI Agro))

On August 19, 2010, BRI entered into a Sale and Purchase of Shares Agreement (PPJB) with Agricultural Estate Pension Fund (Dapenbun), which holds 95.96% of PT Bank Agroniaga Tbk ("Bank Agro") shares, to acquire Bank Agro's shares at a total nominal value of Rp330,296 for 3,030,239,023 shares, with a price of Rp109 (full Rupiah) per share. After the acquisition, the composition of shareholders would be 76% owned by BRI, 14% owned by Dapenbun and 10% owned by the public.

According to BRI's Extraordinary General Meeting of Shareholders, in accordance with the Notarial Deed No. 37 dated November 24, 2010 of Notary Fathiah Helmi, S.H., the shareholders have approved the acquisition of Bank Agro. Furthermore, Bank Indonesia, in its Letter No. 13/19/GBI/DPIP/Rahasia dated February 16, 2011, also granted its approval for the acquisition of Bank Agro. The acquisition was completed on March 3, 2011 based on the Notarial Deed No. 14 of Notary Fathiah Helmi, S.H., where BRI owned 88.65% of Bank Agro's total issued and fully paid shares, as stated in the Notarial Deed No. 68 dated December 29, 2009, of Notary Rusnaldy, S.H. The above mentioned matter has also considered the effects of Warrants Series I which are exercisable up to May 25, 2011.

In compliance with Bapepam-LK's Regulation No. IX.H.1, Appendix to the Decision Letter of Chairman of Bapepam-LK No. Kep-259/BL/2008 dated June 30, 2008 regarding the "Takeover of Public Company", BRI, as the new controlling shareholder of Bank Agro, obliged to execute Tender Offer on the remaining Bank Agro's shares which are owned by the public. The Tender Offer statement has become effective on May 4, 2011 based on the Chairman of Bapepam-LK's Letter No. S-4985/BL/2011 and was announced on May 5, 2011, in two daily newspapers, Bisnis Indonesia and Investor Daily. The Tender Offer period commenced on May 5, 2011 and concluded on May 24, 2011. At the end of the Tender Offer period, BRI purchased 113,326,500 shares (3.15% of the total shares of Bank Agro). The tender offer price is Rp182 (full Rupiah) per share.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

f. Subsidiaries (continued)

PT Bank Raya Indonesia Tbk (Bank Raya) (formerly PT Bank Rakyat Indonesia Agroniaga Tbk (BRI Agro)) (continued)

On July 1, 2011, Dapenbun exercised its option to buy 256,375,502 shares at a price of Rp109 (full Rupiah) per share. Based on Bapepam-LK's Regulation No. IX.H.1, the payback period of Tender Offer is within 2 (two) years. However, specifically for Bank Agro, BRI had the obligation to meet minimum public shareholding of 10% at no later than May 24, 2013. This is to comply with the Letter from the Indonesia Stock Exchange No. S-06472/BEI.PPJ/09-2011 dated September 23, 2011. As of December 31, 2011, 500,000 of Bank Agro shares have been successfully sold back to the public resulting in BRI's ownership of 79.78% and Dapenbun's of 14%. While there was no sale of shares during the year 2012 and 2013, 130,000 shares were sold in 2014. Thus, as of December 31, 2014, BRI was unable to meet the requirement of Indonesia Stock Exchange stated on its letter No. S-06472/BEI.PPJ/09-2011 dated September 23, 2011, to have a minimum public shareholding of 10% by May 24, 2013 due to the inactivity of Bank Agro's share price in the capital market.

Based on the Notarial Deed of Meeting Decision Statement No. 30 dated May 16, 2012 of Notary Rusnaldy, S.H., the name PT Bank Agroniaga Tbk was changed into PT Bank Rakyat Indonesia Agroniaga Tbk ("BRI Agro"). This change has been approved by Bank Indonesia in its Governor's Decision Letter No. 14/72/KEP.GBI/2012 dated October 10, 2012.

On May 10, 2013, BRI Agro submitted Registration Statement of Limited Public Offering IV ("PUT IV") to the Board of Commissioners of OJK in connection with the issuance of Preemptive Rights of 3,846,035,599 Common Shares with nominal value of Rp100 (full Rupiah) per share. On June 26, 2013, the Board of Commissioners of OJK through its letter No. S-186/D.04/2013, approved the Registration Statement of Limited Public Offering IV, thus increasing the number of its issued capital stock by 3,832,685,599 shares.

As a result of PUT IV, BRI Agro's Articles of Association was amended as stated in Deed of Meeting Decision Statement No. 107 dated July 30, 2013, of Notary M. Nova Faisal, S.H., M.Kn, regarding the increase in issued and fully paid capital, increasing BRI's ownership to 80.43%, Dapenbun's to 14.02% and public's to 5.55%. This amendment was approved by the Minister of Law and Human Rights of the Republic of Indonesia in its Decision Letter No. AHU-0074249.AH.01.09.Year 2013 dated August 1, 2013.

On May 11, 2015, BRI Agro submitted Registration Statement of Limited Public Offering V ("PUT V") to the Board of Commissioners of OJK in connection with the issuance of Preemptive Rights of 5,588,085,883 Common Shares with nominal value of Rp100 (full Rupiah) per share. On June 17, 2015, the Board of Commissioners of OJK through its letter No. S-259/D.04/2015 notified BRI Agro that its Registration Statement of Limited Public Offering V has become effective, thus increasing the number of its issued capital stock by 4,028,934,521 shares.

As a result of PUT V, BRI Agro's Articles of Association was amended as stated in Notarial Deed of Decision Meeting Statement and Amendment of Articles of Association No. 68 dated July 14, 2015 of Notary M. Nova Faisal, S.H., M.Kn, regarding the increase in issued and fully paid capital, increasing BRI's ownership di BRI Agro to 87.23%, Dapenbun's to 9.10% and public's to 3.67%. This amendment was accepted and recorded in the Legal Entity Administration System by the Minister of Law and Human Rights of the Republic of Indonesia in its Acceptance Letter of PT Bank Rakyat Indonesia Agroniaga Tbk Articles of Association Amendment Notice No. AHU-AH.01.03-0951264 dated July 14, 2015.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

f. Subsidiaries (continued)

PT Bank Raya Indonesia Tbk (Bank Raya) (formerly PT Bank Rakyat Indonesia Agroniaga Tbk (BRI Agro)) (continued)

On October 17, 2016, BRI Agro submitted Registration Statement of Limited Public Offering VI ("PUT VI") to the Board of Commissioners of OJK in connection with the issuance of Additional Capital with Preemptive Rights of 3,845,996,122 Common Shares at most with nominal value of Rp100 (full Rupiah) per share and the issuance of Warrants Series II of 616,908,103. On November 25, 2016, the Board of Commissioners of OJK through its letter No. S-695/D.04/2016 notified BRI Agro that its Registration Statement of Limited Public Offering VI has become effective, thus increasing the number of its issued capital stock by 3,845,996,122 shares. The period to convert Warrants Series II into BRI Agro shares at Rp130 (full Rupiah) per share is from June 9, 2017 until June 11, 2018.

As a result of PUT VI, BRI Agro's Articles of Association was amended as stated in Notarial Deed of Decision Meeting Statement No. 58 dated December 27, 2016, of Notary M. Nova Faisal, S.H., M.Kn, regarding the increase in issued and fully paid capital, resulting in BRI's ownership di BRI Agro to be at 87.23%, Dapenbun's to be at 7.08% and public's to be at 5.69%. This amendment was accepted and recorded in the Legal Entity Administration System by the Minister of Law and Human Rights of the Republic of Indonesia in its Acceptance Letter of PT Bank Rakyat Indonesia Agroniaga Tbk Articles of Association Amendment Notice No. AHU-AH.01.03-0112637 dated December 27, 2016.

Up to June 11, 2018 (the ending period of warrants conversion), total warrants converted into shares are 612,937,654 shares, thereby increasing BRI Agro's capital stock by Rp61,294.

On May 2, 2017, BRI Agro submitted Registration Statement of Limited Public Offering VII ("PUT VII") to the Board of Commissioners of OJK in connection with the issuance of Additional Capital with Preemptive Rights of 2,515,555,707 common shares at most with nominal value of Rp100 (full Rupiah) per share. On June 12, 2017, the Board of Commissioners of OJK through its letter No. S-293/D.04/2017 notified BRI Agro that its Registration Statement of Limited Public Offering VII has become effective, thus increasing the number of its issued capital stock by 2,515,555,707 shares.

As a result of PUT VII, BRI Agro's Articles of Association was amended as stated in Notarial Deed of Decision Meeting Statement No. 19 dated July 21, 2017, of Notary M. Nova Faisal, S.H., M.Kn, regarding the increase in issued and fully paid capital, therefore the ownership of BRI di BRI Agro become 87.16%, Dapenbun's become 6.44% and the public's become 6.39%. This amendment was accepted and recorded in the Legal Entity Administration System by the Minister of Law and Human Rights of the Republic of Indonesia in its Acceptance Letter of PT Bank Rakyat Indonesia Agroniaga Tbk Articles of Association Amendment Notice No. AHU-AH.01.03-0154825 dated July 21, 2017.

On July 16, 2018, BRI Agro submitted Registration Statement of Limited Public Offering VIII ("PUT VIII") to the Board of Commissioners of OJK in connection with the issuance of Additional Capital with Preemptive Rights of 5,001,089,604 common shares at most with nominal value of Rp100 (full Rupiah) per share. On August 30, 2018, the Board of Commissioners of OJK through its letter No. S-113/D.04/2018 notified BRI Agro that its Registration Statement of Limited Public Offering VIII has become effective, thus increasing the number of its issued capital stock by 2,889,085,049 shares.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

f. Subsidiaries (continued)

PT Bank Raya Indonesia Tbk (Bank Raya) (formerly PT Bank Rakyat Indonesia Agroniaga Tbk (BRI Agro)) (continued)

As a result of PUT VIII, BRI Agro's Articles of Association was amended as stated in Notarial Deed of Decision Meeting Statement No. 1 dated October 2, 2018, of Notary M. Nova Faisal, S.H., M.Kn, regarding the increase in issued and fully paid capital, Therefore the ownership of BRI di BRI Agro become 87.10%, Dapenbun become 5.00% and the public become 7.90%. This amendment was accepted and recorded in the Legal Entity Administration System by the Minister of Law and Human Rights of the Republic of Indonesia in its Acceptance Letter of PT Bank Rakyat Indonesia Agroniaga Tbk Articles of Association Amendment Notice No. AHU-AH.01.03-0249178 dated October 4, 2018.

Based on Deed of Extraordinary General Meeting of Shareholders No. 51 dated June 26, 2018, PT Bank Rakyat Indonesia Agroniaga Tbk has approved the Additional Capital without Preemptive Rights (PMTHMETD) which stated in POJK NO. 38/POJK.04/2014 dated December 29, 2014 for the purpose of Management and Employee Stock Options Plan (MESOP), of 350,000,000 (three hundred and fifty million) shares with a nominal value of Rp100 (full Rupiah), - per share thus increasing the number of its issued capital stock by 249,376,451 shares.

Due to MESOP 2021 that started since 30 trading days from August 1 to September 14, 2021 resulted changes in Articles of Association of BRI Agro as stated under Notarial Deed No. 26 dated September 27, 2021 of Notary M. Nova Faisal SH, M.Kn. the Articles of Association of BRI Agro has been amended regarding the increase in the authorized capital of BRI's shares in BRI Agro to 85.70% and the public shares to 14.30%. The amendment has obtained approval and notice of acceptance in the Legal Entity Administration System in accordance with the Minister of Law and Human Rights of the Republic of Indonesia's Letters No. AHU-AHA.01.03-0453530 dated September 27, 2021.

Based on Deed of Extraordinary General Meeting of Shareholders of PT Bank Raya Indonesia Tbk No. 23 dated September 27, 2021 of Notary M. Nova Faisal, SH, M.Kn has given Approval for the Issuance of New Shares through Additional Capital with Preemptive Rights ("PMHMETD") to Shareholders which will be carried out through an Limited Public Offering IX ("PUT IX") mechanism.

On September 30, 2021 through letter Number B.562/DIR.01/SKP/09/2021, Bank Raya submitted a Registration Statement for a Limited Public Offering in connection with the PMHMETD IX to the Board of Commissioners of OJK with of 2,150,000,000 common shares at most with nominal value of Rp100 (full amount) per share. On November 18, 2021, the Board of Commissioners of OJK through its letter No.S-207/D.04/2021 notified that its Registration Statement of Limited Public Offering has become effective, thus increasing the number of its issued capital stock 1,054,545,185 shares.

As a result of PMHMETD IX, Bank Raya's Articles of Association was amended as stated in Notarial Deed of Decision Meeting Statement No. 22 dated December 17, 2021, of Notary M. Nova Faisal, S.H., M.Kn, regarding the increase in issued and fully paid capital, Therefore the ownership of BRI in Bank Raya is 85.72% and the public is 14.28%. This amendment was accepted and recorded in the Legal Entity Administration System by the Minister of Law and Human Rights of the Republic of Indonesia in its Acceptance Letter of PT Bank Rakyat Indonesia Agroniaga Tbk Articles of Association Amendment Notice No. AHU-AH.01.03-0487031 dated December 17, 2021.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

f. Subsidiaries (continued)

PT Bank Raya Indonesia Tbk (Bank Raya) (formerly PT Bank Rakyat Indonesia Agroniaga Tbk (BRI Agro)) (continued)

Bank Raya's Articles of Association have been amended several times. The latest amendment was documented in Notarial Deed of Decision Meeting Statement No. 18 dated April 27, 2021 of Notary M. Nova Faisal, S.H., M.Kn, regarding the amendment of several articles in Bank Raya's Articles of Association that are relevant to the Company's activities. This amendment has been approved by the Minister of Law and Human Rights of the Republic of Indonesia and registered in its Decree No. AHU-0078302.AH.01.11 Year 2021 dated April 28, 2021.

Based on the Notarial Deed of Decision Meeting Statement No. 24 dated September 27, 2021, of Notary M. Nova Faisal, S.H., M.Kn, the name of PT Bank Rakyat Indonesia Agroniaga Tbk was changed to PT Bank Raya Indonesia Tbk and has been approved by the Minister Of Law and Human Rights of the Republic of Indonesia and registered in its Decree No. AHU-0052731.AH.01.02.Year 2021 dated September 27, 2021 and has obtained approval from the Financial Services Authority through Decree No. Nokep.-65/PB.1/2021 regarding the stipulation of the use of a business license on behalf of PT Bank Rakyat Indonesia Agroniaga Tbk to become a business license on behalf of PT Bank Raya Indonesia Tbk on November 1, 2021. The Company's capital structure and shareholder composition are issued based on No. 22 dated December 17, 2021.

Total assets of Bank Raya as of December 31, 2021 and 2020, amounted to Rp16,927,208 and Rp27,966,392 or 1.01% and 1.74%, respectively, of the consolidated total assets. Total interest income for the year ended December 31, 2021 and 2020 amounted to Rp1,641,997 and Rp1,928,438 or 1.09% and 1.36%, respectively, of the consolidated total interest income, sharia and premiums.

According to Article 3 of its Articles of Association, Bank Raya's scope of business is to conduct commercial banking activities. Bank Raya has obtained its license as a commercial bank based on Bank Indonesia Letter No. 22/1037/UUs/PS6D dated December 26, 1989.

Bank Raya's head office is located in Gedung BRI Agro, Jl. Warung Jati Barat No. 139, Jakarta, and the entity has 12 branch offices, 7 community branch, 11 sub-branch offices, and 13 cash offices.

BRI Remittance Co. Limited Hong Kong (BRI Remittance)

On December 16, 2011, BRI signed the 'Instrument of Transfer' and the 'Bought and Sold Notes' to acquire 100% or 1,600,000 (full amount) of BRIIngin Remittance Co. Ltd (BRC) Hongkong's shares at a purchase price of HKD1,911,270. This acquisition was legalized by the Hong Kong Inland Revenue Department (IRD) with stamp duty dated December 28, 2011 and approved by Bank Indonesia in its letter No. 13/32/DPB1/TPB1-3/Rahasia dated December 1, 2011.

According to the Annual General Meeting of BRIIngin Remittance Company Limited dated July 2, 2012, and the issuance of a Certificate of Change of Name No. 961091 dated October 11, 2012 by the Registrar of Companies Hong Kong Special Administrative Region, the name of BRIIngin Remittance Company Limited was officially changed to BRI Remittance Company Limited Hong Kong.

Total assets of BRI Remittance as of December 31, 2021 and 2020 amounted to Rp13,094 and Rp8,481 or 0.00078% and 0.0005% respectively, of the consolidated total assets.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

f. Subsidiaries (continued)

BRI Remittance Co. Limited Hong Kong (BRI Remittance) (continued)

In accordance with the official business license from the Hong Kong Regulator as a Money Service Operator (MSO), BRI Remittance's scope of business is to conduct remittance services for Indonesian migrant workers and other operational services related to BRI's accounts owned by BRI customers domiciled in Hong Kong in accordance with stipulations permitted by Hong Kong authorities.

BRI Remittance's head office is located in Shop 3 G/F, 24-36 Causeway Road, Causeway Bay, Hong Kong, and the entity has 4 (four) branch offices and 1 (one) management office which are spread across the region of Causeway Bay, Mongkok, Yuen Long and Tsuen Wan.

PT Asuransi BRI Life (BRI Life)

On October 6, 2015, BRI signed a Sale and Purchase of Shares Agreement with the shareholders of PT Asuransi Jiwa Bringin Jiwa Sejahtera ("BRI Life") to acquire 91.001% shares of BRI Life at a purchase price of Rp1,627,000,000,000 (full Rupiah). Based on BRI's Extraordinary General Meeting of Shareholders in accordance with Deed No. 14 dated December 14, 2015 of Notary Fathiah Helmi, S.H., the shareholders have approved the acquisition of BRI Life and has also received approval from OJK through its letter No. S-151/PB.31/2015 dated December 23, 2015. The acquisition was completed on December 29, 2015 based on Acquisition of PT Asuransi Jiwa Bringin Jiwa Sejahtera Shares Deed No. 41 of Notary Fathiah Helmi, S.H., where BRI has 91.001% of BRI Life issued shares and 8.999% of it was granted to the BRI Employee Welfare Foundation.

Based on Notarial Deed No. 31 dated February 23, 2017, of Notary Dahlia, S.H., surrogate of Fathiah Helmi, S.H., a notary in Jakarta, the name of PT Asuransi Jiwa Bringin Jiwa Sejahtera was changed into PT Asuransi BRI Life and according to the Decision of the Board of Commissioners of OJK No. KEP-140/NB.11/2017 dated March 20, 2017, BRI Life obtained the business license in life insurance in relation to the change of company name.

Based on Deed No. 8 dated March 2, 2021, made before Jose Dima Satria, SH., M.Kn, Notary in Jakarta has received approval from the Minister of Law and Human Rights of the Republic of Indonesia in the Decree of the Minister of Law and Human Rights of the Republic of Indonesia No. AHU-0013073.AH.01.02.YEAR 2021 dated March 2, 2021, which is regulated regarding to the changes in nomenclature, composition of the Management, and changes of the Articles of Association, one of which is related to an increase in capital and changes in the ownership structure of BRI Life through the issuance of 936,458 (nine hundred thirty six thousand four hundred and fifty eight) new shares to be subscribed by FWD Financial Services Pte. Ltd. As a result of the new shares issuance, as of March 2, 2021, the composition of BRI Life's share ownership will be: BRI 63.83%, BRI Employee Welfare Foundation 6.31%, and FWD Financial Services Pte. Ltd. 29.86%. The change in ownership structure has previously was approved by OJK through its letter No. S-12/NB.1/2021 dated February 4, 2021.

BRI Life's Articles of Association has been amended several times. The latest amendment based on Deed No. 58 dated May 11, 2021, made before Jose Dima Satria, SH., M.Kn, in Jakarta, regarding the amendment on the provisions of Article 11 Paragraph 5 and Article 18 Paragraph 9 of the Company's Articles of Association and the changes in nomenclature and the composition of the Board of Directors and Commissioners. The deed of BRI Life's Articles of Association and its amendment have been received and recorded in the Legal Entity Administration System by the Minister of Law and Human Rights of the Republic of Indonesia in its Letter of Acceptance of Notification of Amendment to the Articles of Association of PT Asuransi BRI Life No. AHU-AH.01.03-0325327 dated May 24, 2021.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

f. Subsidiaries (continued)

PT Asuransi BRI Life (BRI Life) (continued)

BRI Life's Ownership Structure was changed based on Notarial Deed No. 59 dated October 13, 2021 regarding the Decision Meeting Statement of PT Asuransi BRI Life. The amendment has obtained approval and notice of acceptance in the Legal Entity Administration System in accordance with the Minister of Law and Human Rights of the Republic of Indonesia's Letters No. AHU. AH.01.03-0460422 dated October 13, 2021, BRI Life Shareholders approved the Transfer of Shares of FWD Financial Services Pte. Ltd to FWD Management Holding Limited. Thus, starting from October 13, 2021 BRI life's shareholders composition become: BRI 63.83%, BRI Employee Welfare Foundation 6.31%, and FWD Management Holding Limited 29.86%. The change in ownership structure has previously was approved by OJK IKNB through its letter No. S.93/NB.1/2021 dated September 29, 2021 regarding approval the change of BRI life ownership.

Based on the Article 3 of BRI Life's latest Articles of Association, the scope of BRI Life's business is to conduct business in the insurance sector in accordance with statutory provisions.

BRI Life started its operation on January 1, 1989 based on the Decision Letter of the Minister of Finance of the Republic of Indonesia No. KEP-181/KMK.13/1988 dated October 10, 1988.

BRI Life obtained its license to open its branches and sharia-principled units based on the Minister of Finance Decision Letter No. KEP-007/KM/6/2003 dated January 21, 2003.

Total assets of BRI Life as of December 31, 2021 and 2020 amounted to Rp18,334,912 and Rp13,042,450 or 1.09% and 0.81%, respectively, of the total consolidated assets. Total premium income for the year ended December 31, 2021 and 2020 amounted to Rp6,390,836 and Rp5,679,455 or 4.25% and 4.00%, respectively, of the consolidated total interest income, sharia and premiums.

BRI Life's head office is located in Graha Irama Building 15th floor, Jl. H.R Rasuna Said Blok X-1 Kav. 1 and 2, Jakarta, and it has 6 Customer Care Center offices with a total of 21 Customer Care offices.

PT BRI Multifinance Indonesia (BRI Finance)

On July 12, 2016, BRI signed a Conditional Shares Sale and Purchase Agreement (PPJB) with The Bank of Tokyo-Mitsubishi UFJ, Ltd. ("BTMU") to increase BRI's share ownership in PT BTMU-BRI Finance ("BBF") from 45% to 99%. The transaction was executed with a purchase price of Rp378,548. The agreement has been approved by OJK through its letter No. S-102/PB.31/2016 dated September 21, 2016. This transfer of shares was completed on September 30, 2016 as stated in Notarial Deed No. 75, of Fathiah Helmi, S.H., where BRI owned 99% of the total shares issued by PT BRI Multifinance Indonesia (BRI Finance) and BRI's Employee Welfare Foundation (Yayasan Kesejahteraan Pekerja BRI) owned the remaining 1%. As a result of the acquisition of BRI Finance, BRI recorded goodwill amounting to Rp51,915 in "Other Assets".

Based on the Notarial Deed Statement of Decision Letter of the Annual General Meeting of Shareholders No. 67, dated September 15, 2016, made before I Gede Buda Gunamanta, S.H., a notary in Jakarta, the name PT BTMU-BRI Finance was changed into PT BRI Multifinance Indonesia, and in accordance with Board of Commissioners of OJK Decision No. KEP-771/NB.11/2016 dated October 17, 2016, with regards to the change of name, BRI Finance obtained the business license in financing industry for the Business License previously granted to PT Sanwa-BRI Finance, which afterwards changed its name to PT UFJ-BRI Finance and PT BTMU-BRI Finance.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

f. Subsidiaries (continued)

PT BRI Multifinance Indonesia (BRI Finance) (continued)

BRI Finance's Articles of Association has been amended several times. The latest amendment as set forth in the Deed of the Decision of the Meeting of PT BRI Multifinance Indonesia No. 237 dated April 23, 2019, made before I Gede Buda Gunamanta, SH, a Notary domiciled in South Jakarta, was approved by the Ministry of Law and Human Rights in its Decision Letter No.AHU-0023113.AH.01.02.Year 2019 dated April 29, 2019, and was received and recorded in the Legal Entity Administration System Ministry of Law and Human Rights in its Decision Letter No.AHU-AH.01.03-0223685 dated April 29, 2019, and has been announced in State Gazette of the Republic of Indonesia Number 81 dated October 8, 2019, Additional State Gazette Number: 35668/2019, regarding changes in the location of BRI Finance from Central Jakarta to South Jakarta, the provisions in the Company's Articles of Association in order to comply with the provisions of Law No. 40 of 2007 concerning Limited Liability Companies, Financial Services Authority Regulation No. 35/POJK.05/2018 concerning the Operation of a Financing Company Business, and the follow up of the the directives of the Controlling Shareholders for adjustments to the Company's Articles of Association in accordance with the provisions of the prevailing laws and regulations.

The latest amendments to the articles of association are as stated in the Deed of Statement on Decision Outside the General Meeting of Shareholders No. 01 dated November 2, 2020, made before Arry Supratno, S.H., Notary in Jakarta, which has been approved by the Minister of Law and Human Rights based on Decree No. AHU-0188874.AH.01.11.Year 2020 dated November 11, 2020, and notification of the amendment has been received and recorded in the Legal Entity Administration System of the Ministry of Law and Human Rights based on Letter No. AHUAH.01.03-0406497 dated November 11, 2020, which regulates the change of BRI Finance's issued/fully paid capital.

According to Article 3 of its Articles of Association, BRI Finance's scope of business is to conduct financing activities.

Total assets of BRI Finance as of December 31, 2021 and 2020 amounted to Rp5,246,043 and Rp4,055,885 or 0.31% and 0.25% respectively, of the total consolidated assets. Total interest income for the year ended December 31, 2021 and 2020 amounted to Rp594,944 and Rp479,376 or 0.40% and 0.34%, respectively, of the consolidated total interest income, sharia and premiums.

BRI Finance's head office is located in Menara Brilian, GF, 21th and 22nd floor, Jl. Gatot Subroto No. 177A Kav. 64, South Jakarta, and has 12 branches and 11 marketing offices.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

f. Subsidiaries (continued)

PT BRI Ventura Investama (BRI Ventures)

On June 29, 2018, BRI signed the Conditional Sale and Purchase of Shares Agreement of PT Sarana Nusa Tenggara Timur Ventura ("Sarana NTT Ventura") with PT Bahana Artha Ventura ("BAV") to takeover all BAV's share ownership of Sarana NTT Ventura resulting BRI's share ownership to become 97.61% with a purchase price of Rp3,090, and have obtained the approval of the Board of Commissioners of BRI as the representative of the shareholders through its Letter No. R.67-KOM/09/2018, dated September 26, 2018, as well as the approval from OJK through its Letter No. S-112/PB.31/2018 dated September 25, 2018. The shares takeover was effective on December 20, 2018 as stated in the Deed Sale and Purchase of Shares No. 70, made before Ashoya Ratam, S.H., M.Kn, a notary in South Jakarta, where BRI owned 97.61% of the total shares issued by PT BRI Ventura Investama (formerly known as Sarana NTT Ventura).

Based on the Deed of Declaration on the Extraordinary General Meeting of Shareholders Decision No. 74, dated November 14, 2018, made before Zantje Mathilda Voss Tomasowa, S.H., M.Kn, a Notary in Kupang, the name of PT Sarana Nusa Tenggara Timur Ventura was changed into PT BRI Ventura Investama ("BRI Ventures"), along with the change of Company's domicile from Kupang to Jakarta. This amendment has been approved by the Ministry of Laws and Human Rights of the Republic of Indonesia in its Decision Letter No. AHU-0030398.AH.01.02.Year 2018, dated December 14, 2018. In accordance with Members of the Board of OJK Commissioners' Decision No. KEP-189/NB.11/2019 dated April 1, 2019, with regard to the change in the company name, BRI Ventures obtained the enactment of business license in venture capital business previously granted to PT Sarana Nusa Tenggara Timur Ventura.

The Articles of Association of the Company has been changed several times, with the most recent related to the amendment of Article 11 concerning the Duties, Authorities, and Obligations of the Board of Directors based on the Decree of the Annual General Meeting of Shareholders dated February 12, 2020. This decision was recorded in Notarial Deed No. 19 dated February 12, 2020 by Notary Ashoya Ratam, S.H., M.Kn. This amendment deed has been approved in accordance with the Decree of the Minister of Law and Human Rights of the Republic of Indonesia No. AHUAH.01.03.0128050 on March 6, 2020.

According to Article 3 of its Articles of Association, BRI Ventures' scope of business is to conduct venture capital activities including management of venture funds, fee based service activities and other business activities with OJK's approval, and venture capital activities in the form of equity capital in a business partner and or debtor who has productive business and/or ideas for productive business development.

Total assets of BRI Ventures as of December 31, 2021 and 2020 amounted to Rp2,047,894 and Rp1,822,745 or 0.12% and 0.11%, respectively, of the consolidated total assets.

BRI Ventures' head office is located in District 8 Office SCBD, Prosperity Tower 16th floor Unit F, Jalan Jenderal Sudirman No 52-53, Kebayoran Baru, South Jakarta.

PT BRI Danareksa Sekuritas (BRIDS) (formerly known as PT Danareksa Sekuritas)

On September 27, 2018, BRI signed a Conditional Sale and Purchase of Shares Agreement with PT Danareksa (Persero) to takeover part of the shares ownership of PT Danareksa Sekuritas ("Danareksa Sekuritas") from PT Danareksa (Persero) and to gain 67% ownership, with a purchase price of Rp446,888, and has obtained the approval from OJK based on its Letter No. S-1496/PM.21/2018 dated December 21, 2018. The takeover was effective on December 21, 2018, as stated in the Deed of Shares Takeover No. 53, of Masjuki, S.H., surrogate of M. Nova Faisal, S.H., M.Kn, a notary in Jakarta, where BRI owned 67% and PT Danareksa (Persero) owned 33% of Danareksa Sekuritas' total shares.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

f. Subsidiaries (continued)

PT BRI Danareksa Sekuritas (BRIDS) (formerly known as PT Danareksa Sekuritas) (continued)

BRIDS' Articles of Association has been amended several times. The amendment adjusting its Articles of Association with Law No. 40 year 2007 regarding the Limited Liability Company and the increase in authorized capital and issued and paid-up capital of Danareksa Sekuritas, was stated in the Notarial Deed No. 91 dated August 12, 2008, of Notary Imas Fatimah, S.H. This amendment has been approved by the Minister of Law and Human Rights of the Republic of Indonesia through its Decision Letter No. AHU-83282.AH.01.02.Th.2008, dated November 10, 2008 and has been published in Supplement No. 9870 of the Republic of Indonesia State Gazette No. 28, dated April 7, 2009.

In 2017, there were amendments to the purposes and objectives of BRIDS in accordance with Article 3 of the Articles of Association as stated in the Notarial Deed No. 1, dated July 5, 2017 of Fifiandiana, S.H., S.S., M.Kn. This amendment had been approved by the Minister of Law and Human Rights of the Republic of Indonesia in its Decision Letter No. AHU-0013998.AH.01.02.Year 2017 dated July 7, 2017.

The latest amendment as set forth in Deed No. 27 dated October 9, 2020, which was made before Jose Dima Satria, SH, Notary in Jakarta, related to the change of name PT Danareksa Sekuritas becomes PT BRI Danareksa Sekuritas. This amendment has received approval for amendments to the Articles of Association of the Minister of Law and Human Rights Republic of Indonesia No. AHU-0069706.AH.01.02.Year 2020. The name was changed to PT BRI Danareksa Sekuritas, has been registered in the Financial Services Authority (OJK) based on Letter No. S-1210/PM.212/2020 dated October 26, 2020.

In accordance with Article 3 of BRIDS' Articles of Association, the scope of its activities comprises underwriting, securities brokerage, and other supporting business activities determined and/or approved by OJK.

Danareksa Sekuritas obtained its business license as a securities broker and an underwriter from the Chairman of the Capital Market Supervisory Agency in accordance with its Decision Letters No. KEP-291/PM/1992 dated October 16, 1992 and No. KEP-292/PM/1992 dated October 16, 1992.

As part of its licensing, BRIDS has obtained approval of supporting business activities as Arranger of Medium Term Notes (MTN), Negotiable Certificates of Deposit (NCD), Hybrid Product as Perpetuity Notes, syndicated loans, Global Medium Term Notes (GMTN), Global Bonds and Financial Advisory from Financial Services Authority (OJK) based on its Letter No. S-143/PM.21/2017 dated March 16, 2017.

Total assets of BRIDS as of December 31, 2021 and 2020 amounted to Rp1,143,643 and Rp1,095,479 or 0.07% and 0.07% respectively, of the consolidated total assets.

BRIDS' head office is located in BRI Tower II 23th floor, Jalan Jenderal Sudirman Kav 44-46, Jakarta and has 10 branches, 13 booths and 3 partnerships.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

f. Subsidiaries (continued)

PT BRI Asuransi Indonesia (BRI Insurance)

On June 20, 2019, BRI signed a Conditional Share Sale and Purchase Agreement ("PPJBSB") with BRI Pension Funds in order to acquire 90% shares of BRI Pension Fund shares in PT BRI Asuransi Indonesia (BRI Insurance), at a purchase price of Rp1,040,000,000,000 (full amount) and has received approval from OJK through letter No. S-135/NB.1/ 2019 dated September 16, 2019. This transfer of shares was completed on September 26, 2019, as stated in the Deed of Shares Takeover No. 31 made before Dina Chozie, SH., a replacement notary from Fathiah Helmi, SH., Notary in Jakarta, where BRI owns 90% of the total shares of BRI Insurance and 10% is owned by the Workers Welfare Foundation (YKP) BRI.

The Articles of Association of PT BRI Asuransi Indonesia (BRI Insurance) has been amended several times. The latest amendment is set out forth in Deed No. 03 dated January 31, 2020, made by Tri Wahyuwidayati, SH., M.Kn., Notary in Jakarta, regarding the amendment to the Articles of Association. Along with the amendment of the Articles of association is the change of the name in article 1 paragraph 1 which was originally PT Asuransi Bringin Sejahtera Artamakmur become PT BRI Asuransi Indonesia (BRI Insurance). This amendment has been approved by the Minister of Law and Human Rights of the Republic of Indonesia through its Decision Letter No. AHU0011603.AH.01.02 dated February 10, 2020.

In accordance with the provisions of article 3 of the Articles of Association, the scope of activities of PT BRI Asuransi Indonesia (BRI Insurance) business is to conduct business in the general insurance sector, make and close agreements of general insurance, non-conventional loss insurance, including agreements, reinsurance, except life insurance.

The Company obtained its license to do general insurance business on August 26, 1989 through the Decree of the Ministry of Finance of the Republic of Indonesia No. Kep-128 / KM.13 / 1989. In accordance with the Decree of Board of Commissioners of OJK No.KEP-105/NB.11/2020 dated March 6, 2020, BRI Insurance obtained the enforcement of Business License in general insurance on the basis of business that had previously been given to PT Asuransi Bringin Sejahtera Artamakmur which changed its name to PT BRI Asuransi Indonesia.

BRI Insurance obtained permission to open a branch office with Sharia principles in accordance with the Decree of the Minister of Finance No. KEP-006/KM.6/2003 dated January 21, 2003.

Total assets of BRI Insurance as of December 31, 2021 and 2020 amounted to Rp3,838,163 and Rp3,048,872 or 0.23% and 0.19% of the consolidated total assets, respectively.

Total premium income for the year ended December 31, 2021 and 2020 amounted to Rp999,738 and Rp712,199 or 0.66% and 0.50%, respectively, of the consolidated total interest, sharia and premium income.

BRI Insurance head office is located in Graha BRI Insurance, Jl. Mampang Prapatan Raya No. 18, South Jakarta, and it has 21 Branches, 2 Sharia Branch, 9 Marketing Representative Offices, 2 Sharia Marketing Representative Office, 44 Marketing Channels and 12 Sharia Marketing Offices.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

f. Subsidiaries (continued)

PT Pegadaian

At September 13, 2021, The Government of Indonesia has been represented by the Minister of SOEs signed the Sale and Purchase of Shares Agreement with BRI to transfer its shares in PT Pegadaian (Pegadaian) to increase the ownership in BRI, it was documented in Notarial Deed No. 13 dated September 13, 2021. Through the agreement, The Government of Indonesia transferred its right to all Series B shares in Pegadaian to BRI amounting 6,249,999 series B shares with nominal value Rp 48,670,528. Thus, starting September 13, 2021, BRI owned Pegadaian' shares and has the right as the owner of the transferred shares.

Pegadaian' Articles of Association has been amended several times. The latest amendment was documented in the Deed of Declaration No. 15 dated September 23, 2021, of Nanda Fauz Iwan, SH., M.Kn, a Notary in Jakarta. The amendment to the articles of association has been approved by the Ministry of Law and Human Rights of the Republic of Indonesia Number AHU-0053287.AH.01.02 dated September 29, 2021 and has received a Letter of Acceptance of Notification of Amendment to the Articles of Association of PT. Pegadaian Number : AHU-AH.01.03-0454524, September 29, 2021.

According to its Articles of Association, Pegadaian's scope of business is to conduct loan disbursement businesses in the form of pawnshops, both conventional and sharia, based on information technology/digital platforms (IT) and non-IT, optimize the utilization of Pegadaian's resources to produce high quality and highly competitive services to gain benefits in order to increase company value by implementing the principles of limited liability company.

Total assets of Pegadaian as of December 31, 2021 and 2020 amounted to Rp65,156,475 and Rp70,830,542 or 3.88% and 4.40% respectively, of the total consolidated assets. Total interest income for the year ended December 31, 2021 and 2020 amounted to Rp12,834,121 and Rp13,538,924 or 8.53% and 9.54%, respectively, of the consolidated total interest income, sharia and premiums.

Pegadaian head office is located in Jl. Kramat Raya No.162 Central Jakarta 10430 and has 12 Regional Offices, 61 Area Offices, 642 Branches, and 3,443 Branch Service Unit Offices.

PT Permodalan Nasional Madani

At September 13, 2021, BRI signed the Sale and Purchase of Shares Agreement to receive The Government of Indonesia shares in PT Permodalan Nasional Madani (PNM) to increase the ownership of Government of Indonesia in BRI. The Government of Indonesia has been represented by the Minister of SOEs transferred its Series B shares in PNM to BRI amounting 3,799,999 series B shares with nominal value Rp 6,100,068. Thus, starting September 13, 2021, BRI owned PNM's shares of the transferred shares and has the right as the owner of the transferred shares.

The Articles of Association of PNM has been amended several times. The latest amendment is set out forth in Deed No. 59 dated 28 October 2021, made by Hadijah, SH, Notary in Jakarta, which has been approved by the Minister of Law and Human Rights of the Republic of Indonesia through its Decision Letter AHU-0061225.AH.01.02.YEAR 2021 and has been received and recorded in the database of the Legal Entity Administration System by the Ministry of Law and Human Rights of the Republic of Indonesia in its Acceptance Letter of Notification of of Association Amendment Notice No. AHU-AH.01.03-0468155 dated November 2, 2021.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. GENERAL (continued)

f. Subsidiaries (continued)

PT Permodalan Nasional Madani (continued)

According to Article 3 of its Articles of Association, PNM's scope of business is financing services but not limited to program loan and/or joint responsibility financing, participation in Lembaga Keuangan Mikro/Syariah (LKM/S) and Bank Perkreditan Rakyat (BPR/S) also management and partnership services.

Total assets of PNM as of December 31, 2021 and 2020 amounted to Rp43,797,911 and Rp31,659,127 or 2.61% and 1.97% respectively, of the total consolidated assets. Total interest income for the year ended December 31, 2021 and 2020 amounted to Rp8,292,778 and Rp5,573,049 or 5.1% and 3.93%, respectively, of the consolidated total interest income, sharia and premiums.

PNM head office is located in Menara Taspen Floor 1,2,6,7,8,10,12,12A,15 Jl. Jenderal Sudirman Kav. 2 Jakarta and has 2,916 Branches PNM Mekaar, 62 Branches PNM ULamm, and 626 Unit Offices PNM ULamm.

2. SUMMARY OF ACCOUNTING POLICIES

Statement of Compliance

The consolidated financial statements as of December 31, 2021 and for the year ended, is prepared and presented in accordance with Indonesian Financial Accounting Standards, which includes the Statements and Interpretations issued by the Financial Accounting Standards Board of the Indonesian Institute of Accountants and Bapepam-LK's Regulation No. VIII.G.7, Appendix of the Decision of the Chairman of Bapepam-LK No. KEP-347/BL/2012 dated June 25, 2012 regarding the "Guidelines on Financial Statements Presentations and Disclosures for Issuers or Public Companies".

a. Basis of preparation of the consolidated financial statement

The consolidated financial statements have been prepared in accordance with Statements of Financial Accounting Standards (SFAS) No. 1 (2015 Amendment), "Presentation of Financial Statements about Disclosures Initiative".

Since February 1, 2021, BRI has derecognized assets and liabilities of BRIS, while before February 1, 2021, BRIS (subsidiary), which is engaged in banking activities based on sharia principles, presents its financial statements in accordance with SFAS No. 101 on "Sharia Financial Statements Presentation", SFAS No. 102 on "Accounting for *Murabahah*", SFAS No. 104 on "Accounting for *Istishna*", SFAS No. 105 on "Accounting for *Mudharabah*", SFAS No. 106 on "Accounting for *Musyarakah*" and SFAS No. 107 on "Accounting for *Ijarah*", which supersede SFAS No. 59 on "Accounting for Sharia Banking" associated with recognition, measurement, presentation and disclosure for the respective topics, SFAS No. 110 on "Accounting for *Sukuk*", SFAS No. 111 on "Accounting for *Wa'd*" and the Indonesia Sharia Banking Accounting Guidelines issued by Bank Indonesia and Indonesian Institute of Accountants (IAI).

The consolidated financial statements have been presented on a historical cost basis, except for some accounts that were assessed using another measurement basis as explained in the accounting policies of the account. The consolidated financial statements have been prepared on accrual basis, except for the revenue from *istishna* and the profit sharing from the *mudharabah* and *musyarakah* financing and the consolidated statement of cash flows.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

a. Basis of preparation of the consolidated financial statement (continued)

The consolidated statement of cash flows has been prepared using the direct method by classifying cash flows into operating, investing and financing activities. For the purposes of the consolidated statement of cash flows, cash and cash equivalents consists of cash, current accounts with Bank Indonesia and current accounts with other banks, placements with Bank Indonesia and other financial institutions, Bank Indonesia Certificates and Bank Indonesia Deposit Certificates maturing within 3 (three) months from the date of acquisition, provided they are neither pledged as collateral for fund borrowings nor restricted.

The presentation currency used in the consolidated financial statement is the Indonesian Rupiah (Rp) which is also the functional currency of every entity in the group except the entity certain subsidiaries and branch office that have a functional currency of the United State Dollar, Singaporean Dollar and Hong Kong Dollar. Unless otherwise stated, all figures presented in the consolidated financial statement are rounded off to millions of Rupiah.

b. Principles of consolidation

The consolidated financial statement includes the financial statements of BRI and its subsidiaries whose majority of shares are owned or controlled by BRI.

When control over a subsidiary began or ceased during the period, the results of operations of a subsidiary are included in the consolidated financial statement limited only to the results from the date that control was acquired or up to the date that control has ceased.

Control is acquired when BRI is exposed, or has the rights of variable returns from its involvement in a subsidiary and has the ability to affect those returns through its power over the subsidiary.

BRI controls a subsidiary if, and only if, BRI has the following:

- a) Power over a subsidiary (existing rights that provide the current ability to direct the relevant activities that significantly affect the returns of a subsidiary).
- b) Exposure or right of variable returns from its involvement in a subsidiary.
- c) The ability to use its power over the subsidiary to affect BRI's returns.

Since September 13, 2021, BRI has become the majority shareholder of Pegadaian and PNM and has control over both subsidiaries, so Pegadaian and included in the BRI's consolidated financial statements as of December 31, 2021.

Business combination transactions between entities under common control are recorded based on SFAS No. 38 "Business Combination of Entities Under Common Control", where the difference between the acquisition cost and the carrying value of net assets acquired is recorded in additional paid-in capital in equity. Based on those SFAS No. 38, the financial statement of Pegadaian and PNM, for the comparative period of BRI's consolidated financial statements, for the year ended December 31, 2020, presented in such a way as if the acquisition had occurred since January 1, 2020, PNM and Pegadaian have been acquired under common control.

All significant intercompany balances and transactions, including unrealized gain or loss, are eliminated to reflect the financial position and results of BRI and subsidiaries' operations as a single entity.

The consolidated financial statements are prepared using accounting policies for similar events and transactions in identical circumstances. If the subsidiaries' financial statements use accounting policies that are different from those adopted in the consolidated financial statements, then appropriate adjustments are made to the subsidiaries' financial statements.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

b. Principles of consolidation (continued)

The non-controlling interest are stated at the non-controlling shareholders' proportionate share in the net income and equity of the subsidiaries based on the percentage of ownership of the non-controlling shareholders in the subsidiaries.

c. Financial assets and financial liabilities

Financial assets consist of cash, current accounts with Bank Indonesia, current accounts with other banks, placements with Bank Indonesia and other financial institutions, securities, export bills and notes receivable, Government Recapitalization Bonds, securities purchased under agreement to resell, derivatives receivable, loans, sharia receivables and financing, finance receivables, acceptances receivable, investment in associated entities at cost method and other assets.

Financial liabilities consist of liabilities due immediately, deposits from customers, deposits from other banks and financial institutions, securities sold under agreement to repurchase, derivative payables, acceptance payables, marketable securities issued, fund borrowings, other liabilities and subordinated loans and marketable securities.

(i) Classification

To determine categories and classifications, BRI and its subsidiaries assess all financial assets, except equity and derivative instruments, based on a combination of asset management business models and the characteristics of contractual cash flow related instruments. These are the classification of financial assets at the time of initial recognition:

- Financial assets measured at amortized cost;
- Financial assets, in this case debt instruments, as measured at fair value through other comprehensive income, with gains/losses recognized at the time of release;
- Financial assets, in this case equity instruments, as measured at fair value through other comprehensive income with an unclaimed profit/loss on profit or loss at the time of release;
- Financial assets measured at fair value through profit or loss.

BRI and its subsidiaries classify and measure derivative instruments and trading portfolios on financial assets recognized at fair value through profit or loss.

Financial assets are measured at fair value through other comprehensive income if they meet the following conditions:

- Financial assets are managed in a business model that aims to have financial assets in order to obtain contractual cash flow; and
- The contractual terms of the financial asset provide rights on a certain date for cash flow obtained solely from payment of principal and interest on the principal amount owed.
- Financial assets are managed in a business model that aims to obtain contractual cash flow and sell financial assets; and
- The contractual terms of the financial asset provide rights on a certain date for cash flow obtained solely from payment of principal and interest on the principal amount owed.

Other financial assets that do not meet the requirements to be classified as financial assets measured at amortized cost or fair value through other comprehensive income, are classified as measured at fair value through profit or loss.

At initial recognition, BRI and subsidiaries can make an irrevocable determination to measure assets that meet the requirements to be measured at amortized cost or fair value through other comprehensive income at fair value through profit or loss, if the determination eliminates or significantly reduces the measurement or recognition inconsistencies (sometimes referred to as "accounting mismatch").

At initial recognition, BRI and subsidiaries may make an irrevocable choice to present equity instruments that are not held for trading at fair value through other comprehensive income.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

c. Financial assets and financial liabilities (continued)

(i) Classification (continued)

Valuation of business models

The business model is determined at a level that reflects how groups of financial assets are managed together to achieve certain business objectives.

The evaluation of the business model is carried out by considering, but not limited to, the following:

- a. How the performance of the business model and financial assets held in the business model are evaluated and reported to the Bank and subsidiaries key management personnel;
- b. What risks affect the performance of the business model (including financial assets held in the business model) and specifically how the financial assets are managed; and
- c. How to evaluate the performance of managers of financial assets (for example, whether performance appraisals are based on the fair value of the assets being managed or the contractual cash flows obtained).

Financial assets held for trading and performance appraisals based on fair value are measured at fair value through profit or loss.

Evaluation of contractual cash flows obtained solely from payment of principal and interest

For the purpose of this valuation, principal is defined as the fair value of financial assets at initial recognition. Interest is defined as compensation for the time value of money and credit risk in relation to the principal amount owed over a certain period of time and also the risk and standard borrowing costs, as well as profit margins.

An assessment of contractual cash flows obtained solely from principal and interest payments is made by considering contractual terms, including whether financial assets contain contractual terms that can change the timing or amount of contractual cash flows. In assessing, BRI and subsidiaries consider:

- a. Contingency events that will change the time or amount of contractual cash flow;
- b. Leverage feature;
- c. Terms of advance payment and contractual extension;
- d. Requirements regarding limited claims for cash flows from specific assets; and
- e. Features that can change the time value of the money element.

BRI and its subsidiaries classify financial liabilities in the following categories:

- a. Financial liabilities measured at fair value through profit or loss
- b. Financial liabilities as measured by amortized acquisition costs.

Financial liabilities measured at fair value through profit or loss consist of two sub-categories: financial liabilities classified as traded and financial liabilities that at the time of initial recognition have been determined by the Bank and its subsidiaries to be measured at fair value through profit or loss.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

c. Financial assets and financial liabilities (continued)

(i) Classification (continued)

Evaluation of contractual cash flows obtained solely from payment of principal and interest (continued)

Financial liabilities are classified as traded if acquired primarily for the purpose of being sold or repurchased in the near future or if they are part of a portfolio of certain financial instruments that are jointly managed and there is evidence of current short-term profit-taking patterns. Derivatives are classified as traded liabilities unless determined and effective as hedging instruments.

The Bank and subsidiaries classify all financial liabilities after initial recognition is measured on amortized acquisition costs, except:

- Financial liabilities measured at fair value through profit or loss.
- Financial liabilities arising when the transfer of financial assets do not qualify for termination of recognition or when an ongoing engagement approach is implemented.
- Financial guarantee contracts.
- Commitment to provide loans with below-market interest rates.
- Contingency rewards recognized by the confessor in a combination of businesses.

(ii) Initial recognition

- a. Purchase or sale of financial assets that requires transfer of assets within a time frame specified by regulations or conventions in the market (regular purchases) is recognized on the settlement date.
- b. Financial assets and financial liabilities are initially recognized at fair value. For those financial assets or financial liabilities not measured at fair value through profit or loss, the fair value includes directly attributable transaction costs. The subsequent measurement of financial assets and financial liabilities depends on their classification.

Transaction costs only include costs that are directly attributable to the acquisition of a financial asset or issuance of a financial liability and are additional costs that would not occur if the financial instrument is not acquired or issued. For financial assets, transaction costs are added to the amount recognized in the initial recognition of the asset, while for financial liabilities, transaction costs are deducted from the amount of debt recognized in the initial recognition of a liability. These transaction costs are amortized over the life of the instrument based on the effective interest rate method and recorded as part of interest income for transaction costs related to the financial asset or as part of interest expense for transaction costs related to financial liabilities.

(iii) Subsequent measurement

Financial assets held at fair value through other comprehensive income are measured at fair value and changes in fair value are recorded in other comprehensive income. Financial assets and liabilities held at fair value through profit or loss are measured at fair value and changes are recognized in profit or loss.

Financial assets and liabilities measured at amortized cost are measured at amortized cost using the effective interest rate method.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

c. Financial assets and financial liabilities (continued)

(iv) Derecognition

a. Financial assets are derecognized when:

- 1) The contractual rights to receive cash flows arising from the financial assets have expired; or
- 2) BRI and subsidiaries has transferred its rights to receive cash flows arising from the financial assets or has assumed an obligation to pay the cash flows received in full without significant delay to a third parties under a pass-through arrangement; and either (a) BRI and subsidiaries has substantially transferred all the risks and rewards of the assets, or (b) BRI and subsidiaries has neither transferred nor retained substantially all the risks and rewards of the assets, but has transferred control of the assets.

When BRI and subsidiaries has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement and has neither transferred nor retained substantially all the risks and rewards of the asset or has not transferred the control of the asset, the asset is recognized to the extent of BRI and subsidiaries continuing involvement in the asset.

The Bank and subsidiaries derecognize financial assets, such as loans provided, when the terms and conditions have been negotiated to substantially, the given credit becomes new, with the difference being recorded as a profit or loss from the release, if the impairment loss has not been recorded. Such credit will be classified as Stage 1 for Expected Credit Losses (ECL) assessment, unless the given credit is considered a purchased or derived financial asset (Purchased or originated credit-impaired financial assets - POCI).

If the modification will not result in a cash flow that is substantially different, then the modification will not result in the release of the asset. Based on the difference in cash flow discounted at the initial Effective Interest Rate (EIR), the Bank will record gains or losses resulting from modifications, up to the amount of impairment losses that have not been recognized.

Loans are written off when there is no longer a realistic prospect of repayment or the normal relationship between BRI and subsidiaries and the debtors has ended. These uncollectible loans, are written off against the related allowance for impairment losses.

Accumulated profit/loss recognised in other comprehensive income related to BRI and subsidiaries choose to present a non-owned equity instrument to trade at fair value through other comprehensive income, not recognized in profit or loss at the time of termination of the acknowledgement.

- b. Financial liabilities are derecognized when they end, i.e. when the liabilities under the contract is discharged, cancelled or has expired.

When an existing financial liability is replaced by another from the same creditor on a substantially different terms, or the terms of an existing liability are substantially modified, then the exchange or modification is treated as derecognition of the original liability and the recognition of a new liability and the difference in the respective carrying amounts is recognized in the consolidated statement of profit or loss and other comprehensive income.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

c. Financial assets and financial liabilities (continued)

(v) Income and expense recognition

- a. Interest income and expense on financial assets measured at fair value through other comprehensive income as well as financial assets and financial liabilities recorded at amortized cost are recognized in the consolidated statement of profit or loss and other comprehensive income using the effective interest method.
- b. Gains and losses arising from changes in the fair value of the financial assets and liabilities measured at fair value through profit or loss are included in the consolidated statement of profit or loss and other comprehensive income.
- c. Gains and losses arising from changes in the fair value of financial assets classified as at fair value through other comprehensive income are recognized directly in equity, except for gains or losses due to changes in the exchange rate of monetary items, derecognition or impairment of the financial asset.

The gross carrying amount of a financial asset is the amortized cost of a financial asset before adjusting for allowance for impairment.

In calculating interest income and expenses, the effective interest rate is applied to the gross carrying amount of an asset (when the asset is not a deteriorated financial asset) or to the amortized cost of a liability.

For financial assets that deteriorated after initial recognition, interest income is calculated by applying an effective interest rate to the amortized cost of the financial assets. If the asset no longer deteriorates, the calculation of interest income will be calculated by applying an effective interest rate to the gross carrying amount of the financial asset.

For financial assets that have deteriorated at initial recognition, interest income is calculated by applying the effective interest rate to the amortized cost of the financial assets. If the asset no longer deteriorates, the calculation of interest income will still be calculated by applying the effective interest rate to the amortized cost of the financial asset.

(vi) Reclassification of financial assets

The Bank and subsidiaries reclassifies financial assets if and only if, the business model for managing financial assets changes. There is no reclassification for financial liabilities.

(vii) Offsetting

Financial assets and liabilities are offset and the net amount is presented in the consolidated statement of financial position if and only if, BRI and subsidiaries has a legal right to offset the recognized amounts and intends either to settle on a net basis or to realize the asset and settle the liability simultaneously.

The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business, event of default, or bankruptcy of the entity over all the counterparties.

Income and expenses are presented on a net basis only when permitted by the Financial Accounting Standards.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

c. Financial assets and financial liabilities (continued)

(viii) Amortized cost measurement

The amortized cost of a financial asset or financial liability is the amount of the financial asset or financial liability measured at initial recognition, less principal repayments, plus or minus the cumulative amortization using the effective interest rate method calculated from the difference between the amount at initial recognition and the amount at maturity, less any impairment.

(ix) Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The fair value measurement is based on the assumption that the transaction to sell an asset or to transfer a liability takes place either:

- In the principal market for the assets and liabilities; or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when determining the price of the asset and liability assuming that market participants act in their own best economic interest.

The fair value measurement of non-financial assets considers the market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to other market participants that would use the asset in its highest and best use.

BRI and its subsidiaries uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the consolidated financial statement are classified within a fair value hierarchy, based on the lowest input level significant to the overall fair value measurement:

- Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities accessible at the measurement date.
- Level 2: Inputs other than quoted prices included in level 1 for the assets and liabilities, which is directly or indirectly observable.
- Level 3: Unobservable inputs for the assets and liabilities.

For assets and liabilities recognized in the consolidated financial statement on a recurring basis, BRI and subsidiaries determine whether transfers have occurred between levels in the hierarchy re-assesses the categories (based on the lowest input level significant to the fair value measurement) at the end of each reporting period.

For the fair value disclosures purposes, BRI and subsidiaries have determined the classes of assets and liabilities based on the nature, characteristics, risks of the asset and liability, and the level of the fair value hierarchy (Note 40).

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

c. Financial assets and financial liabilities (continued)

(x) Sukuk Financial Assets

In accordance with SFAS No.110, BRIS (subsidiary) determines investment in sukuk *ijarah* and *mudharabah* as follows:

a. Measured at acquisition cost

- The investment is held in a business model whereby the primary purpose is to obtain contractual cash flows and there are contractual terms in determining the specific date of principal payments and/or the results.
- Sukuk acquisition cost includes transaction cost and the difference between the acquisition cost and the nominal value is amortized on a straight-line basis over the period of the sukuk and is recognized in profit or loss.

b. Measured at fair value through other comprehensive income

- The investment is held in a business model whereby the primary purpose is to obtain contractual cash flows and to sell the sukuk, and there are contractual terms in determining the specific date of principal payments and or the results.
- Sukuk acquisition cost includes transaction cost and the difference between the acquisition cost and the nominal value is amortized on a straight-line basis over the period of the sukuk and is recognized in profit or loss.
- Gains or losses from changes in the fair value is recognized in other comprehensive income after considering the difference between acquisition cost and unamortized nominal value and accumulated gain or loss of fair value previously recognized in other comprehensive income. When sukuk investment is derecognized, the accumulated gain or loss previously recognized in other comprehensive income is reclassified to profit or loss.

c. Measured at fair value through profit or loss

Sukuk acquisition cost excludes transaction cost and the difference between the fair value and the carrying amount is recognized in profit or loss.

d. Transactions with related parties

BRI and subsidiaries engage in transactions with related parties as defined in SFAS No. 7 on "Related Parties Disclosures".

A party is considered a related parties to BRI and subsidiaries if:

- 1) directly or indirectly, through one or more intermediaries, a party (i) controls, or is controlled by, or is under common control with BRI and subsidiaries; (ii) has an interest in BRI and subsidiaries that provides significant influence on BRI and subsidiaries; or (iii) has joint control over BRI and subsidiaries;
- 2) it is a related entity with BRI and subsidiaries;
- 3) it is a joint venture in which BRI and subsidiaries have ventured in;
- 4) it is a member of key management personnel in BRI and subsidiaries or the parent entity;
- 5) it is a close family member of the individual described in clause (1) or (4);
- 6) it is an entity that is controlled, jointly controlled or significantly influenced by or for whom has significant voting rights in several entities, directly or indirectly, by the individual described in clause (4) or (5); and
- 7) it is a post-employment benefit plan for the employees benefit of either BRI and subsidiaries or entities related to BRI and subsidiaries.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

d. Transactions with related parties (continued)

Transactions with related parties are made on the same terms and conditions as those transactions with third parties. All transactions done by BRI have complied with Capital Market and Financial Institution Supervisory Agency Regulation No. IX.E.1 regarding "The Affiliate Transactions and Conflict of Interest of Certain Transactions", at the time the transactions were made. All material transactions and balances with related parties are disclosed in the relevant notes to the consolidated financial statement and the details have been presented in Note 44 of the consolidated financial statement. Furthermore, material transactions and balances between BRI and subsidiaries and the Government of the Republic of Indonesia and other entities related to the Government of the Republic of Indonesia are also disclosed in Note 44.

e. Allowance for impairment losses on financial assets

BRI and subsidiaries recognize the allowance for expected credit losses on financial instruments that are not measured at fair value through profit or loss.

There is no allowance for expected loan losses on investment in equity instruments.

BRI and subsidiaries measure the allowance for losses for the lifetime of an expected credit loss, except for the following, which are measured according to 12 months expected credit loss:

- a. debt instruments that have low credit risk at the reporting date; and
- b. other financial instruments for which credit risk has not increased significantly since initial recognition.

BRI and subsidiaries consider debt instruments to have low credit risk when the credit risk rating is at par with the globally accepted definition of investment grade.

The 12 months expected credit loss is part of the expected credit loss throughout its lifetime that represents an expected credit loss arising from a default on financial instruments that might occur 12 months after reporting date.

The loss that occurred is recognized in the consolidated statements of profit or loss and other comprehensive income and recorded on the allowance account for impairment losses as a deduction for financial assets recorded at amortized acquisition costs. If in the following period, the amount of impairment losses decreases and the deduction can be objectively attributed to events that occur after the impairment is recognized (such as the increase in the debtor or issuer's credit rating), then the previously recognized impairment loss must be recovered, by adjusting the backup account. The amount of recovery of financial assets is recognized in the consolidated statements of profit or loss and other comprehensive income in the current period.

Expected credit losses for debt instruments measured at fair value do not reduce the carrying value in financial assets in the consolidated statements of financial position, i.e. fair value. Expected credit losses are recognized as an increase in other comprehensive income in the statement of financial position.

Equity instruments measured at fair value are not assessed for impairment in accordance with SFAS No. 71.

Recovery for financial assets that have been written-off, in the current year are credited with adjusting the allowance for impairment losses account. Recovery for financial assets that have been written-off in previous years are recorded as operating income other than interest.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

e. Allowance for impairment losses on financial assets (continued)

Measurement of Expected Credit Losses

Expected Credit Loss is an estimate of the weighted probability of a credit loss measured as follows:

- Financial assets that do not deteriorate at the reporting date, the expected credit loss is measured at the difference between the present value of all cash shortages (i.e. the difference between the cash flows owed to the Bank in accordance with the contract and the cash flows expected to be received by the Bank);
- Financial assets that deteriorate at the reporting date, the expected credit loss is measured at the difference between the gross carrying amount and the present value of estimated future cash flows;
- Undisbursed loan commitments, expected credit losses are measured at the difference between the present value of the amount of cash flow if the commitments is withdrawn and the cash flow expected to be received by the Bank;
- Financial guarantee contracts, expected credit losses are measured at the difference between the estimated payments to replace the holder for the credit losses incurred less the amount estimated to be recoverable.

Restructured Financial Assets

If the terms of the financial assets are renegotiated or modified or the existing financial assets are replaced with new ones due to the borrower's financial difficulties, an assessment is made whether recognition of existing financial assets must be derecognized and expected credit losses measured as follows:

- If the restructuring does not result in the termination of recognition of existing assets, then the estimated cash flows arising from the modified financial assets are included in the calculation of cash shortages of existing assets.
- If the restructuring will result in a derecognition of the existing assets, the fair value of the new asset is treated as the final cash flow of the existing financial assets at the time of derecognition. This amount is included in the calculation of cash shortages from existing financial assets which are discounted from the date of derecognition to the reporting date using the original effective interest rate of the existing financial assets.

Deteriorated Financial Assets

At each reporting date, BRI and subsidiaries assess whether the financial assets recorded at amortized cost and the financial assets of debt instruments which are recorded at fair value through other comprehensive income are impaired (deteriorated) credit. Financial assets deteriorate when one or more events that have an adverse effect on the estimated future cash flows of the financial assets have occurred.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

e. Allowance for impairment losses on financial assets (continued)

Deteriorated Financial Assets (continued)

Evidence that financial assets have decreased (deteriorated) credit values including observable data regarding the following events:

- Significant financial difficulties experienced by the issuer or the borrower;
- Breach of contract, such as a default or arrears;
- The lender, for economic or contractual reasons in relation to the financial difficulties experienced by the borrower, has given concessions to the borrower which is not possible if the borrower does not experience such difficulties;
- It is probable that the borrower will enter bankruptcy or the other financial reorganization; or
- Loss of an active market for financial assets due to financial difficulties;
- Purchase or issuance of financial assets at a very large discount reflecting credit losses in the event of;
- It is difficult to identify a single discrete event, however, the combined impact of multiple events can cause financial assets to experience a decrease in credit value.

Purchased or originated credit-impaired financial assets - POCI

Financial assets are categorized as POCI if there is objective evidence of impairment at initial recognition. At initial recognition, no allowance for credit losses is recognized because the purchase price or value has included estimated credit losses for the entire lifetime. Furthermore, changes in credit losses over their lifetime, whether positive or negative, are recognized in the statement of profit or loss as part of the allowance for credit losses.

Based on the above process, BRI and its subsidiaries classify financial assets on Stage 1, Stage 2, Stage 3 and POCI, as follows:

- Stage 1: includes financial instruments that do not have a significant increase in credit risk since initial recognition or have low credit risk as of the reporting date. For these financial instruments, a 12 months ECL calculation will apply. Financial assets in Stage 1 include facilities where credit risk has improved and financial assets can be reclassified from Stage 2.
- Stage 2: includes financial instruments that have experienced an increase in credit risk since the initial recognition (unless BRI and its subsidiaries feel the credit risk is relatively low as of the reporting date) but there has been no evidence of an objective impairment. For these instruments, a lifetime ECL calculation will apply. Lifetime ECL is the expected credit loss of all possible default events during the estimated life of the financial instrument. Stage 2 also includes facilities where credit risk has improved and financial assets have been reclassified from Stage 3.
- Stage 3: includes financial instruments that have been objectively impaired as of the reporting date. This group usually consists of debtors who have defaulted. BRI and its subsidiaries record lifetime ECL reserves.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

e. Allowance for impairment losses on financial assets (continued)

Purchased or originated credit-impaired financial assets - POCI (continued)

Based on the above process, BRI and its subsidiaries classify financial assets on Stage 1, Stage 2, Stage 3 and POCI, as follows (continued):

- POCI: POCI assets are financial assets that experience impairment based on credit risk assessment at the time of initial recognition. The asset is recorded at fair value at the time of initial recognition, and interest income will be further recognized based on the adjusted effective interest rate method. ECL reserves are only recorded or released if there are further changes to expected credit losses.

There are qualitative and quantitative criteria to ensure financial assets are covered in certain stages that have been formalized in the Bank Circular Letter.

Individual impairment are calculated for significant financial assets that have experienced default or restructuring. In addition, the impairment will be calculated collectively.

Individual Impairment

The calculation method of individual impairment will take into account 3 (three) possible return scenarios, namely: (i) the base scenario (Base), (ii) the bad scenario (Bad), and (iii) the worst-case scenario (Worst). Scenario creation is done using discounted cash flow (DCF) method and considering confidence level that describes the condition of the industry and related companies. ECL generated by each scenario will later be weighted against the weight of the scenario that has been set.

Collective Impairment

The collective impairment evaluation is based on the concepts of Probability of Default (PD), Loss Given Default (LGD), and Exposure at Default (EAD) that consider information from past, current, and future events.

BRI and its subsidiaries use the (i) Skalar Bayesian model, (ii) Credit Index and (iii) Vasicek and other approaches in determining the PD value of each debtor.

BRI and its subsidiaries use the (i) Historical, (ii) Diminish Balance and (iii) Value to Loan methods in determining the LGD value of each debtor. LGD describes the nominal percentage of facilities that the Bank will not be able to cover against default debtors. LGD is usually calculated with a 1-Recovery Rate. Recovery rate is calculated considering the Time Value of Money from the return of the obligation that has defaulted. The interest rate used to calculate the Time Value of Money from Recovery is the initial Effective Interest Rate (EIR).

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

e. Allowance for impairment losses on financial assets (continued)

Purchased or originated credit-impaired financial assets - POCI (continued)

Collective Impairment (continued)

Exposure at Default (EAD) is an estimate of the book value at the time of default, which consider the cash flow of the relevant financial instrument, as well as the possibility of additional withdrawals from the credit limit up to the date of default. EAD is also considering payment schedules and amortization as well as changes in the utilization of undrawn balances ahead of the default. EAD modeling will be conducted based on the characteristics of related financial instruments, which are divided into several categories: (i) installment credits, (ii) revolving credits, (iii) trade finance, and (iv) treasury.

ECL measurements based on SFAS No. 71 require the Bank to model ECL according to existing forward-looking scenarios, taking into account the possibilities of good and bad economies. Therefore, the ECL value generated by the Bank must be based on the probability results of three scenarios (normal economic cases, good and bad). PD and LGD will be calculated according to three scenarios with macro-economic values according to those scenarios. For secured loan segmentation, LGD will also be calculated based on three scenarios when data is sufficient. The weight of good, normal, and bad scenarios can be adjusted in line with changes in economic conditions and banks and the Bank and subsidiaries' discretion.

Presentation of Expected Credit Loss Allowance in statement of Financial Position

The allowance for expected credit loss is presented in the statement of financial position as follow:

- For financial assets measured at amortized cost, allowance for expected credit losses is presented as a deduction from the gross carrying amount of the asset;
- For loan commitments and financial guarantee contracts, generally allowance for expected credit losses is presented as a provision;
- For financial instruments that include loan commitment components that have been withdrawn and have not been withdrawn, and the Bank cannot identify the expected loan loss component of the loan commitment component that has been withdrawn separately from the loan commitment component that has not been withdrawn, the allowance for the expected credit loss is combined and presented as deduction of gross carrying amount. Any excess from allowance for expected credit losses over the gross amount is presented as a provision; and
- For debt instruments measured at fair value through other comprehensive income, allowance for expected loan losses are not recognized in the statement of financial position because the carrying amounts of these assets are their fair values. However, allowance for expected loan losses is disclosed and recognized in other comprehensive income components of fair value.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

e. Allowance for impairment losses on financial assets (continued)

Write-off

Loans and debt instruments are written off when there is no realistic prospect of recovering financial assets in whole or in part. This generally occurs when the Bank determines that the borrower does not have assets or sources of income that can generate sufficient cash flow to pay the amount written off. However, the written off financial assets can still be carried out in accordance with the Bank's rescue procedures in order to recover the amount due.

In compliance with Bank Indonesia and Financial Services Authority (OJK), BRI and subsidiaries apply Financial Services Authority Regulation (POJK) No. 40/POJK. 03/2019 dated December 19, 2019 regarding "The Quality Assessment of the Bank Assets".

The assessment criteria of collateral value that can be reduced in the provision of allowance for impairment losses is in accordance with Financial Services Authority Regulation (OJK).

f. Current accounts with Bank Indonesia and other banks

Current accounts with Bank Indonesia and other banks are recognized at amortized cost using the effective interest rate method minus the allowance for impairment losses. Current accounts with Bank Indonesia and other banks are classified as amortized cost.

g. Placement with Bank Indonesia and other Financial Institutions

Placements with Bank Indonesia and other Financial Institutions are investment funds in Bank Indonesia in the form of Deposit Facility, Term Deposit and Sharia Deposit Facility, while placement of funds to other financial institutions are investment in the form of placement in the money market (Inter-bank call money), time deposit, and banker's acceptance.

Placements with Bank Indonesia and other Financial Institutions are stated at amortized cost using the effective interest rate method minus the allowance for impairment losses. The placements with Bank Indonesia and other Financial Institutions are classified respectively as amortized cost.

h. Securities

Securities consist of securities traded in the money and capital market such as Bank Indonesia Certificates, Bank Indonesia Deposit Certificates, Sharia Bank Indonesia Certificates, Government bonds, subordinated bonds, mutual fund units, Medium-Term Notes, U.S Treasury Bonds, I.S Treasury Bills, Singapore Government Securities, Negotiable Certificates of Deposit, Monetary Authority of Singapore (MAS) bills and other commercial bonds traded in the stock exchange.

Securities include bonds issued by the Government that are not related with the recapitalization program such as Government Debentures (Surat Utang Negara or SUN), Government Treasury Bills (Surat Perbendaharaan Negara or SPN) and Government bonds in foreign currency obtained from primary and secondary markets.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

h. Securities and Government Recapitalization Bonds (continued)

Securities are initially recorded at fair value. After initial recognition, the securities are recorded based on its category at amortized cost, fair value through other comprehensive income, or fair value through profit or loss.

Securities measurement are based on the following classification:

- 1) Held to maturity Securities are recorded at amortized acquisition cost using effective interest rate method.
- 2) Securities classified as trading (fair value through profit or loss) are stated at fair value. Gains and losses arising from changes in fair value of Securities are recognized in the consolidated statements of profit or loss and other comprehensive income.
- 3) Securities classified as fair value through other comprehensive income are stated at fair value. Interest income is recognized in the consolidated statements of profit or loss and other comprehensive income by using effective interest rate methods. The profit or loss from the exchange rate for the Securities are recognized in the consolidated statements of profit or loss and other comprehensive income. Other fair value changes are directly recognized in equity until the Securities are sold or impaired, and cumulative gains and losses which previously recognized in equity should be recognized in the consolidated statements of profit or loss and other comprehensive income.

i. Export bills and notes receivable

Export bills and notes receivable are export bills that are negotiated on a discounted basis and guaranteed by other banks while the bill is a bill or billing document in the form of a bill of exchange to the collectible party/drawee on the basis of a discount or a particular financing. Export orders and other charges are recorded at amortization costs after deducting impairment losses.

j. Loans

Loans represent the granting of money or other similar form of receivables under agreements or borrowing and lending commitments with debtors, whereby the debtors are required to repay their debts after a specified period of time in return for interest.

Loans are initially measured at fair value plus transaction costs that are directly attributable and incremental costs to obtain the financial assets and after the initial recognition, are measured at amortized cost using the effective interest rate method less allowance for impairment losses.

Loans are classified as amortized cost.

Syndicated loans are stated at the loans' principal amount to the extent of the risks borne by BRI and subsidiaries.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

j. Loans (continued)

Restructured loans are stated at the lower of the carrying amount on the date of restructuring or the present value of future cash receipts after the restructuring. Losses resulting from the difference between the carrying amount on the date of restructuring and the present value of future cash receipts after the restructuring are recognized in the consolidated statement of profit or loss and other comprehensive income. After the restructuring, all future cash receipts specified by the new terms are recorded as a principal payment of loans and interest income in accordance with the terms of the restructuring.

Loans are written-off when there is no realistic prospect of collections in the future and all collateral have been sought to be realized or foreclosed. The uncollectible loans are written-off against the allowance for impairment losses. Subsequent payment of loans that was written-off are credited to the allowance for impairment losses in the consolidated statement of financial position.

k. Sharia receivables and financing

Financing or receivable based on sharia principles is provision of money or other similar form of receivables arising from transactions based on sale or purchase arrangements and profit sharing between BRIS and other parties for a certain period of time. These receivables consist of *murabahah* receivables, *istishna* receivables and *qardh*, and financing consists of *mudharabah* financing and *musyarakah* financing.

Murabahah is a sale and purchase contract between the customer and BRIS, whereby BRIS finances the consumption, investment and working capital needs of the customers that are sold with a principal price plus a given margin that is mutually informed and agreed. Payments on this financing is made in installments for a specified period of time.

Murabahah receivables are initially measured at fair value plus directly attributable transaction costs and is the additional cost to obtain the financial assets and after the initial recognition, are measured at amortized cost using the effective margin method less allowance for impairment losses.

Mudharabah is a joint financing contract between BRIS as the owner of the funds (*shahibul maal*) and the customer as a business executor (*mudharib*) for a certain period of time. The profit sharing from the project or business is determined in accordance with the mutually agreed *nisbah* (pre-determined ratio). On the statement of financial position date, *mudharabah* financing is stated at the outstanding financing balance less allowance for impairment losses which is provided based on the management's review of the existing financing quality.

Musyarakah is a partnership contract among capital owners (*musyarakah* partners) to joint the capital and conduct a business on a joint basis through partnership with an agreed profit-sharing *nisbah*, while the losses are borne proportional to the capital contribution. On the statement of financial position date, *musyarakah* financing is stated at the outstanding financing balance less allowance for impairment losses which is provided based on the management's review on the existing financing quality.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

k. Sharia receivables and financing (continued)

Istishna is a sale and purchase contract between *al-mustashni* (buyer) and *al-shani* (manufacturer who also act as the seller). Based on the contract, the buyer orders the manufacturer to produce or to supply *al-mashnu* (goods ordered) according to the specifications required by the buyer and sell them at the agreed price. *Istishna* receivables are stated at outstanding term billings to final buyer less allowance for impairment losses. Deferred *istishna* margin are stated as contra account of *istishna* receivables.

Qardh is the granting of funds or other similar form of receivables based on an agreement or deal between the borrower and the lender that requires the borrower to repay the debts after a certain period of time. *Qardh* financing are stated at outstanding financing balance less allowance for impairment losses based on the management's review on the existing financing quality.

l. Finance receivables

Determining whether an arrangement is a lease agreement or an agreement containing leases is based on the substance of the agreement at lease inception date and whether the fulfillment of the agreement depends on the use of an asset and the agreement provides a right to use the asset.

Leases are classified as finance leases if the lease transfer substantially all the risks and rewards related to the ownership of the asset. A lease is classified as operating lease if the lease does not transfer substantially all the risks and rewards that relate to the ownership of the asset.

Finance receivables are recognized at the net investment which is the fair value less administrative income and plus transaction cost (if any) that is directly attributable and subsequently measured at amortized cost using the effective interest rate method. Finance receivables classified as amortized cost.

At initial recognition, the fair value of net investment in finance lease is finance receivables plus the residual value which will be received at the end of the lease term less deferred finance income and collateral deposit. The difference between the gross receivable amount and the present value of finance receivables is recognized as unrecognized finance income. Unrecognized finance lease income is allocated as current year income using the effective interest rate.

m. Acceptances receivable and payable

Acceptances receivable and payable represent letters of credit (L/C) transactions that are accepted by the accepting banks.

Acceptances receivable and payable are stated at amortized cost. Acceptances receivable are presented net of allowance for impairment losses.

Acceptance receivables are classified as amortized cost although acceptance payables are classified as financial liabilities measured at amortized cost.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

n. Investment in associated entities

BRI's investments in its associated entities are measured using the equity method. An associated entity is an entity in which BRI has significant influence or share ownership more than 20% of the voting rights. The initial recognition of investments in associated entities are recognized at acquisition cost and the carrying amount is added or deducted to recognize BRI's portion of profit or loss of the associated entities after the acquisition date. BRI's portion of profit or loss of the associated entities is recognized in profit or loss of BRI. Receipt of distributions from associated entities reduces the carrying amount of the investment.

The consolidated statement of profit or loss and other comprehensive income reflects the share of the results of operations of the associated entities. If there is any change recognized directly in the equity of the associated entities, BRI recognizes its share of these changes and discloses this, when applicable, in the statement of changes in equity. Unrealized gains and losses resulting from transactions between BRI and the associated entities are eliminated to the extent of BRI's interest in the associated entities.

After applying the equity method, BRI determines whether it is necessary to recognize additional impairment loss on BRI's investment in its associated entities. BRI determines at each reporting date whether there is any objective evidence indicating that the investment in the associated entities is impaired. In this case, BRI calculates the amount of impairment as the difference between the recoverable amount of the investment in the associated entities and its carrying value, and recognizes it in the consolidated statement of profit or loss and other comprehensive income.

BRI's investment in its associated entities with no significant influence or share ownership under 20% is recorded in accordance with SFAS No. 71.

o. Premises and equipment

Premises and equipment are initially recognized at acquisition cost, which comprises its purchase price and additional costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by the management. Subsequent to initial recognition, premises and equipment, except lands, are stated at acquisition cost less accumulated depreciation and impairment losses.

Premises and equipment acquired in exchange for a non-monetary asset or a combination of monetary and non-monetary assets are measured at fair values, unless:

- (i) the exchange transaction lacks commercial substance, or
- (ii) the fair value of the assets received or the assets given up cannot be measured reliably.

Depreciation of an asset begins when it is ready for its intended use and is calculated using the straight-line method based on the estimated economic useful lives of use the assets as follows:

	Years
Buildings	15
Motor vehicles	5
Computers and machineries	3 - 5
Furniture and fixtures	5
Satellite	15
Main System	5
Non Main System	3

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

o. Premises and equipment (continued)

Premises and equipment valuation is carried out on the impairment and possible impairment of the fair value of asset if an event or change in circumstances indicates that the carrying amount may not be fully realized.

The carrying amount of an item of premises and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising from the derecognition is recognized in profit or loss in the year of the derecognition.

The residual values, useful lives and depreciation methods are evaluated at the end of each year and adjusted prospectively, if necessary.

Land is initially stated at acquisition cost and not depreciated. Subsequent to initial recognition, land is measured at fair value at the revaluation date less any accumulated impairment losses after the revaluation date. Valuation of land is performed by appraisers with professional qualifications, and is conducted periodically to ensure that the carrying amount does not differ materially from its fair value at the end of the reporting period (Note 16).

If the fair value of the revalued asset experiences significant and fluctuating changes, it has to be revalued annually, whereas if the fair value of the revalued asset does not experience significant and fluctuating changes, it has to be revalued once every 3 (three) years.

Increase in the carrying amount arising from revaluation is recorded in "Revaluation Surplus arising from Premises and Equipment" and presented in other comprehensive income. However, the increase is recognized in profit or loss, to the extent of the amount of impairment of the same assets due to revaluation previously recognized in profit or loss. A decrease in the carrying amount arising from the revaluation is recognized in profit or loss.

Maintenance and repair expenses are charged to profit or loss when incurred. Restoration and addition expenses in significant amounts are capitalized to the carrying amount of the related premises and equipment when it is probable that the future economic benefits exceeded the predefined initial performance standard and are depreciated over the remaining useful life of the related premises and equipment.

Assets under construction are stated at cost, including capitalized borrowing costs and other costs incurred regarding the financing of the assets under constructions. The accumulated costs will be reclassified to the appropriate "Premises and Equipment" account when the construction is completed and the assets are ready for their intended use. Assets under construction are not depreciated as these are not yet available for use.

The legal cost of landrights in the form of Business Usage Rights ("Hak Guna Usaha" or "HGU"), Building Usage Right ("Hak Guna Bangunan" or "HGB") and Usage Rights ("Hak Pakai" or "HP") when the land was initially acquired are recognized as part of the acquisition cost of the land under the "Premises and Equipment" account. The legal extension or renewal costs of landrights are recognized as intangible assets and amortized over life of the legal rights or the economic life of the land, whichever is shorter.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

o. Premises and equipment (continued)

Lease

A lease is classified as a financing lease if the lease substantially diverts all the risks and benefits associated with ownership of the asset. A lease is classified as an operating lease if the lease does not divert substantially all the risks and benefits associated with ownership of the asset.

BRI and its subsidiaries apply SFAS 73 : lease for all leases by recognizing right assets use and related liabilities. BRI applies leases which include SFAS 73 for land asset classes building (landed) and four-wheeled vehicles with underlying assets valued above Rp75,000,000.- and has a rent period of more than 12 months.

On the date of the conception of a contract, BRI and subsidiaries assess whether a contract is, or contains, a lease. A contract constitutes, or contains, a lease if the contract grants the right to control the use of an asset for a certain period of time to gain compensation. To assess whether a contract grants a right to control an identifying asset, BRI assesses whether:

- The contracts involve the use of an identifying asset;
- BRI and subsidiaries have the right to substantially acquire all of the economic benefits of using the asset during the period of use; and
- BRI and subsidiaries have the right to control identifying assets in the form of:
 - a. BRI and subsidiaries have the right to operate assets.
 - b. BRI and subsidiaries have the right to determine for what objectives will the asset be used.

On the date of the conception or at the time of reassessment of a contract that contains a lease component, BRI and its subsidiaries allocated the reward in the contract to each component of the lease based on its own relative price of the rental component. Rental payments included in the measurement of lease liabilities include:

- a. Upfront payment.
- b. Fixed installment payment.
- c. The lease installment payment changed which relies on the fluctuations in the rental payments that are determined by the counter part.

BRI and subsidiaries recognize right of use and lease liabilities on the commencement date of the lease. The initial right of use measured at the cost of acquisition, consist of the initial measurement amount of the rental liabilities adjusted to the rental payments made on or before the commencement date, added with the initial direct cost incurred.

After the initial date, the right of use is measured by the cost model. The right of use is measured by the acquisition price subtracted by accumulated depreciation and accumulated impairment and adjusted to the remeasurement of lease liabilities. Lease liabilities are measured at amortized cost using effective interest rate methods. Incremental interest rental refers to the cost of corporate bond and interest rates of BRI subsidiaries.

Short-term leases with a duration of less than 12 months and leases of low-value assets, as well as elements of such leases, partially or entirely do not apply the recognition principles specified by SFAS 73 will be treated equally to operating leases on SFAS 30. BRI and its subsidiaries will recognize such lease payments on a straight-line basis during the lease period in the consolidated statements of profit or loss and other comprehensive income. This expense is indicated on general and administrative expenses in the income statement.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

p. Impairment of Non-Financial Assets

BRI assesses, at the end of each reporting period, whether there is an indication that an asset may be impaired. If any such indication exists, or when the testing at the reporting date, impairment is required for a certain asset (i.e. an intangible asset with an indefinite useful life, an intangible asset not yet available for use, or goodwill acquired in a business combination), then BRI and subsidiaries will make an estimate of the asset's recoverable amount.

The specified recoverable amount for an individual asset is the higher amount between an asset's or Cash Generating Unit's (CGU) fair value less costs of disposal, and its value in use, unless the asset does not generate cash inflows that are largely independent from other assets or groups of assets. If the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and the asset's carrying amount is reduced to its recoverable amount. Impairment losses from continuing operations are recognized in the consolidated statement of profit or loss and other comprehensive income as "impairment losses". In assessing the value in use, the estimated net future cash flows are discounted to their present value using a pre-tax discount rate that reflects the current market assessments of the time value of money and the risks specific to the asset.

In determining the fair value less costs of disposal, refer to SFAS No. 68, "Fair Value Measurements" (Note 2c).

Impairment losses from continuing operations, if any, are recognized in the consolidated statement of profit or loss and other comprehensive income in accordance with expense categories that are consistent with the functions of the impaired assets.

q. Foreclosed collaterals

Foreclosed collaterals regarding the settlement of loans (presented in "Other Assets") are recognized at net realizable values or the carrying amount of the loans, whichever is lower. Net realizable value is the fair value of the collateral after deducting the estimated costs of disposal. The excess in loan balances, which has not been paid by debtors over the value of foreclosed collaterals, is charged as provisions for allowance for possible losses on loans in the current year. The difference between the value of the foreclosed collateral and the proceeds from the sale are recognized as a gain or loss at the time of sale of the collateral.

BRI and subsidiaries evaluate the value of foreclosed collaterals periodically. The allowance for losses on foreclosed collaterals is assessed based on the impairment of the foreclosed collaterals.

Reconditioning costs arising after the foreclosure of the collateral are capitalized in the accounts of the foreclosed collaterals.

r. Prepaid expenses

Prepaid expenses are amortized over the useful lives using the straight-line method.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

s. Liabilities due immediately

Liabilities due immediately represent the liability of BRI and subsidiaries to external parties which by nature should be paid immediately in accordance with the requirements in the agreement which have been previously determined. Liabilities due immediately is classified as financial liabilities and measured at amortized cost.

t. Deposits from customers and other banks and financial institutions

Demand deposits are funds deposited by customers whereby the withdrawal can be done at any time using a cheque, or through transfer with a bank draft or other forms of payment order. Demand deposits are stated at the amount due to the account holder.

Wadiah demand deposits are third party fund deposits available for returns at any time and earn bonus based on BRIS' policy. *Wadiah* demand deposits are stated at the amount due to the account holder of the deposit in BRIS.

Mudharabah demand deposits are customer funds investment that can be withdrawn in accordance with the agreed payment order method. *Mudharabah* demand deposits are recorded at BRIS' liabilities.

Saving deposits are the funds deposited by customers which can only be withdrawn under certain agreed conditions. Saving deposits are stated at the amount due to the account holders.

Wadiah saving deposits are funds deposited by customers in BRIS, which the customers entrust and can withdraw at any time and BRIS is not required to provide rewards in return for deposits, unless the rewards are in the form of voluntary bonus. *Wadiah* saving deposits are stated at BRIS' liabilities.

Mudharabah saving deposits are funds deposited by third party which earn shares of BRIS' profits for the management of funds based on a predetermined and pre-agreed *Nisbah*. *Mudharabah* saving deposits are recorded at the customers' deposit balance.

Time deposits are funds deposited by customers that may only be withdrawn after a certain time based on agreement between the depositor and BRI and BRI Agro. Time deposits are stated at the nominal amount stated in the certificates of deposit or at the amount stated in the agreement.

Mudharabah time deposits are third parties deposits which can only be withdrawn at a certain time as agreed by the *Mudharabah* time deposit holder and BRIS. *Mudharabah* time deposits are stated at the nominal amount as agreed by the time deposit holders and BRIS.

Deposits from other banks and financial institutions consist of liabilities to other banks, either domestic or overseas, in the form of demand deposits, saving deposits, time deposits and inter-bank call money with promissory notes with a term of up to 90 (ninety) days and stated at the amount due to other banks and financial institutions.

Deposits from customers and other banks and financial institutions are classified as financial liabilities measured at amortized cost using effective interest rate except deposits and temporary *Syirkah* funds which are stated at the BRI and its subsidiaries' liability amount to customers. Additional costs directly attributable to the acquisition of deposits from customers are deducted from the amount of the deposits received.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

u. Securities purchased under agreement to resell and securities sold under agreement to repurchase

Securities purchased under agreement to resell

Securities purchase under agreements to resell are presented as the financial asset in the consolidated statements of financial at the resale prices less unamortized interest income and allowance for impairment losses. The difference between the purchase price and the agreed resale price is treated as a deferred interest income (unamortized) and recognized as income over the period, commencing from the acquisition date to the resale date using the effective interest rate.

Securities purchased under agreement to resell are classified as amortized costs.

Securities sold under agreement to repurchase

Securities sold under agreement to repurchase are presented as financial liabilities in the consolidated statement of financial position, at the Repurchase prices net of the unamortized prepaid interest. The difference between the selling and the repurchase price is treated as prepaid expense and recognized as expense over the period commencing from the selling date to the repurchase date using effective interest rate.

Securities sold under agreement to repurchase are classified as financial liabilities measured at amortized cost.

v. Marketable securities issued

Securities issued by BRI, Bank Raya, BRI Finance, Pegadaian and PNM are Bonds, Negotiable Certificate Deposit (NCD), Medium Term Notes (MTN) and *Mudharabah Sukuk*. Securities issued were initially recognized at fair value and subsequently measured at amortized cost using the Effective Interest Rate (EIR) method. The amortized cost is calculated by taking into account any discount or premium related to the initial recognition and transaction costs that are an integral part of the effective interest rate.

w. Fund borrowings

Fund borrowings represent funds received from other banks, Bank Indonesia or other parties with a repayment obligation in accordance with the terms of the borrowing agreements.

Fund borrowings are recognized initially at fair value and subsequently measured at amortized cost using the Effective Interest Rate (EIR) method. The amortized cost is calculated by taking into account any discount or premium related to the initial recognition and transaction costs that are an integral part of the effective interest rate.

x. Subordinated loans and marketable securities

Subordinated loans and marketable securities are recognized initially at fair value and subsequently measured at amortized cost using the Effective Interest Rate (EIR) method, while BRIS (subsidiary) measures the amortized cost using the straight line method. The amortized cost is calculated by taking into account any discount or premium related to the initial recognition and transaction costs that are an integral part of the effective interest rate.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

y. Provisions

Provisions are recognized when BRI and subsidiaries have a current obligation (both legal or constructive) that, as a result of past events, the settlement of these obligations will likely result in an outflow of resources that contain economic benefits and a reliable estimation of the amount of the obligation can be made.

Provisions are reviewed at each reporting date and adjusted to reflect the most current best estimation. If the outflow of resources to settle the obligation is unlikely to occur, the provision is reversed.

z. Interest income and interest expense

Interest income and expense for all interest bearing financial instruments are recognized in the consolidated statement of profit or loss and other comprehensive income using the effective interest rate method. The effective interest rate is the interest rate that precisely discounts the estimated future cash payments or receipts through the expected life of the financial asset or financial liability (or, if more precise, a shorter period) to obtain the net carrying amount of the financial asset or financial liability.

When calculating the effective interest rate, BRI and subsidiaries estimate the future cash flows by considering all contractual terms in the financial instruments except the future credit losses. This calculation includes all commissions, provisions and other fees received between parties to the contract that are an integral part of the effective interest rate, transaction costs and all other premium or discounts.

If a financial asset or group of similar financial assets have been impaired as a result of impairment losses, then the interest income subsequently obtained is recognized based on the interest rate used to discount the future cash flows in calculating the impairment losses.

aa. Fees and commissions income

Fees and commissions income directly related to lending activities, or fees and commissions income related to a specific period of time, are amortized over the term of the contract using the effective interest rate and classified as part of interest income in the consolidated statement of profit or loss and other comprehensive income.

Fees and commissions income not related to the lending activities or a specific period of time and/or related to provision of a service, are recognized as income at the time that the transaction occurred and recorded in other operating income account.

ab. Sharia income and expense

Sharia income consists of income from *Murabahah*, *Istishna* and *Ijarah* receivables transactions and profit sharing from *Mudharabah* and *Musyarakah* financing.

Income from *Ijarah* transactions is recognized using the accrual method. Income from *Istishna* transactions and profit sharing from *Mudharabah* and *Musyarakah* financing are recognized when the cash installments are received. Expenses based on sharia principles consist of *Mudharabah* profit sharing expense and *Wadiah* bonus expense.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

ab. Sharia income and expense (continued)

Income from *Murabahah* receivables is recognized using the effective margin method. Effective margin is the margin that precisely discounts the estimated future cash payments or receipts through the expected life of the *Murabahah* receivables. When calculating the effective margin, BRIS estimates the future cash flows by considering all contractual terms in the financial instrument, except the future credit losses. This calculation includes all commissions, fees and other forms received by the parties in the contract that are inseparable from the effective margin, transaction costs and all other premiums or discounts.

Mudharabah and *Musyarakah* profit sharing income are recognized upon receipt or in a period when the right of profit sharing occurred in accordance with the agreed profit-sharing portion (*nisbah*).

ac. Premium income and claim expense

Premiums of short-term insurance contracts are recognized as income within the contract period in accordance with the proportion of the amount of the insurance protection provided. Premiums of non short-term insurance contracts are recognized as income when due from the policy holders. Premiums received prior to the issuance of insurance policies or premium due date are recorded as premium deposit.

Premiums related to investment contract and the amount of financial risk component of insurance contract are recorded as deposit through the consolidated statement of financial position as an adjustment to the investment contract liabilities accounts.

Gross reinsurance premiums are recognized as expenses when paid or on the date when the policy becomes effective.

Insurance claims and benefits are approved claims. These claims and benefits are recognized as expense when the liabilities to cover the claims are incurred. A portion of claims from the reinsurers is recognized and recorded as reinsurance claim in the same period as the recognition of claim expenses.

Insurance claims and benefits related to investment contract and the amount of financial risk component of insurance contract are recorded as withdrawal through the consolidated statement of financial position as an adjustment to the investment contract liabilities accounts.

ad. Insurance and investment contract liabilities and reinsurance

Insurance contract liabilities

a. Liabilities for future policy benefits

Liabilities for future policy benefits represent the present value of estimated payments of all the agreed benefits including all the available options, the estimated present value of all costs incurred and also considering the future premium receipt. Liabilities for future policy benefits represent liabilities of non short-term insurance contracts.

The increase in liability for future policy benefits is recognized as expense in the profit or loss for the year, while the decrease in liability for future policy benefits is recognized as income in the profit or loss for the year. The liabilities are derecognized when the contract has expired, discharged or cancelled.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

ad. Insurance and investment contract liabilities and reinsurance (continued)

Insurance contract liabilities (continued)

b. Estimated claim liabilities

Estimated claim liabilities represents claims in the settlement process which are determined based on the estimated loss from claims that are still in settlement process at the consolidated statement of financial position date, including claims that have incurred but not reported ("IBNR").

The changes in estimated claim liabilities are recognized in the profit or loss for the year. The liabilities are derecognized when the contract has expired, discharged or cancelled.

c. Unearned premium

Unearned premium represents part of the premiums that were already received but not yet earned, because the insurance coverage period were not yet due at the end of the year. Unearned premium represents liabilities of short-term insurance contract.

Unearned premium is calculated individually from each coverage, where the amount determined proportionally to the amount of protection provided during the coverage period or risk period, consistent with the recognition of short-term insurance premium income.

The increase in unearned premium is recognized as expense in the profit or loss for the year, while the decrease in unearned premium is recognized as income in the profit or loss for the year. The liabilities are derecognized when the contract has expired, discharged or cancelled.

Reinsurance

BRI Life and BRI Insurance cedes insurance risk in the normal course of business for each of its business lines.

The benefits of BRI Life and BRI Insurance on reinsurance contracts owned are recognized as reinsurance assets. These assets consist of receivables that depend on the expected claims and benefits arising under the related reinsurance contracts. As required by SFAS No. 62, reinsurance assets are not offset against the related insurance contract liabilities.

Reinsurance receivables are estimated consistently with approved claims related to the reinsurer's policies and in accordance with the related reinsurance contract.

BRI Life and BRI Insurance reinsure a portion of risk of the expectation of obtained coverage to other insurance and reinsurance companies. The amount of the premium paid or the premium portion of the prospective reinsurance transaction is recognized as reinsurance premium over the reinsurance contract period proportional to the protection provided. Payment or obligation for retrospective reinsurance transaction is recognized as reinsurance receivable in the equivalent amount to the recorded liability related to the reinsurance contract.

Reinsurance assets include balances expected to be paid by the reinsurance companies for ceded liability for future policy benefits, ceded estimated claim liabilities, and ceded unearned premium. The amounts of benefits borne by the reinsurers are estimated consistently with the liability associated with the reinsurance policy.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

ad. Insurance and investment contract liabilities and reinsurance (continued)

Reinsurance (continued)

Reinsurance asset is impaired if there is objective evidence, as a result of an event that occurred after initial recognition of the reinsurance asset, that BRI Life and BRI Insurance may not receive the whole amount because it is under the terms of the contract, and the impact of the amount to be received from the reinsurer can be measured reliably.

If the reinsurance asset is impaired, BRI Life and BRI Insurance reduce the carrying amount and recognizes the impairment loss in the profit or loss for the year.

Reinsurance assets or liabilities are derecognized when the contractual rights are extinguished or expired or when the contract is transferred to other parties.

ae. Employee benefits

Short-term employee benefits

Short-term employee benefits such as salaries, social security contributions, short-term leaves, bonuses and other non-monetary benefits are recognized during the period when the services are rendered. Short-term benefits are calculated using undiscounted amounts.

Defined contribution pension plan

Defined contribution pension plan is the contribution to pension fund at a certain percentage of salaries of employees who are participants of BRI's defined contribution pension plan. The contribution is accrued and recognized as expense when services have been rendered by the qualified employees and actual payments are deducted from the contribution payable. Contribution payable is measured using undiscounted amounts.

Defined benefit plan and other long-term employee benefits

The post-employment benefits and other long-term employee benefits such as gratuity for services, grand leaves and BPJS post-employment health program are accrued and recognized as expense when services have been rendered by these employees. The benefits are determined based on BRI's policy and applicable regulations.

The post-employment benefits and other long-term employee benefits are determined using the Projected Unit Credit method by an actuary.

Remeasurement of net defined benefit liabilities (assets), which is recognized as other comprehensive income, consist of:

- (i) Actuarial gains and losses.
- (ii) Return on plan assets, excluding amounts that are included in the net interest on liabilities (assets).
- (iii) Any change in the impact of the asset limit, excluding amounts that are included in the net interest on the liabilities (assets).
- (iv) Remeasurement of net defined benefit liabilities (assets) is recognized as other comprehensive income which is not reclassified to profit or loss in the subsequent period.
- (v) For other long-term employee benefits, the current service cost, the net interest expense on net defined benefit liabilities (assets), and the remeasurement of net defined benefit liabilities (assets) are recognized immediately in the current period consolidated statement of profit or loss and other comprehensive income.
- (vi) Past service costs are recognized as expense at the earlier date between the occurrence of the amendment or curtailment program and when the restructuring or severance costs are recognized, therefore, unvested past service cost can no longer be deferred and recognized over the future vesting period.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

af. Stock option

The stock compensation cost at the issuance date is calculated based on the fair value of the stock options and recognized in "Salaries and Employee Benefits Expense" based on the cliff-vesting scheme using the straight-line method over the vesting period. The accumulation of stock compensation cost is recognized as "Stock Option" in equity. The fair values of the stock options are assessed using the Black-Scholes option pricing model.

ag. Earnings per share

Basic earnings per share is calculated by dividing the income for the year attributable to the Parent Entity (BRI) with the weighted average number of issued and fully paid shares during the related year.

Diluted earnings per share is calculated after making the necessary adjustments to the weighted average number of ordinary shares outstanding.

ah. Foreign currency transactions and balances

BRI and its subsidiaries maintain their accounting records in Indonesian Rupiah. Transactions involving foreign currency are recorded at the prevailing exchange rates at the time of the transactions. As of December 31, 2021 and 2020, all foreign currency denominated monetary assets and liabilities are translated into Rupiah using the Reuters spot rates at 4.00 p.m. WIB (Western Indonesian Time). The resulting gains or losses are recognized in the consolidated statement of profit or loss and other comprehensive income.

The exchange rates used in the translation of foreign currency amounts into Rupiah are as follows (full Rupiah):

	December 31, 2021	December 31, 2020
1 United States Dollar	14,252.50	14,050.00
1 Great Britain Pound Sterling	19,250.86	19,012.46
1 Japanese Yen	123.77	135.97
1 European Euro	16,112.46	17,234.43
1 Hong Kong Dollar	1,823.03	1,812.30
1 Saudi Arabian Riyal	3,796.00	3,744.50
1 Singaporean Dollar	10,554.67	10,606.18
1 Malaysian Ringgit	3,417.67	3,481.17
1 Australian Dollar	10,360.56	10,752.47
1 Renminbi	2,235.72	2,150.26
1 Thailand Baht	428.52	468.10
1 Swiss Franc	15,585.02	15,900.87
1 Canadian Dollar	11,192.92	10,980.86
1 Bruneian Dollar	10,360.56	10,213.36
1 Danish Krone	2,166.50	2,316.42
1 South Korean Won	11.98	12.94
1 New Zealand Dollar	9,732.32	10,087.90
1 Papua New Guinean Kina	4,061.98	3,951.60
1 United Arab Emirates Dirham	3,880.19	3,825.06
1 Swedish Krone	1,570.60	1,713.65
1 Norwegian Krone	1,613.49	1,635.74
1 Indian Rupee	191.96	191.65
1 Phillipine Peso	279.49	292.47
1 Rupee Pakistan	1.99	1.99
1 Taiwanese Dollar	513.22	499.77
1 Vietnamese Dong	0.63	0.61

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

ai. Translation of the financial statements of Overseas Branch and Representative Offices

BRI has 1 (one) Subsidiary in Hong Kong, 5 (five) Branch Offices in New York, Cayman Islands, Singapore, Timor Leste and Taipei and 1 (one) Representative Offices in New York and Hong Kong which are considered as separate foreign entities.

For consolidated financial statement purposes, all accounts of subsidiary, overseas branch and representative offices are translated into Rupiah with the following exchange rates:

- Assets and liabilities, as well as commitments and contingencies - use Reuters spot rates at 4.00 p.m. WIB on the statement of financial position date.
- Income, expenses, gains and losses - use the average middle rate prevailing in the related month. The year-end balances is the sum of the monthly balances of income, expenses, gains and losses during the year.
- Equity - Capital Stock and Additional Paid-in Capital use historical rates.
- Statement of cash flows - use the Reuters spot rates at 4.00 p.m. WIB on the statement of financial position date, except for the profit and loss accounts which use middle rates and equity accounts which use historical rates.

The difference arising from the translation process of the financial statements are presented in equity as "Differences Arising from The Translation of Foreign Currency Financial Statements".

aj. Derivatives Instruments

Derivatives financial instruments are assessed and recognized in the consolidated statement of financial position at fair value. Each derivatives contract is recorded as asset when the fair value is positive and as liability when the fair value is negative.

Derivatives receivable and payable are classified as financial assets and liabilities measured at fair value through profit or loss.

Gains or losses resulting from fair value changes are recognized in the consolidated statement of profit or loss and other comprehensive income.

The fair value of derivatives instruments are determined based on discounted cash flows and pricing models or quoted prices from the brokers of other instruments with similar characteristics, which refers to SFAS No. 68: "Fair Value Measurement" (Note 2c).

Embedded derivatives are no longer separated from major non-derivative contracts which are financial assets/financial liabilities, the Bank and its subsidiaries classify financial assets/liabilities as a whole based on its business model and contractual term as disclosed in Note 2c.

ak. Taxation

Current tax expense is determined based on the estimated taxable income for the current year. Deferred tax assets and liabilities are recognized for temporary differences between the commercial and the fiscal reporting of assets and liabilities at each reporting date.

Deferred tax assets are recognized for all deductible temporary differences and uncompensated tax loss balance to the extent that it is probable that the temporary differences and uncompensated tax loss balance will be utilized to deduct the future taxable profit.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

ak. Taxation (continued)

The carrying value of deferred tax assets is reviewed at each financial position date and is reduced if it is no longer probable that sufficient taxable profits will be available to compensate part or all of the benefit of the deferred tax assets.

Deferred tax assets and liabilities are measured based on the tax rates that are expected to apply on the year when the asset is realized or the liability is settled based on the tax regulations that have been enacted or substantively enacted at the statement of financial position date. The tax effect related to the provisions for and/or reversals of all temporary differences during the year, including the effect of change in tax rates, are recognized as "Income Tax Benefit (Expense), Deferred" and included in the net income or loss for the year, except for transactions previously charged or credited directly to equity.

Amendments to tax obligations are recorded when the tax assessment is received or, if the BRI and subsidiaries submitted an appeal, when the decision on the appeal is determined.

For each of the consolidated entity, the tax effects on temporary differences and accumulated tax loss, which can be either asset or liability, are presented in the net amounts for each of the entity.

Assets and liabilities on deferred tax and current tax can be offset if there is a legal enforceable right to offset.

al. Segment information

A segment is a distinguishable component of the BRI and subsidiaries that engaged either in providing certain products (operational segment), or in providing products within a particular economic environment (geographical segment), which is subject to risks and rewards that are different from those of other segments.

The segment income, expenses, results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on an appropriate basis to that segment. The segment items are determined before intercompany balances and transactions are eliminated as part of consolidation process.

BRI and subsidiaries present operational segments based on the internal consolidated report that is presented to the Board of Directors as the operational decision maker.

BRI has identified and disclosed financial information based on main business (operational segments) classified into micro, retail, corporate and others as well as subsidiaries, and based on geographical segments.

The geographical segment includes provision of products or services within a particular economic environment with different risks and returns compared to other operating segments in other economic environments. BRI's geographical segments are Indonesia, United States of America, Hong Kong, Singapore, Timor Leste, and Taipei.

am. Use of significant accounting judgments, estimates and assumptions

The preparation of the consolidated financial statement for BRI and subsidiaries requires management to make judgments, estimates and assumptions that affect the reported amounts of income, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. Uncertainty about these assumptions and estimates could result in material adjustments to the carrying amounts of the assets and liabilities in the subsequent reporting periods.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

am. Use of significant accounting judgments, estimates and assumptions (continued)

Judgments

The following judgments are made by management in applying BRI and subsidiaries' accounting policies that have the most significant effects on the amounts recognized in the consolidated financial statement for BRI and subsidiaries, as follows:

Fair value of financial instruments

All assets and liabilities in which fair value is measured or disclosed in the consolidated financial statement are classified within fair value hierarchy, based on the lowest level of input that is significant to the overall fair value measurement:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities accessible at the measurement date.
- Level 2: inputs other than quoted prices included in level 1 for the assets and liabilities, which is directly or indirectly observable.
- Level 3: unobservable inputs for the assets and liabilities.

Contingencies

The management of BRI and subsidiaries are currently involved in legal proceedings. The estimates of the probable cost for the settlement of claims have been developed through consultation with the aid of the legal consultant of BRI and subsidiaries and are based on the analysis of potential results. BRI and subsidiaries' management does not believe that the outcome of this matter will affect the results of operations. It is probable, however, that future results of operations could be materially affected by changes in the estimates or effectiveness of the strategies related to these proceedings.

Estimates and Assumptions

The key assumptions concerning the future and other key sources for estimation uncertainty at the reporting date that have a risk of causing a material adjustment to the carrying amounts of assets and liabilities for the subsequent year are disclosed below. BRI and subsidiaries based its assumptions and estimates used on the parameters available when the consolidated financial statement were prepared.

Assumptions and circumstances regarding future developments may change due to market changes or circumstances arising beyond the control of BRI and subsidiaries. These changes are reflected in the assumptions used when they occur.

Allowance for impairment losses on loans, sharia receivables and financing and finance receivables

The management of BRI and subsidiaries review its loans, sharia receivables and financing and finance receivables portfolio to assess impairment on an annual basis by updating the allowance for impairment losses formed during the required period based on the continuing analysis and monitoring of individual accounts by the loan officers.

In determining whether impairment loss should be formed in the consolidated statement of profit or loss and other comprehensive income, BRI and subsidiaries assess for any observable data indicating the existence of measurable decrease in the estimated future cash flows from loan portfolio before the decrease could be individually identified in the portfolio.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

am. Use of significant accounting judgments, estimates and assumptions (continued)

Estimates and Assumptions (continued)

Allowance for impairment losses on loans, sharia receivables and financing and finance receivables (continued)

This evidence may include observable data indicating that there has been adverse change in the payment status of the borrower group, or national or local economic conditions that correlate with the default on assets in the group. BRI and subsidiaries use estimates in determining the amount and timing of future cash flows when determining the level of allowance for impairment losses required. These estimates are based on assumptions of several factors and actual results may differ resulting in changes in the amount of allowance for impairment losses in the future.

Impairment of securities

The management of BRI determines that securities are impaired based on the same criteria as for financial assets recorded at amortized cost.

Impairment of non-financial assets

BRI and subsidiaries assess impairment of non-financial assets whenever events or changes in circumstances indicate that the carrying amount of non-financial asset may not be recoverable. The factors that considered important which may lead to impairment assessment are as follow:

- a) Significant underperformance against historical expectation or projection of operating results in the future;
- b) Significant changes in the manner of use of the assets or the overall business strategy; and
- c) Significant negative industry or economic trends.

The management of BRI and subsidiaries recognizes an impairment loss if the carrying amount of an asset exceeds its recoverable amount. The recoverable amount is the higher amount between the fair value less the costs of disposal and the use of asset value (or cash-generating unit). The recoverable amounts are estimated for individual assets or, if not possible, for the cash-generating unit to which the asset belongs to the unit.

Recognition of deferred tax assets

Deferred tax assets are recognized for all unused tax losses to the extent that it is probable that the taxable income will be available to be compensated against the losses that can be used. Significant management judgment is required to determine the amount of deferred tax assets that can be recognized, in accordance with the timing and amount of future taxable income in line with tax planning strategies.

BRI reviews its deferred tax assets at each statement of financial position date and reduces the carrying amount to the extent that it is no longer probable that sufficient taxable income will be available to compensate part or all of the deferred tax assets.

Present value of employee benefits

The cost of defined pension plan and other post employment benefits is determined using actuarial valuations. The actuarial valuation involves the use of assumptions regarding discount rates, expected rates of return on assets, future salary increases, mortality rates and disability rates. Due to the long-term nature of these plans, then the estimates are subject to significant uncertainty.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

2. SUMMARY OF ACCOUNTING POLICIES (continued)

am. Use of significant accounting judgments, estimates and assumptions (continued)

Estimates and Assumptions (continued)

Estimated claim liability

Estimated claims liability is a liability set aside to provide for the incurred and still in the settlement process claims liability arising from insurance policies in force. BRI's management judgment is required to determine the recognizable amount of estimated claims liability.

Liabilities for future policy benefits

BRI records long-term insurance contract liabilities using the present value method of estimated payment for all agreed benefits including all the available options plus the present value of all estimated expenses that will be incurred and considering the future receipt of premium. The main assumption underlying this method is the past claim experience and discount rate.

an. Allowance for impairment losses non productive assets

In accordance with Letter of Bank Indonesia (BI) No. 13/658/DPNP/IDPnP dated December 23, 2011, BRI and BRI Agro are no longer required to provide allowance for impairment losses on non-earning assets and administrative accounts transactions (commitments and contingencies), but the management of BRI is required to continue calculating the allowance for impairment losses in accordance with the applicable accounting standards.

For non-earning assets, the management of BRI and Bank Raya determines the impairment losses at the lower amount between the carrying amount and the fair value after deducting the cost of disposal.

ao. Changes in accounting policies and disclosures

BRI and its subsidiaries have implemented accounting standards on January 1, 2021, which is considered relevant to the consolidated financial statements, namely:

- a. SFAS No. 22 (Amendment 2019), "Business Combinations about Business Definitions", this amendment adopted from the IFRS Amendment 3 Business Combinations: Definition of Business is the result of a joint project between the International Accounting Standards Board (IASB) and the US Financial Accounting Standards Board (FASB). This amendment clarifies the definition of a business with the aim of assisting the entity in determining whether a transaction should be accounted for as a business combination or an asset acquisition.
- b. SFAS No. 71, "Financial Instruments, Amendments to SFAS No. 55: Financial Instruments: Recognition and Measurement, Amendments to SFAS No. 60: Financial Instruments: Disclosures, Amendments to SFAS No. 62: Insurance Contracts and Amendments to SFAS No. 73: Leases on Interest Rate Reference Reform - Stage 2". This amendment describes Interest Rate Reference Reform - Phase 2 adopted from IFRS concerning Interest Rate Benchmark Reform - Phase 2.
- c. SFAS No. 112, "Accounting for Waqf", effective January 1, 2021, and earlier application is permitted. This SFAS describes the accounting treatment of waqf from corporate donors to individual and corporate recipients.

The implementation of SFAS/accounting standards above, does not cause significant change to the financial reporting and disclosure in the consolidated financial statements.

ap. Social and Environmental Responsibility

Based on PER-05/MBU/04/2021, the term PEDP (Partnership and Environmental Development Program) is no longer used and changed to SER (Social & Environmental Responsibility). The allocation of funds is not allocated from the balance of earnings based on the results of the General Meeting of Shareholders (GMS) decision but is recognized and charged to the consolidated statement of profit or loss and other comprehensive income for the current year.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

3. CASH

	December 31, 2021		December 31, 2020	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
<u>Rupiah</u>		25,083,698		31,291,635
<u>Foreign currency</u>				
United States Dollar	38,585,104	549,934	31,599,011	443,966
Malaysian Ringgit	102,947,505	351,840	9,755,822	33,962
Singaporean Dollar	11,087,901	117,029	14,765,055	156,601
Saudi Arabian Riyal	24,988,835	94,858	27,325,087	102,319
Taiwanese Dollar	77,958,740	40,010	180,423,440	90,169
European Euro	1,567,913	25,263	2,836,914	48,893
Japanese Yen	71,981,156	8,909	161,285,585	21,929
United Emirat Arab Dirham	1,665,346	6,462	2,573,096	9,842
Australian Dollar	532,360	5,508	3,628,475	39,015
Renminbi	1,973,778	4,413	1,472,480	3,166
Hong Kong Dollar	2,153,537	3,937	4,902,304	8,884
Brunei Darussalam Dollar	215,527	2,233	482,763	4,931
New Zealand Dollar	161,118	1,568	262,053	2,643
Great Britain Pound Sterling	69,916	1,346	229,201	4,358
Swiss Franc	54,629	851	204,369	3,250
Papua New Guinean Kina	159,540	648	142,050	561
Thailand Baht	1,444,625	619	11,053,645	5,174
Canadian Dollar	35,005	392	103,155	1,134
South Korean Won	21,069,694	252	39,247,287	508
Indian Rupee	658,333	127	649,827	125
Philippine Peso	222,530	62	1,936,110	566
Vietnamese Dong	22,112,164	14	2,227,982,164	1,357
		1,216,275		983,353
Total		26,299,973		32,274,988

Cash balance includes cash in ATM (Automatic Teller Machines) amounting to Rp4,729,997 and USD721,540 (full amount) as of December 31, 2021, Rp6,041,368 and USD819,580 (full amount) as of December, 31 2020.

4. CURRENT ACCOUNTS WITH BANK INDONESIA

Current accounts with Bank Indonesia consist of:

	December 31, 2021		December 31, 2020	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
Rupiah		47,402,684		43,139,976
United States Dollar	633,144,322	9,023,889	597,223,683	8,390,993
Total		56,426,573		51,530,969

As of December 31, 2021 and December 31, 2020, current accounts with Bank Indonesia include current accounts based on sharia banking principles amounting to RpNill and Rp1,084,299.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

4. CURRENT ACCOUNTS WITH BANK INDONESIA (continued)

Current accounts with Bank Indonesia are maintained to comply with Bank Indonesia's Minimum Legal Reserve Requirements (GWM). As of December 31, 2021 and 2020, the GWM ratios are calculated based on Bank Indonesia Regulation (PBI) No. 20/3/PBI/2018 dated March 29, 2018, as amended through PBI No. 22/3/PBI/2020 dated March 24, 2020. The PBI is explained by the Regulation of the Members of the Board of Governors (PADG) No. 20/10/PADG/2018 dated May 31, 2018 regarding Minimum Mandatory Current Account in Rupiah and Foreign Currencies for Conventional Commercial Banks, Sharia Commercial Bank and Sharia Business Unit, as amended seven times through PADG No. 20/30/PADG/2018 dated November 30, 2018, PADG No. 21/14/PADG/2019 dated June 26, 2019, PADG No. 21/27/PADG/2019 dated December 26, 2019, PADG No. 22/2/PADG/2020 dated March 10, 2020, PADG No. 22/10/PADG/2020 dated April 29, 2020, PADG No. 22/19/PADG/2020 dated July 29, 2020 and PADG No. 23/27/PADG/2021 dated December 21, 2021. Macroprudential Liquidity Buffer Ratio (PLM) is calculated based on PBI No. 20/4/PBI/2018 regarding Macroprudential Intermediation Ratio and Macroprudential Liquidity Buffer for Conventional Commercial Banks, Sharia Commercial Bank and Sharia Business Unit, as amended three times through PBI No. 21/12/PBI/2019 and PBI No. 22/17/PBI/2020, which is explained through PADG No. 21/22/PADG/2019 dated November 28, 2019 as amended through PADG No. 22/11/PADG/2020 dated April 29, 2020 and PADG No. 22/30/PADG/2020 dated October 5, 2020. The calculation of GWM ratio is determined as follows:

	December 31, 2021	December 31, 2020
<u>Rupiah</u>		
- Primary GWM	3.50%	3.00%
(i) GWM daily ^{*)}	0.50	0.00
(ii) GWM average	3.50	3.00
- PLM (d/h Secondary GWM)	6.00	6.00
<u>Foreign currency</u>	4.00%	4.00%
(i) GWM daily	2.00	2.00
(ii) GWM average	2.00	2.00

^{*)} Banks that provide funds for economic activities get incentives in the form of leeway on the obligation to fulfill the GWM in rupiah which must be fulfilled on a daily basis as referred to in PAD No. 22/04/PADG/2020 and PADG No. 22/35/PADG/2020 article two paragraph three amounting to 0.5% (zero point five percent).

Primary GWM is the minimum deposits that must be maintained by the Bank in the form of Current Account balance at Bank Indonesia. PLM is minimum liquidity reserve that must be maintained by the Bank in the form of Bank Indonesia Certificates (SBI), Bank Indonesia Deposit Certificates (SDBI), Government Securities (SBN), which the amount is determined by Bank Indonesia at certain percentage of Bank's Third Parties Funds (DPK).

Based on PBI No. 20/4/PBI/2018 dated March 29, 2018, Loan to Funding Ratio (LFR) changed to Macroprudential Intermediation Ratio (RIM), and RIM fulfillment obligations apply on July 16, 2018. RIM is the minimum deposit the Bank is obliged to maintain in the form of Current Account balance at Bank Indonesia at a certain percentage of the DPK which calculation is based on the difference between the RIM held by the Bank and the Targeted RIM. RIM is charged if the Bank's RIM is below Bank Indonesia's minimum targeted RIM (84%) or above Bank Indonesia's maximum targeted RIM (94%) with Bank's Minimum Capital Adequacy Ratio (KPMM) smaller than Bank Indonesia's Incentive KPMM of 14%.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

4. CURRENT ACCOUNTS WITH BANK INDONESIA (continued)

GWM ratios of BRI (parent entity) as of December 31, 2021 and 2020 are as follows:

	December 31, 2021	December 31, 2020
<u>Rupiah</u>		
- Primary GWM *)	4.47%	3.19%
(i) GWM daily *)	0.50	0.00
(ii) GWM average	3.97	3.19
- PLM (d/h Secondary GWM)	16.82	16.51
<u>Foreign currency</u>	4.13%	4.01%
(i) GWM daily	2.00	2.00
(ii) GWM average	2.13	2.01

*) After deducting incentives based on PAD No. 22/04/PADG.

As of December 31, 2021 and 2020, BRI has complied with Bank Indonesia's regulations regarding ratios above-mentioned.

5. CURRENT ACCOUNTS WITH OTHER BANKS

a) By Currency:

	December 31, 2021		December 31, 2020	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
<u>Third parties</u>				
<u>Rupiah</u>		1,318,346		848,101
<u>Foreign currency</u>				
United States Dollar	503,398,899	7,174,694	355,168,646	4,990,119
Singaporean Dollar	93,336,344	985,134	84,695,915	898,300
Japanese Yen	5,542,706,584	686,021	4,218,430,566	573,559
Renminbi	218,200,425	487,835	166,762,336	358,582
European Euro	20,184,588	325,223	50,845,490	876,293
Australian Dollar	29,739,205	307,700	29,495,659	317,151
Hong Kong Dollar	152,587,912	278,935	107,852,226	195,460
Great Britain Pound Sterling	8,615,660	165,859	10,960,757	208,391
Taiwan Dollar	227,797,266	116,910		-
Franc Swiss	4,911,892	76,552	5,366,022	85,324
New Zealand Dollar	6,806,488	66,243	3,117,449	31,449
Saudi Arabian Riyal	11,570,198	43,920	17,272,344	64,676
Swedia Croner	12,337,485	19,377	48,791,612	83,612
United Emirat Arab Dirham	2,904,815	11,271	27,548,333	105,374
Canadian Dollar	824,101	9,224	590,529	6,485
Norwegian Croner	3,418,541	5,516	2,877,408	4,707
Malaysian Ringgit	969,095	3,312	176,978	616
Thailand Baht	1,006,682	431	1,010,568	473
		10,764,157		8,800,571
		12,082,503		9,648,672
<u>Related parties (Note 44)</u>				
<u>Rupiah</u>		1,948,346		2,561,822
<u>Foreign currency</u>				
United States Dollar	1,366,630	19,478	800,378	11,245
Hong Kong Dollar	8,079,938	14,770	24,569,597	44,527
		34,248		55,772
		1,982,594		2,617,594
Total		14,065,097		12,266,266
Allowance for impairment losses		(29,078)		(93,843)
Total - Net		14,036,019		12,172,423

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

5. CURRENT ACCOUNTS WITH OTHER BANKS (continued)

b) By Bank:

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Third parties</u>		
<u>Rupiah</u>		
PT Bank Pembangunan Daerah		
Jawa Barat dan Banten Tbk	522,520	20,954
PT Bank Muamalat Indonesia Tbk	188,980	85,435
PT Bank Central Asia Tbk	120,740	270,888
PT Bank Permata Tbk	88,348	80,644
PT Bank MNC Internasional Tbk	76,444	16,091
PT Bank Mega Syariah	74,361	141,626
Others	246,953	232,463
	<u>1,318,346</u>	<u>848,101</u>
<u>Foreign currency</u>		
J.P. Morgan Chase Bank, N.A	3,863,022	2,925,377
Standard Chartered Bank	1,461,687	1,764,602
Citibank N.A.	938,559	429,023
Bank of America	795,892	576,623
The Bank of New York Mellon	711,845	190,116
Bank of China, Ltd	438,909	338,481
MUFG Bank, Ltd	414,669	528,333
Others	2,139,574	2,048,016
	<u>10,764,157</u>	<u>8,800,571</u>
	<u>12,082,503</u>	<u>9,648,672</u>
<u>Related parties (Note 44)</u>		
<u>Rupiah</u>		
PT Bank Negara Indonesia (Persero) Tbk	1,056,092	849,706
PT Bank Tabungan Negara (Persero) Tbk	504,703	1,163,378
PT Bank Syariah Indonesia Tbk	209,764	-
PT Bank Mandiri (Persero) Tbk	177,787	368,557
PT Bank Syariah Mandiri	-	87,855
PT Bank BNI Syariah	-	92,326
	<u>1,948,346</u>	<u>2,561,822</u>
<u>Foreign currency</u>		
PT Bank Mandiri (Persero) Tbk	19,478	7,730
PT Bank Negara Indonesia (Persero) Tbk	14,770	48,042
	<u>34,248</u>	<u>55,772</u>
	<u>1,982,594</u>	<u>2,617,594</u>
Total	14,065,097	12,266,266
Allowance for impairment losses	(29,078)	(93,843)
Net	<u>14,036,019</u>	<u>12,172,423</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

5. CURRENT ACCOUNTS WITH OTHER BANKS (continued)

c) Collectibility:

As of December 31, 2021 and 2020, all current accounts with other banks are classified as "Current".

d) Average interest rate:

	December 31, 2021	December 31, 2020
Rupiah	0.10%	0.18%
Foreign currency	0.13	0.10

e) The following table presents the changes in carrying value and allowance for expected losses by financial instrument category.

	December 31, 2021			
	Stage 1- 12- months Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not Impaired	Stage 3- Lifetime Expected Credit Loss - Impaired	Total
<u>Current accounts with others bank</u>				
Carrying value beginning balance	12,266,266	-	-	12,266,266
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of carrying value	1,798,831	-	-	1,798,831
New financial assets issued or purchased	-	-	-	-
Derecognized financial assets	-	-	-	-
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	-	-	-	-
Carrying value ending balance	14,065,097	-	-	14,065,097

	December 31, 2020			
	Stage 1- 12- months Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not Impaired	Stage 3- Lifetime Expected Credit Loss - Impaired	Total
<u>Current accounts with others bank</u>				
Carrying value beginning balance	10,237,736	-	-	10,237,736
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of carrying value	2,028,530	-	-	2,028,530
New financial assets issued or purchased	-	-	-	-
Derecognized financial assets	-	-	-	-
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	-	-	-	-
Carrying value ending balance	12,266,266	-	-	12,266,266

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

5. CURRENT ACCOUNTS WITH OTHER BANKS (continued)

- e) The following table presents the changes in carrying value and allowance for expected losses by financial instrument category. (continued)

December 31, 2021				
	Stage 1- 12- months Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not Impaired	Stage 3- Lifetime Expected Credit Loss - Impaired	Total
<u>Current accounts with others bank</u>				
Allowance for expected credit loss beginning balance	93,843	-	-	93,843
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of allowance for losses	(64,765)	-	-	(64,765)
New financial assets issued or purchased	-	-	-	-
Derecognized financial assets	-	-	-	-
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	-	-	-	-
Allowance for expected credit loss ending balance	29,078	-	-	29,078

December 31, 2020				
	Stage 1- 12- months Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not Impaired	Stage 3- Lifetime Expected Credit Loss - Impaired	Total
<u>Current accounts with others bank</u>				
Balance at the beginning of the year	-	-	-	-
Impact of initial application of SFAS 71	-	-	-	24
Allowance for expected credit loss beginning balance	24	-	-	24
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of allowance for losses	93,819	-	-	93,819
New financial assets issued or purchased	-	-	-	-
Derecognized financial assets	-	-	-	-
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	-	-	-	-
Allowance for expected credit loss ending balance	93,843	-	-	93,843

As of December 31, 2021 and December 31, 2020 there were no current accounts with other banks that were restricted in use. As of and December 31, 2021 and December 31, 2020, current accounts with other banks are collectively impaired.

Management believes that the allowance for impairment losses is adequate as of December 31, 2021 and December 31, 2020.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

6. PLACEMENTS WITH BANK INDONESIA AND OTHER FINANCIAL INSTITUTIONS

a) By Currency and Type:

	December 31, 2021		December 31, 2020	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
<u>Third parties</u>				
<u>Rupiah</u>				
Bank Indonesia				
Term Deposit		18,996,446		5,697,836
Deposit Facility		8,372,946		683,682
Deposit Facility Syariah		-		500,000
		27,369,392		6,881,518
Inter-bank call money				
PT Bank Mega syariah		110,000		135,000
PT Bank Muamalat Indonesia Tbk		70,038		103,300
PT Bank Nationalnobu Tbk		31,200		50,000
PT Bank Victoria International Tbk		25,000		56,500
PT Bank Panin Dubai Syariah Tbk		20,000		-
PT Bank Tabungan Pensiunan Nasional Tbk		15,000		-
PT BPD Kalimantan Tengah		10,000		-
Other Financial Institution		22,550		742,550
		303,788		1,087,350
Time Deposit				
PT Bank DKI		256,950		415,500
PT BPD Jawa Barat dan Banten Tbk		134,014		-
PT Bank OCBC NISP Tbk		92,501		-
PT BPD Jawa Timur Tbk		83,500		-
PT Bank Pan Indonesia Tbk		78,500		-
PT Maybank Indonesia Tbk		61,500		61,500
PT Bank Bukopin Tbk		38,200		4,600
PT Bank Danamon Indonesia Tbk		35,000		35,000
PT Bank Jtrust Indonesia Tbk		25,000		-
PT Bank Mega Tbk		20,000		20,000
PT Bank Permata Tbk		18,750		40,000
PT Bank Jabar Banten Syariah		10,000		500
Other Financial Institution		68,927		141,770
		922,842		718,870

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

6. PLACEMENTS WITH BANK INDONESIA AND OTHER FINANCIAL INSTITUTIONS (continued)

a) By Currency and Type (continued):

	December 31, 2021		December 31, 2020	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
<u>Third parties (continued)</u>				
<u>Rupiah (continued)</u>				
Deposit on Call				
PT BPD Jawa Barat dan Banten Tbk		23,700		13,100
		23,700		13,100
		28,619,722		8,700,838
<u>United States Dollar</u>				
Bank Indonesia				
Term Deposit	1,499,998,333	21,378,726	3,494,833,577	49,102,412
		21,378,726		49,102,412
Inter-bank call money				
Federal Reserve Bank	139,202,024	1,983,977	181,955,872	2,556,480
The Bank of New York Mellon Corporation	138,400,000	1,972,546	186,700,000	2,623,135
Wells Fargo Bank, N.A	86,100,000	1,227,140	52,900,000	743,245
TD Bank, N.A	14,291,337	203,687	4,954,759	69,614
PT Bank BNP Paribas Indonesia	5,566,355	79,334	4,043,737	56,814
JP Morgan Chase Bank, N.A	1,830,000	26,082	4,190,000	58,870
United Overseas Bank Singapore	1,135,492	16,184		-
Citibank, N.A		-	112,100,000	1,575,005
		5,508,950		7,683,163
Time Deposits				
U.S. Bankcorp	44,080,130	628,253	4,226,636	59,384
PT Bank Mega Tbk	2,904,386	41,395		-
PT Bank ICBC Indonesia	2,577,596	36,737		-
PT Bank Danamon Indonesia Tbk	2,500,849	35,643		-
PT BPD Jawa Barat dan Banten Tbk	1,200,000	17,103	2,900,000	40,745
TD Bank, N.A.	638,515	9,100	488,943	6,870
		768,231		106,999
Other Placements				
(Banker's Acceptance)				
PT Bank Woori Saudara				
Indonesia 1906 Tbk	10,000,000	142,525	20,000,000	281,000
PT Bank Maybank Indonesia Tbk		-	4,350,000	61,118
		142,525		342,118
<u>Singaporean Dollar</u>				
Inter-bank call money				
UOB Singapore		-	799,174	8,476
		-		8,476
		27,798,433		57,243,168
		56,418,154		65,944,006

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

6. PLACEMENTS WITH BANK INDONESIA AND OTHER FINANCIAL INSTITUTIONS (continued)

a) By Currency and Type (continued):

	December 31, 2021		December 31, 2020	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
<u>United States Dollar (continued)</u>				
<u>Related parties (Note 44)</u>				
<u>Rupiah</u>				
Inter-bank call money				
Lembaga Pembiayaan Ekspor Indonesia				-
PT Bank Mandiri (Persero) Tbk		7,000		-
		7,000		-
Deposit on Call				
PT Bank Mandiri (Persero) Tbk		-		3,000
		-		3,000
Time Deposits				
PT Bank Tabungan				
Negara (Persero) Tbk		553,250		561,400
PT Bank Syariah Indonesia Tbk		324,200		-
PT Bank Negara Indonesia				
(Persero) Tbk		265,900		228,650
PT Bank Mandiri (Persero) Tbk		34,000		42,100
PT Bank Syariah Mandiri		-		12,000
PT Bank BNI Syariah		-		6,500
		1,177,350		850,650
		1,184,350		853,650
<u>United States Dollar</u>				
Inter-bank call money				
PT Bank Mandiri (Persero) Tbk	85,000,000	1,211,463	75,000,000	1,053,750
		1,211,463		1,053,750
<u>Singaporean Dollar</u>				
Inter-bank call money				
PT Bank Negara Indonesia				
(Persero) Tbk	16,000,000	168,875		-
		168,875		-
		1,380,338		1,053,750
		2,564,688		1,907,400
Total		58,982,842		67,851,406
Less allowance for impairment losses		(6,177)		(18,070)
Net		58,976,665		67,833,336

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

6. PLACEMENTS WITH BANK INDONESIA AND OTHER FINANCIAL INSTITUTIONS (continued)

b) By Time Period :

The classifications of placements based on their remaining period to maturity are as follows:

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Third parties</u>		
<u>Rupiah</u>		
≤ 1 month	28,467,608	8,695,838
> 1 month - 3 months	106,600	5,000
> 3 months - 1 year	-	-
> 1 year	45,514	-
	<u>28,619,722</u>	<u>8,700,838</u>
<u>Foreign currency</u>		
≤ 1 month	27,577,775	48,533,996
> 1 month - 3 months	78,132	8,428,172
> 3 months - 1 year	142,525	-
> 1 year	-	281,000
	<u>27,798,432</u>	<u>57,243,168</u>
	<u>56,418,154</u>	<u>65,992,006</u>
<u>Related parties (Note 44)</u>		
<u>Rupiah</u>		
≤ 1 month	1,111,850	853,650
> 1 month - 3 month	72,500	-
	<u>1,184,350</u>	<u>853,650</u>
<u>Foreign currency</u>		
≤ 1 month	168,875	843,000
> 1 month - 3 months	855,150	-
> 3 months - 1 year	142,525	140,500
> 1 year	213,788	70,250
	<u>1,380,338</u>	<u>1,053,750</u>
	<u>2,564,688</u>	<u>1,907,400</u>
Total	58,982,842	67,851,406
Allowance for impairment losses	(6,177)	(18,070)
Net	<u>58,976,665</u>	<u>67,833,336</u>

c) Collectibility:

As of December 31, 2021 and 2020, all placements with Bank Indonesia and other financial institutions are classified as "Current".

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

6. PLACEMENTS WITH BANK INDONESIA AND OTHER FINANCIAL INSTITUTIONS (continued)

d) Average interest rate:

	December 31, 2021	December 31, 2020
<u>Rupiah</u>		
Placement with Bank Indonesia	2.81%	3.21%
Placement with other financial institutions	0.00	3.46
<u>Foreign Currency</u>		
Placement with Bank Indonesia	0.02%	0.08%
Placement with other financial institutions	0.39	0.72

e) The following table presents the changes in carrying value and allowance for expected losses by financial instrument category.

	December 31, 2021			
	Stage 1- 12 - months Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not Impaired	Stage 3- Lifetime Expected Credit Loss - Not Impaired	Total
<u>Placement with Bank Indonesia and other financial institutions</u>				
Carrying value beginning balance	67,851,406	-	-	67,851,406
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of carrying value				
New financial assets issued or purchased	58,982,842	-	-	58,982,842
Derecognized financial assets	(67,851,406)	-	-	(67,851,406)
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	-	-	-	-
Carrying value ending balance	58,982,842	-	-	58,982,842

	December 31, 2020			
	Stage 1- 12 - months Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not Impaired	Stage 3- Lifetime Expected Credit Loss - Not Impaired	Total
<u>Placement with Bank Indonesia and other financial institutions</u>				
Carrying value beginning balance	116,854,727	-	-	116,854,727
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of carrying value				
New financial assets issued or purchased	67,851,406	-	-	67,851,406
Derecognized financial assets	(116,854,727)	-	-	(116,854,727)
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	-	-	-	-
Carrying value ending balance	67,851,406	-	-	67,851,406

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

6. PLACEMENTS WITH BANK INDONESIA AND OTHER FINANCIAL INSTITUTIONS (continued)

- e) The following table presents the changes in carrying value and allowance for expected losses by financial instrument category (continued).

December 31, 2021				
	Stage 1- 12 - months Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not Impaired	Stage 3- Lifetime Expected Credit Loss - Not Impaired	Total
<u>Placement with Bank Indonesia and other financial institutions</u>				
Allowance for expected credit loss beginning balance	18,070	-	-	18,070
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of allowance for losses	-	-	-	-
New financial assets issued or purchased	6,177	-	-	6,177
Derecognized financial assets	(18,070)	-	-	(18,070)
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	-	-	-	-
Allowance for expected credit loss ending balance	6,177	-	-	6,177

December 31, 2020				
	Stage 1- 12 - months Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not Impaired	Stage 3- Lifetime Expected Credit Loss - Not Impaired	Total
<u>Placement with Bank Indonesia and other financial institutions</u>				
Balance at the beginning of the year	-	-	-	-
Impact of initial application of SFAS 71	-	-	-	668
Allowance for expected credit loss beginning balance	668	-	-	668
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of allowance for losses	-	-	-	-
New financial assets issued or purchased	18,070	-	-	18,070
Derecognized financial assets	(668)	-	-	(668)
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	-	-	-	-
Allowance for expected credit loss ending balance	18,070	-	-	18,070

As of December 31, 2021 and 2020, there were no placements with Bank Indonesia and other financial institutions that were impaired and whose use was restricted.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

6. PLACEMENTS WITH BANK INDONESIA AND OTHER FINANCIAL INSTITUTIONS (continued)

- e) The following table presents the changes in carrying value and allowance for expected losses by financial instrument category (continued).

As of December 31, 2021 and 2020 Placement with Bank Indonesia and other financial institutions are collectively impaired.

Management believes that the allowance for impairment losses is adequate as of December 31, 2021 and 2020.

7. SECURITIES

- a) By Purpose, Currency and Type:

	December 31, 2021		December 31, 2020	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
<u>Fair value through profit or loss</u>				
<u>Third parties</u>				
<u>Rupiah</u>				
Mutual Fund		3,348,260		3,279,238
Negotiable Certificate of Deposit		127,009		49,419
Subordinated Bonds		48,909		48,313
Bonds		18,829		18,511
Others		63,513		87,480
		<u>3,606,520</u>		<u>3,482,961</u>
<u>United States Dollar</u>				
Mutual Fund	130,252,584	1,856,425	332,234,586	4,667,896
Bonds	2,389,613	34,058	-	-
U.S. Treasury Bond		-	1,054,531	14,816
Others	3,407,037	48,559	4,229,395	59,423
		<u>1,939,042</u>		<u>4,742,135</u>
<u>Singaporean Dollar</u>				
Singapore Government Securities (SIGB)		-	1,000,000	10,606
		<u>-</u>		<u>10,606</u>
<u>Related parties (Note 44)</u>				
<u>Rupiah</u>				
Indonesian Government Bonds		10,201,667		18,358,072
Mutual Fund		1,605,811		336,835
Bonds		114,228		275,864
Subordinated Bonds		2,057		-
Others		1,414,190		687,495
		<u>13,337,953</u>		<u>19,658,266</u>
<u>United States Dollar</u>				
Indonesian Government Bonds	7,686,427	109,551	11,108,388	156,073
Bonds		-	4,915,950	69,069
Others	574,414	8,187		-
		<u>117,738</u>		<u>225,142</u>
<u>European Euro</u>				
Indonesian Government Bonds		-	2,708,198	46,674
		<u>-</u>		<u>46,674</u>
		<u>19,001,253</u>		<u>28,165,784</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

a) By Purpose, Currency and Type (continued):

	December 31, 2021		December 31, 2020	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
<u>Fair value through other comprehensive income</u>				
<u>Third parties</u>				
<u>Rupiah</u>				
Mutual Fund		5,396,406		473,676
Bonds		4,009,535		3,032,475
Subordinated Bonds		101,046		196,344
Negotiable Certificate of Deposit		67,444		582,047
Others		114,307		153,766
		<u>9,688,738</u>		<u>4,438,308</u>
<u>United States Dollar</u>				
Certificate of Bank Indonesia	688,382,033	9,811,165	759,730,066	10,674,207
U.S. Treasury Bonds	56,659,069	807,533	55,409,192	778,499
Bonds	16,369,209	233,302	13,478,482	189,373
U.S. Treasury Bills		-	14,999,734	210,746
		<u>10,852,000</u>		<u>11,852,825</u>
<u>Singaporean Dollar</u>				
Monetary Authority of Singapore (MAS) Bills	103,956,406	1,097,226	76,980,563	816,470
Singapore Government Securities (SIGB)	41,190,980	434,757	37,928,360	402,275
		<u>1,531,983</u>		<u>1,218,745</u>
<u>Related parties (Note 44)</u>				
<u>Rupiah</u>				
Indonesian Government Bonds		110,394,198		109,882,540
Bonds		8,691,219		9,737,241
Mutual Fund		2,403,750		-
Medium-Term Note		67,397		341,167
Subordinated Bonds		25,717		-
Negotiable Certificate of Deposit		-		98,415
Others		134,579		141,189
		<u>121,716,860</u>		<u>120,200,552</u>
<u>United States Dollar</u>				
Indonesian Government Bonds	3,697,815,700	52,703,118	3,440,535,854	48,339,529
Bonds	274,645,031	3,914,378	140,936,158	1,980,153
		<u>56,617,496</u>		<u>50,319,682</u>
<u>European Euro</u>				
Indonesian Government Bonds	51,020,204	822,061	52,804,334	910,053
		<u>822,061</u>		<u>910,053</u>
<u>Japanese Yen</u>				
Indonesian Government Bonds	2,401,480,492	297,231		-
		<u>297,231</u>		<u>-</u>
		<u>201,526,369</u>		<u>188,940,165</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

a) By Purpose, Currency and Type (continued):

	December 31, 2021		December 31, 2020	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
Amortized costs				
<u>Third parties</u>				
<u>Rupiah</u>				
Bonds		177,035		409,984
Negotiable Certificate of Deposit		96,676		-
Subordinated Bonds		34,056		35,065
Medium-Term Note		-		50,000
Others		1,027		5,698
		<u>308,794</u>		<u>500,747</u>
<u>United States Dollar</u>				
Others	1,442,057,612	20,552,926	193,461,866	2,718,139
		<u>20,552,926</u>		<u>2,718,139</u>
<u>Related parties (Note 44)</u>				
<u>Rupiah</u>				
Indonesian Government Bonds		96,923,657		78,609,483
Bonds		1,021,704		1,359,414
Medium-Term Note		11,000		36,000
Subordinated Bonds		7,000		-
		<u>97,963,361</u>		<u>80,004,896</u>
<u>United States Dollar</u>				
Indonesian Government Bonds	2,226,276,817	31,730,010	1,854,581,018	26,056,863
Bonds	23,234,802	331,154	34,487,241	484,546
		<u>32,061,164</u>		<u>26,541,409</u>
<u>European Euro</u>				
Indonesian Government Bonds	39,396,899	634,781	25,209,935	434,479
		<u>634,781</u>		<u>434,479</u>
		<u>151,521,026</u>		<u>110,199,670</u>
Total		372,048,648		327,505,619
Less allowance for Impairment Losses		(311,120)		(348,941)
Net		<u>371,737,528</u>		<u>326,956,678</u>

b) By Collectibility:

As of December 31, 2021 and 2020 all securities are classified as "Current", except as of December 31, 2020, Bonds I Year 2003 issued by PT Great River International classified as "Loss" and is held by BRI Life (subsidiary) that has already matured on October 13, 2008 amounting to Rp758.

For that matter, BRI Life's management has formed allowance for impairment losses amounting to Rp758.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

c) By Remaining Period to Maturity:

The classifications of securities based on their remaining period to maturity are as follows :

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Third parties</u>		
<u>Rupiah</u>		
≤ 1 month	13,295,259	7,932,026
> 1 month - 3 months	1,027	5,698
> 3 months - 1 year	282,576	312,536
> 1 year	25,190	171,756
	<u>13,604,052</u>	<u>8,422,016</u>
<u>Foreign currency</u>		
≤ 1 month	17,702,075	19,043,814
> 1 month - 3 months	5,024,317	444,151
> 3 months - 1 year	12,149,559	1,054,485
	<u>34,875,951</u>	<u>20,542,450</u>
	<u>48,480,003</u>	<u>28,964,466</u>
<u>Related parties (Note 44)</u>		
<u>Rupiah</u>		
≤ 1 month	135,449,861	139,858,817
> 1 month - 3 months	67,074	122,090
> 3 months - 1 year	3,357,525	9,552,385
> 1 year	94,143,714	70,330,422
	<u>233,018,174</u>	<u>219,863,714</u>
<u>Foreign currency</u>		
≤ 1 month	58,199,727	51,501,551
> 1 month - 3 months	509,431	168,648
> 3 months - 1 year	3,474,664	1,400,796
> 1 year	28,366,649	25,406,444
	<u>90,550,471</u>	<u>78,477,439</u>
	<u>323,568,645</u>	<u>298,341,153</u>
Total	372,048,648	327,305,619
Less		
Allowance for Impairment Losses	(311,120)	(348,941)
Net	<u>371,737,528</u>	<u>326,956,678</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer:

d.1. Government Bonds

Government bonds represent bonds issued by the government of a country in connection with the management of Government debentures portfolio, such as Government Debentures (SUN), Government Treasury Bills (SPN) and Government bonds issued in foreign currency which are obtained from the primary and secondary markets, including U.S. Treasury Bonds, U.S. Treasury Bills and Singapore Government Securities. The details of Government bonds are as follows:

	Fair Value/ Carrying Value	
	December 31, 2021	December 31, 2020
<u>Fair value through profit or loss</u>		
<u>Rupiah</u>		
Government Treasury Bills	5,922,455	11,586,330
Fixed Rate Government Bonds	2,269,614	2,187,408
Sharia Government Treasury Bills	1,210,388	2,996,361
Sukuk Government Bonds	591,438	1,274,953
Republic of Indonesia Bonds	207,772	313,020
	10,201,667	18,358,072
<u>Foreign currency</u>		
Sukuk Government Bonds	88,622	77,648
United States Dollar Fixed Rate Government Bonds	20,929	78,425
European Euro Government Bonds	-	46,674
Singapore Government Securities (SIGB)	-	10,606
U.S. Treasury Bonds	-	14,816
	109,551	228,169
	10,311,218	18,586,241
<u>Fair value through other comprehensive income</u>		
<u>Rupiah</u>		
Fixed Rate Government Bonds	69,326,102	71,274,544
Sukuk Government Bonds	35,049,032	33,314,783
Republic of Indonesia Bonds	3,579,404	1,891,155
Government Treasury Bills	1,893,798	1,619,435
Sharia Government Treasury Bills	545,862	1,782,623
	110,394,198	109,882,540

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.1. Government Bonds (continued)

Government bonds represent bonds issued by the government of a country in connection with the management of Government debentures portfolio, such as Government Debentures (SUN), Government Treasury Bills (SPN) and Government bonds issued in foreign currency which are obtained from the primary and secondary markets, including U.S. Treasury Bonds, U.S. Treasury Bills and Singapore Government Securities. The details of Government bonds are as follows (continued):

	Fair Value/ Carrying Value	
	December 31, 2021	December 31, 2020
<u>Fair value through other comprehensive income</u>		
<u>(continued)</u>		
<u>Foreign currency</u>		
United States Dollar Fixed Rate		
Government Bonds	29,049,399	28,602,080
Sukuk Government Bonds	23,653,719	19,737,449
European Euro Government Bonds	822,061	910,053
U.S. Treasury Bonds	807,533	778,499
Singapore Government Securities (SIGB)	434,757	402,275
Japanese Yen Government Bonds	297,231	-
U.S. Treasury Bills	-	210,746
	55,064,700	50,641,102
	165,458,898	160,523,642
<u>Amortized costs</u>		
<u>Rupiah</u>		
Fixed Rate Government Bonds	79,260,623	53,497,079
Sukuk Government Bonds	17,551,078	25,007,050
Government Treasury Bills	111,956	70,983
Republic of Indonesia Bonds	-	34,371
	96,923,657	78,609,483
<u>Foreign currency</u>		
United States Dollar Fixed Rate		
Government Bonds	17,420,836	14,264,437
Sukuk Government Bonds	14,309,174	11,792,426
European Euro Government Bonds	634,781	434,479
	32,364,791	26,491,342
	129,288,448	105,100,825
Total	305,058,564	284,210,708

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.1. Government Bonds (continued)

Information regarding interest rates and maturity date as follows:

	Annual Interest rate (%)	Maturity Date
<u>Rupiah</u>		
Government Treasury Bills	Various	Various
Fixed Rate Government Bonds		
FR0061	7.00	May 15, 2022
FR0063	5.63	May 15, 2023
FR0070	8.38	March 15, 2024
FR0077	8.13	May 15, 2024
FR0081	6.50	June 15, 2025
FR0084	7.25	February 15, 2026
FR0086	5.50	April 15, 2026
FR0087	6.50	February 15, 2031
FR0090	5.31	April 15, 2027
FR0091	6.38	April 15, 2023
Sharia Government Treasury Bills	Various	Various
Sukuk Government Bonds		
PBS002	5.45	January 15, 2022
PBS003	6.00	January 15, 2027
PBS017	6.13	October 15, 2025
PBS026	6.63	October 15, 2024
PBS027	6.50	May 15, 2023
PBS029	6.38	March 15, 2034
PBS031	4.00	July 15, 2024
PBS032	4.88	July 15, 2026
SR012	6.30	March 10, 2023
SR013	6.05	September 10, 2023
Republic of Indonesia Bonds		
ORI016	6.80	October 15, 2022
ORI017	6.40	July 15, 2023
ORI018	5.70	October 15, 2023
ORI019	5.57	February 15, 2024
ORI020	4.95	October 15, 2024

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.1. Government Bonds (continued)

Information regarding interest rates and maturity date as follows (continued):

	Annual Interest rate (%)	Maturity Date
<u>Foreign currency</u>		
United States Dollar		
Sukuk Government Bonds		
INDOIS 22	3.40	November 21, 2022
INDOIS 22A	3.40	March 29, 2022
INDOIS 23	3.75	March 1, 2023
INDOIS 24	4.35	September 10, 2024
INDOIS 24A	3.90	August 20, 2024
INDOIS 25	4.33	May 28, 2025
INDOIS 26	4.55	March 29, 2026
INDOIS 27	4.15	March 29, 2027
INDOIS 28	4.40	March 1, 2028
INDOIS 29	4.45	February 20, 2029
Fixed Rate Government Bonds		
RI0122	3.70	January 8, 2022
RI0123	2.95	January 11, 2023
RI0124	5.88	January 15, 2024
RI0125	4.13	January 15, 2025
RI0126	4.75	January 8, 2026
RI0229	4.75	February 11, 2029
RI0422	3.75	April 25, 2022
RI0423	3.38	April 15, 2023
RI0727	3.85	July 18, 2027
RI1023	5.38	October 17, 2023
European Euro Government Bonds		
RIEUR0227	0.90	February 14, 2027
RIEUR0333	1.10	March 12, 2033
RIEUR0623	2.63	June 14, 2023
RIEUR0724	2.15	July 18, 2024
RIEUR0725	3.38	July 30, 2025
RIEUR0729	1.00	July 28, 2029
Japanese Yen Government Bonds		
RIJPY0524	0.33	May 27, 2024
RIJPY0526	0.57	May 27, 2026
U.S. Treasury Bonds		
	Various	Various
U.S Treasury Bills		
	-	Various
Singapore Government Securities		
SIGB 0625	2.38	June 1, 2025
SIGB 0626	2.13	June 1, 2026
SIGB 1125	0.50	November 1, 2025

Market values of Government bonds classified as "Fair Value through Profit or Loss" and "Fair Value through Other Comprehensive Income" range from 93.47% to 139.47% and 94% to 157.20% as of December 31, 2021 and 2020, respectively.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.2. Bonds

	Fair Value/ Carrying Value	
	December 31, 2021	December 31, 2020
<u>Fair value through profit or loss</u>		
<u>Third parties</u>		
<u>Rupiah</u>		
PT Indosat Tbk	10,963	10,592
PT Bank CIMB Niaga Tbk	5,130	5,137
PT Medco Energi Internasional Tbk	2,736	2,782
	<u>18,829</u>	<u>18,511</u>
<u>Foreign Currency</u>		
PT Indonesia Infrastructure Finance	34,058	-
<u>Related parties (Note 44)</u>		
<u>Rupiah</u>		
PT Sarana Multi Infrastruktur (Persero)	63,585	100,655
PT Waskita Karya (Persero) Tbk	24,944	-
PT Wijaya Karya (Persero) Tbk	13,250	-
PT Perusahaan Listrik Negara (Persero)	7,405	55,033
PT Timah (Persero) Tbk	5,044	4,955
PT Pupuk Indonesia (Persero)	-	55,123
PT Sarana Multigriya Finansial (Persero)	-	22,626
PT Bank Tabungan Negara (Persero) Tbk	-	20,696
PT Pembangunan Perumahan (Persero) Tbk	-	16,776
	<u>114,228</u>	<u>275,864</u>
<u>Foreign Currency</u>		
PT Perusahaan Listrik Negara (Persero)	-	54,020
PT Bank Mandiri (Persero) Tbk	-	15,049
	<u>-</u>	<u>69,069</u>
	<u>167,115</u>	<u>363,444</u>
<u>Fair value through other comprehensive income</u>		
<u>Third parties</u>		
<u>Rupiah</u>		
PT Bank CIMB Niaga Tbk	662,293	433,518
PT Astra Sedaya Finance	637,088	441,156
PT Adira Dinamika Multi Finance Tbk	566,469	600,216
PT Federal International Finance	319,067	150,976
PT Bank Pan Indonesia Tbk	313,068	129,998
PT Candra Asri Petrochemical	248,354	18,154
PT Indonesia Infrastruktur Finansial	190,928	16,469
PT Bank Tabungan Pensiunan Nasional Tbk	189,932	123,051
PT Bank Maybank Indonesia Finance	183,632	24,541
PT Bank Maybank Indonesia Tbk	168,951	195,552
Others	529,753	898,844
	<u>4,009,535</u>	<u>3,032,475</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.2. Bonds (continued)

	Fair Value/ Carrying Value	
	December 31, 2021	December 31, 2020
<u>Fair value through other comprehensive income (continued)</u>		
<u>Third parties (continued)</u>		
<u>Foreign Currency</u>		
PT Indonesia Infrastructure Finance	68,116	-
Bank of America	9,147	9,452
Citigroup, Inc.	7,927	8,173
JP Morgan Chase Bank, N.A	7,594	7,878
The Royal Bank of Canada	5,801	5,954
Verizon Communications, Inc.	5,726	5,910
Stanley Black & Decker, Inc.	5,660	5,642
Bank Nova Scotia	5,448	5,330
Enterprise Products Operating, LLC	5,411	5,546
Berkshire Hathaway, Inc.	5,379	4,671
Others	107,093	130,817
	233,302	189,373
<u>Related parties (Note 44)</u>		
<u>Rupiah</u>		
PT Sarana Multigriya Finansial (Persero) Tbk	1,186,714	1,392,283
PT Perusahaan Listrik Negara (Persero)	1,039,035	1,133,196
PT Pupuk Indonesia (Persero)	926,582	278,174
PT Sarana Multi Infrastruktur (Persero)	895,789	872,833
PT Bank Mandiri (Persero) Tbk	802,789	1,044,633
PT Bank Tabungan Negara (Persero) Tbk	634,553	589,026
PT Bank Negara Indonesia (Persero) Tbk	607,170	800,687
PT Kereta Api Indonesia (Persero)	426,870	553,208
Lembaga Pembiayaan Ekspor Indonesia	414,028	713,650
PT Hutama Karya (Persero)	311,426	273,306
Others	1,446,263	2,086,245
	8,691,219	9,737,241
<u>Foreign Currency</u>		
PT Pertamina (Persero)	1,081,256	717,857
PT Indonesia Asahan Aluminium	956,684	-
PT Perusahaan Listrik Negara (Persero)	486,730	319,186
PT Perusahaan Gas Negara (Persero) Tbk	478,143	334,488
PT Bank Mandiri (Persero) Tbk	394,940	315,232
PT Pelabuhan Indonesia II (Persero)	199,989	138,858
PT Sarana Multi Infrastruktur (Persero)	165,921	-
PT Pelabuhan Indonesia III (Persero)	135,503	136,860
PT Hutama Karya (Persero)	15,212	17,672
	3,914,378	1,980,153
	16,848,434	14,939,242

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.2. Bonds (continued)

	Fair Value/ Carrying Value	
	December 31, 2021	December 31, 2020
<u>Amortized costs</u>		
<u>Third parties</u>		
<u>Rupiah</u>		
PT Indosat Tbk	78,331	92,960
PT BPD Jawa Barat dan Banten Tbk	65,674	-
PT Indonesia Infrastructure Finance	20,000	70,000
PT Bank CIMB Niaga Tbk	10,000	10,000
PT Aneka Gas Industri Tbk	3,030	3,062
Others	-	233,962
	177,035	409,984
<u>Related parties (Note 44)</u>		
<u>Rupiah</u>		
PT Perusahaan Listrik Negara (Persero)	377,334	378,571
PT Telekomunikasi Indonesia (Persero) Tbk	200,195	200,257
PT Bank Tabungan Negara (Persero) Tbk	152,580	261,649
Lembaga Pembiayaan Ekspor Indonesia	83,055	223,426
PT Sarana Multigriya Financial (Persero)	75,000	-
PT Kereta Api Indonesia (Persero)	35,000	35,000
PT Adhi Karya (Persero) Tbk	30,163	30,489
PT Sarana Multi Infrastruktur (Persero)	30,000	30,000
PT Bank Mandiri Taspen	18,004	-
PT Bank Mandiri (Persero) Tbk	10,373	-
PT Industri Kereta Api	10,000	10,000
Others	-	190,021
	1,021,704	1,359,413
<u>Foreign Currency</u>		
PT Perusahaan Listrik Negara (Persero)	162,710	204,778
PT Perusahaan Gas Negara (Persero) Tbk	57,023	56,058
PT Pertamina (Persero)	50,844	164,199
PT Pelabuhan Indonesia II (Persero)	38,040	37,196
PT Pelabuhan Indonesia III (Persero)	22,537	22,315
	331,154	484,546
	1,529,893	2,253,943
Total	18,545,442	17,556,629

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.2. Bonds (continued)

Information regarding interest rates, maturity dates and ratings are as follows:

	Annual Interest Rate (%)	Maturity Date	Ratings*)
Third parties			
Rupiah			
PT Adira Dinamika Multifinance Tbk			
<i>Berkelanjutan</i> III Phase VI Year 2017			
Series C	8.40	July 14, 2022	idAAA
<i>Berkelanjutan</i> III Phase V Year 2017			
Series C	8.90	March 22, 2022	idAAA
<i>Berkelanjutan</i> IV Phase I Year 2017			
Series C	7.55	December 12, 2022	idAAA
<i>Berkelanjutan</i> IV Phase II Year 2018			
Series D	7.50	March 21, 2023	idAAA
<i>Berkelanjutan</i> IV Phase III Year 2018			
Series D	9.00	August 16, 2022	idAAA
<i>Berkelanjutan</i> IV Phase IV Year 2019			
Series C	9.50	January 23, 2024	idAAA
<i>Berkelanjutan</i> IV Phase V Year 2019			
Series B	8.60	April 16, 2022	idAAA
Series C	9.15	April 16, 2024	idAAA
<i>Berkelanjutan</i> IV Phase VI Year 2019			
Series B	7.80	October 4, 2022	idAAA
Series C	8.10	October 4, 2024	idAAA
<i>Berkelanjutan</i> V Phase I Year 2020			
Series B	7.90	July 7, 2023	idAAA
<i>Berkelanjutan</i> V Phase II Year 2021			
Series A	4.25	August 3, 2022	idAAA
Series B	5.50	July 23, 2022	idAAA
PT Aneka Gas Industri			
<i>Berkelanjutan</i> I Phase II Year 2017			
Series B	9.90	December 5, 2022	A-(idn)
Sukuk Ijarah <i>Berkelanjutan</i> I Phase II			
Year 2017			
Series B	9.90	December 5, 2022	A-(idn)sy
Sukuk Ijarah <i>Berkelanjutan</i> I Phase III			
Year 2019			
Series B	11.00	March 19, 2022	A-(idn)sy
<i>Berkelanjutan</i> I Phase III Year 2019			
Series A	11.00	March 19, 2022	A-(idn)

*) Based on the rank published by PT Pemeringkat Efek Indonesia (Pefindo)

**) Based on the rank published by Moody's

***) Based on Ratings issued by Fitch Ratings

****) Based on Ratings issued by Standard & Poor's

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.2. Bonds (continued)

Information regarding interest rates, maturity dates and ratings are as follows (continued):

	Annual Interest Rate (%)	Maturity Date	Ratings*)
<u>Third parties (continued)</u>			
<u>Rupiah (continued)</u>			
PT Astra Sedaya Finance			
Berkelanjutan III Phase IV Year 2017 Series C	7.65	November 2, 2022	idAAA
Berkelanjutan IV Phase II Year 2019 Series C	9.20	February 13, 2024	idAAA
Berkelanjutan IV Phase III Year 2019 Series B	7.70	October 23, 2022	idAAA
Series C	7.95	October 23, 2024	idAAA
Berkelanjutan IV Phase IV Year 2020 Series B	7.00	March 27, 2023	idAAA
Berkelanjutan V Phase II Year 2021 Series B	6.35	April 15, 2024	idAAA
Berkelanjutan V Phase III Year 2021 Series B	5.30	October 22, 2024	idAAA
PT Bank CIMB Niaga Tbk			
Berkelanjutan II Phase II Year 2017 Series C	8.15	August 23, 2022	idAAA
Berkelanjutan II Phase III Year 2017 Series C	7.75	November 2, 2022	idAAA
Berkelanjutan II Phase IV Year 2017 Series C	8.80	September 20, 2023	idAAA
Berkelanjutan I Phase I Year 2019	7.80	December 19, 2024	idAAA
Berkelanjutan III Phase I Year 2019 Series B	7.55	December 19, 2022	idAAA
Sukuk Mudharabah Berkelanjutan I Phase II Year 2019 Series B	7.90	August 21, 2022	idAAA
Phase II Year 2019 Series C	8.25	August 21, 2024	idAAA
Phase III Year 2020 Series B	7.00	March 27, 2023	idAAA
Sukuk Mudharabah Berkelanjutan I Phase III Year 2020 Series C	7.25	March 27, 2025	idAAA
PT Bank Tabungan Pensiunan Nasional Tbk			
Berkelanjutan IV Phase I Year 2019 Series A	7.55	November 26, 2022	idAAA
Series B	7.75	November 26, 2024	idAAA
PT Bank Pan Indonesia Tbk			
Berkelanjutan II Phase III Year 2018	7.60	February 27, 2023	idAA
PT BPD Jawa Barat dan Banten Tbk			
Berkelanjutan I Phase I Year 2017 Series B	8.15	December 6, 2022	idAA-
Berkelanjutan I Phase III Year 2019 Series B	8.50	October 18, 2024	idAA-

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PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.2. Bonds (continued)

Information regarding interest rates, maturity dates and ratings are as follows (continued):

	Annual Interest Rate (%)	Maturity Date	Ratings*)
<u>Third parties (continued)</u>			
<u>Rupiah (continued)</u>			
PT Chandra Asri Petrochemical Tbk			
<i>Berkelanjutan I Phase I Year 2017</i>			
Series B	9.10	December 12, 2022	idAA-
<i>Berkelanjutan I Phase I Year 2018</i>			
Series C	9.00	March 1, 2025	idAA-
<i>Berkelanjutan III Phase I Year 2020</i>	8.20	October 29, 2028	idAA-
PT Federal International Finance			
<i>Berkelanjutan IV Phase I Year 2019</i>			
Series B	8.55	June 25, 2022	idAAA
<i>Berkelanjutan IV Phase II Year 2020</i>			
Series B	7.25	October 7, 2023	idAAA
<i>Berkelanjutan V Phase I Year 2021</i>			
Series B	6.25	June 8, 2024	idAAA
<i>Berkelanjutan V Phase I Year 2021</i>			
Series A	4.60	June 18, 2022	idAAA
<i>Berkelanjutan V Phase II Year 2021</i>			
Series A	3.60	November 7, 2022	idAAA
Series B	5.30	October 27, 2024	idAAA
PT Bank Maybank Indonesia Tbk			
<i>Berkelanjutan II Phase I Year 2017</i>			
Series A	8.00	July 11, 2022	AAA***
Series C	8.65	July 11, 2027	AAA***
<i>Berkelanjutan II Phase II Year 2018</i>	7.15	March 15, 2023	AAA***
<i>Berkelanjutan II Phase III Year 2018</i>			
Series C	8.80	October 26, 2023	idAAA
PT Indonesia Infrastructure Finance			
Phase I Year 2016			
Series C	9.00	July 19, 2023	idAAA
Phase I Year 2019 Series B	7.75	December 18, 2022	idAAA
Phase II Year 2020			
Series B	6.65	October 21, 2023	idAAA
PT Maybank Indonesia Finance			
<i>Berkelanjutan I Phase IV Year 2017</i>			
Series B	7.90	November 15, 2022	AA+(idn)
<i>Berkelanjutan II Phase I Year 2018</i>	8.00	May 17, 2023	AA+(idn)
<i>Berkelanjutan II Phase II Year 2019</i>			
Series A	9.00	April 2, 2022	AA+(idn)

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PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.2. Bonds (continued)

Information regarding interest rates, maturity dates and ratings are as follows (continued):

	Annual Interest Rate (%)	Maturity Date	Ratings*)
Third parties (continued)			
<u>Rupiah (continued)</u>			
PT Indosat Tbk			
Obligasi VIII Year 2012 Series B	8.88	June 27, 2022	idAAA
Sukuk Ijarah Berkelanjutan I Phase III Year 2015 Series B	11.20	December 8, 2025	idAAA(sy)
Berkelanjutan I Phase III Year 2015 Series D	11.20	December 8, 2025	idAAA
Berkelanjutan II Phase I Year 2017 Series E	9.25	May 31, 2027	idAAA
Berkelanjutan II Phase II Year 2017 Series E	8.65	November 9, 2027	idAAA
Berkelanjutan II Phase III Year 2018 Series C	7.65	May 3, 2023	idAAA
Series E	8.70	May 3, 2028	idAAA
PT Medco Energi Internasional Tbk			
Berkelanjutan II Phase V Year 2017 Series C	11.30	June 14, 2022	idA+
Berkelanjutan III Phase I Year 2018 Series B	9.15	March 29, 2023	idA+
<u>United States Dollar</u>			
Bank of America			
Year 2026	1.32	June 19, 2026	A2**)
Year 2026	3.50	April 19, 2026	A2**)
Year 2031	2.50	February 13, 2031	A2**)
Year 2031	1.92	October 24, 2031	A2**)
The Bank of Nova Scotia			
Year 2024	0.70	April 15, 2024	A2**)
Year 2025	1.30	June 11, 2025	A2**)
Year 2025	4.50	December 16, 2025	Baa1**)
Berkshire Hathaway, Inc.			
Year 2023	2.75	March 15, 2023	Aa2**)
Year 2030	1.85	March 12, 2030	Aa2**)
Citigroup, Inc.			
Year 2024	3.75	June 16, 2024	A3**)
Year 2028	3.52	October 27, 2028	A3**)
Year 2031	2.67	January 29, 2031	A3**)

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PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.2. Bonds (continued)

Information regarding interest rates, maturity dates and ratings are as follows (continued):

	Annual Interest Rate (%)	Maturity Date	Ratings*)
<u>Third parties (continued)</u>			
<u>United States Dollar (continued)</u>			
Enterprise Products Operating LLC			
Year 2023	3.35	March 15, 2023	Baa1**)
Year 2028	4.15	October 16, 2028	Baa1**)
JP Morgan Chase Bank, N.A			
Year 2025	3.22	March 1, 2025	A2**)
Year 2026	2.01	March 13, 2026	A2**)
Year 2029	4.45	December 5, 2029	A2**)
PT Indonesia Infrastructure Finance	1.50	January 27, 2026	BBB***)
The Royal Bank of Canada			
Year 2024	2.55	July 16, 2024	A2**)
Year 2025	1.15	June 10, 2025	A2**)
Year 2026	4.65	January 27, 2026	Baa1**)
Stanley Black & Decker, Inc.			
Year 2024	3.70	October 23, 2024	A1**)
Year 2027	3.63	January 20, 2027	A1**)
Year 2027	1.59	May 4, 2027	A1**)
Year 2031	2.70	January 22, 2031	A1**)
Verizon Communications, Inc.			
Year 2028	4.33	September 21, 2028	Baa1**)
Year 2032	2.36	February 15, 2032	Baa1**)
<u>Related parties (Note 44)</u>			
<u>Rupiah</u>			
PT Adhi Karya (Persero) Tbk			
Berkelanjutan II Phase I Year 2017	9.25	June 22, 2022	idA-
PT Bank Mandiri (Persero) Tbk			
Berkelanjutan I Phase I Year 2016			
Series B	8.50	September 30, 2023	idAAA
Series C	8.65	September 30, 2026	idAAA
Berkelanjutan I Phase II Year 2017			
Series A	8.00	June 15, 2022	idAAA
Series B	8.50	June 15, 2024	idAAA
Series C	8.65	June 15, 2027	idAAA
Berkelanjutan I Phase III Year 2018			
Series A	8.50	September 21, 2023	idAAA
Berkelanjutan II Phase I Year 2020			
Series A	7.75	May 12, 2025	idAAA

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PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.2. Bonds (continued)

Information regarding interest rates, maturity dates and ratings are as follows (continued):

	Annual Interest Rate (%)	Maturity Date	Ratings*)
<u>Related parties (Note 44) (continued)</u>			
<u>Rupiah (continued)</u>			
PT Bank Negara Indonesia (Persero) Tbk <i>Berkelanjutan I Phase I Year 2017</i>	8.00	July 11, 2022	idAAA
PT Bank Tabungan Negara (Persero) Tbk <i>Berkelanjutan I Phase II Year 2012</i>	7.90	June 5, 2022	idAA+
<i>Berkelanjutan I Phase II Year 2013</i>	7.90	March 27, 2023	idAA+
<i>Berkelanjutan II Phase I Year 2015</i>			
Series C	10.00	July 8, 2022	idAA+
<i>Berkelanjutan III Phase I Year 2017</i>			
Series B	8.50	July 13, 2022	idAA+
Series D	8.90	July 13, 2027	idAA+
<i>Berkelanjutan III Phase II Year 2019</i>			
Series B	8.75	June 28, 2022	idAA+
Series C	9.00	June 28, 2024	idAA+
<i>Berkelanjutan IV Phase I Year 2020</i>			
Series B	7.80	August 19, 2023	idAA+
PT Bank Mandiri Taspen <i>Berkelanjutan I Phase I Year 2019</i>			
Series B	8.20	November 26, 2024	idAA
PT Hutama Karya (Persero) <i>Berkelanjutan I Phase I Year 2016</i>	8.55	December 21, 2026	idAAA
<i>Berkelanjutan I Phase II Year 2017</i>	8.07	June 6, 2027	idAAA
<i>Berkelanjutan I Phase III Year 2017</i>			
Series A	7.80	September 26, 2022	idAAA
PT Industri Kereta Api (Persero) <i>Mudharabah I Year 2020</i>	9.35	February 24, 2023	idBBB+(sy)
PT Kereta Api Indonesia (Persero) <i>Berkelanjutan II Year 2017</i>			
Series A	7.75	November 21, 2022	idAA+
Series B	8.25	November 21, 2024	idAA+
<i>Berkelanjutan II Year 2019</i>			
Series A	7.75	December 13, 2024	idAA+
Series B	8.20	December 13, 2026	idAA+

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**) Based on the rank published by Moody's

***) Based on Ratings issued by Fitch Ratings

****) Based on Ratings issued by Standard & Poor's

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.2. Bonds (continued)

Information regarding interest rates, maturity dates and ratings are as follows (continued):

	Annual Interest Rate (%)	Maturity Date	Ratings*)
Related parties (Note 44) (continued)			
Rupiah (continued)			
Lembaga Pembiayaan Ekspor Indonesia			
<i>Berkelanjutan</i> III Phase III Year 2016			
Series D	8.50	November 22, 2023	idAAA
<i>Berkelanjutan</i> III Phase IV Year 2017			
Series C	8.90	February 23, 2022	idAAA
<i>Berkelanjutan</i> III Phase V Year 2017			
Series B	7.90	August 15, 2022	idAAA
Series C	8.25	August 15, 2024	idAAA
<i>Berkelanjutan</i> III Phase VI Year 2018			
Series B	6.70	February 14, 2023	idAAA
Series C	6.90	February 14, 2025	idAAA
<i>Berkelanjutan</i> IV Phase I Year 2018			
Series C	8.30	June 6, 2025	idAAA
<i>Berkelanjutan</i> IV Phase II Year 2018			
Series C	8.40	September 5, 2023	idAAA
<i>Berkelanjutan</i> IV Phase III Year 2018			
Series D	9.75	November 8, 2025	idAAA
<i>Berkelanjutan</i> IV Phase IV Year 2019			
Series B	8.40	April 23, 2022	idAAA
Series C	8.90	April 23, 2024	idAAA
Series D	9.25	April 23, 2026	idAAA
Series E	9.50	April 23, 2029	idAAA
<i>Berkelanjutan</i> IV Phase V Year 2019			
Series B	8.45	July 9, 2022	idAAA
Series C	8.70	July 9, 2024	idAAA
Series D	9.20	July 9, 2026	idAAA
<i>Berkelanjutan</i> IV Phase VI Year 2019			
Series D	8.50	September 3, 2026	idAAA
<i>Berkelanjutan</i> IV Phase VII Year 2019			
Series D	8.50	October 29, 2026	idAAA
Series E	8.75	October 29, 2029	idAAA
<i>Berkelanjutan</i> IV Phase VIII Year 2019			
Series C	8.10	December 6, 2026	idAAA
PT Perusahaan Listrik Negara (Persero)			
Phase IX Year 2007 Series B	10.90	July 10, 2022	idAAA
Phase XII Year 2010 Series B	10.40	July 8, 2022	idAAA
<i>Berkelanjutan</i> I Phase I Year 2013			
Series B	8.25	July 5, 2023	idAAA
<i>Berkelanjutan</i> I Phase II Year 2013			
Series B	9.60	December 10, 2023	idAAA

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PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.2. Bonds (continued)

Information regarding interest rates, maturity dates and ratings are as follows (continued):

	Annual Interest Rate (%)	Maturity Date	Ratings*)
Related parties (Note 44) (continued)			
Rupiah (continued)			
PT Perusahaan Listrik Negara (Persero)			
(continued)			
<i>Berkelanjutan II Phase II Year 2017</i>			
Series C	8.20	November 3, 2027	idAAA
Series D	8.70	November 3, 2032	idAAA
<i>Berkelanjutan II Phase III Year 2018</i>			
Series C	7.25	February 22, 2028	idAAA
Series E	8.75	February 22, 2038	idAAA
<i>Berkelanjutan III Phase II Year 2018</i>			
Series B	9.00	October 10, 2025	idAAA
<i>Berkelanjutan III Phase III Year 2019</i>			
Series B	9.10	February 19, 2024	idAAA
Series D	9.60	February 19, 2029	idAAA
<i>Berkelanjutan III Phase IV Year 2019</i>			
Series A	8.00	August 1, 2024	idAAA
Series B	8.50	August 1, 2026	idAAA
Series C	8.70	August 1, 2029	idAAA
<i>Berkelanjutan III Phase V Year 2019</i>			
Series A	7.90	October 1, 2024	idAAA
Series B	8.40	October 1, 2026	idAAA
Series D	9.40	October 1, 2034	idAAA
<i>Berkelanjutan III Phase VII Year 2019</i>			
Series D	9.10	May 6, 2030	idAAA
<i>Berkelanjutan III Phase VI Year 2020</i>			
Series A	7.20	February 18, 2025	idAAA
Series B	7.70	February 18, 2027	idAAA
Series C	8.00	February 18, 2030	idAAA
Series D	8.70	February 18, 2035	idAAA
<i>Berkelanjutan IV Phase I Year 2020</i>			
Series A	6.70	September 8, 2025	idAAA
<i>Sukuk Ijarah Phase V Year 2010</i>			
Series B	10.40	July 8, 2022	idAAA
<i>Sukuk Ijarah Berkelanjutan I Phase II</i>			
Year 2013 Series B	9.60	December 10, 2023	idAAA
<i>Sukuk Ijarah Berkelanjutan II Phase I</i>			
Year 2017 Series A	7.70	July 11, 2022	idAAA
Year 2017 Series B	8.50	July 11, 2027	idAAA
<i>Sukuk Ijarah Berkelanjutan II Phase II</i>			
Year 2017 Series C	8.70	November 3, 2032	idAAA

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PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.2. Bonds (continued)

Information regarding interest rates, maturity dates and ratings are as follows (continued):

	Annual Interest Rate (%)	Maturity Date	Ratings*)
Related parties (Note 44) (continued)			
Rupiah (continued)			
PT Perusahaan Listrik Negara (Persero) (continued)			
Sukuk Ijarah <i>Berkelanjutan</i> II Phase III Year 2018 Series A	6.50	February 22, 2023	idAAA
Year 2018 Series B	7.25	February 22, 2028	idAAA
Sukuk Ijarah <i>Berkelanjutan</i> III Phase II Year 2018 Series B	9.00	October 10, 2025	idAAA
Sukuk Ijarah <i>Berkelanjutan</i> III Phase V Year 2018 Series A	7.90	October 1, 2024	idAAA
Sukuk Ijarah <i>Berkelanjutan</i> III Phase IV Year 2019 Series B	8.50	August 1, 2026	idAAA
Sukuk Ijarah <i>Berkelanjutan</i> III Phase VI Year 2020 Series C	8.75	February 18, 2035	idAAA
PT Pupuk Indonesia (Persero)			
<i>Berkelanjutan</i> I Phase I Year 2017 Series B	8.60	July 12, 2024	AAA(idn)
<i>Berkelanjutan</i> I Phase II Year 2017 Series B	7.90	November 9, 2022	AAA(idn)
<i>Berkelanjutan</i> II Phase I Year 2020 Series A	7.00	September 3, 2023	AAA(idn)
Series B	7.70	September 3, 2025	AAA(idn)
<i>Berkelanjutan</i> II Phase II Year 2021 Series A	5.60	March 10, 2024	AAA(idn)
Series B	6.20	March 10, 2026	AAA(idn)
Series C	7.20	March 10, 2028	AAA(idn)
PT Sarana Multigriya Finansial (Persero)			
<i>Berkelanjutan</i> IV Phase III Year 2018 Series C	6.95	February 20, 2023	idAAA
<i>Berkelanjutan</i> IV Phase VII Year 2019 Series B	8.80	February 12, 2022	idAAA
Series C	9.25	February 12, 2024	idAAA
<i>Berkelanjutan</i> IV Phase VIII Year 2019 Series B	8.45	March 22, 2022	idAAA
<i>Berkelanjutan</i> V Phase I Year 2019 Series B	8.50	July 4, 2022	idAAA
<i>Berkelanjutan</i> V Phase II Year 2019 Series A	7.80	August 28, 2022	idAAA
Series B	8.10	August 28, 2024	idAAA
<i>Berkelanjutan</i> V Phase III Year 2020 Series B	7.50	February 18, 2025	idAAA
<i>Berkelanjutan</i> V Phase IV Year 2020 Series B	8.10	July 14, 2025	idAAA

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PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.2. Bonds (continued)

Information regarding interest rates, maturity dates and ratings are as follows (continued):

	Annual Interest Rate (%)	Maturity Date	Ratings*)
<u>Related parties (Note 44) (continued)</u>			
<u>Rupiah (continued)</u>			
PT Sarana Multigriya Finansial (Persero) (continued)			
EBA SP SMF BTN05 Kelas A Series A1 <i>Berkelanjutan V Phase V Year 2021</i>	8.50	May 7, 2032	idAAA
Series B <i>Berkelanjutan VI Phase II Year 2021</i>	5.75	February 10, 2024	idAAA
Sukuk Mudharabah <i>Berkelanjutan II</i> <i>Phase I Year 2021</i>	6.00	November 17, 2026	idAAA
	5.60	July 8, 2024	idAAA
PT Sarana Multi Infrastruktur (Persero)			
<i>Berkelanjutan II Phase I Year 2019</i> Series B	8.50	June 25, 2022	idAAA
<i>Berkelanjutan II Phase II Year 2019</i> Series D	8.50	August 28, 2026	idAAA
<i>Berkelanjutan II Phase III Year 2019</i> Series B	7.75	October 30, 2022	idAAA
Series C	7.95	October 30, 2024	idAAA
Series D	8.30	October 30, 2026	idAAA
<i>Berkelanjutan V Phase II Year 2019</i> Series A	7.80	August 28, 2022	idAAA
Series B	8.10	August 28, 2024	idAAA
Sukuk Mudharabah I Phase II Year 2019 Series A	8.50	August 28, 2026	idAAA
<i>Berkelanjutan II Phase IV Year 2020</i> Series B	7.60	July 21, 2023	idAAA
<i>Berkelanjutan II Phase V Year 2020</i> Series A	6.30	December 11, 2023	idAAA
Series B	6.70	December 11, 2025	idAAA
PT Semen Indonesia (Persero)			
<i>Berkelanjutan I Phase I Year 2017</i>	8.60	June 20, 2022	idAA+
<i>Berkelanjutan I Phase II Year 2019</i> Series A	9.00	May 28, 2024	idAA+
PT Telekomunikasi Indonesia (Persero) Tbk			
<i>Berkelanjutan I Phase I Year 2015</i> Series A	9.93	June 23, 2022	idAAA
Series B	10.25	June 23, 2025	idAAA
Series D	11.00	June 23, 2045	idAAA
PT Timah (Persero) Tbk			
Sukuk <i>Ijarah Berkelanjutan I Phase II</i> <i>Year 2019</i>	8.75	August 15, 2024	idA(sy)
PT Waskita Karya (Persero) Tbk			
<i>Berkelanjutan III Year 2017</i> Series B	6.10	September 24, 2026	idAAA
PT Wijaya Karya (Persero) Tbk			
<i>Berkelanjutan II Phase I Year 2021</i>	8.25	September 8, 2024	idA

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PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.2. Bonds (continued)

Information regarding interest rates, maturity dates and ratings are as follows (continued):

	Annual Interest Rate (%)	Maturity Date	Ratings*)
<u>Related parties (Note 44) (continued)</u>			
<u>Foreign Currency</u>			
PT Bank Mandiri (Persero) Tbk			
Year 2024	3.75	April 11, 2024	BBB-***)
Year 2025	4.75	May 13, 2025	BBB-***)
Year 2026	2.00	April 19, 2026	BBB-***)
PT Hutama Karya (Persero) Tbk			
Year 2030	3.75	May 11, 2030	BBB-***)
PT Indonesia Asahan Aluminium (Persero)			
Year 2023	5.71	November 15, 2023	BBB-***)
Year 2025	4.75	May 15, 2025	BBB-***)
Year 2028	3.02	November 15, 2028	BBB-***)
Year 2030	5.45	May 15, 2030	BBB-***)
PT Pelabuhan Indonesia II (Persero)			
Year 2025	4.25	May 5, 2025	BBB-***)
PT Pelabuhan Indonesia III (Persero)			
Year 2023	4.50	May 2, 2023	BBB-***)
Year 2024	4.88	October 1, 2024	BBB-***)
PT Pertamina (Persero)			
Year 2022	4.88	May 3, 2022	BBB***)
Year 2023	4.30	May 20, 2023	BBB***)
Year 2029	3.65	July 30, 2029	BBB***)
Year 2030	3.10	January 21, 2030	BBB***)
Year 2031	2.30	February 9, 2031	BBB***)
PT Perusahaan Gas Negara (Persero) Tbk			
Year 2024	5.13	May 16, 2024	BBB-***)
PT Perusahaan Listrik Negara (Persero)			
Year 2027	4.13	May 15, 2027	BBB***)
Year 2028	5.45	May 21, 2028	BBB***)
Year 2029	5.38	January 25, 2029	BBB***)
Year 2030	3.38	February 5, 2030	BBB***)
Year 2050	4.00	June 30, 2050	BBB***)
PT Sarana Multi Infrastruktur (Persero)			
Year 2026	2.05	May 11, 2026	BBB***)

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PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.3. Mutual Fund

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Fair value through profit or loss</u>		
<u>Third parties</u>		
<u>Rupiah</u>		
PT Schroder Investment Management Indonesia	2,203,315	2,128,820
PT Batavia Prosperindo Aset Manajemen	1,078,632	452,225
PT Sucorinvest Asset Management	31,177	61,705
PT BNP Paribas Investment Partners	18,243	15,758
PT Avrist Asset Management	10,317	10,184
PT Insight Investments Management	6,576	7,996
PT Ashmore Asset Management Indonesia	-	58,046
PT Panin Asset Management	-	42,502
PT Mega Capital Investama	-	20,781
PT RHB Asset Management Indonesia	-	12,576
Others	-	468,645
	<u>3,348,260</u>	<u>3,279,238</u>
<u>United States Dollar</u>		
PT Manulife Aset Manajemen Indonesia	1,420,291	2,112,386
PT BNP Paribas Asset Management	427,407	714,162
PT Schroder Investment Management Indonesia	8,727	434,456
PT Ashmore Asset Management Indonesia	-	1,406,892
	<u>1,856,425</u>	<u>4,667,896</u>
<u>Related parties (Note 44)</u>		
<u>Rupiah</u>		
PT Danareksa Investment Management	1,539,516	170,890
PT Bahana TCW Investment Management	54,657	131,442
PT Mandiri Manajemen Investasi	11,638	34,503
	<u>1,605,811</u>	<u>336,835</u>
	<u>6,810,496</u>	<u>8,283,969</u>
<u>Fair Value Through Other Comprehensive Income</u>		
<u>Third parties</u>		
<u>Rupiah</u>		
PT Trimegah Asset Management	1,812,280	473,676
PT Syailendra Capital	1,507,439	-
PT Manulife Aset Manajemen Indonesia	758,100	-
PT Sucorinvest Asset Management	704,687	-
PT Berdikari Manajemen Investasi	575,237	-
PT Mega Capital Investama	20,782	-
PT Ashmore Aset Management Indonesia	17,881	-
	<u>5,396,406</u>	<u>473,676</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.3. Mutual Fund (continued)

	December 31, 2021	December 31, 2020
Fair Value Through Other Comprehensive Income		
(continued)		
<u>Related parties (Note 44)</u>		
<u>Rupiah</u>		
PT Bahana TCW Investment Management	925,232	-
PT BNI Asset Management	750,591	-
PT Danareksa Investment Management	705,350	-
PT Mandiri Manajemen Investasi	22,577	-
	2,403,750	-
	7,800,156	473,676
Total	14,610,652	8,757,645

d.4. Negotiable Certificate of Deposit (NCD)

	Annual Nominal Value	Interest Rate (%)	Maturity Date	Carrying Value	
				December 31, 2021	December 31, 2020
Fair value through profit or loss					
<u>Third parties</u>					
<u>Rupiah</u>					
PT Bank Maybank Indonesia Tbk					
Year 2020 Series C	50,000	4.28	Apr 8, 2021	-	49,419
XIII Year 2021	60,000	4.07	Sep 29, 2022	58,165	-
PT BPD Bali					
I Year 2021	20,000	4.75	Nov 24, 2022	19,304	-
PT Bank DKI					
Year 2021 Series A	50,000	4.25	Mar 9, 2022	49,540	-
				127,009	49,419
Fair Value Through Other Comprehensive Income					
<u>Third parties</u>					
<u>Rupiah</u>					
The Bank of Tokyo-Mitsubishi UFJ Ltd,					
V Phase II Year 2020 Series C	200,000	5.26	Jul 22, 2021	-	194,876
V Phase I Year 2020 Series D	150,000	5.70	Feb 18, 2021	-	149,160
PT Bank Maybank Indonesia Tbk					
XII Year 2020 Series C	50,000	5.12	Aug 13, 2021	-	48,576
XIV Year 2021	70,000	3.75	Dec 8, 2022	67,444	
PT Bank Commonwealth					
VII Phase I Year 2020	190,000	5.94	Jan 29, 2021	-	189,435
				67,444	582,047

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.4. Negotiable Certificate of Deposit (NCD) (continued)

				Carrying Value	
	Annual Nominal Value	Interest Rate (%)	Maturity Date	December 31, 2021	December 31, 2020
<u>Fair Value Through Other Comprehensive Income (continue)</u>					
<u>Related parties (Note 44)</u>					
<u>Rupiah</u>					
PT Bank Negara Indonesia (Persero) Tbk					
Phase I Year 2020 Series D	100,000	5.80	May 7, 2021	-	98,415
				-	98,415
				67,444	680,462
<u>Amortized Cost</u>					
<u>Third parties</u>					
<u>Rupiah</u>					
PT Bank Maybank Indonesia Tbk					
Year 2021 Series C	70,000	3.75	Sep 9, 2022	67,605	-
PT Bank DKI					
I Series B	30,000	4.65	Dec 8, 2022	29,071	-
				96,676	-
Total				291,129	729.881

d.5. Subordinated Bonds

	Fair Value/ Carrying Value	
	December 31, 2021	December 31, 2020
<u>Fair value through profit or loss</u>		
<u>Third parties</u>		
<u>Rupiah</u>		
PT Bank KEB Hana Indonesia		
Series I Year 2016	33,438	33,170
PT Bank Central Asia Tbk		
<i>Berkelanjutan</i> I Phase I Year 2018 Series B	15,471	15,143
	48,909	48,313
<u>Related parties (Note 44)</u>		
<u>Rupiah</u>		
PT Bank Syariah Indonesia Tbk		
Sukuk <i>Mudharabah</i> Subordinasi I Year 2016	2,057	-
	50,966	48,313

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.5. Subordinated Bonds (continued)

	Fair Value/ Carrying Value	
	December 31, 2021	December 31, 2020
<u>Fair value through Other Comprehensive Income</u>		
<u>Third parties</u>		
<u>Rupiah</u>		
PT Bank Permata Tbk		
<i>Berkelanjutan II Phase II Year 2014</i>	-	36,685
PT Bank Pan Indonesia Tbk		
<i>Berkelanjutan II Phase II Year 2017</i>	40,297	40,183
PT Bank Maybank Indonesia Tbk		
<i>Berkelanjutan II Phase I Year 2014</i>	-	30,855
<i>Berkelanjutan II Phase II Year 2016</i>	24,365	24,312
PT Bank UOB Indonesia		
Series I Year 2014	-	28,641
<i>Berkelanjutan I Phase II Year 2017</i>	21,541	21,059
PT Bank KEB Hana Indonesia		
Series I Year 2016	9,708	9,630
PT Bank Central Asia Tbk		
<i>Berkelanjutan I Phase I Year 2018 Seri A</i>	5,135	4,979
	<u>101,046</u>	<u>196,344</u>
 <u>Related parties (Note 44)</u>		
<u>Rupiah</u>		
PT Bank Syariah Indonesia Tbk		
<i>Sukuk Mudharabah Subordinasi I Year 2016</i>	25,717	-
	<u>126,763</u>	<u>196,344</u>
 <u>Amortized Cost</u>		
<u>Third parties</u>		
<u>Rupiah</u>		
PT Bank Pembangunan Daerah Jawa Tengah		
Subordinasi I 2015	34,056	35,065
	<u>34,056</u>	<u>35,065</u>
 <u>Related parties</u>		
<u>Rupiah</u>		
PT Bank Syariah Indonesia Tbk		
<i>Sukuk Mudharabah Subordinasi I Year 2016</i>	7,000	-
	<u>41,056</u>	<u>35,065</u>
 Total	<u>218,785</u>	<u>279,722</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.5. Subordinated Bonds (continued)

Information regarding interest rates, maturity dates and ratings are as follows:

	Annual Interest Rate (%)	Maturity Date	Ratings ^{*)}	
			December 31, 2021	December 31, 2020
<u>Third parties</u>				
<u>Rupiah</u>				
PT Bank KEB Hana Indonesia Series I Year 2016	9.95	Dec 21, 2023	AA(idn)	AA(idn)
PT Bank Central Asia Tbk <i>Berkelanjutan</i> I Phase I Year 2018 Series A	7.75	Jul 5, 2025	idAA	idAA
Seri B	8.00	Jul 5, 2030	idAA	idAA
PT Bank Maybank Indonesia Tbk <i>Berkelanjutan</i> II Phase II Year 2016	9.63	Jun 10, 2023	AA(idn)	AA(idn)
PT Bank Permata Tbk <i>Berkelanjutan</i> II Phase II Year 2014	11.75	Oct 24, 2021	-	idAA
PT Bank Pan Indonesia Tbk <i>Berkelanjutan</i> II Phase II Year 2017	10.25	Mar 17, 2024	idA+	idA+
PT Bank UOB Indonesia <i>Berkelanjutan</i> I Phase II Year 2017	9.25	Oct 17, 2024	AA(idn)	AA(idn)
PT Bank Pembangunan Daerah Jawa Tengah Subordinasi I 2015	12.25	Dec 18, 2022	idA	idA
<u>Related parties</u>				
<u>Rupiah</u>				
PT Bank Syariah Indonesia Sukuk <i>Mudharabah</i> Subordinasi I Year 2016	9.25	Nov 16, 2023	idA+	

*) Based on the rank published by PT Pemeringkat Efek Indonesia (Pefindo)

d.6. Medium-Term Note (MTN)

				Fair Value/Carrying Value	
	Nominal Value	Annual Interest Rate (%)	Maturity Date	December 31, 2021	December 31, 2020
<u>Fair Value Through Other Comprehensive Income</u>					
<u>Related parties (Note 44)</u>					
<u>Rupiah</u>					
Perum Perumnas					
Phase III Series A Year 2018	60,000	11.25	Dec 10, 2023	67,397	61,542
PT Telekomunikasi Indonesia (Persero) Tbk					
Phase I Year 2018 Series C	100,000	8.35	Sep 4, 2021	-	101,645
PT Kimia Farma (Persero) Tbk					
Phase II Year 2018	36,000	7.75	Mar 15, 2021	-	36,380
PT Sarana Multigriya Finansial (Persero)					
Phase X Year 2020	40,000	5.25	Dec 5, 2021	-	40,351
PT Wijaya Karya (Persero) Tbk					
Phase I Year 2018	100,000	10.50	Dec 28, 2021	-	101,249
				67,397	341,167

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

d) By Type and Issuer (continued):

d.6. Medium-Term Note (MTN) (continued)

				Fair Value/Carrying Value	
	Nominal Value	Annual Interest Rate (%)	Maturity Date	December 31, 2021	December 31, 2020
<u>Amortized Costs</u>					
<u>Third parties</u>					
<u>Rupiah</u>					
PT Indah Kiat Pulp & Paper Tbk Series VII Year 2018	50,000	10.25	Apr 20, 2021	-	50,000
				-	50,000
<u>Related parties (Note 44)</u>					
<u>Rupiah</u>					
PT Bio Farma (Persero)	25,000	8.75	Aug 24, 2021	-	25,000
PT Perkebunan Nusantara II (Persero) VIII Series A	10,000	11.00	Jun 26, 2024	11,000	11,000
				11,000	36,000
				11,000	86,000
Total				78,397	427,167

*) Interest received every 3 (three) month.

e) Management believes that the allowance for impairment losses as of December 31, 2021 and 2020 is adequate.

f) Average interest rate:

	December 31, 2021	December 31, 2020
Rupiah	6.73%	6.90%
United States Dollar	3.88	4.09
European Euro	2.44	2.79
Singaporean Dollar	0.98	1.33
Japanese Yen	0.61	-

g) BRI recognized net unrealized gain resulting from the changes in fair values of securities classified as "Fair Value through Profit or Loss" amounting to Rp120,067 and Rp342,351 for the year ended December 31, 2021 and 2020, respectively which are presented in the "Unrealized gain on changes in fair value of securities" in the consolidated statement of profit or loss and other comprehensive income.

h) BRI recognized net gain on sale of securities amounting to Rp3,452,785 and Rp2,871,331 for the year ended December 31, 2021 and 2020, respectively which are presented in the "Gain on sale of securities and Government Recapitalization Bonds-net" in the consolidated statements of profit or loss and other comprehensive income.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

- i) Securities with nominal value Rp31,083,001 and Rp33,906,302 as of December 31, 2021 and 2020, respectively were sold under agreement to repurchase (Note 23).
- j) The following table presents the changes in carrying value and allowance for expected losses by financial instrument category:

	December 31, 2021			
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Securities measured at fair value through other comprehensive income</u>				
Carrying value beginning balance	188,940,165	-	-	188,940,165
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of carrying value	13,144,585	-	-	13,144,585
New financial assets issued or purchased	152,501,486	-	-	152,501,486
Derecognized financial assets	153,099,314)	-	-	(153,099,314)
Written-off financial assets				
Recovery from written-off financial assets				
Foreign exchange model or parameter changes and other changes	39,447	-	-	39,447
Carrying value ending balance	201,526,369	-	-	201,526,369

	December 31, 2021			
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Securities measured at amortized cost</u>				
Carrying value beginning balance	110,398,912	-	758	110,199,670
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of carrying value	8,391,059	-	-	8,391,059
New financial assets issued or purchased	123,192,423	-	-	123,192,423
Derecognized financial assets	(90,575,264)	-	-	(90,575,264)
Written-off financial assets	-	-	(758)	(758)
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	313,896	-	-	313,895
Carrying value ending balance	151,521,026	-	-	151,521,026

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

- j) The following table presents the changes in carrying value and allowance for expected losses by financial instrument category (continued):

	December 31, 2020			
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Securities measured at fair value</u>				
<u>through other comprehensive income</u>				
Carrying value beginning balance	124,153,732	-	-	124,153,732
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of carrying value	(5,315,721)	-	-	(5,315,721)
New financial assets issued or purchased	115,009,231	-	-	115,009,231
Derecognized financial assets	(46,132,091)	-	-	(46,132,091)
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	1,225,014	-	-	1,225,014
Carrying value ending balance	188,940,165	-	-	188,940,165
	December 31, 2020			
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Securities measured at amortized cost</u>				
Carrying value beginning balance	53,974,385	-	758	53,975,143
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of carrying value	-	-	-	-
New financial assets issued or purchased	60,039,476	-	-	60,039,476
Derecognized financial assets	(3,970,110)	-	-	(3,970,110)
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	155,161	-	-	155,161
Carrying value ending balance	110,198,912	-	758	110,199,670

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

- j) The following table presents the changes in carrying value and allowance for expected losses by financial instrument category (continued):

	December 31, 2021			
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Securities measured at fair value</u>				
<u>through other comprehensive income</u>				
Allowance for expected credit loss				
beginning balance	979,846	-	-	979,846
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of allowance for losses	(297,227)	-	-	(297,227)
New financial assets issued or purchased	212,919	-	-	212,919
Derecognized financial assets	(317,552)	-	-	(317,552)
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	(23,230)	-	-	(23,230)
Allowance for expected credit loss ending balance^{*)}	554,756	-	-	554,756

*) Allowance for expected credit losses on securities measured at fair value through other comprehensive income is recorded in other comprehensive income therefore the carrying value is stated at fair value,

	December 31, 2021			
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Securities measured at amortized cost</u>				
Allowance for expected credit loss				
beginning balance	348,183	-	758	348,941
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of allowance for losses	(161,776)	-	-	(161,776)
New financial assets issued or purchased	120,678	-	-	120,678
Derecognized financial assets	(16,321)	-	-	(16,321)
Written-off financial assets	-	-	(758)	(758)
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	20,356	-	-	20,356
Allowance for expected credit loss ending balance	311,120	-	-	311,120

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

7. SECURITIES (continued)

- j) The following table presents the changes in carrying value and allowance for expected losses by financial instrument category (continued):

	December 31, 2020			
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Securities measured at fair value</u>				
<u>through other comprehensive income</u>				
Balance at the beginning of the year	-	-	-	-
Impact of initial application of SFAS 71	-	-	-	111,385
Allowance for expected credit loss				
beginning balance of SFAS 71	111,385	-	-	111,385
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of allowance for losses	491,402	-	-	491,402
New financial assets issued or purchased	510,852	-	-	510,852
Derecognized financial assets	(30,281)	-	-	(30,281)
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	(103,512)	-	-	(103,512)
Allowance for expected credit loss ending balance^{*)}	979,846	-	-	979,846

*) Allowance for expected credit losses on securities measured at fair value through other comprehensive income is recorded in other comprehensive income therefore the carrying value is stated at fair value.

	December 31, 2020			
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Securities measured at amortized cost</u>				
Balance at the beginning of the year	-	-	-	758
Impact of initial application of SFAS 71	-	-	-	43,093
Allowance for expected credit loss				
beginning balance of SFAS 71	43,093	-	758	43,851
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of allowance for losses	99,772	-	-	99,772
New financial assets issued or purchased	103,696	-	-	103,696
Derecognized financial assets	(1,888)	-	-	(1,888)
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	103,510	-	-	103,510
Allowance for expected credit loss ending balance	348,183	-	758	348,941

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

8. EXPORT BILLS AND NOTES RECEIVABLE

a) By Type and Currency:

	December 31, 2021		December 31, 2020	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
<u>Third parties</u>				
<u>Rupiah</u>				
Notes Receivables		6,880,260		6,211,397
Domestic Documentary				
Letter of Credit (SKBDN)		1,891,478		3,956,830
Export Bills		1,884,650		2,416,160
Other Bills		1,371,456		412,784
		12,027,844		12,997,171
<u>Foreign currency</u>				
Domestic Documentary				
Letter of Credit (SKBDN)				
United States Dollar	-	-	870,862	12,236
European Euro	-	-	3,021	51
Renminbi	-	-	2,006,235	4,314
		-		16,601
Export Bills				
Singaporean Dollar	222,699,088	2,350,515		-
United States Dollar	55,929,764	797,139	357,954,093	5,029,255
Renminbi	288,027,134	643,948	255,016,373	548,350
		3,791,602		5,577,605
Notes Receivables				
United States Dollar	619,249,281	8,825,850	458,573,808	6,442,962
Singaporean Dollar	148,772,294	1,570,242		-
European Euro	14,494,199	233,537	1,769,995	30,505
Renminbi	4,718,257	10,549	30,432,774	65,437
		10,640,178		6,538,904
Other Bills				
Singaporean Dollar	95,478,576	1,007,745	1,209,427	12,827
United States Dollar	23,504,142	349,245	40,228,362	565,208
Japanese Yen	12,010,000	1,486	90,011,140	12,238
European Euro	77,850	1,254	1,914,500	32,995
Renminbi		-	1,750,000	3,763
		1,359,730		627,031
		15,791,510		12,760,141
		27,819,354		25,757,312
<u>Related parties (Note 44)</u>				
<u>Rupiah</u>				
Notes Receivables		1,033,257		235,310
Export Bills		191,210		1,362
Domestic Documentary				
Letter of Credit (SKBDN)		174,286		313,852
Other Bills		86,812		112,818
		1,485,565		663,342

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

8. EXPORT BILLS AND NOTES RECEIVABLE (continued)

a) By Type and Currency (continued):

	December 31, 2021		December 31, 2020	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
<u>Related parties (Note 44) (continued)</u>				
<u>Foreign currency</u>				
Export Bills				
United States Dollar	45,874	654	7,271,280	102,161
Other Bills				
United States Dollar	22,096,522	314,931	56,995,915	800,793
European Euro	2,581,042	41,587	11,887,485	204,874
Great Britain Pound Sterling	110,859	2,134	342,956	6,520
Singaporean Dollar		-	3,424,607	36,322
Swiss Franc		-	105,664	1,680
		358,652		1,050,189
		359,306		1,152,350
		1,844,871		1,815,692
Total		29,664,225		27,573,004
Allowance for impairment losses		(1,142,349)		(1,326,190)
Total - Net		28,521,876		26,246,814

b) By Collectibility:

As of December 31, 2021 and 2020 all export bills and other receivables are classified as "Current", except for Rp287,465 with collectibility "Special Mention" and Rp654 with a collectibility of "Loss" on December 31, 2021, Rp65,867 with a collectibility of "Substandard" on December 31, 2020.

c) By Period:

The classification of export bills and notes receivable based on their remaining period to maturity are as follows:

	December 31, 2021	December 31, 2020
<u>Third parties</u>		
≤ 1 month	7,434,111	6,257,818
> 1 month - 3 months	13,782,300	10,562,414
> 3 months - 1 year	6,602,943	8,937,080
	27,819,354	25,757,312
<u>Related parties (Note 44)</u>		
≤ 1 month	502,333	539,838
> 1 month - 3 months	787,417	630,024
> 3 months - 1 year	555,121	645,830
	1,844,871	1,815,692
Total	29,664,225	27,573,004
Allowance for impairment losses	(1,142,349)	(1,326,190)
Total - Net	28,521,876	26,246,814

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

8. EXPORT BILLS AND NOTES RECEIVABLE (continued)

- d) The following table presents the changes in carrying value and allowance for expected losses by financial instrument category.

	December 31, 2021			
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Export Bills and Notes Receivable</u>				
Carrying value beginning balance	23,327,544	4,217,965	-	27,545,509
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of carrying value	(279,877)	277,262	-	(2,615)
New financial assets issued or purchased	29,628,032	48,088	654	29,676,774
Derecognized financial assets	(23,327,544)	(4,217,965)	-	(27,545,509)
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	(9,934)	-	-	(9,934)
	29,338,221	325,350	654	29,664,225
Initial carrying value with sharia principles	-	-	-	27,495
Movements of carrying value with sharia principles	-	-	-	(27,495)
Carrying value ending balance	29,338,221	325,350	654	29,664,225

	December 31, 2020			
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Export Bills and Notes Receivable</u>				
Carrying value beginning balance	30,292,051	4,003,283	22,165	34,317,499
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of carrying value	(702)	523	-	(179)
New financial assets issued or purchased	23,327,636	4,217,422	-	27,545,058
Derecognized financial assets	(30,291,441)	(4,003,331)	(22,165)	(34,316,937)
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	-	68	-	68
	23,327,544	4,217,965	-	27,545,509
Initial carrying value with sharia principles	-	-	-	-
Movements of carrying value with sharia principles	-	-	-	27,495
Carrying value ending balance	23,327,544	4,217,965	-	27,573,004

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

8. EXPORT BILLS AND NOTES RECEIVABLE (continued)

- d) The following table presents the changes in carrying value and allowance for expected losses by financial instrument category (continued).

December 31, 2021				
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Export Bills and Notes Receivable</u>				
Allowance impairment of expected credit loss beginning balance	1,066,011	260,179	-	1,326,190
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of allowance for losses	948,643	(50,335)	-	898,308
New financial assets issued or purchased	39,131	212,267	654	252,052
Derecognized financial assets	(1,066,011)	(260,179)	-	(1,326,190)
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	(8,011)	-	-	(8,011)
Allowance for expected credit loss ending balance	976,763	161,932	654	1,142,349

December 31, 2020				
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Export Bills and Notes Receivable</u>				
Balance at the beginning of the year	-	-	-	132,241
Impact of initial application of SFAS 71	-	-	-	2,628,902
Allowance for expected credit loss beginning balance of SFAS 71	427,853	2,311,525	21,765	2,761,143
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of allowance for losses	110,510	26,997	-	137,507
New financial assets issued or purchased	1,066,011	233,182	-	1,299,193
Derecognized financial assets	(534,934)	(2,311,525)	(21,765)	(2,868,224)
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	(3,429)	-	-	(3,429)
Allowance for expected credit loss ending balance	1,066,011	260,179	-	1,326,190

Management believes that the allowance for impairment losses on export bills and other receivables as of December 31, 2021 and 2020 is adequate.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

9. SECURITIES PURCHASED UNDER AGREEMENT TO RESELL

a) Securities purchased under agreement to resell as December 31, 2021 and 2020 consist of:

December 31, 2021					
	Interest Rate (%)	Date of Purchase	Date of Resale	Purchase Amount	Carrying Value
<u>Third parties</u>					
<u>Rupiah</u>					
Bank Indonesia					
Government Bonds					
FR0040	3.50%	Dec 12, 2021	Jan 04, 2022	8,295,783	8,298,203
VR0047	3.50	Dec 27, 2021	Jan 03, 2022	6,797,082	6,799,725
FR0082	3.02	Dec 31, 2021	Jan 14, 2022	4,920,205	4,920,205
VR0069	3.02	Dec 24, 2021	Jan 07, 2022	4,720,730	4,723,502
FR0092	3.05	Dec 29, 2021	Mar 30, 2022	3,812,560	3,813,206
FR0065	3.03	Dec 29, 2021	Jan 26, 2022	3,781,152	3,781,789
FR0079	3.03	Dec 24, 2021	Jan 21, 2022	3,603,817	3,605,940
FR0088	3.03	Dec 31, 2021	Jan 28, 2022	3,104,571	3,104,571
VR0065	3.02	Dec 29, 2021	Jan 12, 2022	2,773,886	2,774,352
VR0046	3.50	Dec 30, 2021	Jan 06, 2022	2,534,272	2,534,518
VR0069	3.03	Dec 15, 2021	Jan 12, 2022	1,848,810	1,851,300
FR0056	3.50	Dec 31, 2021	Jan 07, 2022	1,655,981	1,655,981
FR0074	3.05	Nov 17, 2021	Feb 16, 2022	1,169,251	1,173,610
FR0068	3.03	Dec 10, 2021	Jan 07, 2022	1,059,236	1,061,108
VR0062	3.50	Dec 29, 2021	Jan 05, 2022	1,043,817	1,044,020
FR0078	3.03	Dec 08, 2021	Jan 05, 2022	797,869	799,414
FR0050	3.05	Nov 17, 2021	Feb 16, 2022	575,168	577,312
FR0058	3.05	Nov 24, 2021	Feb 23, 2022	547,093	548,808
FR0088	3.04	Nov 10, 2021	Feb 09, 2022	475,712	477,760
FR0080	3.05	Oct 21, 2021	Jan 20, 2022	323,408	325,354
VR0058	3.50	Dec 31, 2021	Jan 07, 2022	238,130	238,153
VR0058	3.50	Dec 31, 2021	Jan 07, 2022	190,504	190,523
VR0042	3.50	Dec 28, 2021	Jan 04, 2022	153,624	153,683
VR0047	3.50	Dec 27, 2021	Jan 03, 2022	67,986	68,019
FR0065	3.40	Mar 05, 2021	Mar 04, 2022	47,951	49,314
PT Bank Nationalnubu, Tbk,					
Government Bonds					
FR0072	2.90	Dec 30, 2021	Jan 03, 2022	199,250	199,604
PT BPD Kalimantan Timur					
Government Bonds					
FR0087	3.55	Dec 13, 2021	Jan 13, 2022	145,512	145,524
Total				54,883,360	54,915,498

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

9. SECURITIES PURCHASED UNDER AGREEMENT TO RESELL (continued)

- a) Securities purchased under agreement to resell as December 31, 2021 and 2020 consist of (continued):

December 31, 2020					
	Interest Rate (%)	Date of Purchase	Date of Resale	Purchase Amount	Carrying Value
<u>Third Parties</u>					
<u>Rupiah</u>					
Bank Indonesia					
Government Bonds					
FR0077	3.75	Dec 28, 2020	Jan 4, 2021	25,505,387	25,513,358
VR0042	3.75	Dec 29, 2020	Jan 5, 2021	14,302,191	14,305,171
VR0035	3.75	Dec 28, 2020	Jan 4, 2021	1,337,042	1,337,600
VR0043	3.75	Dec 30, 2020	Jan 6, 2021	1,328,726	1,329,002
FR0079	3.84	Sep 30, 2020	Jan 4, 2021	527,602	532,779
VR0039	3.75	Dec 29, 2020	Jan 5, 2021	381,011	381,130
FR0078	3.96	Sep 4, 2020	Jun 4, 2021	265,915	269,366
FR0078	3.94	Sep 4, 2020	Jun 4, 2021	265,915	269,349
FR0046	5.15	Jan 17, 2020	Jan 15, 2021	248,200	260,591
FR0074	3.97	Sep 4, 2020	Sep 3, 2021	255,897	259,227
VR0036	3.90	Sep 4, 2020	Mar 5, 2021	237,986	241,028
VR0036	3.86	Sep 4, 2020	Mar 5, 2021	237,986	240,997
FR0083	4.59	Jun 12, 2020	Jun 11, 2021	234,431	240,469
FR0080	4.57	Jun 12, 2020	Mar 12, 2021	233,556	239,545
FR0068	3.57	Dec 16, 2020	Mar 17, 2021	112,674	112,841
FR0078	3.55	Sep 7, 2020	Jan 4, 2021	109,125	109,384
FR0072	3.57	Sep 8, 2020	Mar 9, 2021	107,856	108,102
FR0072	3.83	Nov 4, 2020	Feb 3, 2021	106,840	107,488
FR0082	3.55	Dec 16, 2020	Jan 13, 2021	100,963	101,113
FR0087	3.55	Dec 8, 2020	Jan 5, 2021	99,919	100,146
VR0037	3.84	Oct 27, 2020	Jan 26, 2021	95,789	96,453
FR0052	3.55	Dec 4, 2020	Jan 4, 2021	63,408	63,576
FR0071	3.55	Dec 2, 2020	Jan 4, 2021	57,330	57,494
FR0068	3.55	Dec 14, 2019	Jan 11, 2021	56,066	56,160
FR0058	3.57	Dec 2, 2020	Mar 3, 2021	55,341	55,500
FR0080	3.84	Nov 11, 2020	Feb 10, 2021	52,311	52,590
FR0080	3.82	Nov 11, 2020	Feb 10, 2021	52,311	52,588
FR0087	3.65	Dec 4, 2020	Sep 3, 2021	49,827	49,963
FR0076	3.60	Nov 25, 2020	Feb 24, 2021	48,481	48,656
FR0073	3.60	Dec 4, 2020	Jun 4, 2021	36,919	37,019
FR0080	4.60	Apr 9, 2020	Jun 7, 2021	754	779
PT BPD Maluku and Maluku Utara					
Government Bonds					
FR0084	3.85	Dec 22, 2020	Jan 5, 2021	48,859	48,906
FR0087	3.85	Dec 22, 2020	Jan 5, 2021	140,063	140,198
Total				46,756,681	46,818,568

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

9. SECURITIES PURCHASED UNDER AGREEMENT TO RESELL (continued)

- b) The following table presents the changes in carrying value and allowance for expected losses by financial instrument category:

	December 31, 2021			
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Securities purchased under agreement to resell</u>				
Carrying value beginning balance	46,818,568	-	-	46,818,568
Transition to	-	-	-	-
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of carrying value	84,870,297	-	-	84,870,297
New financial assets issued or purchased	-	-	-	-
Derecognized financial assets	(76,773,367)	-	-	(76,773,367)
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	-	-	-	-
Carrying value ending balance	54,915,498	-	-	54,915,498

	December 31, 2020			
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Securities purchased under agreement to resell</u>				
Carrying value beginning balance	22,582,244	-	-	22,582,244
Transition to	-	-	-	-
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of carrying value	-	-	-	-
New financial assets issued or purchased	197,245,886	-	-	197,245,886
Derecognized financial assets	(173,009,562)	-	-	(173,009,562)
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	-	-	-	-
Carrying value ending balance	46,818,568	-	-	46,818,568

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

9. SECURITIES PURCHASED UNDER AGREEMENT TO RESELL (Continued)

- b) The following table presents the changes in carrying value and allowance for expected losses by financial instrument category (continued):

	December 31, 2020			
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Securities purchased under agreement to resell</u>				
Balance at the beginning of the year	-	-	-	-
Impact of initial application of SFAS 71	-	-	-	-
Allowance for expected credit loss beginning balance of SFAS 71	1	-	-	1
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of allowance for losses	-	-	-	-
New financial assets issued or purchased	-	-	-	-
Derecognized financial assets pengakuannya	(1)	-	-	(1)
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	-	-	-	-
Allowance for expected credit loss ending balance	-	-	-	-

Management believes that the allowance for impairment losses is not necessary as of December 31, 2021 and 2020, because management believes that marketable securities purchased under agreement to resell are collectible.

10. DERIVATIVE RECEIVABLES AND PAYABLES

The summary of the derivatives transactions are as follows:

	December 31, 2021	
Transaction	Derivative receivables	Derivative payables
Foreign currency swap	353,982	47,769
Foreign currency and interest rate swap	167,159	1,972
Purchase and sale of foreign currency forward	104,450	43,440
Interest rate swap	103,575	104,817
Purchase and sale of foreign currency spot	917	1,697
Total	730,083	199,695

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

10. DERIVATIVE RECEIVABLES AND PAYABLES (continued)

The summary of the derivatives transactions are as follows (continued):

Transaction	December 31, 2020	
	Derivative receivables	Derivative payables
Foreign currency swap	1,177,679	195,687
Foreign currency and interest rate swap	144,151	14,421
Purchase and sale of foreign currency forward	142,912	35,799
Interest rate swap	110,358	158,856
Purchase and sale of foreign currency spot	1,559	1,160
Currency option	-	1,851
Total	1,576,659	407,774

The notional amounts of derivatives transactions are as follows:

	Notional amounts (foreign currency full amount, Rp in millions)	
	December 31, 2021	December 31, 2020
Foreign currency and interest rate swap		
Rupiah	6,555,350	3,827,625
Interest rate swap		
United States Dollar	861,572,073	731,572,074
Currency option		
Sales contract		
United States Dollar	102,394,305	41,707,102
Foreign currency spot		
Purchase contract		
United States Dollar	87,400,000	16,000,000
European Euro	750,000	-
Sales contract		
United States Dollar	45,860,000	27,143,607
Foreign currency forward		
Purchase contract		
United States Dollar	823,879,883	232,569,444
Renminbi	500,000	2,800,000
Rupiah	481,653	-
Sales contract		
United States Dollar	1,001,126,458	843,687,353
European Euro	-	62,964

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

10. DERIVATIVE RECEIVABLES AND PAYABLES (continued)

The notional amounts of derivatives transactions are as follows (continued):

	Notional amounts (foreign currency full amount, Rp in millions)	
	December 31, 2021	December 31, 2020
Foreign currency swap		
Purchase contract		
United States Dollar	390,275,542	170,114,774
Sales contract		
United States Dollar	4,098,300,000	2,808,686,838
European Euro	115,000,000	190,000,000
Great Britain Pound Sterling	7,500,000	9,200,000
New Zealand Dollar	6,033,264	-

The parties entering into derivative contracts in the form of interest rate swaps or currency and interest rate swaps with BRI are required to pay fixed rates or floating rates, including but not limited to 3 (three) monthly or 6 (six) monthly LIBORs plus a certain margin.

11. LOANS

a) By Type and Currency:

The details of loans by type are as follows:

	December 31, 2021	December 31, 2020
<u>Third parties</u>		
<u>Rupiah</u>		
Kupedes	396,952,830	351,337,166
Consumer	188,516,538	190,500,242
Working Capital	171,509,082	160,260,667
Investment	53,471,380	60,444,522
Program	43,008,167	35,879,902
Syndicated	177,474	485,119
	853,635,471	798,907,618
<u>Foreign currency</u>		
Investment	43,192,413	40,761,907
Working Capital	28,159,818	30,017,025
Syndicated	1,108,407	924,464
Consumer	737,580	802,927
	73,198,218	72,506,323
	926,833,689	871,413,941

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

11. LOANS (continued)

a) By Type and Currency (continued):

The details of loans by type are as follows (continued):

	December 31, 2021	December 31, 2020
<u>Related parties (Note 44)</u>		
<u>Rupiah</u>		
Investment	29,792,012	37,083,949
Working Capital	23,667,017	23,238,301
Syndicated	2,539,777	3,953,066
Key Employees	185,023	186,633
Consumer	-	3,317
	56,183,829	64,465,266
<u>Foreign currency</u>		
Working Capital	9,287,786	5,765,444
Investment	2,111,219	2,142,983
	11,399,005	7,908,427
	67,582,834	72,373,693
<u>Total</u>	994,416,523	943,787,634
Less: Allowance for impairment losses	(84,833,734)	(66,810,179)
Net	909,582,789	876,977,455

The details of loans by currency are as follows:

	December 31, 2021		December 31, 2020	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
<u>Rupiah</u>		909,819,300		863,372,884
<u>Foreign currency</u>				
United States Dollar	5,930,578,379	84,525,569	5,717,364,006	80,328,965
Singaporean Dollar	5,303,336	55,975	6,516,568	69,116
Japanese Yen	90,763,955	11,234	90,909,084	12,360
European Euro	275,884	4,445	250,010	4,309
		84,597,223		80,414,750
<u>Total</u>		994,416,523		943,787,634
Less: Allowance for impairment losses		(84,833,734)		(66,810,179)
Net		909,582,789		876,977,455

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

11. LOANS (continued)

b) By Economic Sector:

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Third parties</u>		
<u>Rupiah</u>		
Trading, hotels and restaurants	326,310,024	300,622,637
Agriculture	119,425,736	104,670,330
Manufacturing	58,779,150	48,510,657
Business Services	46,403,362	40,677,620
Construction	14,113,610	18,741,830
Transportation, warehousing and communications	11,411,890	11,061,454
Social services	5,642,815	5,699,714
Electricity, gas and water	4,268,426	4,459,079
Mining	2,382,278	2,354,278
Others	264,898,180	262,110,019
	<u>853,635,471</u>	<u>798,907,618</u>
<u>Foreign currency</u>		
Manufacturing	24,895,278	26,184,147
Electricity, gas and water	17,619,144	14,907,363
Agriculture	9,988,722	12,995,793
Trading, hotels and restaurant	6,183,826	4,078,573
Mining	4,497,639	4,861,825
Construction	3,524,451	3,673,480
Business Services	4,886,239	3,707,144
Transportation, warehousing and communications	656,760	887,115
Social services	160,300	349,487
Others	785,859	861,396
	<u>73,198,218</u>	<u>72,506,323</u>
	<u>926,833,689</u>	<u>871,413,941</u>
<u>Related parties (Note 44)</u>		
<u>Rupiah</u>		
Construction	15,278,601	16,233,554
Electricity, gas and water	12,122,677	16,128,027
Transportation, warehousing and communications	7,936,154	7,677,961
Manufacturing	5,969,157	7,781,515
Agriculture	5,594,426	6,725,037
Trading, hotels and restaurant	5,416,184	6,014,905
Business Services	2,644,974	2,877,880
Mining	529,115	505,214
Social services	509,516	331,222
Others	183,025	189,951
	<u>56,183,829</u>	<u>64,465,266</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

11. LOANS (continued)

b) By Economic Sector (continued):

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Related parties (Note 44) (continued)</u>		
<u>Foreign currency</u>		
Manufacturing	4,286,898	3,687,097
Business Services	4,259,690	1,998,026
Electricity, gas and water	1,553,372	1,032,396
Mining	737,364	78,264
Social services	557,846	1,112,644
Construction	3,835	-
	<u>11,399,005</u>	<u>7,908,427</u>
	<u>67,582,834</u>	<u>72,373,693</u>
Total	994,416,523	943,787,634
Less: Allowance for impairment losses	(84,833,734)	(66,810,179)
Net	<u>909,582,789</u>	<u>876,977,455</u>

c) By Period:

The classification of loans based on the remaining period to maturity are as follows:

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Third parties</u>		
<u>Rupiah</u>		
≤ 1 month	17,790,849	15,715,404
> 1 month - 3 months	32,341,004	28,590,490
> 3 months - 1 year	184,188,597	178,328,702
> 1 year - 2 years	127,879,891	109,451,198
> 2 years - 5 years	280,489,502	251,661,476
> 5 years	210,945,628	215,160,348
	<u>853,635,471</u>	<u>798,907,618</u>
<u>Foreign currency</u>		
≤ 1 month	1,197,753	3,288,919
> 1 month - 3 months	3,338,748	3,383,986
> 3 months - 1 year	11,148,259	15,369,159
> 1 year - 2 years	13,675,045	5,606,542
> 2 years - 5 years	15,511,758	20,579,596
> 5 years	28,326,655	24,278,121
	<u>73,198,218</u>	<u>72,506,323</u>
	<u>926,833,689</u>	<u>871,413,941</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

11, LOANS (continued)

c) By Period (continued):

The classification of loans based on the remaining period to maturity are as follows (continued):

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Related parties (Note 44)</u>		
<u>Rupiah</u>		
≤ 1 month	3,586,211	3,162,691
> 1 month - 3 months	1,815,015	8,173,324
> 3 months - 1 year	7,686,746	5,814,269
> 1 year - 2 years	736,193	3,114,417
> 2 years - 5 years	15,743,634	7,625,649
> 5 years	26,616,030	36,574,916
	<u>56,183,829</u>	<u>64,465,266</u>
<u>Foreign currency</u>		
≤ 1 month	60,532	2,057
> 1 month - 3 months	598,605	413,920
> 3 months - 1 year	982,743	1,106,582
> 1 year - 2 years	219,196	287,818
> 2 years - 5 years	338,650	2,004,088
> 5 years	9,199,279	4,093,962
	<u>11,399,005</u>	<u>7,908,427</u>
	<u>67,582,834</u>	<u>72,373,693</u>
Total	<u>994,416,523</u>	<u>943,787,634</u>
Less: Allowance for impairment losses	(84,833,734)	(66,810,179)
Net	<u>909,582,789</u>	<u>876,977,455</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

11, LOANS (continued)

d) By Collectibility:

	December 31, 2021	December 31, 2020
Individual	63,023,353	61,073,399
Collective		
Current	851,620,045	809,378,232
Special mention	23,489,255	20,246,495
Substandard	1,853,227	1,288,108
Doubtful	2,868,735	1,711,442
Loss	12,450,938	8,727,389
	<u>892,282,200</u>	<u>841,351,666</u>
Total	<u>955,305,553</u>	<u>902,425,065</u>
Less: Allowance for impairment losses		
Individual	(39,835,617)	(29,101,946)
Collective	(44,113,625)	(37,287,204)
	<u>(83,949,242)</u>	<u>(66,389,150)</u>
Net	<u>871,356,311</u>	<u>836,035,915</u>

Collectibility fiduciary business PT Pegadaian (subsidiary):

	December 31, 2021	December 31, 2020
Collective		
Current	37,466,983	40,119,755
Special mention	1,058,743	757,375
Substandard	484,076	375,365
Doubtful	23,275	19,263
Loss	77,893	90,811
	<u>39,110,970</u>	<u>41,362,569</u>
Total	<u>39,110,970</u>	<u>41,362,569</u>
Less: Allowance for impairment losses		
Collective	(884,492)	(421,029)
	<u>(884,492)</u>	<u>(421,029)</u>
Net	<u>38,226,478</u>	<u>40,941,540</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

11. LOANS (continued)

e) By Operating Segment:

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Third parties</u>		
<u>Rupiah</u>		
Micro	436,909,977	382,998,007
Retail	382,785,444	378,500,912
Corporate	33,940,050	37,408,699
	<u>853,635,471</u>	<u>798,907,618</u>
<u>Foreign currency</u>		
Corporate	68,670,392	58,406,031
Retail	4,527,826	14,100,292
	<u>73,198,218</u>	<u>72,506,323</u>
	<u>926,833,689</u>	<u>871,413,941</u>
<u>Related parties (Note 44)</u>		
<u>Rupiah</u>		
Corporate	54,260,590	61,487,211
Retail	1,923,239	2,978,055
	<u>56,183,829</u>	<u>64,465,266</u>
<u>Foreign currency</u>		
Corporate	11,399,005	7,908,427
	<u>11,399,005</u>	<u>7,908,427</u>
	<u>67,582,834</u>	<u>72,373,693</u>
Total	994,416,523	943,787,634
Less: Allowance for impairment losses	(84,833,734)	(66,810,179)
Net	909,582,789	876,977,455

f) Other Significant Information:

1) Average interest rate:

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Contractual Interest</u>		
Rupiah	10.19%	10.40%
Foreign currency	3.61	3.80
<u>Effective Interest</u>		
Rupiah	11.96%	12.49%
Foreign currency	4.01	3.97

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

11. LOANS (continued)

f) Other Significant Information (continued):

- 2) The loans are generally collateralized by registered mortgages, by powers of attorneys to sell, demand deposits, saving deposits, time deposits or by other guarantees generally accepted by banks (Notes 19, 20 and 21)
- 3) Working capital and investment loans are given to debtors for working capital requirements and capital goods.
- 4) Consumption loans consist of loans to employees and retired employees, housing, motor vehicles and other consumption loans.
- 5) Program loans represent loan facilities channeled by BRI based on the guidelines from the Government in order to support the development in Indonesia especially the development of small scale industry, middle scale industry and cooperatives.
- 6) Kupedes loans represent loan facilities channeled by BRI through BRI's Units. The target of these loans is micro scale industry and fixed income employees that require additional funds, in accordance with the maximum limit amount stated in the Kupedes regulation. The targeted economic sectors are agriculture, manufacturing, trading and others.
- 7) Syndicated loans represent loans provided to debtors under syndication agreements with other banks. The total of BRI's syndicated loans amounted to Rp61,707,304 and Rp61,909,777, as of December 31, 2021 and 2020, respectively. BRI's participation as leader in the syndicated loans ranged from 2% to 77% and 55% to 77%, as of December 31, 2021 and 2020, respectively, BRI's participation as a member in the syndicated loans ranged from 1% to 68% and 1% to 25% as December 31, 2021 and 2020, respectively.
- 8) Employee loans are loans given to employees with 4.5% to 5.5% annual interest rate that are intended for the acquisition of vehicles, houses and other necessities with 4 (four) to 20 (twenty) years maturity. Loan principal and interest payments were collected through monthly payroll deductions. The difference between employee loan's interest rate and Base Lending Rate (BLR) is deferred and recorded as deferred expense for employee loans as part of other assets. The deferred expense for employee loans amounted to Rp4,358,420 and Rp3,161,845 as of December 31, 2021 and 2020, respectively (Note 17).
- 9) Loans granted by BRI to related parties, other than loans to key employees (Note 44) are as follows:

	December 31, 2021	December 31, 2020
PT Perusahaan Listrik Negara (Persero)	12,048,560	16,182,590
Perum BULOG	5,258,303	5,841,839
PT Waskita Karya (Persero) Tbk	4,541,653	2,617,195
PT Garuda Indonesia (Persero) Tbk	4,203,263	2,414,805
PT Kereta Api Indonesia (Persero)	2,976,708	2,355,585
PT Telekomunikasi Indonesia (Persero) Tbk	2,218,182	2,800,000
PT Dirgantara Indonesia (Persero)	2,125,426	1,813,992
PT Krakatau Steel (Persero) Tbk	2,074,259	2,031,937
PT Garuda Maintenance Facility Aero Asia	2,009,097	1,317,915
PT Trans Jabar Tol	1,654,829	1,848,697
Others	28,287,531	32,962,505
Total	67,397,811	72,187,060

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

11. LOANS (continued)

f) Other Significant Information (continued):

- 10) The amounts of restructured loan by BRI (Parent Entity) in accordance with POJK No. 40/POJK.03/2019 dated December 19, 2019 regarding "Asset Quality Assessment for Commercial Banks" as of December 31, 2021 and 2020 are Rp46,750,285 and Rp42,644,077, respectively. Restructuring scheme generally consists of extension of the loan period and rescheduling the overdue interest.

The amount of restructured loan (BRI Parent Entity and BRI Agro) due to Covid-19 based on OJK Regulation No. 11/POJK.03/2020 dated March 16, 2020 regarding "National Economic Stimulus as a Countercyclical Policy on the Impact of the Spread of Corona Virus Disease 2019" and POJK No. 48/POJK.03/2020 dated December 1, 2020 regarding the Amendments to the Financial Services Authority Regulation No.11/POJK.03/2020 regarding "National Economic Stimulus as a Countercyclical Policy Impact of the Spread of Corona Virus Disease 2019" as of December 31, 2021 and 2020 are Rp163,675,246 and Rp196,134,131 with a scheme of extension of the loan period.

- 11) In BRI's report on Legal Lending Limit to Bank Indonesia as of December 31, 2021 and 2020 to Bank Indonesia and Financial Services Authority (OJK), BRI has neither related parties nor third party debtors, in accordance with Bank Indonesia regulation and Financial Services Authority (OJK), that does not comply with or exceed the Legal Lending Limit, respectively.
- 12) The details of non-performing collective loans with collectibility of substandard, doubtful and loss and total individual loans, as well as the allowance for impairment losses by economic sector are as follows:

	December 31, 2021	December 31, 2020
Agricultures	17,837,886	18,911,886
Manufacturing	15,264,090	13,831,946
Trading, hotels & restaurants	12,993,482	14,664,904
Business services	9,200,442	3,506,565
Construction	8,682,064	7,820,702
Transportation, warehousing & communication	7,024,947	3,817,321
Mining	2,989,889	3,498,272
Electricity, gas and water	2,653,901	2,944,416
Social services	556,635	543,874
Others	3,578,161	3,745,891
Total	80,781,497	73,285,777
Less: Allowance for impairment losses	(50,867,836)	(35,580,728)
Net	29,913,661	37,705,049

13) Ratios

- a. The ratios of non-performing loans (NPL) BRI (parent entity) based on related regulation are 3.08% and 2.94% as December 31, 2021 and 2020 respectively. While the ratios of BRI's (parent entity) non-performing loans (NPL) - net are 0.70% and 0.80%, respectively.
- b. The ratio of small business loans to total loans provided by BRI was 56.47% and 53.00% respectively, as of December 31, 2021 and 2020.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

11. LOANS (continued)

f) Other Significant Information (continued):

The following table presents the changes in carrying value and allowance for expected losses by financial instrument category:

December 31, 2021				
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Loans</u>				
Carrying value beginning balance	832,000,055	85,203,737	26,583,842	943,787,634
Transition to				
Stage 1	2,442,045	(2,271,043)	(171,002)	-
Stage 2	(30,278,635)	31,789,413	(1,510,778)	-
Stage 3	(9,607,434)	(5,061,651)	14,669,085	-
Net remeasurement of carrying value	(76,699,717)	(18,840,682)	(4,217,326)	(99,757,725)
New financial assets issued or purchased	332,862,429	37,386,349	8,673,558	378,922,336
Derecognized financial assets	(193,701,796)	(21,166,460)	224,823	(214,643,433)
Written-off financial assets	(141,367)	(773,537)	(16,833,234)	(17,748,138)
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	597,685	112,712	3,145,452	3,855,849
Carrying value ending balance	857,473,265	106,378,838	30,564,420	994,416,523

December 31, 2020				
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Loans</u>				
Carrying value beginning balance	828,179,134	76,809,937	22,864,422	927,853,493
Transition to				
Stage 1	19,617,100	(19,126,924)	(490,176)	-
Stage 2	(19,251,485)	19,850,562	(599,077)	-
Stage 3	(4,726,518)	(7,505,025)	12,231,543	-
Net remeasurement of carrying value	(88,412,151)	(2,945,176)	4,494,597	(86,862,730)
New financial assets issued or purchased	312,887,928	34,396,541	4,753,687	352,038,156
Derecognized financial assets	(214,454,006)	(14,210,359)	(4,795,189)	(233,459,554)
Written-off financial assets	(340,783)	(2,093,639)	(11,924,912)	(14,359,334)
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	(1,499,164)	27,820	48,947	(1,422,397)
Carrying value ending balance	832,000,055	85,203,737	26,583,842	943,787,634

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

11. LOANS (continued)

f) Other Significant Information (continued):

The following table presents the changes in carrying value and allowance for expected losses by financial instrument category (continued):

December 31, 2021				
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Loans</u>				
Allowance for expected credit loss beginning balance	24,923,322	23,065,548	18,821,309	66,810,179
Transition to				
Stage 1	511,236	(421,673)	(89,563)	-
Stage 2	(3,987,040)	5,037,355	(1,050,315)	-
Stage 3	(302,594)	(1,435,758)	1,738,352	-
Net remeasurement of allowance for losses	(6,290,861)	7,398,795	17,704,481	18,812,415
New financial assets issued or purchased	10,617,220	12,050,507	4,379,257	27,046,984
Derecognized financial assets	(5,410,362)	(3,571,519)	(1,223,740)	(10,205,621)
Written-off financial assets	(141,367)	(773,537)	(16,833,234)	(17,748,138)
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	(45,519)	126,339	37,095	117,915
Allowance for expected credit loss ending balance	19,874,035	41,476,057	23,483,642	84,833,734
December 31, 2020				
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Loans</u>				
Balance at the beginning of the year	-	-	-	38,708,130
Impact of initial application of SFAS 71	-	-	-	12,306,602
Allowance for expected credit loss beginning balance of SFAS 71	15,951,790	17,514,379	17,548,563	51,014,732
Transition to				
Stage 1	2,044,106	(1,726,431)	(317,675)	-
Stage 2	(600,850)	965,870	(365,020)	-
Stage 3	(130,488)	(2,919,946)	3,050,434	-
Net remeasurement of allowance for losses	1,244,257	5,961,757	10,653,530	17,859,544
New financial assets issued or purchased	10,856,322	8,418,810	3,499,225	22,774,357
Derecognized financial assets	(4,036,183)	(3,005,945)	(3,336,834)	(10,378,962)
Written-off financial assets	(340,783)	(2,093,639)	(11,924,912)	(14,359,334)
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	(64,849)	(49,307)	13,998	(100,158)
Allowance for expected credit loss ending balance	24,923,322	23,065,548	18,821,309	66,810,179

Included in the balance of allowance for impairment losses of BRI (parent entity) are reserves for losses for areas that are still categorized as disaster-prone areas or that have experienced disasters by the Government of the Republic of Indonesia amounting to Rp1,049,784 and Rp1,217,393 as of December 31, 2021 and 2020, respectively (Note 2e).

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

11. LOANS (continued)

The minimum allowance for Earning Asset Losses on credit provided by BRI (Parent Entity), which must be established in accordance with Bank Indonesia and Financial Services Authority (OJK) regulations (Note 2e) is Rp31,366,615 and Rp31,802,386 as of December 31, 2021 and 2020, respectively.

As of December 31, 2021 and 2020, there were no loans that were transferred or used as collateral for debts.

Management believes that the allowance for impairment losses on loans as of December 31, 2021 and 2020 is adequate.

12. SHARIA RECEIVABLES AND FINANCING

a) Sharia receivables and financing based on collectibility are as follows:

	December 31, 2021	December 31, 2020
<u>Third parties</u>		
Current	8,049,752	41,058,102
Special Mention	708,580	2,662,194
Substandard	102,239	459,968
Doubtful	30,490	140,889
Loss	268,440	945,468
	<u>9,159,501</u>	<u>45,266,621</u>
<u>Related parties (Note 45)</u>		
Current	-	3,798,857
	<u>-</u>	<u>3,798,857</u>
Total	9,159,501	49,065,478
Less: Allowance for impairment losses	(1,410,907)	(2,582,167)
Net	<u>7,748,594</u>	<u>46,483,311</u>

b) Sharia receivables and financing based on the remaining period to maturity are as follows:

	December 31, 2021	December 31, 2020
<u>Third parties</u>		
<u>Rupiah</u>		
≤ 1 month	6,558	558,229
> 1 month - 3 months	14,727	1,425,964
> 3 months - 1 year	6,567,241	10,472,126
> 1 year - 2 years	577,036	4,200,867
> 2 years - 5 years	1,929,236	14,919,769
> 5 years	64,703	13,689,666
	<u>9,159,501</u>	<u>45,266,621</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

12. SHARIA RECEIVABLES AND FINANCING (continued)

- b) Sharia receivables and financing based on the remaining period to maturity are as follows (continued):

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Related parties (Note 45)</u>		
<u>Rupiah</u>		
≤ 1 month	-	883,543
> 1 month - 3 months	-	265,583
> 3 months - 1 year	-	54,178
> 1 year - 2 years	-	156,963
> 2 years - 5 years	-	94,278
> 5 years	-	2,344,312
	-	3,798,857
Total	9,159,501	49,065,478
Less: Allowance for impairment losses	(1,410,907)	(2,582,167)
Net	7,748,594	46,483,311

Sharia receivables and financing consist of *Murabahah* receivables, *Istishna* receivables, *Qardh* borrowing, *Mudharabah* and *Musyarakah* financing.

Amount of restructured sharia receivables and financing due to Covid-19 based on OJK Regulation No.11/POJK.03/2020 dated March 16, 2020 regarding National Economic Stimulus as a Countercyclical Policy Impact of the Spread of Corona Virus Disease 2019 and POJK No. 48/POJK.03/2020 dated December 1, 2020 regarding the Amendments to the Financial Services Authority Regulation No.11/POJK.03/2020 regarding National Economic Stimulus as a Countercyclical Policy due The Impact of the Spread of Corona Virus Disease 2019 until December 31, 2020 is Rp7,504,101.

Unrecognized *Murabahah* receivables income as of December 31, 2020 amounted to Rp9,292,665.

Movements in the allowance for impairment losses on sharia receivables and financing:

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
Beginning balance	2,582,167	1,072,556*)
Provision for impairment losses (Note 34)	278,229	2,093,237
Loss of control on PT BRI Syariah	(1,449,489)	-
Recovery from written-off during the year	-	66,748
Loans written-off during the year	-	(650,374)
Ending balance	1,410,907	2,582,167

*include beginning balance of PT Pegadaian

Management believes that the allowance for impairment losses on sharia receivables and financing as of December 31, 2021 and 2020 is adequate.

The type of collateral submitted by the debtors for the sharia receivables and financing are land and buildings, Registration Book of Motor Vehicle (BPKB) and other properties.

As of December 31, 2021 and 2020 there were no sharia receivables and financing that were transferred or used as collateral for debts.

Effective February 1, 2021, PT Bank BRISyariah Tbk (BRIS) has merged with PT Bank Syariah Mandiri and PT Bank BNI Syariah and since September 13, 2021, Pegadaian and PNM have been acquired by BRI (Note 1f).

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

13. FINANCE RECEIVABLES

a) Finance receivable - gross due in period:

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Third parties</u>		
<u>Rupiah</u>		
≤ 1 year	23,492,177	15,217,013
> 1 year - 2 years	7,515,784	4,574,118
> 2 years - 5 years	8,022,326	7,148,983
	<u>39,030,287</u>	<u>26,940,114</u>
<u>United States Dollar</u>		
≤ 1 year	145,097	201,549
> 1 year - 2 years	72,305	109,166
> 2 years - 5 years	17,021	47,874
	<u>234,423</u>	<u>358,589</u>
<u>Related parties (Note 44)</u>		
<u>Rupiah</u>		
≤ 1 year	13,046	23,926
> 1 year - 2 years	9,643	16,280
> 2 years - 5 years	4,030	947
	<u>26,719</u>	<u>41,153</u>
Total	39,291,429	27,339,856
Less allowance for impairment losses	(1,584,776)	(1,002,307)
Net	<u>37,706,653</u>	<u>26,337,549</u>

b) Finance lease based on collectibility are as follows:

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
Weekly Installment Financing		
<u>Collectibility</u>		
Current	25,839,349	14,745,485
Special mention	76,629	624,307
Substandard	8,184	1,893
Doubtful	11,545	8,862
Loss	3,456	9,039
	<u>29,939,163</u>	<u>15,389,586</u>
Non Weekly Installment Financing		
<u>Collectibility</u>		
Current	11,824,294	10,824,142
Special Mention	1,084,632	767,421
Substandard	100,003	11,849
Doubtful	41,097	75,712
Loss	302,240	271,146
	<u>13,352,266</u>	<u>11,950,270</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

13. FINANCE RECEIVABLES (continued)

b) Finance lease based on collectibility are as follows: (continued)

	December 31, 2021	December 31, 2020
Non Weekly Installment Financing (continued)		
Total	39,291,429	27,339,856
Less allowance for impairment losses	(1,584,776)	(1,002,307)
Net	37,706,653	26,337,549

c) The following table presents the changes in carrying value and allowance for expected losses by financial instrument category:

	December 31, 2021			
	Stage1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Finance Receivable</u>				
Carrying value beginning balance	25,536,320	1,396,839	406,697	27,339,856
Transition to				
Stage 1	266,271	(160,041)	(106,230)	-
Stage 2	(61,118)	85,574	(24,456)	-
Stage 3	(87,664)	(16,259)	103,923	-
Net remeasurement of carrying value	-	-	-	-
New financial assets issued or purchased	13,743,916	12,162	202,809	13,958,887
Derecognized financial assets	(1,528,696)	(256,512)	(78,525)	(1,863,733)
Written-off financial assets	(4,306)	(4,067)	(37,074)	(45,447)
Recovery from write-off financial assets	-	-	-	-
Model or foreign exchange parameter change and other change	(98,134)	-	-	(98,134)
Carrying value ending balance	37,766,589	1,057,696	467,144	39,291,429
	December 31, 2020			
	Stage1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Finance Receivable</u>				
Carrying value beginning balance	22,339,139	846,066	319,119	23,504,324
Transition to				
Stage 1	51,053	(43,991)	(7,062)	-
Stage 2	(106,833)	134,152	(27,319)	-
Stage 3	(222,672)	(58,619)	281,291	-
Net remeasurement of carrying value	-	-	-	-
New financial assets issued or purchased	4,990,138	547,314	14,732	5,552,184
Derecognized financial assets	(1,552,764)	(27,229)	(160,685)	(1,740,678)
Written-off financial assets	(4,249)	(854)	(14,098)	(19,201)
Recovery from written-off financial assets	-	-	-	-
Model or foreign exchange parameter change and other change	42,508	-	719	43,227
Carrying value ending balance	25,536,320	1,396,839	406,697	27,339,856

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

13. FINANCE RECEIVABLES (continued)

- c) The following table presents the changes in the carrying value and allowance for expected losses by financial instrument category (continued):

	December 31, 2021			
	Stage1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Finance Receivable</u>				
Allowance for expected credit loss beginning balance	202,259	383,643	416,405	1,002,307
Transition to				
Stage 1	309,593	(305,480)	(4,113)	-
Stage 2	(840)	1,052	(212)	-
Stage 3	(5,230)	(137,107)	142,337	-
Net remeasurement of allowance for losses	-	-	-	-
New financial assets issued or purchased	196,448	620,955	36,171	853,574
Derecognized financial assets	(38,330)	(24,593)	(146,364)	(209,287)
Written-off financial assets	(4,306)	(4,067)	(37,074)	(45,447)
Recovery from written-off financial assets	-	-	-	-
Model or foreign exchange parameter change and other change	(16,373)	-	-	(16,373)
Allowance for expected credit loss ending balance	643,221	534,404	407,151	1,584,776

	December 31, 2020			
	Stage1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss Not Impaired	Stage 3- Lifetime Expected Credit Loss Impaired	Total
<u>Finance Receivable</u>				
Allowance for expected credit loss beginning balance of SFAS 71	69,791	313,884	197,868	581,543
Transition to				
Stage 1	181,752	(163,219)	(18,533)	-
Stage 2	(65,530)	153,979	(88,449)	-
Stage 3	(77,820)	(161,814)	239,634	-
Net remeasurement of allowance for losses	21,574	15,381	93,191	130,146
New financial assets issued or purchased	56,490	226,900	88,131	371,521
Derecognized financial assets	(2,152)	(614)	(81,741)	(84,507)
Written-off financial assets	(4,249)	(854)	(14,098)	(19,201)
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other change	22,403	-	402	22,805
Allowance for expected credit loss ending balance	202,259	383,643	416,405	1,002,307

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

13. FINANCE RECEIVABLES (continued)

d) Finance lease receivables as of December 31, 2021 and December 31, 2020 consist of :

	December 31, 2021	December 31, 2020
<u>Third parties</u>		
Finance receivables - gross	5,674,799	4,185,436
Guaranteed residual values	1,812,929	1,981,977
Unearned finance leases income	(938,511)	(607,364)
Security deposit	(1,812,929)	(1,981,978)
	<u>4,736,288</u>	<u>3,578,071</u>
<u>Related parties (Note 44)</u>		
Finance receivable - gross	42,515	48,241
Guaranteed residual values	1,135	1,677
Unearned finance leases income	(4,488)	(7,088)
Security deposit	(1,135)	(1,677)
	<u>38,027</u>	<u>41,153</u>
Total	<u>4,774,315</u>	<u>3,619,224</u>
Less allowance for impairment losses	<u>(211,003)</u>	<u>(213,060)</u>
Net	<u>4,563,312</u>	<u>3,406,164</u>

As of December 31, 2021 and 2020, there are no finance receivables that are transferred and/or used are pledged as collateral.

Management believes that the allowance for impairment losses for finance receivable as of December 31, 2021 and 2020 is adequate.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

14. ACCEPTANCES RECEIVABLE AND PAYABLE

a) By Type and Currency:

	December 31, 2021		December 31, 2020	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
<u>Third parties</u>				
<u>Rupiah</u>				
Import Letters of Credit and Domestic Documentary L/C (SKBDN)		2,347,741		3,789,849
Foreign currency				
Import L/C and SKBDN				
United States Dollar	230,122,195	3,279,817	77,786,022	1,092,894
European Euro	5,009,310	80,712	7,155,614	123,323
Renminbi	16,541,101	36,981	4,073,580	8,759
Japanese Yen	297,585,039	36,832	209,237,191	28,449
Great Britain Pound Sterling	44,150	850	36,705	698
Singaporean Dollar		-	36,236	384
		3,435,192		1,254,507
		5,782,933		5,044,356
<u>Related parties (Note 44)</u>				
<u>Rupiah</u>				
Import L/C and SKBDN		2,117,492		1,548,475
Foreign currency				
Import L/C and SKBDN				
United States Dollar	115,779,850	1,650,152	14,634,549	205,615
European Euro	227,210	3,661	13,168	227
Japanese Yen		-	138,000,000	18,763
		1,653,813		224,605
		3,771,305		1,773,080
Total		9,554,238		6,817,436
Allowance for impairment losses		(488,233)		(546,260)
Net		9,066,005		6,271,176

b) By Collectibility:

As of December 31, 2021 and 2020, all acceptance receivables are classified as "Current", except for Rp418,481 and Rp500,603 with collectability "Special mention" as of December 31, 2021 and 2020.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

14. ACCEPTANCES RECEIVABLE AND PAYABLE (continued)

c) By Period :

The classification of acceptances receivable based on the remaining period until maturity are as follows:

	December 31, 2021	December 31, 2020
<u>Third parties</u>		
≤ 1 month	31,353	2,166
> 1 month - 3 months	2,643,613	2,319,770
> 3 months - 1 year	3,107,785	2,722,420
	<u>5,782,933</u>	<u>5,044,356</u>
<u>Related parties (Note 44)</u>		
> 1 month - 3 months	2,446,031	850,673
> 3 months - 1 year	1,325,274	922,407
	<u>3,771,305</u>	<u>1,773,080</u>
Total	9,554,238	6,817,436
Allowance for impairment losses	(488,233)	(546,260)
Net	<u>9,066,005</u>	<u>6,271,176</u>

d) The following table presents the changes in carrying value and allowance for expected losses by financial instrument category:

	December 31, 2021			
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not Impaired	Stage 3- Lifetime Expected Credit Loss - Impaired	Total
<u>Acceptances Receivables</u>				
Carrying value beginning balance	6,273,140	500,603	-	6,773,743
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of carrying value				
New financial assets issued or purchased	8,965,952	418,480	-	9,384,432
Derecognized financial assets	(6,273,140)	(320,858)	-	(6,593,998)
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	(9,939)	-	-	(9,939)
Carrying value ending balance	<u>8,956,013</u>	<u>598,225</u>	<u>-</u>	<u>9,554,238</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

14. ACCEPTANCES RECEIVABLE AND PAYABLE (continued)

- d) The following table presents the changes in the carrying value and allowance for expected losses by financial instrument category (continued):

	December 31, 2020			
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not Impaired	Stage 3- Lifetime Expected Credit Loss - Impaired	Total
<u>Acceptances Receivables</u>				
Carrying value beginning balance	9,344,682	-	-	9,344,682
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of carrying value	-	-	-	-
New financial assets issued or purchased	6,262,967	500,603	-	6,763,570
Derecognized financial assets	(9,344,682)	-	-	(9,344,682)
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	10,173	-	-	10,173
	6,273,140	500,603	-	6,773,743
Initial carrying value with sharia principles	-	-	-	1,381
Movements in carrying value with sharia principles	-	-	-	42,312
Carrying value ending balance	6,273,140	500,603	-	6,817,436

	December 31, 2021			
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not Impaired	Stage 3- Lifetime Expected Credit Loss - Impaired	Total
<u>Acceptances Receivables</u>				
Allowance for expected credit loss beginning balance	240,154	306,106	-	546,260
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of allowance for losses	(44,455)	178,433	-	133,979
New financial assets issued or purchased	178,314	175,752	-	354,066
Derecognized financial assets	(240,154)	(306,160)	-	(546,260)
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	188	-	-	188
Allowance for expected credit loss ending balance	134,047	354,186	-	488,233

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

14. ACCEPTANCES RECEIVABLE AND PAYABLE (continued)

- d) The following table presents the changes in the carrying value and allowance for expected losses by financial instrument category (continued):

	December 31, 2020			
	Stage 1- 12 month Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not Impaired	Stage 3- Lifetime Expected Credit Loss - Impaired	Total
<u>Acceptances Receivables</u>				
Balance at the beginning of the year	-	-	-	-
Impact of initial application of SFAS 71	-	-	-	140,746
Allowance for expected credit loss beginning balance of SFAS 71	140,746	-	-	140,746
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of allowance for losses	415	-	-	415
New financial assets issued or purchased	239,521	306,106	-	545,627
Derecognized financial assets	(140,135)	-	-	(140,135)
Written-off financial assets	-	-	-	-
Recovery from written-off financial assets	-	-	-	-
Foreign exchange model or parameter changes and other changes	(393)	-	-	(393)
Allowance for expected credit loss ending balance	240,154	306,106	-	546,260

Management believes that the allowance for impairment losses as of December 31, 2021 and 2020 is adequate.

15. INVESTMENT IN ASSOCIATED ENTITIES

The details of Investment In Associated Entities are as follows:

		December 31, 2021			
Company Name	Type of Business	Percentage of Ownership (%)	Acquisition Cost	Accumulated net earning Associated Entities	Carrying Value
<u>Equity Method</u>					
<u>Related parties (Note 44)</u>					
(Investment in associated entity)					
PT Bank Syariah Indonesia Tbk.	Banking	17.25	3,546,381	508,814	4,055,195
PT Danareksa Investment Management	Company Securites	35.00	371,959	16,718	388,677
PT Bahana Artha Ventura	Venture Capital	15.10	71,325	4,622	75,947
			3,989,665	530,154	4,519,819

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

15. INVESTMENT IN ASSOCIATED ENTITIES (continued)

The details of Investment In Associated Entities are as follows (continued):

December 31, 2021					
Company Name	Type of Business	Percentage of Ownership (%)	Acquisition Cost	Accumulated net earning Associated Entities	Carrying Value
<u>Cost Method</u>					
<u>Third parties</u>					
Grab Holding	Financial Technology Provider	0.08			218,067
Fazz Financial Group Pte Ltd	Financial Technology Provider	3.67			180,413
Investree Singapore Pte Ltd	Financial Technology Provider	4.01			145,037
Tani Nusantara Pte Ltd	Financial Technology Provider	3.29			88,007
Funding Asia Group Pte Ltd	Financial Technology Provider	1.53			79,692
PT Bukalapak.com	Financial Technology Provider	0.23			77,850
Nium Pte Ltd	Financial Technology Provider	1.29			54,180
Awan Tunai	Financial Technology Provider	7.91			42,957
Ayo Technology Pte Ltd	Financial Technology Provider	6.88			31,221
Xendit	Financial Technology Provider	0.20			28,538
PT Pefindo Biro Kredit	Credit Information Company	16.09			20,060
PT Majoo Technology Indonesia	Financial Technology Provider	6.71			16,766
PT Pemeringkat Efek Indonesia	Credit Rating Agency	8.01			7,970
PT Penyelesaian Transaksi Elektronik Nasional	Finance	17.50			3,500
PT Kustodian Sentral Efek Indonesia	Securities Depository Service	4.30			1,275
PT Kliring Berjangka Indonesia (Persero)	Clearing Institution	2.00			1,000
Other Invesment	Various	Various			4,146
<u>Related parties (Note 44)</u>					
PT Fintek Karya Nusantara	Banking System Service Provider	18.87			565,564
					1,566,243
Allowance for impairment losses					(14,335)
					1,551,908
Total					6,071,727

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

15. INVESTMENT IN ASSOCIATED ENTITIES (continued)

The details of Investment In Associated Entities are as follows (continued):

December 31, 2020					
Company Name	Type of Business	Percentage of Ownership (%)	Acquisition Cost	Accumulated net earning Associated Entities	Carrying Value
Equity Method					
<u>Related parties (Note 44)</u>					
(Investment in associated entity)					
PT Danareksa Investment Management	Securities Company	35.00	371,959	8,239	380,198
PT Bahana Artha Ventura	Venture Capital	35.00	71,325	3,071	74,396
			443,284	11,310	454,594
Cost Method					
<u>Third parties</u>					
Investree Singapore Pte Ltd	Financial Technology Provider	4.01			146,457
Fazz Financial Group Pte Ltd	Financial Technology Provider	3.67			120,480
Funding Asia Group Pte Ltd	Financial Technology Provider	1.63			78,560
Nium Pte Ltd	Financial Technology Provider	1.29			48,255
Ayo Technology Pte Ltd	Financial Technology Provider	6.88			31,437
Tani Nusantara Pte Ltd	Financial Technology Provider	2.44			28,580
PT Pefindo Biro Kredit	Information Credit Company	16.09			20,060
PT Pemeringkat Efek Indonesia	Credit Rating Agency	8.01			7,970
PT Syarikat Takaful Indonesia	Financial Technology Provider	6.92			5,665
Lembaga Pembayaran Nasional	Financial	17.50			3,500
PT Kustodian Sentral Efek Indonesia	Securities Depository Services	4.30			1,275
PT Kliring Berjangka Indonesia (Persero)	Clearing Institution	2.00			1,000
PT Jakarta Kyoei Medical Center	Health Center Service	1.68			221
Bursa Efek Indonesia	Stock Exchange	0.80			135
Other Investment	Various	Various			6,265
<u>Related parties (Note 44)</u>					
PT Fintek Karya Nusantara	Banking System Service Provider	13.22			565,245
Allowance for impairment losses					1,065,105 (19,370)
Total					1,045,735
					1,500,329

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

15. INVESTMENT IN ASSOCIATED ENTITIES (continued)

As of December 31, 2021 and 2020, all investments are classified as "Current"

Management believes that there is no need for allowance for impairment losses on investment in shares.

Total assets, liabilities, revenues and income for the period/year of associates are as follows (unaudited):

	December 31, 2021	December 31, 2020
PT Bank Syariah Indonesia Tbk		
Total assets	265,289,081	-
Total liabilities	61,886,476	-
PT Danareksa Investment Management		
Total assets	282,967	238,491
Total liabilities	70,931	49,600
PT Bahana Artha Ventura		
Total assets	2,089,927	2,483,252
Total liabilities	1,303,801	1,862,635
PT Pefindo Biro Kredit		
Total assets	145,122	121,646
Total liabilities	30,984	47,215

	For the year ended December 31,	
	2021	2020
PT Bank Syariah Indonesia Tbk		
Total Income	18,608,022	-
Total Net Income	3,028,205	-
PT Danareksa Investment Management		
Total Income	202,867	91,055
Total Net Income	36,225	9,471
PT Bahana Artha Ventura		
Total Income	173,441	133,891
Total Net Income	4,580	(7,791)
PT Pefindo Biro Kredit		
Total Income	118,447	74,259
Total Net Income	39,865	7,546

Details of dividend receipts are as follows:

	For the Year Ended on	
	December 31,	
	2021	2020
BRI		
PT Danareksa Investment Management	4,200	5,530
	4,200	5,530
<u>Subsidiaries</u>		
PT BPR Cinta Manis Agroloka	110	-
PT BPR Bungamayang Agroloka	39	-
	149	-
Total	4,349	5,530

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

16. PREMISES AND EQUIPMENT

Premises and equipment consist of:

Description	December 31, 2021				
	Beginning Balance	Addition	Disposal ^{*)}	Reclassification ^{***)}	Ending Balance
Cost					
Landrights	29,642,881	600,486	228,942	-	30,014,425
Buildings	8,439,460	1,637,063	1,208,797	552,987	9,420,713
Motor vehicles	3,216,178	936,118	540,274	-	3,612,022
Computers and machineries ^{****)}	11,043,494	1,369,600	1,694,095	(123,642)	10,595,357
Furnitures and fixtures	3,872,354	457,582	421,008	-	3,908,928
Museum assets	184	-	-	-	184
Satellite	3,284,664	-	-	-	3,284,664
Construction in Progress	1,385,639	3,253,267	7,370	(429,345)	4,202,191
	60,884,854	8,254,116	4,100,486	-	65,038,484
Accumulated Depreciation					
Buildings	2,979,527	753,531	419,814	-	3,313,244
Motor vehicles	2,390,015	231,755	500,908	-	2,120,861
Computers and machineries	8,062,009	1,132,077	1,528,077	-	7,666,009
Furnitures and fixtures	2,962,001	439,464	420,280	-	2,981,185
Satellite	784,670	202,328	-	-	986,998
Landrights of use	-	-	-	-	-
	17,178,222	2,759,154	2,869,079	-	17,068,297
Book value - Net	43,706,632				47,970,187

Description	December 31, 2020				
	Beginning Balance	Addition ^{**)}	Disposal	Reclassification ^{***)}	Ending Balance
Cost					
Landrights	21,123,087	8,971,914	453,017	897	29,642,881
Buildings	4,951,375	4,919,447	1,517,623	86,261	8,439,460
Motor vehicles	2,378,102	1,098,573	260,497	-	3,216,178
Computers and machineries ^{****)}	9,660,755	1,518,243	135,545	41	11,043,494
Furnitures and fixtures	1,980,108	2,033,946	141,659	(41)	3,872,354
Museum assets	184	-	-	-	184
Satellite	3,284,664	-	-	-	3,284,664
Construction in Progress	697,405	781,778	7,283	(86,261)	1,385,639
	44,075,680	19,323,901	2,515,624	897	60,884,854
Accumulated Depreciation					
Buildings	2,041,008	1,349,162	410,643	-	2,979,527
Motor vehicles	2,115,204	474,365	199,554	-	2,390,015
Computers and machineries	6,379,234	1,775,721	92,946	-	8,062,009
Furnitures and fixtures	1,541,912	1,539,608	119,519	-	2,962,001
Satellite	565,693	218,977	-	-	784,670
	12,643,051	5,357,833	822,662	-	17,178,222
Book value - Net	31,432,629				43,706,632

^{*)} Include reduction of premises and equipment of PT Bank BRI Syariah (BRIS)

^{**)} Include addition of premises and equipment of PT Pegadaian and PT Permodalan Nasional Madani

^{***)} Include reclassification of land from abandoned assets

^{****)} Include software

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

16. PREMISES AND EQUIPMENT (continued)

The cost of acquiring and accumulated depreciation of fixed assets as of December 31, 2021 and 2020 based on table above also includes the value of BRI's right of use assets and subsidiaries, with the following details:

	Beginning balance January 1, 2021	Addition	Disposal	Ending balance December 31, 2021
<u>Cost of Right of Use Assets</u>				
Buildings	1,387,198	741,599	717,568	1,411,229
Motor vehicles	73,876	357,288	58,782	372,382
Computer and machineries	2,195	-	2,195	-
Furnitures and fixtures	20,078	7,786	7,008	20,856
	<u>1,483,347</u>	<u>1,106,673</u>	<u>785,553</u>	<u>1,804,467</u>
<u>Accumulated Depreciation of Right of Use Assets</u>				
Buildings	464,660	243,853	251,146	457,367
Motor vehicles	24,034	55,812	17,301	62,545
Computer and machineries	789	298	1,087	-
Furnitures and fixtures	8,812	14,074	2,582	20,304
	<u>498,295</u>	<u>314,037</u>	<u>272,116</u>	<u>540,216</u>
Book value - Net	<u>985,052</u>			<u>1,264,251</u>

	Beginning balance January 1, 2020	Addition	Disposal	Ending balance December 31, 2020
<u>Cost of Right of Use Assets</u>				
Landrights	32,123	1,295	33,418	-
Buildings	407,761	1,026,545	47,108	1,387,198
Motor vehicles	10,253	69,623	3,000	73,876
Computers and machineries	6,991	2,385	7,181	2,195
Furnitures and fixtures	15,252	21,679	16,853	20,078
	<u>472,380</u>	<u>1,118,527</u>	<u>107,560</u>	<u>1,483,347</u>
<u>Accumulated Depreciation of Right of Use Assets</u>				
Buildings	-	505,343	40,683	464,660
Motor vehicles	-	25,837	1,803	24,034
Computers and machineries	-	979	190	789
Furnitures and fixtures	-	10,413	1,601	8,812
	<u>-</u>	<u>542,572</u>	<u>44,277</u>	<u>498,295</u>
Book value - Net	<u>472,380</u>			<u>985,052</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

16. PREMISES AND EQUIPMENT (continued)

The following table presents the expenses of rights reported in the consolidated statements of income:

	For the year ended December 31, 2021		
	Amortization expense of landrights	Interest expense of rental liabilities	Expenses related short-term rentals
Landrights	-	-	711
Buildings	243,853	43,318	530,711
Motor vehicles	55,812	89,474	135,268
Computers and machineries	298	149	46,899
Furnitures and fixtures	14,074	11,788	119,244
Total	314,037	144,729	832,833

	For the year ended December 31, 2020		
	Amortization expense of landrights	Interest expense of rental liabilities	Expenses related short-term rentals
Landrights	-	-	193
Buildings	505,343	6,750	190,637
Motor vehicles	25,837	3,152	56,981
Computers and machineries	979	103	15,376
Furnitures and fixtures	10,413	819	32,772
Total	542,572	10,824	295,959

The average rental period based on the contract owned by BRI is 2 (two) years.

BRI also has certain leases with a term of 12 months or less and low-value asset leases, which are excluded from the recognition of leases under SFAS No. 73.

Depreciation expense of premises and equipment charged to the consolidated statement of profit or loss and other comprehensive income amounted to Rp2,759,154 and Rp3,199,102 for the year ended December 31, 2021 and 2020 (unaudited), respectively (Note 36).

BRI insured its premises and equipment (excluding landrights and satellite) from losses due to risks of fire, theft, vandalism, force majeure, and others to PT BRI Asuransi Indonesia (BRI Insurance), PT Jasa Raharja, PT Jasaraharja Putera, PT Asuransi Jasa Tania Tbk, PT Asuransi Bintang dan PT Asuransi Raksa Pratikara with coverage amount of Rp16,267,962 and Rp16,916,714 or for the year ended December 31, 2021 and 2020 respectively.

BRI insured its satellites to PT BRI Asuransi Indonesia (BRI Insurance) (Subsidiaries) on December 31, 2021 and 2020 with full coverage amount of USD160,000,000 (full amount), USD176,000,000 (full amount), in which the insurance policies will end on June 19, 2022 and 2021 respectively.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

16. PREMISES AND EQUIPMENT (continued)

The gross carrying value of premise and equipments that have been fully depreciated but still used by BRI amounted to Rp9,629,764 and Rp9,768,745 as of December 31, 2021 and 2020 respectively.

As of December 31, 2021 and 2020 there are no premises and equipment owned by BRI which are pledged as collateral.

On April 1, 2016, BRI changed its accounting policy for landrights measurement from cost model to revaluation model.

Based on Chairman of Bapepam-LK's Decision Letter No. KEP-347/BL/2012 dated June 25, 2012 regarding the "Guidelines on Financial Statements Presentations and Disclosures for Issuers or Public Companies", section 27 letter e, considering the book value of land that has been revalued in 2016, on April 1, 2019, BRI and subsidiaries have revalued land to meet Bapepam LK's provisions and not for taxation purposes.

The valuation is performed based on the Indonesian Valuations Standards, determined based on the current market transactions and carried out under customary conditions. The valuation methods used are market data method and cost method.

The valuation of landrights is performed by external independent appraiser, as follows:

1. KJPP Nanang Rahayu Sigit Paryanto and Partners with report No. 00286/2.0160-00/PI/07/0218/1/VII/2019 dated on June 28, 2019 amounting to Rp8,285,841 signed by Nanang Rahayu.
2. KJPP Immanuel Johnny and Partners with report No. 00021T-W/PA/IMM-VI/2019 000101-104/0064-00/PI/07/0184/1/VI/2019 dated on June 28, 2019 amounting to Rp4,588,664 signed by Immanuel H. Sitompul.
3. KJPP Aksa Nelson and Partners with report No. 00211/2.0026-00/PI/07/0179/1/VI/2019 dated on June 28, 2019 amounting to Rp1,630,648 signed by Aksa Nurdin.
4. KJPP Abdullah Fitriantoro and Partners with report No. 00233/2.0051-00/PI/07/0152/1/VI/2019 dated on June 28, 2019 amounting to Rp1,588,322 signed by Abdullah Fitriantoro.
5. KJPP Toha Okky Heru and Partners with report No. 00056/2.0014-00/PI/07/0080/1/VI/2019 dated on June 28, 2019 amounting to Rp417,084 signed by Okky Danuza.
6. KJPP Satria Iskandar Setiawan and Partners with report No. 00078-81/2.0124.00/PI/07/0257/1/V/2019 dated on June 28, 2019 amounting to Rp3,825,260 signed by Setiawan.
7. KJPP Iwan Bachron & Partners with report No. 000298/2.0047-05/PI/08/0500/1/VI/2019 dated on June 21, 2019 amounting to Rp101,851 signed by Bunga Budiarti.

The increase in the carrying value arising from the reassessment of land rights of Rp3,215,455 was recorded as a "Fixed Asset Revaluation Surplus" and presented in other comprehensive income of Rp3,316,985, while the decrease in carrying value arising from the reassessment of Rp101,530, was recognized in the current period's income statement. The fair value of land rights is included in the level 2 fair value hierarchy. In 2021, after the derecognition of PT Bank BRI Syariah (BRIS), the decrease of carrying value amounting to Rp80,276 presented in other comprehensive income.

As of December 31, 2021 and 2020 if the landrights are measured using the cost model, the carrying value amounted to Rp13,183,877 and Rp12,583,734, respectively.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

16. PREMISES AND EQUIPMENTS (continued)

Construction in progress details, as follows:

	December 31, 2021		
	Cost Accumulation	Completion Percentage	Estimated date of Completion
Building under construction:			
BRI Gatot Subroto Building	1,086,609	94.35%	September 30, 2022
BRI Regional Office Malang Building	100,909	88.21%	March 15, 2022
BRI Medan Building	70,882	21.36%	July 13, 2022
Others	1,720,543	Various	Various
	2,978,943		
Software under development:			
BRIFIRST software	193,340	69.05%	January 1, 2023
BRINETS Tactical Enhancement	156,965	97.06%	March 31, 2022
Desktop BRIBOX Application	62,599	89.44%	September 29, 2023
Others	810,344	Various	Various
	1,233,248		
Total	4,202,191		

	December 31, 2020		
	Cost Accumulation	Completion Percentage	Estimated date of Completion
BRI Gatot Subroto Building	581,807	56.82%	June 30, 2021
IT Tabanan Building	57,950	95.00%	February 28, 2021
Cirebon Gunung Jati Branch Office Building	43,300	80.00%	March 31, 2021
Others	684,367	Various	Various
Total	1,367,424		

Management believes that there is no impairment in value of premises and equipments and the amount of insurance coverage is adequate to cover the risk of loss that may arise on the premises and equipments as of December 31, 2021 and 2020.

17. OTHER ASSETS

Other Assets consist of:

	December 31, 2021	December 31, 2020
<u>Rupiah</u>		
Receivables from government related to generation KUR disbursement	4,698,675	3,870,918
Prepaid expense	4,956,905	3,463,717
Deferred expense for employee loan (Notes 11f)	4,358,420	3,161,845
Interest expense:		
Securities	3,027,840	2,581,705
Others	2,287,171	2,224,490

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

17. OTHER ASSETS (continued)

Other Assets consist of (continued):

	December 31, 2021	December 31, 2020
<u>Rupiah (continued)</u>		
Receivables related to ATM and credit card transaction	2,321,009	4,180,805
Reinsurance assets	1,623,169	1,383,245
Office supplies	647,077	629,384
Internal advance	240,501	386,457
Estimated tax receivable	139,282	72,647
Receivables for distributions of government social assistance	86,370	-
Penalty changes of loan principal and interest	66,915	59,993
Foreclosed collaterals	63,922	67,211
Premium receivable	61,642	71,467
Office, warehouse, and classroom rent	11,364	250,444
Tax advance	-	22,720
<i>Ijarah</i> assets	-	1,094,012
Accrued revenue based on sharia principle	-	757,189
Receivables for distributions of government social assistance	-	89,907
Others	6,331,948	8,086,771
	30,922,210	32,454,927
<u>Foreign currency</u>		
Interest receivable:		
Securities	1,092,871	939,757
Others	34,176	54,437
Others	249,664	157,707
	1,376,711	1,151,901
Total	32,298,921	32,606,828
Less allowance for impairment losses	(276,255)	(114,361)
Net	32,022,666	34,492,467

18. LIABILITIES DUE IMMEDIATELY

Liabilities due immediately consist of:

	December 31, 2021	December 31, 2020
<u>Rupiah</u>		
Advance payment deposits	10,454,565	5,500,342
Tax payment deposits	972,319	581,816
Debt of Subsidy PEN	843,646	1,705,364
ATM and credit card deposits	803,149	649,981
Insurance deposits	211,784	166,245
Debt to Customers	147,001	395,885
Third parties cooperation deposits	97,204	81,020
Chanelling loan deposits	82,465	63,836
Clearing deposits	26,344	29,952
Money transfer deposits	20,279	22,009
Social grant deposits	14	7,561
Others	4,741,799	5,404,679
	18,400,569	14,608,690

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

18. LIABILITIES DUE IMMEDIATELY (continued)

Liabilities due immediately consist of (continued):

	December 31, 2021	December 31, 2020
<u>Foreign currency</u>		
Advance payment deposits	84,681	164,517
Tax payment deposits	10,661	27,015
ATM and credit card deposits	18,868	335
Others	220,608	673,016
	334,818	864,884
Total	18,735,387	15,473,574

19. DEMAND DEPOSITS

Demand deposits consist of:

	December 31, 2021		December 31, 2020	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
<u>Third parties</u>				
<u>Rupiah</u>		89,777,483		92,818,909
<u>Foreign currency</u>				
United States Dollar	2,466,144,937	35,148,732	2,275,152,143	31,965,888
Singaporean Dollar	56,183,953	593,003	173,906,682	1,844,486
European Euro	10,847,575	174,781	7,972,675	137,405
Renminbi	81,542,373	182,306	77,911,961	167,531
Japanese Yen	178,546,797	22,099	58,215,378	7,915
Australian Dollar	1,947,702	20,152	2,003,355	21,541
Hong Kong Dollar	7,467,471	13,651	832,026	1,508
Great BritainPound Sterling	299,743	5,770	268,771	5,110
United Emirate Arab Dirham	483,058	1,874	1,675,059	6,407
Malaysian Ringgit	3,894	13	2,904	10
Saudi Arabian Riyal	336	1		-
		36,162,382		34,157,801
		125,939,865		126,976,710
<u>Related parties (Note 44)</u>				
<u>Rupiah</u>		58,407,608		32,451,555
<u>Foreign currency</u>				
United States Dollar	2,519,022,824	35,902,373	1,797,654,233	25,257,042
European Euro	19,952,949	321,491	5,156,992	88,878
Japanese Yen	151,926,971	18,804	545,478,053	74,166
Singaporean Dollar	5,331	56		-
		36,242,724		25,420,086
		94,650,332		57,871,641
Total		220,590,197		184,848,351

The average interest rates are as follows:

	December 31, 2021	December 31, 2020
Rupiah	1.98%	2.85%
Foreign currency	0.65	0.96

Demand deposits used as collateral for banking facilities granted by BRI and subsidiaries amounted to Rp252,263 and Rp2,006,330 as of December 31, 2021 and 2020.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

20. SAVING DEPOSITS

Saving deposits consist of:

	December 31, 2021		December 31, 2020	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
<u>Third parties</u>				
<u>Rupiah</u>				
Simpedes		309,347,613		285,960,307
Britama		173,136,373		159,291,579
Others		11,444,410		12,029,773
		<u>493,928,396</u>		<u>457,281,659</u>
<u>Foreign currency</u>				
Britama				
United States Dollar	192,826,688	2,748,262	164,691,567	2,313,917
Japanese Yen	1,869,877,257	231,435	1,866,515,375	253,781
Singaporean Dollar	11,362,774	119,930	7,239,262	76,781
European Euro	2,058,963	33,175	2,106,284	36,301
Australian Dollar	1,704,579	17,637	1,085,297	11,670
Great Britain Pound Sterling	604,232	11,632	703,622	13,378
Renminbi	1,907,797	4,265	10,340,053	22,234
Saudi Arabian Riyal	345,966	1,313	333,869	1,250
New Taiwan Dollar	745,653	383		-
Hong Kong Dollar	33,921	62	51,351	93
United Emirate Arab Dirham	7,697	30	7,475	29
		<u>3,168,124</u>		<u>2,729,434</u>
		<u>497,096,520</u>		<u>460,011,093</u>
<u>Related parties (Note 44)</u>				
<u>Rupiah</u>				
Britama		471,551		310,246
Simpedes		14,307		12,281
Others		64,969		318,854
		<u>550,827</u>		<u>641,381</u>
<u>Foreign currency</u>				
Britama				
United States Dollar	2,019,813	28,787	1,342,362	18,860
Great Britain Pound Sterling	23,916	460	1,193	23
European Euro	6,037	97	-	-
Renminbi	14,583	33	571	1
Singaporean Dollar	1,239	13	888	9
Saudi Arabian Riyal	293	1	-	-
Australian Dollar	134	1	-	-
		<u>29,392</u>		<u>18,893</u>
		<u>580,219</u>		<u>660,274</u>
Total		<u>497,676,739</u>		<u>460,671,367</u>

The average interest rate are as follows:

	December 31, 2021	December 31, 2020
Rupiah	0.42%	0.69%
Foreign currency	0.18	0.31

Saving deposits used as collateral for banking facilities granted by BRI and subsidiaries amounted to Rp1,057,143 and Rp126,223 as of December 31, 2021 and 2020.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

21. TIME DEPOSITS

Time deposits consist of:

	December 31, 2021		December 31, 2020	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
<u>Third parties</u>				
<u>Rupiah</u>		251,188,451		291,983,683
<u>Foreign currency</u>				
United States Dollar	3,088,731,352	44,022,144	3,869,574,677	54,367,525
Singaporean Dollar	73,693,858	777,814	146,201,170	1,550,636
Renminbi	308,181,379	689,007	265,834,697	571,612
Australian Dollar	26,706,738	276,324	28,948,083	311,263
European Euro	2,067,294	33,309	12,488,168	215,226
Great Britain Pound Sterling	91,334	1,758	1,314,370	24,989
Japanese Yen	2,000,000	248	22,694,000	3,086
Saudi Arabian Riyal	5,004	19	5,001	19
		45,800,623		57,044,356
		296,989,074		349,028,039
<u>Related parties (Note 44)</u>				
<u>Rupiah</u>		93,418,055		42,349,414
<u>Foreign currency</u>				
United States Dollar	2,107,036,190	30,030,534	2,484,394,914	34,905,750
European Euro	2,199,999	35,447	6,649,000	114,592
Singaporean Dollar	300,267	3,169	165,508	1,755
		30,069,150		35,022,097
		123,487,205		77,371,511
Total		420,476,279		426,399,550

Time deposits based on their contractual periods are as follows:

	December 31, 2021	December 31, 2020
<u>Third parties</u>		
<u>Rupiah</u>		
Deposits on call	8,458,691	14,656,454
Deposits		
1 month	82,835,564	105,524,880
3 months	89,736,081	126,359,394
6 months	30,699,971	21,335,653
12 months	33,142,210	12,391,875
More than 12 months	6,315,934	11,715,427
	251,188,451	291,983,683
<u>Foreign currency</u>		
Deposits on call	2,453,958	6,721,836
Deposits		
1 month	13,977,273	15,552,082
3 months	4,297,957	9,877,749
6 months	13,633,995	7,114,117
12 months	11,019,841	17,505,065
More than 12 months	447,599	273,507
	45,800,623	57,044,356
	296,989,074	349,028,039

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

21. TIME DEPOSITS (continued)

Time deposits based on their contractual periods are as follows (continued):

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Related parties (Note 44)</u>		
<u>Rupiah</u>		
Deposits on call	5,089,264	5,298,872
Deposits		
1 month	17,812,972	18,880,984
3 months	19,018,915	15,654,291
6 months	38,835,110	1,079,504
12 months	10,616,294	1,435,763
More than 12 months	2,045,500	-
	<u>93,418,055</u>	<u>42,349,414</u>
<u>Foreign currency</u>		
Deposits on call	3,123,868	835,828
Deposits		
1 month	14,705,225	13,410,028
3 months	2,626,988	7,990,114
6 months	7,269,198	10,866,152
12 months	2,343,871	1,257,681
More than 12 months	-	662,294
	<u>30,069,150</u>	<u>35,022,097</u>
	<u>123,487,205</u>	<u>77,371,511</u>
Total	<u>420,476,279</u>	<u>426,399,550</u>

The average interest rates are as follows:

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
Rupiah	3.45%	5.61%
Foreign currency	0.78	2.24

Time deposits used as collateral for banking facilities granted by BRI and subsidiaries amounted to Rp134,038 and Rp460,958 as of December 31, 2021 and 2020.

In order to implement the National Economic Recovery Program (PEN) in accordance with PMK No. 104/PMK.05/2020 dated August 7, 2020 concerning Fund Placement in the Framework of Implementation of the National Economic Recovery Program, during 2020 there have been 2 (two) times for the placement of funds, namely:

- The period of placement of phase I funds amounted to Rp1,000,000 and Rp9,000,000 in the form of deposits with interest rates of 3.42% from June 25, 2020 to the date of September 25, 2020, which was then returned to the Ministry of Finance's account at Bank Indonesia on September 25, 2020.
- The phase II fund placement period was Rp6,000,000 and Rp9,000,000 in the form of deposits with interest rates of 2.84% from September 25, 2020 to January 13, 2021, which were then returned to the Ministry of Finance's account at Bank Indonesia on January 13, 2021.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

22. DEPOSITS FROM OTHER BANKS AND FINANCIAL INSTITUTIONS

Deposits from other banks and financial institutions consist of:

	December 31, 2021		December 31, 2020	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
<u>Third parties</u>				
<u>Rupiah</u>				
Deposits on call		6,285,000		13,616,500
Time Deposits		1,076,890		506,000
Demand Deposits		419,749		348,000
Inter-bank call money		10,000		30,720
Savings Deposit		6,764		4,715,000
		<u>7,798,403</u>		<u>19,216,220</u>
<u>United States Dollar</u>				
Inter-bank call money	173,866,683	2,478,035	141,000,000	1,981,050
Demand Deposits	65,848,641	938,508	23,442,800	329,372
Time Deposits	56,000,000	798,140	30,000,000	421,500
		<u>4,214,683</u>		<u>2,731,922</u>
<u>Singaporean Dollar</u>				
Inter-bank call money	26,000,000	274,421	52,413,600	555,908
		<u>274,421</u>		<u>555,908</u>
		<u>12,287,507</u>		<u>22,504,050</u>
<u>Related parties (Note 44)</u>				
<u>Rupiah</u>				
Demand Deposits		33,076		152,327
		<u>33,076</u>		<u>152,327</u>
<u>United States Dollar</u>				
Inter-bank call money	70,000,000	997,675	80,400,000	1,129,620
Demand Deposits	784,121	11,176		-
		<u>1,041,927</u>		<u>1,281,947</u>
Total		<u>13,329,434</u>		<u>23,785,997</u>

The average interest rates are as follows:

	Rupiah		United States Dollar	
	December 31, 2021	December 31, 2020	December 31, 2021	December 31, 2020
Inter-bank call money	3.50%	3.77%	0.12%	0.07%
Deposits on call	2.92	4.46	-	-
Time Deposits	3.12	4.64	1.33	0.39
Demand Deposits	1.57	1.33	0.13	0.02
Saving Deposits	1.41	1.64	-	-

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

22. DEPOSITS FROM OTHER BANKS AND FINANCIAL INSTITUTIONS (continued)

The classification of deposits from other banks and financial institutions based on their remaining period to maturity are as follows:

December 31, 2021				
	≤ 1 month	> 1 - 3 months	> 3 months - 1 year	Total
<u>Third parties</u>				
<u>Rupiah</u>				
Deposits on call	6,285,000	-	-	6,285,000
Time Deposits	59,390	1,017,500	-	1,076,890
Demand Deposits	419,749	-	-	419,749
Inter-bank call money	10,000	-	-	10,000
Savings Deposits	6,764	-	-	6,764
	6,780,903	1,017,500	-	7,798,403
<u>Foreign Currency</u>				
Inter-bank call money	1,757,475	211,093	783,888	2,752,456
Demand Deposits	938,508	-	-	938,508
Time Deposits	-	798,140	-	798,140
	2,695,983	1,009,233	783,888	4,489,104
	9,476,886	2,026,733	783,888	12,287,507
<u>Related parties (Note 44)</u>				
<u>Rupiah</u>				
Demand Deposits	33,076	-	-	33,076
<u>United States Dollar</u>				
Inter-bank call money	997,675	-	-	997,675
Demand Deposits	11,176	-	-	11,176
	1,041,927	-	-	1,041,927
Total	10,518,813	2,026,733	783,888	13,329,434

December 31, 2020				
	≤ 1 month	> 1 - 3 months	> 3 months - 1 year	Total
<u>Third parties</u>				
<u>Rupiah</u>				
Deposits on call	13,616,500	-	-	13,616,500
Inter-bank call money	4,715,000	-	-	4,715,000
Time Deposits	478,000	28,000	-	506,000
Demand deposits	348,000	-	-	348,000
Saving deposits	30,720	-	-	30,720
	19,188,220	28,000	-	19,216,220

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

22. DEPOSITS FROM OTHER BANKS AND FINANCIAL INSTITUTIONS (continued)

The classification of deposits from other banks and financial institutions based on their remaining period to maturity are as follows (continued):

December 31, 2020				
	≤ 1 month	> 1 - 3 months	> 3 months - 1 year	Total
<u>Third parties (continued)</u>				
<u>Foreign Currency</u>				
Inter-bank call money	2,536,958	-	-	2,536,958
Time Deposits	-	421,500	-	421,500
Demand deposits	329,372	-	-	329,372
	2,866,330	421,500	-	3,287,830
	22,054,550	449,500	-	22,504,050
<u>Related parties (Note 44)</u>				
<u>Rupiah</u>				
Demand deposits	152,327	-	-	152,327
<u>Foreign Currency</u>				
Inter-bank call money	1,129,620	-	-	1,129,620
	1,281,947	-	-	1,281,947
Total	23,336,497	449,500	-	23,785,997

23. SECURITIES SOLD UNDER AGREEMENT TO REPURCHASE

Securities sold under agreement to repurchase consist of:

December 31, 2021					
	Date of Sale	Date of Repurchase	Nominal Amount	Sale Amount	Carrying Amount
<u>Third parties</u>					
<u>Rupiah</u>					
<u>Other Banks</u>					
<u>Government Bonds</u>					
FR0090	Dec 28, 2021	Jan 11, 2022	2,000,000	1,867,113	1,867,656
FR0090	Dec 21, 2021	Jan 04, 2022	2,000,000	1,864,800	1,866,612
FR0090	Dec 21, 2021	Jan 04, 2022	2,000,000	1,864,800	1,866,612
FR0086	Dec 29, 2021	Jan 05, 2022	1,500,000	1,449,677	1,449,959
FR0063	Mar 08, 2021	May 15, 2023	1,593,000	1,424,873	1,424,873
FR0090	Dec 14, 2021	Jan 11, 2022	1,500,000	1,404,705	1,406,993
FR0086	Dec 29, 2021	Jan 05, 2022	1,000,000	966,451	966,639
FR0086	Dec 29, 2021	Jan 12, 2022	1,000,000	966,451	966,639
FR0086	Dec 24, 2021	Jan 07, 2022	1,000,000	965,174	965,831
FR0090	Dec 28, 2021	Jan 03, 2022	1,000,000	933,556	933,821
FR0090	Dec 22, 2021	Jan 05, 2022	500,000	466,316	466,724
FR0063	Nov 07, 2017	May 15, 2022	500,000	446,090	446,090
FR0061	Feb 28, 2017	May 13, 2022	362,000	304,722	304,722
FR0086	Dec 27, 2021	Jan 10, 2023	300,000	289,864	289,976
FR0086	Dec 29, 2021	Jan 12, 2022	200,000	193,290	193,328
FR0086	Dec 29, 2021	Jan 12, 2022	200,000	193,290	193,328
FR0088	Dec 29, 2021	Jan 28, 2022	200,000	180,309	180,343
FR0086	Dec 29, 2021	Jan 12, 2022	150,000	144,968	144,996
FR0086	Dec 21, 2021	Jan 18, 2022	100,000	91,222	91,310
FR0087	Dec 16, 2021	Jan 13, 2022	100,000	90,653	90,783
FR0091	Dec 22, 2021	Jan 19, 2022	100,000	90,439	90,517
FR0086	Dec 29, 2021	Jan 05, 2022	90,000	86,981	86,997
			17,395,000	16,285,744	16,294,749

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

23. SECURITIES SOLD UNDER AGREEMENT TO REPURCHASE (continued)

Securities sold under agreement to repurchase consist of (continued):

December 31, 2021					
	Date of Sale	Date of Repurchase	Nominal Amount	Sale Amount	Carrying Amount
<u>Foreign currency</u>					
Other Banks					
Government Bonds					
RI0126	Dec 16, 2021	Mar 16, 2022	1,471,427	1,425,314	1,425,462
RI0124	Dec 14, 2021	Mar 14, 2022	712,624	726,674	726,774
RI0124	Dec 13, 2021	Mar 11, 2022	712,624	726,568	726,670
FR0061	Jun 03, 2020	May 15, 2022	842,000	713,361	713,361
FR0086	Dec 16, 2021	Apr 15, 2026	815,000	713,179	713,179
RI0126	Dec 14, 2021	Mar 14, 2022	738,280	712,632	712,723
FR0081	Dec 16, 2021	Jun 13, 2025	791,500	712,264	712,264
FR0043	Jan 14, 2019	Jul 15, 2022	500,000	453,482	453,482
RI0124	Sep 20, 2021	Jun 21, 2022	285,050	306,814	306,896
RI0229	Oct 28, 2021	Apr 28, 2022	228,040	253,466	253,446
RI0727	Jul 29, 2021	Jan 19, 2022	142,525	151,105	151,206
US TREASURY 0826	Dec 16, 2021	Mar 16, 2022	142,525	144,064	143,980
RI1023	Jul 12, 2021	Jan 12, 2022	142,525	143,704	143,814
RI0422	Oct 25, 2021	Jan 24, 2022	142,525	137,294	137,277
FR0061	Dec 27, 2018	May 12, 2022	150,000	115,666	115,666
RI1023	Dec 16, 2021	Mar 16, 2022	99,768	103,404	103,352
RI0128	Oct 28, 2021	Jan 28, 2022	99,768	102,034	102,019
US TREASURY 0523	Dec 15, 2021	Mar 15, 2022	99,768	99,219	99,162
RI0124	Jul 12, 2021	Jan 12, 2022	71,263	78,362	78,418
US TREASURY 0526	Sep 27, 2021	Mar 28, 2022	71,263	74,213	74,193
US TREASURY 0623	Sep 27, 2021	Mar 28, 2022	71,263	71,348	71,329
RI0423	Dec 16, 2021	Mar 16, 2022	71,263	70,407	70,372
RI0331	Oct 22, 2021	Jan 24, 2022	71,263	61,058	61,023
US TREASURY 0623	Sep 20, 2021	Mar 21, 2022	57,009	57,107	57,093
RI0125	Jul 12, 2021	Jan 12, 2022	42,757	45,799	45,832
			8,572,030	8,198,538	8,198,993
Sharia Government Treasury Bills					
INDOIS 24	Dec 15, 2021	Mar 15, 2022	142,425	148,397	148,324
INDOIS 25	Oct 29, 2021	Apr 29, 2022	142,425	143,729	143,729
INDOIS 27	July 29, 2021	Jan 12, 2022	142,425	137,380	137,513
INDOIS 24	Nov 18, 2021	May 18, 2022	85,515	89,038	89,018
INDOIS 30	Dec 16, 2021	Mar 16, 2022	71,263	67,087	67,047
INDOIS 30	Nov 18, 2021	Feb 18, 2022	71,263	66,782	66,741
INDOIS 24	Sep 27, 2021	June 27, 2022	57,010	59,603	59,616
INDOIS 24A	18 Nov 2021	18 May 2022	57,010	58,871	58,858
INDOIS 22	Oct 25, 2021	Jan 24, 2022	57,010	54,864	54,857
INDOIS 28	Oct 28, 2021	Jan 28, 2022	42,758	45,739	45,732
			869,403	871,490	871,435

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

23. SECURITIES SOLD UNDER AGREEMENT TO REPURCHASE (CONTINUED)

Securities sold under agreement to repurchase consist of (continued):

December 31, 2021					
	Date of Sale	Date of Repurchase	Nominal Amount	Sale Amount	Carrying Amount
Third parties (continued)					
<u>Foreign Currency (continued)</u>					
Other Banks (continued)					
Corporate Bonds					
PT Pertamina (Persero)					
Year 2029	Dec 16, 2021	Mar 16, 2022	78,336	80,129	80,089
Year 2023	Sep 27, 2021	Jun 27, 2022	49,884	5,778	50,790
PT Perusahaan Gas Negara (Persero)					
Year 2024	Sep 27, 2021	June 27, 2022	71,263	75,823	75,841
PT Perusahaan Listrik Negara (Persero)					
Year 2029	Dec 16, 2021	Mar 16, 2022	47,033	52,322	52,296
			246,568	259,052	259,016
<u>Related parties (Note 44)</u>					
<u>Rupiah</u>					
PT Bank Mandiri (Persero) Tbk					
Government Bonds					
FR0090	Dec 28, 2021	Jan 04, 2022	1,500,000	1,400,334	1,400,743
FR0086	Dec 29, 2021	Jan 05, 2022	1,000,000	966,451	966,639
FR0086	Dec 27, 2021	Jan 03, 2022	500,000	483,107	483,295
PT Bank Negara Indonesia (Persero) Tbk					
Government Bonds					
FR0090	Dec 28, 2021	Jan 04, 2022	500,000	466,778	466,914
FR0090	Dec 22, 2021	Jan 05, 2023	500,000	466,316	466,724
			4,000,000	3,782,986	3,784,315
Total			31,083,001	29,397,810	29,408,508
December 31, 2020					
	Date of Sale	Date of Repurchase	Nominal Amount	Sale Amount	Carrying Amount
<u>Third parties</u>					
<u>Rupiah</u>					
Other Banks					
Government Bonds					
FR0084	Dec 28, 2020	Jan 04, 2021	2,500,000	5,288,593	5,290,355
FR0086	Dec 30, 2020	Jan 06, 2021	2,500,000	5,065,403	5,065,965
FR0053	Dec 19, 2020	Jan 05, 2021	2,500,000	4,993,115	4,994,225
FR0086	Dec 29, 2020	Jan 29, 2021	2,500,000	2,295,707	2,296,198
FR0061	Dec 14, 2020	Jan 14, 2021	2,000,000	1,881,568	1,884,944
FR0087	Dec 17, 2020	Jan 15, 2021	1,869,300	1,869,300	1,872,062
FR0053	Dec 14, 2020	Jan 14, 2021	1,000,000	928,450	930,116
FR0086	Dec 21, 2020	Jan 21, 2021	1,000,000	915,750	916,717
FR0086	Dec 28, 2020	Jan 11, 2021	1,000,000	911,235	911,523
FR0086	Dec 23, 2020	Jan 22, 2021	908,999	908,999	909,769
FR0063	Dec 16, 2020	Jan 15, 2021	750,000	696,279	697,382
FR0084	Dec 28, 2020	Jan 25, 2021	500,000	529,038	529,217
FR0084	Dec 28, 2020	Jan 11, 2021	500,000	529,038	529,216
FR0053	May 07, 2019	Jul 15, 2021	550,000	519,218	519,218
FR0087	Dec 16, 2020	Jan 15, 2021	500,000	465,256	465,992
FR0086	Dec 18, 2020	Jan 18, 2021	458,889	458,889	459,519
FR0086	Dec 18, 2020	Jan 08, 2021	458,889	458,889	459,511
FR0063	Nov 07, 2017	Jun 15, 2021	500,000	446,090	446,090
FR0053	Sep 06, 2016	May 15, 2023	450,000	437,025	437,025
FR0053	Sep 09, 2016	Jul 15, 2021	416,000	390,000	390,000
FR0053	Feb 28, 2017	Jul 15, 2021	440,000	382,690	382,690
FR0034	Sep 06, 2016	Jul 15, 2021	300,000	344,315	344,315
FR0034	May 07, 2019	Jun 15, 2021	300,000	313,520	314,480

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

23. SECURITIES SOLD UNDER AGREEMENT TO REPURCHASE (CONTINUED)

Securities sold under agreement to repurchase consist of (continued):

December 31, 2020					
	Date of Sale	Date of Repurchase	Nominal Amount	Sale Amount	Carrying Amount
<u>Third parties (continued)</u>					
<u>Rupiah (continued)</u>					
Other Banks (continued)					
Government Bonds (continued)					
FR0061	Feb 28, 2017	May 13, 2022	362,000	304,722	304,722
FR0086	Dec 28, 2020	Jan 06, 2021	300,000	273,370	273,457
FR0086	Dec 28, 2020	Jan 07, 2021	300,000	273,370	273,457
FR0073	Dec 16, 2020	Jan 15, 2021	200,000	213,904	214,238
FR0053	Dec 15, 2020	Jan 15, 2021	200,000	185,673	185,987
FR0086	Dec 30, 2020	Jan 14, 2021	200,000	183,769	183,788
FR0086	Dec 29, 2020	Jan 12, 2021	200,000	183,657	183,695
FR0086	Dec 28, 2020	Jan 05, 2021	200,000	182,247	182,305
			25,864,077	32,829,079	32,848,178
<u>Foreign currency</u>					
Other bank					
Government Bonds					
RI0126	Dec 30, 2020	Mar 30, 2021	1,475,250	1,404,438	1,404,456
FRI0124	Dec 28, 2020	Mar 29, 2021	1,475,250	1,387,208	1,387,260
FR0061	Jun 03, 2020	May 15, 2022	842,000	703,226	703,226
RI0126	Dec 23, 2020	Mar 23, 2021	702,500	669,101	669,168
FR0043	Jan 14, 2019	Jul 15, 2022	500,000	447,038	447,038
RI0126	Dec 28, 2020	Jan 28, 2021	351,250	380,765	380,774
RI0521	Dec 29, 2020	Mar 29, 2021	351,250	326,603	326,610
RI0124	Dec 30, 2020	Mar 30, 2021	210,750	225,349	225,351
RI0521	Nov 25, 2020	Jan 25, 2021	140,500	136,373	136,430
RI0230	Dec 30, 2020	Jun 23, 2021	140,500	130,090	130,092
FR0061	Dec 27, 2018	May 12, 2022	150,000	114,023	114,023
SIGB 0625	Dec 11, 2020	Feb 11, 2021	106,062	112,635	112,654
RI10223	Oct 23, 2020	Oct 13, 2021	98,350	105,662	105,786
US TREASURY 0526	Dec 30, 2020	Jan 29, 2021	70,250	74,676	74,677
RI0423	Oct 23, 2020	Oct 13, 2021	70,250	70,742	70,824
RI0428	Dec 30, 2020	Jun 23, 2021	70,250	69,738	69,740
US TREASURY 0623	Dec 18, 2020	Feb 17, 2021	70,250	68,987	69,008
US TREASURY 0523	Dec 18, 2020	Feb 17, 2021	70,250	68,708	68,729
US TREASURY 0623	Dec 30, 2020	Jan 29, 2021	56,200	56,341	56,341
			6,951,112	6,551,703	6,552,187
Sharia Government Treasury Bills					
INDOIS 27	Dec 18, 2020	Jan 19, 2021	351,250	368,607	368,640
INDOIS 22	Oct 23, 2020	Oct 13, 2021	56,200	55,513	55,578
			407,450	424,120	424,218
			7,358,562	6,975,823	6,976,405
<u>Related parties (Note 44)</u>					
<u>Rupiah</u>					
PT Bank Negara Indonesia (Persero) Tbk					
Government Bonds					
FR0087	Dec 17, 2020	Jan 15, 2021	483,663	467,324	468,015
FR0063	Dec 15, 2020	Jan 15, 2021	200,000	185,760	186,074
			683,663	653,084	654,089
Total			33,906,302	40,457,986	40,478,672

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

24. MARKETABLE SECURITIES ISSUED

BRI and Subsidiaries issued marketable securities with details as follows:

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Rupiah</u>		
BRI Shelf Registration Bonds I		
Phase II Year 2016		
net of unamortized bond issuance cost		
amounting to Rp53 as of December 31, 2020	-	2,647,705
Phase III Year 2016		
net of unamortized bond issuance cost		
amounting to Rp54 as of December 31, 2020	-	681,740
BRI Shelf Registration Bonds II		
Phase I Year 2016		
net of unamortized bond issuance cost		
amounting to Rp1,882 and Rp2,287 as of		
December 31, 2021 and 2020	2,758,905	2,944,204
Phase II Year 2017		
net of unamortized bond issuance cost		
amounting to Rp606 and Rp1,206 as of		
December 31, 2021 and 2020	2,208,297	2,224,294
Phase III Year 2017		
net of unamortized bond issuance cost		
amounting to Rp933 and Rp1,793 as of		
December 31, 2021 and 2020	4,147,056	4,146,745
BRI Shelf Registration Bonds II (continued)		
Phase IV Year 2018		
net of unamortized bond issuance cost		
amounting to Rp776 and Rp1,611 as of		
December 31, 2021 and 2020	2,431,080	2,430,539
BRI Shelf Registration Bonds III		
Phase I Year 2019		
net of unamortized bond issuance cost		
amounting to Rp3,253 and Rp5,421 as of		
December 31, 2021 and 2020	4,220,168	4,218,115
Negotiable Certificate Deposits Year 2020		
net of unamortized bond issuance cost		
amounting to Rp22,984 December 31, 2020	-	827,016
BRI Agro Bonds I Year 2017		
net of unamortized bond issuance cost		
amounting to Rp125 and Rp351 as of		
December 31, 2021 and 2020	218,448	218,051
MTN I BRI Finance Year 2019		
net of unamortized bond issuance cost		
amounting to Rp139 and Rp436 as of		
December 31, 2021 and 2020	159,225	158,497
MTN II BRI Finance Year 2021		
net of unamortized bond issuance cost		
amounting to Rp437 as of December 31, 2021	322,303	-
PNM Shelf Registration Bonds I		
Phase II Year 2016		
net of unamortized issuance cost		
amounting to Rp290 as of		
December 31, 2020	-	838,710

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

24. MARKETABLE SECURITIES ISSUED (Continued)

BRI and Subsidiaries issued marketable securities with details as follows: (Continued)

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Rupiah (continued)</u>		
PNM Shelf Registration Bonds II		
Phase I Year 2017		
net of unamortized issuance cost		
amounting to Rp267 and Rp693 as of		
December 31, 2021 and 2020	749,733	749,307
Phase II Year 2018		
net of unamortized issuance cost		
amounting to Rp524 and Rp1,074 as of		
December 31, 2021 and 2020	1,245,476	2,463,581
PNM Shelf Registration Bonds III		
Phase I Year 2019		
net of unamortized issuance cost		
amounting to Rp1,319 and Rp2,781 as of		
December 31, 2021 and 2020	1,985,358	1,966,353
Phase II Year 2019		
net of unamortized issuance cost		
amounting to Rp984 and Rp643 as of		
December 31, 2021 and 2020	1,310,986	1,311,059
Phase III Year 2020		
net of unamortized issuance cost		
amounting to Rp479 and Rp1,158 as of		
December 31, 2021 and 2020	249,521	249,357
Phase IV Year 2020		
net of unamortized issuance cost		
amounting to Rp788 and Rp2,236 as of		
December 31, 2021 and 2020	828,212	1,731,564
Phase V Year 2021		
net of unamortized issuance cost		
amounting to Rp850 as of December 31, 2021	665,350	-
PNM Shelf Registration Bonds IV		
Phase I Year 2021		
net of unamortized issuance cost		
amounting to Rp7,592 as of December 31, 2021	2,972,308	-
MTN PNM		
Phase XIII Year 2017	375,000	375,000
Phase XIX Year 2018	-	500,000
Phase XIX Year 2019	-	623,500
Sukuk PNM		
Sukuk Mudharabah I PNM		
Phase I Year 2017	-	100,000
Sukuk Mudharabah II PNM		
Phase I Year 2018	300,000	300,000
Sukuk Mudharabah III PNM		
Phase I Year 2019	300,000	300,000
Phase II Year 2019	50,000	50,000
Year 2019	657,000	1,442,000
Phase II Year 2021	208,000	-
Sukuk Mudharabah IV PNM		
Phase I Year 2020	200,000	200,000
Year 2021	2,000,000	-

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

24. MARKETABLE SECURITIES ISSUED (continued)

BRI and Subsidiaries issued marketable securities with details as follows (continued):

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Rupiah (continued)</u>		
Sukuk <i>Berkelanjutan</i> PNM		
Phase I Year 2021	1,993,506	-
Pegadaian Shelf Registration Bonds I		
Phase I Year 2011		
net of unamortized bond issuance cost		
amounting to Rp100 as of		
December 31, 2020	-	486,634
Pegadaian Shelf Registration Bonds III		
Phase I Year 2017		
net of unamortized bond issuance cost		
amounting to Rp216 and Rp496 as of		
December 31, 2021 and 2020	916,468	906,620
Phase II Year 2018		
net of unamortized bond issuance cost		
amounting to Rp420 and Rp937 as of		
December 31, 2021 and 2020	1,755,544	2,896,936
Pegadaian Shelf Registration Bonds IV		
Phase I Year 2020		
net of unamortized bond issuance cost		
amounting to Rp184 and Rp934 as of		
December 31, 2021 and 2020	69,816	353,669
Phase II Year 2020		
net of unamortized bond issuance cost		
amounting to Rp289 and Rp1,123 as of		
December 31, 2021 and 2020	371,417	1,346,094
Phase III Year 2020		
net of unamortized bond issuance cost		
amounting to Rp665 and Rp2,227 as of		
December 31, 2021 and 2020	986,584	2,342,554
Phase IV Year 2021		
net of unamortized bond issuance cost		
amounting to Rp1,571 as of		
December 31, 2021	3,162,198	-
MTN Syariah Mudharabah I Series A	-	250,000
MTN Syariah Mudharabah I Series B	-	50,000
Pegadaian Sukuk Mudharabah <i>Berkelanjutan</i> I		
Phase I Year 2020	49,000	100,000
Phase II Year 2020	183,500	500,000
Phase III Year 2020	131,000	835,000
Phase IV Year 2021	765,000	-
Commercial Paper Year 2021		
Phase I		
net of unamortized issuance cost		
and commercial paper interest		
amounting to Rp437 as of		
December 31, 2021	146,857	-
	<u>41,093,316</u>	<u>43,764,843</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

24. MARKETABLE SECURITIES ISSUED (continued)

BRI and Subsidiaries issued marketable securities with details as follows (continued):

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
United States Dollar		
Senior Unsecured Notes Due 2023		
(Global Bond BRI)		
net of unamortized bond issuance cost		
amounting to Rp17,109 and Rp27,504 as of		
December 31, 2021 and 2020	7,109,141	6,997,936
Senior Unsecured Notes Due 2024		
(Sustainability Bond BRI Year 2019)		
net of unamortized bond issuance cost		
amounting to Rp22,010 and Rp30,752 as of		
December 31, 2021 and 2020	7,104,240	6,994,249
	<u>14,213,381</u>	<u>13,992,185</u>
Total	<u>55,306,697</u>	<u>57,757,028</u>

The amortization of the issuance cost of marketable securities issued for the year ended December 31, 2021 and 2020 amounted to Rp52,720 and Rp70,079, respectively.

The following are other key information related to marketable securities issued:

a) BRI Shelf Registration Bonds I

On June 25, 2015, BRI issued BRI Shelf Registration Bonds I Phase I Year 2015 with a principal value of Rp3,000,000 in 3 (three) series, as follows:

- Series A: Principal value amounting to Rp655,000 with a fixed interest rate of 8.40% per annum, for a period of 370 (three hundred and seventy) days and matured on July 7, 2016.
- Series B: Principal value amounting to Rp925,000 with a fixed interest rate of 9.20% per annum, for a period of 3 (three) years and matured on July 3, 2018.
- Series C: Principal value amounting to Rp1,420,000 with a fixed interest rate of 9.50% per annum, for a period of 5 (five) years and matured on July 3, 2020.

The interest of BRI Shelf Registration Bonds I Phase I Year 2015 is paid every 3 (three) months, starting from October 3, 2015. At the time of issuance, Pefindo gave these Shelf Registration Bonds an idAAA rating.

On January 19, 2016, BRI issued BRI Shelf Registration Bonds I Phase II Year 2016 with a principal value of Rp4,650,000 in 3 (three) series, as follows:

- Series A: Principal value amounting to Rp808,000 with a fixed interest rate of 8.50% per annum, for a period of 370 (three hundred and seventy) days and matured on February 8, 2017.
- Series B: Principal value amounting to Rp1,018,500 with a fixed interest rate of 9.25% per annum, for a period of 3 (three) years and matured on February 4, 2019.
- Series C: Principal value amounting to Rp2,823,500 with a fixed interest rate of 9.60% per annum, for a period of 5 (five) years and matured on February 4, 2021.

The interest of BRI Shelf Registration Bonds I Phase II Year 2016 is paid every 3 (three) months, starting from May 4, 2016. At the time of issuance, Pefindo gave these Shelf Registration Bonds an idAAA rating.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

24. MARKETABLE SECURITIES ISSUED (continued)

The following are other key information related to marketable securities issued (continued):

a) BRI Shelf Registration Bonds I (continued)

On May 4, 2016, BRI issued BRI Shelf Registration Bonds I Phase III Year 2016 with a principal value of Rp4,350,000 in 3 (three) series, as follows:

- Series A: Principal value amounting to Rp1,212,000 with a fixed interest rate of 7.50% per annum, for a period of 370 (three hundred and seventy) days and matured on May 30, 2017.
- Series B: Principal value amounting to Rp2,437,000 with a fixed interest rate of 8.20% per annum, for a period of 3 (three) years and matured on May 25, 2019.
- Series C: Principal value amounting to Rp701,000 with a fixed interest rate of 8.70% per annum, for a period of 5 (five) years and matured on May 25, 2021.

The interest of BRI Shelf Registration Bonds I Phase III Year 2016 is paid every 3 (three) months, starting from August 25, 2016. At the time of issuance, Pefindo gave these Shelf Registration Bonds an idAAA rating.

As of December 31, 2020, BRI Shelf Registration Bonds I obtained an AAA rating from Pefindo.

The net proceeds from the issuance of these Shelf Registration Bonds are used for loan granting.

The important covenant stated in the agreement of Shelf Registration Bonds is that BRI shall not, without the written approval from the trustee, reduce the authorized, issued and paid-up capital, as well as perform merger, separation, consolidation and takeover of a company.

Management believes all covenants/restrictions stipulated in the trustee agreement have been complied.

BRI has settled its Shelf Registration Bonds I Phase I Series A, Shelf Registration Bonds I Phase I Series B, Shelf Registration Bonds I Phase I Series C, Shelf Registration Bonds I Phase II Series A, Shelf Registration Bonds I Phase II Series B, Shelf Registration Bonds I Phase II Series C, Shelf Registration Bonds I Phase III Series A, Shelf Registration Bonds I Phase III Series B and Shelf Registration Bonds I Phase III Series C with nominal values of Rp655,000, Rp925,000, Rp1,420,000, Rp808,000, Rp1,018,500, Rp2,823,500, Rp1,212,000, Rp2,437,000 and Rp701,000 respectively on the maturity dates.

b) BRI Shelf Registration Bonds II

On December 2, 2016, BRI issued Shelf Registration Bonds II Phase I Year 2016 with a principal value of Rp4,600,000 in 5 (five) series, as follows:

- Series A: Principal value amounting to Rp616,000 with a fixed interest rate of 7.25% per annum, for a period of 370 (three hundred and seventy) days and matured on December 6, 2017.
- Series B: Principal value amounting to Rp964,000 with a fixed interest rate of 8.00% per annum, for a period of 3 (three) years and matured on December 1, 2019.
- Series C: Principal value amounting to Rp193,000 with a fixed interest rate of 8.20% per annum, for a period of 5 (five) years and will mature on December 1, 2021.
- Series D: Principal value amounting to Rp477,000 with a fixed interest rate of 8.65% per annum, for a period of 7 (seven) years and will mature on December 1, 2023.
- Series E: Principal value amounting to Rp2,350,000 with a fixed interest rate of 8.90% per annum, for a period of 10 (ten) years and will mature on December 1, 2026.

The interest of BRI Shelf Registration Bonds II Phase I Year 2016 is paid every 3 (three) months, starting from March 1, 2017. At the time of issuance, Pefindo gave these Shelf Registration Bonds an idAAA rating.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

24. MARKETABLE SECURITIES ISSUED (continued)

The following are other key information related to marketable securities issued (continued):

b) BRI Shelf Registration Bonds II (continued)

On April 12, 2017, BRI issued Shelf Registration Bonds II Phase II Year 2017 with a principal value of Rp5,100,000 in 4 (four) series, as follows:

- Series A: Principal value amounting to Rp1,131,000 with a fixed interest rate of 7.20% per annum, for a period of 370 (three hundreds and seventy) days and matured on April 16, 2018.
- Series B: Principal value amounting to Rp1,743,500 with a fixed interest rate of 8.10% per annum, for a period of 3 (three) years and matured on April 11, 2020.
- Series C: Principal value amounting to Rp925,000 with a fixed interest rate of 8.30% per annum, for a period of 5 (five) years and will mature on April 11, 2022.
- Series D: Principal value amounting to Rp1,300,500 with a fixed interest rate of 8.80% per annum, for a period of 10 (ten) years and will mature on April 11, 2027.

The interest of BRI Shelf Registration Bonds II Phase II Year 2017 is paid every 3 (three) months, starting from July 11, 2017. At the time of issuance, Pefindo gave these Shelf Registration Bonds an idAAA rating.

On August 25, 2017, BRI issued Shelf Registration Bonds II Phase III Year 2017 with a principal value of Rp5,150,000 in 3 (three) series, as follows:

- Series A: Principal value amounting to Rp980,500 with a fixed interest rate of 7.60% per annum, for a period of 3 (three) years and matured in August 24, 2020.
- Series B: Principal value amounting to Rp1,652,500 with a fixed interest rate of 8.00% per annum, for a period of 5 (five) years and will mature on August 24, 2022.
- Series C: Principal value amounting to Rp2,517,000 with a fixed interest rate of 8.25% per annum, for a period of 7 (seven) years and will mature on August 24, 2024.

The interest of BRI Shelf Registration Bonds II Phase III Year 2017 is paid every 3 (three) months, starting from November 24, 2017. At the time of issuance, Pefindo gave these Shelf Registration Bonds an idAAA rating.

On February 22, 2018, BRI issued Shelf Registration Bonds II Phase IV Year 2018 with a principal value of Rp2,442,000 in 2 (two) series, as follows:

- Series A: Principal value amounting to Rp1,837,000 with a fixed interest rate of 6.65% per annum, for a period of 5 (five) years and will mature on February 21, 2023.
- Series B: Principal value amounting to Rp605,000 with a fixed interest rate of 6.90% per annum, for a period of 7 (seven) years and will mature on February 21, 2025.

The interest of BRI Shelf Registration Bonds II Phase IV Year 2018 is paid every 3 (three) months, starting from May 21, 2018. At the time of issuance, Pefindo gave these Shelf Registration Bonds an idAAA rating.

As of December 31, 2021 and 2020, BRI Shelf Registration Bonds II obtained an idAAA rating from Pefindo.

The net proceeds from the issuance of these Shelf Registration Bonds are used for loan granting.

The important covenant stated in the agreement of Shelf Registration Bonds is that BRI shall not, without the written approval from the trustee, reduce the authorized, issued and paid-up capital, as well as perform merger, separation, consolidation and takeover of a company.

Management believes all covenants/restrictions stipulated in the trustee agreement have been complied.

BRI has settled its Shelf Registration Bonds II Phase I Series A, Shelf Registration Bonds II Phase I Series B, Shelf Registration Bonds II Phase II Series A, Shelf Registration Bonds II Phase II Series B, Shelf Registration Bonds II Phase I Series C and Shelf Registration Bonds II Phase III Series A with nominal values of Rp616,000, Rp964,000, Rp193,000, Rp1,131,000, Rp1,743,500, and Rp980,500, respectively on the maturity dates.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

24. MARKETABLE SECURITIES ISSUED (continued)

The following are other key information related to marketable securities issued (continued):

c) BRI Shelf Registration Bonds III

On November 7, 2019, BRI issued Shelf Registration Bonds III Phase I Year 2019 with a principal value of Rp5,000,000 in 3 (three) series, as follows:

- Series A: Principal value amounting to Rp737,850 with a fixed interest rate of 6.50% per annum, for a period of 370 (three hundreds and seventy) days and matured in November 17, 2020.
- Series B: Principal value amounting to Rp2,089,350 with a fixed interest rate of 7.60% per annum, for a period of 3 (three) years and will mature on November 7, 2022.
- Series C: Principal value amounting to Rp2,172,800 with a fixed interest rate of 7.85% per annum, for a period of 5 (five) years and will mature on November 7, 2024.

The interest of BRI Shelf Registration Bonds III Phase I Year 2019 is paid every 3 (three) months, starting from February 7, 2020. At the time of issuance, Pefindo gave these Shelf Registration Bonds an idAAA rating.

As of December 31, 2021 and 2020, BRI Shelf Registration Bonds III obtained a AAA rating from Pefindo.

Net proceeds from the issuance of BRI's Sustainable Bonds III are used to develop the Bank's business by channeling credit by applying the principles of prudential banking and good corporate governance.

The important covenant stated in the agreement of Shelf Registration Bonds is that BRI shall not, without the written approval from the trustee, reduce the authorized, issued and paid-up capital, as well as perform merger, separation, consolidation and takeover of a company.

Management believes all covenants/restrictions stipulated in the trustee agreement have been complied with.

BRI has settled its Shelf Registration Bonds III Phase I Series A, with nominal values of Rp737,850 on the maturity dates.

d) BRI Agro Bonds I

On July 7, 2017, after receiving the Notification Letter of Effective Registration Statement from OJK No. S-348/D.04/2017 dated June 22, 2017, BRI Agro issued BRI Agro Bonds I Year 2017 with a principal value of Rp500,000 in 2 (two) series as follows:

- Series A: Principal value amounting to Rp261,000 with a fixed interest rate of 8.25% per annum, for a period of 3 (three) years and matured in July 7, 2020.
- Series B: Principal value amounting to Rp239,000 with a fixed interest rate of 8.50% per annum, for a period of 5 (five) years and will mature on July 7, 2022.

The interest of these bonds is paid every 3 (three) months, starting from October 7, 2017. At the time of issuance, Pefindo gave these Shelf Registration Bonds an idAA rating.

As of December 31, 2021 and 2020, BRI Agro Bonds I obtained an AA rating from Pefindo. The net proceeds from the issuance of bonds are used for loan granting.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

24. MARKETABLE SECURITIES ISSUED (continued)

The following are other key information related to marketable securities issued (continued):

d) BRI Agro Bonds I (continue)

The important covenant stated in the agreement of BRI Agro Bonds I is that BRI Agro shall not, without the written approval from the trustee, reduce the authorized, issued and paid-up capital, as well as perform merger, separation, consolidation and takeover of a company.

Management believes all covenants/restrictions stipulated in the agreement have been complied.

BRI has settled its Agro Bonds I Series A with nominal values of Rp261,000, on the maturity dates.

e) Senior Unsecured Notes Due 2023 (Global Bond BRI)

On July 16, 2018, BRI issued and listed BRI Global Bonds Year 2018 with a nominal value of USD500,000,000 (full amount) on Singapore Exchange Securities Trading Limited (SGX-ST), for a period of 5 (five) years, and will mature on July 20, 2023, with a fixed interest rate of 4.63% per annum. The bonds were issued at 99.696%, which were equivalent to USD498,480,000 (full amount) and the interest of these bonds is paid every 6 (six) months, starting from January 20, 2019. At the time of issuance, the bonds were rated Baa2 and BBB- by Moody's and Fitch, respectively.

The net proceeds from the issuance of BRI Bonds is used to strengthen BRI's general funding structure.

Management believes all covenants/restrictions stipulated in the agreement have been complied.

As of December 31, 2021 and 2020, Senior Unsecured Notes Due 2023 (Global Bond BRI) Year 2018 obtained a Baa2 and BBB- rating from Fitch and Moody's, respectively.

f) Senior Unsecured Notes Due 2024 (Sustainability Bond BRI Year 2019)

On March 28, 2019, BRI issued and listed BRI Global Bonds Year 2019 with a nominal value of USD500,000,000 (full amount) on Singapore Exchange Securities Trading Limited (SGX-ST), for a period of 5 (five) years, and will mature on March 28, 2024, with a fixed interest rate of 3.95% per annum. The bonds were issued at 99.713%, which were equivalent to USD498,565,000 (full amount) and the interest of these bonds is paid every 6 (six) months, starting from September 28, 2019.

At the time of issuance, the bonds were rated Baa2 and BBB- by Moody's and Fitch, respectively.

The net proceeds from the issuance of BRI Bonds is used to give funding to Eligible Project in accordance with the Sustainability Framework.

Management believes all covenants or restrictions stipulated in the agreement have been complied.

As of December 31, 2021 and 2020, Senior Unsecured Notes Due 2024 (Sustainability Bond BRI Year 2019) obtained a BAA2 and BBB- rating from Moody's and Fitch, respectively

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

24. MARKETABLE SECURITIES ISSUED (continued)

The following are other key information related to marketable securities issued (continued):

g) MTN I BRI Finance Year 2019

On December 13, 2019, BRI Finance issued MTN I BRI Finance Year 2019 with a nominal value of Rp300,000 (full amount), for a period of 3 (three) years, and will mature on December 13, 2022, with a fixed interest rate of 9.25% per annum. Interest of MTN Phase I is paid every 3 (three) months, starting from March 13, 2020. At the time of issuance, the MTN were rated idAA- by Pefindo, respectively.

As of December 31, 2021 and 2020, MTN I BRI Finance Year 2019 obtained an AA- from Pefindo.

The net proceeds from the issuance of MTN is used to short term liabilities bank payment and strengthen company general funding structure. The important covenant stated in the agreement of MTN is that BRI shall not, without the written approval from the trustee, reduce the authorized, issued and paid-up capital, as well as perform merger, separation, consolidation and takeover of company.

BRI Finance is also required to fulfill financial requirements including gearing ratios of at least zero times and a maximum of ten times, capital ratios of at least 10%, the ratio of net financing receivable balances to total assets of at least 40%, the ratio of investment and capital financing receivable balances work at least 10% of the total financing receivable balance, the lowest equity to paid-in capital ratio of 50%, the highest non-performing financing ratio of 5%, has an equity greater than Rp200,000 millions, maintains a minimum guarantee value of 50% of MTN principal value and meet the requirements of financial soundness level with a minimum healthy condition.

Management believes all covenants or restrictions stipulated in the agreement have been complied.

h) Negotiable Certificates of Deposit (NCD) I Bank BRI Year 2020

On June 29, 2020, BRI issued BRI Negotiable Certificates of Deposit (NCD) I Year 2020 with a principal value of Rp2,000,000 in 3 (three) series, as follows :

- Series A: Principal value amounting to Rp630,000 with a fixed interest rate of 5.35% per annum, for a period of 3 (three) months and matured in September 28, 2020.
- Series B: Principal value amounting to Rp520,000 with a fixed interest rate of 5.30% per annum, for a period of 6 (six) months and matured in December 23, 2020.
- Series C: Principal value amounting to Rp850,000 with a fixed interest rate of 5.75% per annum, for a period of 12 (twelve) months and matured on June 24, 2021.

The net proceeds from the issuance of BRI Negotiable Certificates of Deposit (NCD) is used to increase rupiah liquidity needs.

Management believes all covenants or restrictions stipulated in the agreement have been complied.

BRI has settled its Negotiable Certificates of Deposit (NCD) I Bank BRI Series A, Series B and Series C with nominal values of Rp630,000, Rp520,000 and Rp850,000, respectively on the maturity dates.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

24. MARKETABLE SECURITIES ISSUED (continued)

The following are other key information related to marketable securities issued (continued):

i) MTN II BRI Finance Year 2021

On September 17, 2021, BRI Finance issued MTN II BRI Finance Year 2021 with a nominal value of Rp500,000 (full amount), for a period of 3 (three) years, and will mature on September 17, 2024, with a fixed interest rate of 6.4% per annum. Interest of MTN Phase II is paid every 3 (three) months, starting from December 17, 2021. At the time of issuance, the MTN were rated idAA by Pefindo, respectively.

The net proceeds from the issuance of MTN is used to short term liabilities bank payment and strengthen company general funding structure. The important covenant stated in the agreement of MTN is that BRI shall not, without the written approval from the trustee, reduce the authorized, issued and paid-up capital, as well as perform merger, separation, consolidation and takeover of company.

BRI Finance is also required to fulfill financial requirements including gearing ratios of at least zero times and a maximum of ten times, capital ratios of at least 10%, the ratio of net financing receivable balances to total assets of at least 40%, the ratio of investment and capital financing receivable balances work at least 10% of the total financing receivable balance, the lowest equity to paid-in capital ratio of 50%, the highest non-performing financing ratio of 5%, has an equity greater than Rp200,000 millions, maintains a minimum guarantee value of 50% of MTN principal value and meet the requirements of financial soundness level with a minimum healthy condition.

j) PNM Shelf Registration I Phase II Year 2016

On December 12, 2014, PNM issued Shelf Registration Bonds I PNM Phase I Year 2014 with a principal amount of Rp2,000,000. The bonds have been declared effective by the Financial Services Authority (OJK) based on Decree Number: S-534/D.04/2014 dated December 12, 2014.

PNM issues and offers Shelf-Registered Bonds I PNM Phase II 2016 which have been listed on the Indonesia Stock Exchange on November 4, 2016 which consist of:

- Series A : Principal value amounting to Rp661,000, with a fixed interest rate of 9.00% per annum for a period of 3 (three) years and matured on November 3, 2019.
- Series B : Principal value amounting to Rp839,000, with a fixed interest rate of 9.50% per annum for a period of 5 (five) years and matured on November 3, 2021.

Based on the rating results of long-term debt securities in accordance with Pefindo's Letter No. 937/PEF-DIR/IX/2021 dated September 20, 2021 from PT Pemeringkat Efek Indonesia (Pefindo), the bonds are rated idAA (Double A) which is valid for the period July 1, 2022.

k) PNM Shelf Registration II PNM Year 2017

On June 21, 2017, PNM issued Shelf Registration Bonds II PNM Phase I Year 2017 with a principal amount of Rp4,000,000. The bonds have been declared effective by the Financial Services Authority (OJK) based on Decree Number: S-345/D.04/2014 dated June 21, 2017.

PNM issues and offers Shelf-Registered Bonds II PNM Phase I 2017 which has been listed on the Indonesia Stock Exchange on July 13, 2017 which consists of:

- Series A : Principal value amounting to Rp750,000, with a fixed interest rate of 8.75% per annum, for a period of 3 (three) years and matured on July 12, 2020.
- Series B : Principal value amounting to Rp750,000, with a fixed interest rate of 9.25% per annum for a period of 5 (five) years, maturing on July 12, 2022.

As of December 31, 2021, PNM's Shelf-Registered Bond II received a rating from PT Pemeringkat Efek Indonesia (Pefindo) with an idAA (Double A) rating.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

24. MARKETABLE SECURITIES ISSUED (continued)

The following are other key information related to marketable securities issued (continued):

l) PNM Shelf Registration II Year 2018

On June 21, 2017, PNM issued Shelf-Registered Bonds II PNM Year 2017 with a principal amount of Rp4,000,000. The bonds have been declared effective by the Financial Services Authority (OJK) based on Decree Number: S-345/D.04/2014 dated June 21, 2017 .

PNM issues and offers the PNM Phase II 2018 Shelf-Registered Bonds which have been listed on the Indonesia Stock Exchange on April 16, 2018 which consist of:

- Series A : Principal value amounting to Rp1,254,000, with a fixed interest rate of 8.00% per annum, for a period of 3 (three) years and matured on April 13, 2021.
- Series B : Principal value amounting to Rp1,246,000, with a fixed interest rate of 8.50% per annum, for a period of 5 (five) years, maturing on July 12, 2022.

As of December 31, 2021, PNM's Shelf-Registered Bond II received a rating from PT Pemeringkat Efek Indonesia (Pefindo) with an idAA (Double A) rating.

m) PNM Shelf Registration III Phase I Year 2019

On May 23, 2019, PNM issued Shelf-Registered Bonds III PNM Year 2019 with a principal amount of Rp6,000,000. The bonds have been declared effective by the Financial Services Authority (OJK) based on Decree Number: S-58/D.04/2019 dated May 23, 2019 .

PNM issues and offers the PNM Phase I 2019 Shelf-Registered Bonds which have been listed on the Indonesia Stock Exchange on May 29, 2019 which consist of:

- Series A : Principal value amounting to Rp1,401,000, with a fixed interest rate of 9.50% per annum, for a period of 3 (three) years, maturing on May 28, 2022.
- Series B : Principal value amounting to Rp599,000, with a fixed interest rate of 9.85% per annum, for a period of 5 (five) years, maturing on May 28, 2024.

As of December 31, 2021, PNM's Shelf-Registered Bond III received a rating from PT Pemeringkat Efek Indonesia (Pefindo) with an idAA (Double A) rating.

n) PNM Shelf Registration III Phase II Year 2019

On May 23, 2019, PNM issued Shelf-Registered Bonds III PNM Year 2019 with a principal amount of Rp6,000,000. The Bonds have been declared effective by the Financial Services Authority (OJK) based on Decree No. S-58/D.04/2019 dated May 23, 2019.

PNM published and offered Shelf-Registered Bonds III PNM Phase III in 2020 which have been listed on the Indonesia Stock Exchange on May 4, 2020 which consist of:

- Series A: Principal value amounting to Rp586,500, with a fixed interest rate of 8.40% per annum, for a period of 3 (three) years and will mature on November 28, 2022.
- Series B: Principal value amounting to Rp763,500, with a fixed interest rate of 8.75% per annum, for a period of 5 (five) years and will mature on November 28, 2024.

On December 31, 2021 PNM Shelf Registraton III obtained idAA (Double A) rating from Pefindo.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

24. MARKETABLE SECURITIES ISSUED (continued)

The following are other key information related to marketable securities issued (continued):

o) PNM Shelf Registration III Phase III Year 2020

On May 23, 2019, PNM issued Shelf-Registered Bonds III PNM Year 2019 with a principal amount of Rp6,000,000. The Bonds have been declared effective by the Financial Services Authority (OJK) based on Decree No. S-58/D.04/2019 dated May 23, 2019.

PNM published and offered Shelf-Registered Bonds III PNM Phase III in 2020 which have been listed on the Indonesia Stock Exchange on May 4, 2020 which consist of:

- Series A: Principal value amounting to Rp55,100, with a fixed interest rate of 8.40% per annum, for a period of 3 (three) years and will mature on April 30, 2023.
- Series B: Principal value amounting to Rp194,100, with a fixed interest rate of 9.00% per annum, for a period of 5 (five) years and will mature on April 30, 2025.

The interest of PNM Shelf Registration III is paid every 3 (three) months starting from July 30, 2020.

On December 31, 2021 PNM Shelf Registraton III obtained idA+ (Single A Plus) rating from Pefindo.

p) PNM Shelf Registration III Phase IV Year 2020

On May 23, 2019, PNM issued Shelf Registration Bonds III PNM Year 2019 with a principal amount of Rp6,000,000. The Bonds have been declared effective by the Financial Services Authority (OJK) based on Decree No.S-58/D.04/2019 dated May 23, 2019.

PNM published and offered Shelf Registration Bonds III PNM Phase IV in 2020 which have been listed on the Indonesia Stock Exchange on May 4, 2020 which consist of:

- Series A: Principal value amounting to Rp904,800, with a fixed interest rate of 6.50% per annum, for a period of 370 (three hundred and seventy) days and matured on December 4, 2021.
- Series B: Principal value amounting to Rp537,000, with a fixed interest rate of 7.75% per annum, for a period of 3 (three) years and will mature on December 4, 2023.
- Series C: Principal value amounting to Rp292,000, with a fixed interest rate of 8.75% per annum, for a period of 5 (five) years and will mature on December 4, 2025.

The interest of PNM Shelf Registration III is paid every 3 (three) months starting from March 4, 2021.

On December 31, 2021 PNM Shelf Registration Bonds III obtained idA+ (Single A Plus) rating from Pefindo.

q) PNM Shelf Registration III Phase V Year 2021

On May 23, 2019, PNM issued Shelf Registration Bonds III PNM Year 2019 with a principal amount of Rp6,000,000. The Bonds have been declared effective by the Financial Services Authority (OJK) based on Decree No. S-58/D.04/2019 dated May 23, 2019.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

24. MARKETABLE SECURITIES ISSUED (continued)

The following are other key information related to marketable securities issued (continued):

q) PNM Shelf Registration III Phase V Year 2021 (continued)

PNM published and offered Shelf Registration Bonds III PNM Phase V in 2021 which have been listed on the Indonesia Stock Exchange on March 18, 2021 which consist of:

- Series A: Principal value amounting to Rp168,000, with a fixed interest rate of 6.25% per annum, for a period of 370 (three hundred and seventy) days and will mature on December 10, 2022.
- Series B: Principal value amounting to Rp159,000, with a fixed interest rate of 7.25% per annum, for a period of 3 (three) years and will mature on March 17, 2024.
- Series C: Principal value amounting to Rp339,200, with a fixed interest rate of 8.25% per annum, for a period of 5 (five) years and will mature on March 17, 2026.

On December 31, 2021 PNM Shelf Registration Bonds III obtained idAA (Double A) rating from Pefindo.

PNM believes all covenants/restrictions stipulated in the agreement have been complied for the issuance of PNM Shelf Registration III Phase V Year 2021, PNM Shelf Registration III Phase IV Year 2020, PNM Shelf Registration III Phase III Year 2020, PNM Shelf Registration III Phase I and II Year 2019, PNM Shelf Registration II Phase II Year 2018, PNM Shelf Registration II Phase I Year 2017, PNM Shelf Registration I Phase II Year 2016, PNM Shelf Registration I Phase I Year 2014, PNM Bonds II Year 2013 and PNM Bonds I Year 2012.

r) PNM Shelf Registration Sukuk Mudharabah I Phase I Year 2021

On July 8, 2021, PNM issued the Shelf Registration Sukuk Mudharabah I PNM Phase I Year 2021 with a principal amount of up to Rp6,000,000, in 3 (three) series consist of:

- Series A: Principal value amounting to Rp1,158,000, with a *nisbah* of 6.00% per annum, for a period of 370 (three hundred and seventy) days.
- Series B: Principal value amounting to Rp515,000, with a *nisbah* of 7.00% per annum, for a period of 3 years.
- Series C: Principal value amounting to Rp327,000, with a *nisbah* of 8.00% per annum, for a period of 5 years.

The *nisbah* of Shelf Registration Sukuk Mudharabah I PNM Phase I Year 2021 is paid every 3 (three) months starting from July 8, 2021.

On December 31, 2021 Shelf Registration Sukuk Mudharabah I PNM Phase I Year 2021 obtained A+ rating from Pefindo.

The restriction required by the trustee:

1. Selling or transferring the company's fixed assets to any party exceeding 50% of the value of fixed assets in the current year;
2. Conducting mergers and/or consolidations with others companies either directly or indirectly and taking actions to liquidate the company;
3. Accuire shares or assets;
4. Changing the company's line of business except follow government decision;
5. Terminating company agreements that have a material negative impact;
6. Reduce authorized capital, issued capital and paid-up capital.

Management believes all covenants/restrictions stipulated in the agreement have been complied.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

24. MARKETABLE SECURITIES ISSUED (continued)

The following are other key information related to marketable securities issued (continued):

s) PNM Sukuk Mudharabah I

PNM issued Sukuk Mudharabah I PT Permodalan Nasional Madani (Persero) Year 2017 Series B on September 28, 2017 amounting to Rp22,000 with period of 24 (twenty four) months, with a *nisbah* of 44.7917% per annum of the profit shared, and matured on September 28, 2019. There was no covenant in the issuance of Sukuk Mudharabah I Series B. The trustee for issuance of Series B Sukuk Mudharabah was Bank Bukopin with Pefindo as rating agency and rating of A+. The schedule of *nisbah* payment is every 3 months. The purpose of this Sukuk issuance is for additional murabahah working capital through UlaMM Syariah. There is no relationship between the trustee and the issuer's business. Issuance of Sukuk Mudharabah I Series B was listed on the KSEI exchange.

t) PNM Sukuk Mudharabah II

PNM issued Sukuk Mudharabah II PT Permodalan Nasional Madani (Persero) Year 2018 Series A on February 26, 2018 in the amount of Rp60,000 with a period of 36 months, a *nisbah* of 30.00% per annum of the profit shared, and due on February 26, 2022. There was no covenant in the issuance of Series A Sukuk Mudharabah II. The trustee for issuance of Series A Sukuk Mudharabah is BJB Bank with Pefindo as rating agency and rating of A+. The schedule of *nisbah* payment is every 3 months. The purpose of this Sukuk issuance is for additional murabahah working capital through UlaMM Syariah. There is no relationship between the trustee and the issuer's business. Issuance of Sukuk Mudharabah II series A is listed on the KSEI exchange.

u) PNM Sukuk Mudharabah III

PNM issued Sukuk Mudharabah III PT Permodalan Nasional Madani (Persero) in some series, as follows:

- Phase 1: Principal value amounting to Rp300,000, with a *nisbah* of 19.00% per annum, for a period of 5 (five) years and will mature on June 18, 2024.
- Year 2019 Series A: Principal value amounting to Rp435,000, with a *nisbah* of 25.48% per annum, for a period of 2 (two) years and matured on September 24, 2021.
- Year 2019 Series B: Principal value amounting to Rp65,000 with a *nisbah* of 3.90% per annum, for a period of 3 (three) years and will mature on October 30, 2022.
- Year 2019 Series C: Principal value amounting to Rp322,000 with a *nisbah* of 17.94% per annum, for a period of 3 (three) years and will mature on February 20, 2023.
- Year 2019 Series D: Principal value amounting to Rp350,000 with a *nisbah* of 20.50% per annum, for a period of 1 (one) year 10 months and 24 days, matured on September 24, 2021.
- Year 2019 Series E: Principal value amounting to Rp100,000 with a *nisbah* of 6.00% per annum, for a period of 2 (two) years 11 months and 10 days, will mature on October 30, 2022.
- Phase II Series E: Principal value amounting to Rp50,000 with a *nisbah* of 3.00% per annum, for a period of 2 (two) years 10 months and 25 days, will mature on October 30, 2022.
- Year 2019 Series F: Principal value amounting to Rp120,000 with a *nisbah* of 6.69% per annum, for a period of 3 (three) years and will mature on February 20, 2023.
- Year 2019 Series H: Principal value amounting to Rp50,000 with a *nisbah* of 3.00% per annum, for a period of 3 (three) years and will mature on December 15, 2023.
- Year 2021 Phase II Series F: Principal value amounting to Rp208,000 with a *nisbah* of 11.59% per annum, for a period of 1 (one) year 9 months and 16 days, will mature on February 20, 2023.

There is no covenant in the issuance of Sukuk Mudharabah III. The Trustee for the issuance of Sukuk Mudharabah III is Bank Syariah Mandiri with Pefindo as rating agency and rating of A+. The schedule for payment of *nisbah* is every 3 months. The purpose of this Sukuk's issuance is to increase murabahah working capital through Sharia Mekaar and Sharia UlaMM. There is no relationship between the trustee and the issuer's business. The Issuance of PNM Sukuk is listed on the KSEI exchange.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

24. MARKETABLE SECURITIES ISSUED (continued)

The following are other key information related to marketable securities issued (continued):

v) PNM Sukuk Mudharabah IV

PNM issued Sukuk Mudharabah IV PT Permodalan Nasional Madani (Persero) in some series, as follows:

- Year 2020 Phase I Series A: Principal value amounting to Rp200,000 with a *nisbah* of 9.75% per annum, for a period of 3 (three) years and will mature on October 27, 2023.
- Year 2020 Series B: Principal value amounting to Rp780,000 with a *nisbah* of 40.95% per annum, for a period of 3 (three) years and will mature on March 10, 2024.
- Year 2020 Series C: Principal value amounting to Rp200,000 with a *nisbah* of 9.75% per annum, for a period of 3 (three) years and will mature on March 10, 2024.
- Year 2020 Series D: Principal value amounting to Rp308,000 with a *nisbah* of 16.17% per annum, for a period of 3 (three) years and will mature on January 19, 2024

There is no covenant in the issuance of Sukuk Mudharabah IV. The Trustee for the issuance of Sukuk Mudharabah is Bank Syariah Mandiri with Pefindo as rating agency and rating of A+. The schedule for payment of *nisbah* is every 3 months. The purpose of this Sukuk's issuance is to increase murabahah working capital through Sharia Mekaar and Sharia UlaMM. There is no relationship between the trustee and the issuer's business. The issuance of PNM Sukuk is listed on the KSEI exchange.

w) PNM Medium Term Notes

PNM issued MTN XIII Series A on January 10, 2017 amounting to Rp50,000 with a period of 60 months, a fixed interest rate of 11.25% per annum and will mature on January 10, 2022. PNM issued MTN XIII Series B on March 14, 2017 amounting to Rp110,000 with a period of 60 months, a fixed interest rate of 11.25% per annum and will mature on March 14, 2022. Schedule of interest payments on a 3-month basis for both MTN XIII series A and B. The covenant given in the issuance of MTN Series XIII A and B is Cessie. There is no relationship between the trustee and the issuer's business in issuing MTN XIII Series A and B. The name of the Trustee in the issuance of MTN XII Series A and B is PT Bank Pembangunan Daerah Jawa Barat dan Banten Tbk. There is no rating in the issuance of MTN XIII Series A and B. The purpose of issuing MTN XIII Series A and B is to increase working capital in the context of financing Micro and Small Enterprises.

PNM issued MTN XIII Series C on April 28, 2017 amounting to Rp200,000 with a period of 57 months, a fixed interest rate of 11.25% per annum and will mature on January 10, 2022. PNM issued MTN XIII Series D on June 14, 2017 amounting to Rp15,000 with a period of 56 months, a fixed interest rate of 11.25% per annum and will mature on January 10, 2022. Schedule of interest payments on a 3-month basis for both MTN XIII series C and D. The covenant given in the issuance of Series XIII C and D MTN is Cessie. There is no relationship between the trustee and the issuer's business in the issuance of MTN XIII Series C and D. The name of the trustee in issuing MTN XIII Series C and D is PT Bank Pembangunan Daerah Jawa Barat dan Banten Tbk. There is no rating in the issuance of MTN XIII Series C and D. The purpose of issuing MTN XIII Series C and D is to increase working capital in the context of financing Micro and Small Enterprises.

PNM issued MTN XIII Series A on January 10, 2017 amounting to Rp50,000 with a period of 60 months, a fixed interest rate of 11.25% per annum and will mature on January 10, 2022. The Company issued MTN XIII Series B on March 14, 2017 amounting to Rp110,000 with a period of 60 months, a fixed interest rate of 11.25% per annum and will mature on March 14, 2022. Schedule of interest payments on a 3-month basis for both MTN XIII series A and B.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

24. MARKETABLE SECURITIES ISSUED (continued)

The following are other key information related to marketable securities issued (continued):

x) Pegadaian Shelf Registration Bonds I

On October 11, 2011, Pegadaian issued Shelf Registration Bonds I Pegadaian Phase I year 2011 with nominal value of Rp1,000,000 in 3 (three) series, as follows:

- Series A: Principal value amounting to Rp250,000 with a fixed interest rate of 7.50% per annum, for a period of 3 (three) years and matured on October 11, 2014.
- Series B: Principal value amounting to Rp250,000 with a fixed interest rate of 8.00% per annum, for a period of 5 (five) years and matured on October 11, 2016.
- Series C: Principal value amounting to Rp500,000 with a fixed interest rate of 9.00% per annum, for a period of 10 (ten) years and matured on October 11, 2021.

The interest of Pegadaian Shelf Registration Bonds Phase I Year 2011 is paid every 3 (three) months starting from January 11, 2012. At the time of issuance, Pefindo gave these Shelf Registration Bonds an idAAA rating.

y) Pegadaian Shelf Registration Bonds III

On October 3, 2017, Pegadaian issued Shelf Registration Bonds III Pegadaian Phase I Year 2017 with nominal value of Rp2,500,000 in 3 (three) series, as follows:

- Series A: Principal value amounting to Rp1,000,000 with a fixed interest rate of 6.55% per annum, for a period of 370 (three hundred and seventy) days and matured on October 8, 2018.
- Series B: Principal value amounting to Rp500,000 with a fixed interest rate of 7.40% per annum, for a period of 3 (three) years and matured on October 3, 2020.
- Series C: Principal value amounting to Rp1,000,000 with a fixed interest rate of 7.70% per annum, for a period of 5 (five) years and will mature on October 3, 2022.

The interest of Pegadaian Shelf Registration Bonds III Phase I year 2017 is paid every 3 (three) months starting from January 3, 2018. At the time of issuance, Pefindo gave these Shelf Registration Bonds an idAAA rating.

On March 16, 2018, Pegadaian issued Shelf Registration Bonds III Pegadaian phase II year 2018 with nominal value of Rp3,500,000 in 3 (three) series, as follows:

- Series A: Principal value amounting to Rp450,000 with a fixed interest rate of 5.80% per annum, for a period of 370 (three hundred and seventy) days and matured on March 21, 2019.
- Series B: Principal value amounting to Rp1,050,000 with a fixed interest rate of 6.90% per annum, for a period of 3 (three) years and matured on March 16, 2021.
- Series C: Principal value amounting to Rp2,000,000 with a fixed interest rate of 7.10% per annum, for a period of 5 (five) years and will mature on March 16, 2023.

The interest of Pegadaian Shelf Registration Bonds III phase II year 2018 is paid every 3 (three) months starting from June 16, 2018. At the time of issuance, Pefindo gave these Shelf Registration Bonds an idAAA rating.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

24. MARKETABLE SECURITIES ISSUED (continued)

The following are other key information related to marketable securities issued (continued):

z) Pegadaian Shelf Registration Bonds IV

On May 13, 2020, Pegadaian issued Shelf Registration Bonds IV Pegadaian Phase I Year 2020 with nominal value of Rp400,000 in 2 (two) series, as follows:

- Series A: Principal value amounting to Rp330,000 with a fixed interest rate of 6.90% per annum, for a period of 370 (three hundred and seventy) days and matured on May 23, 2021.
- Series B: Principal value amounting to Rp70,000 with a fixed interest rate of 7.70% per annum, for a period of 3 (three) years and will mature on May 13, 2023.

The interest of Pegadaian Shelf Registration Bonds IV phase I year 2017 is paid every 3 (three) months starting from August 13, 2020. At the time of issuance, Pefindo gave these Shelf Registration Bonds an idAAA rating.

On July 8, 2020 Pegadaian issued Shelf Registration Bonds IV Pegadaian phase II year 2020 with nominal value of Rp1,500,000 in 3 (three) series, as follows:

- Series A: Principal value amounting to Rp1,055,000 with a fixed interest rate of 6.75% per annum, for a period of 370 (three hundred and seventy) days and matured on July 18, 2021.
- Series B: Principal value amounting to Rp303,000 with a fixed interest rate of 7.60% per annum, for a period of 3 (three) years and will mature on July 8, 2023.
- Series C: Principal value amounting to Rp142,000 with a fixed interest rate of 7.95% per annum, for a period of 5 (five) years and will mature on July 8, 2025.

The interest of Pegadaian Shelf Registration Bonds IV year 2020 phase II is paid every 3 (three) months starting from October 8, 2020. At the time of issuance, Pefindo gave these Shelf Registration Bonds an idAAA rating.

On September 22, 2020, Pegadaian issued Shelf Registration Bonds IV Pegadaian phase III year 2020 with nominal value of Rp2,420,000 in 2 (two) series, as follows:

- Series A: Principal value amounting to Rp1,295,000 with a fixed interest rate of 5.50% per annum, for a period of 370 (three hundred and seventy) days and matured on October 2, 2021.
- Series B: Principal value amounting to Rp1,125,000 with a fixed interest rate of 6.45% per annum, for a period of 3 (three) years and will mature on September 22, 2023.

The interest of Pegadaian Shelf Registration Bonds IV phase III year 2020 is paid every 3 (three) months starting from December 22, 2020. At the time of issuance, Pefindo gave these Shelf Registration Bonds an idAAA rating.

On April 6, 2021, Pegadaian issued Shelf Registration Bonds IV Pegadaian phase IV year 2021 with nominal value of Rp3,280,000 in 2 (two) series, as follows:

- Series A: Principal value amounting to Rp2,172,500 with a fixed interest rate of 4.85% per annum, for a period of 370 (three hundred and seventy) days and will mature on April 16, 2022.
- Series B: Principal value amounting to Rp1,107,500 with a fixed interest rate of 6.20% per annum, for a period of 3 (three) years and will mature on April 6, 2024.

The interest of Pegadaian Shelf Registration Bonds IV phase IV year 2020 is paid every 3 (three) months starting from July 6, 2021. At the time of issuance, Pefindo gave these Shelf Registration Bonds an idAAA rating.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS

Fund borrowing consist of:

	December 31, 2021	December 31, 2020
<u>Third parties</u>		
<u>Rupiah</u>		
Bank Indonesia		
Liquidity borrowing	15,596	15,656
Other borrowing	4,274	12,273
Other borrowing	17,893,316	15,063,254
	<u>17,913,186</u>	<u>15,091,183</u>
<u>Foreign currency</u>		
Syndicate Borrowing - Club loan		
net of unamortized transaction cost	10,841,689	20,908,210
Borrowing from BNP Paribas		
net of unamortized transaction cost	391,076	492,892
Other Borrowing	19,204,907	13,409,618
	<u>30,437,672</u>	<u>34,810,720</u>
	<u>48,350,858</u>	<u>49,901,903</u>
<u>Related parties (Note 44)</u>		
<u>Rupiah</u>		
Borrowing from		
PT Bank Mandiri (Persero) Tbk	9,576,928	10,797,907
Government Investment Unit of Indonesia	3,917,715	-
PT Bank Tabungan Negara (Persero) Tbk	1,899,683	1,700,260
PT Bank Negara Indonesia (Persero) Tbk	1,891,825	4,136,964
PT Bank Syariah Indonesia (Persero) Tbk	1,672,732	-
Government of Republik Indonesia (RI)	810,871	3,574,291
Lembaga Pembiayaan Ekspor Indonesia	177,148	-
Danareksa Finance	100,000	74,735
PT Sarana Multigriya Finansial (Persero)	34,348	17,319
Lembaga Pembiayaan Dana Bergulir	26,439	15,042
PT Bank Negara Indonesia Syariah	-	975,321
PT Bank Syariah Mandiri	-	970,494
	<u>20,107,689</u>	<u>22,262,333</u>
Total	<u>68,458,547</u>	<u>72,164,237</u>

The classification of fund borrowing based on their remaining periods until maturity is as follows:

	December 31, 2021	December 31, 2020
<u>Third parties</u>		
<u>Rupiah</u>		
≤ 1 month	10,275,617	389,156
> 1 month – 3 months	255,706	677,596
> 3 months - 1 year	3,243,987	5,200,251
> 1 year - 5 years	4,075,175	8,810,586
> 5 years	62,700	13,594
	<u>17,913,185</u>	<u>15,091,183</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The classification of fund borrowing based on their remaining periods until maturity is as follows (continued):

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Third parties (continued)</u>		
<u>Foreign currency</u>		
≤ 1 month	6,596,125	3,792,929
> 1 month - 3 months	6,862,891	4,080,807
> 3 months - 1 year	5,577,261	14,786,730
> 1 year - 5 years	7,119,921	12,143,558
> 5 years	4,281,475	6,696
	<u>30,437,673</u>	<u>34,810,720</u>
	<u>48,350,858</u>	<u>49,901,903</u>
<u>Related parties (Note 44)</u>		
<u>Rupiah</u>		
≤ 1 month	-	312,266
> 1 month - 3 months	235,281	523,434
> 3 months - 1 year	12,372,552	16,597,848
> 1 year - 5 years	6,545,958	4,811,466
> 5 years	953,898	17,319
	<u>20,107,689</u>	<u>22,262,333</u>
Total	<u>68,458,547</u>	<u>72,164,236</u>

The following are other key information related to fund borrowings:

a) Borrowing from Bank Indonesia

Liquidity borrowing

This account represents loan facilities obtained from Bank Indonesia that are channeled back to BRI's debtors, for the purposes of Investment Loans, Primary Cooperatives Loans for Sugar Cane Farmer Members, BULOG and Village Cooperative Units Loans, Permanent Working Capital Loans, Fertilizers and others.

The average interest rates are 0.02% for the year ended December 31, 2021 and 2020.

b) Syndicated Borrowing - Club Loan

On December 19, 2018, BRI obtained a syndicated loan facility in the form of Club Loan amounting to USD700,000,000 (full amount). This loan is facilitated by MUFG Bank (agent), which is divided into:

- a. Facility A amounted to USD200,000,000 (full amount), with an interest rate of three-month LIBOR plus a given margin per annum. The loan period is 12 (twelve) months since the date of the agreement (including grace period) and has matured on December 13, 2019 (has been settled by BRI). The participating banks for this loan are:
 - Citibank, N.A., Jakarta branch, amounted to USD20,000,000,
 - Commerzbank AG, amounted to USD20,000,000,
 - DBS Bank, Ltd., amounted to USD10,000,000,
 - PT Bank HSBC Indonesia, amounted to USD10,000,000,
 - Mizuho Bank, Ltd., Singapore branch, amounted to USD55,000,000,
 - MUFG Bank, Ltd., Singapore branch, amounted to USD10,000,000,
 - United Overseas Bank, Ltd., amounted to USD22,500,000,
 - Wells Fargo Bank, N.A., London branch, amounted to USD52,500,000.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

b) Syndicated Borrowing - Club Loan (continued)

On December 19, 2018, BRI obtained a syndicated loan facility in the form of Club Loan amounting to USD700,000,000 (full amount). This loan is facilitated by MUFG Bank (agent), which is divided into (continued):

- b. Facility B amounted to USD235,000,000 (full amount), with an interest rate of 3 (three) month LIBOR plus a given margin per annum. The loan period is 36 (thirty six) months since the date of the agreement (including grace period) and has matured December 19, 2021 (has been settled by BRI). The participating banks for this loan are:
 - Cathay United Bank, amounted to USD30,000,000,
 - Citibank, N.A., Jakarta branch, amounted to USD10,000,000,
 - Commerzbank AG, amounted to USD30,000,000,
 - CTBC Bank, Co., Ltd., amounted to USD30,000,000,
 - DBS Bank, Ltd., amounted to USD20,000,000,
 - The Hongkong and Shanghai Banking Corporation Ltd., Singapore branch, amounted to USD20,000,000,
 - MUFG Bank, Ltd., Singapore branch, amounted to USD30,000,000,
 - Sumitomo Mitsui Banking Corporation, Singapore branch, amounted to USD32,500,000,
 - United Overseas Bank, Ltd., amounted to USD32,500,000.
- c. Facility C amounted to USD265,000,000 (full amount), with an interest rate of 3 (three) month LIBOR plus a given margin per annum. The loan period is 48 (forty eight) months since the date of the agreement (including grace period) and will mature on December 19, 2022. The participating banks for this loan are:
 - Cathay United Bank, amounted to USD20,000,000,
 - Citibank, N.A., Hong Kong branch, amounted to USD20,000,000,
 - CTBC Bank, Co., Ltd., amounted to USD36,000,000,
 - DBS Bank Ltd. amounted to USD20,000,000,
 - The Hongkong and Shanghai Banking Corporation Ltd., Singapore branch, amounted to USD30,000,000,
 - MUFG Bank, Ltd., Singapore branch, amounted to USD30,000,000,
 - Standard Chartered Bank, Singapore amounted to USD63,500,000,
 - Sumitomo Mitsui Banking Corporation, Singapore branch, amounted to USD25,000,000,
 - United Overseas Bank, Ltd., amounted to USD20,500,000.

This syndicated borrowing is used to strengthen the long-term financing structure and maturity profile. The borrowings' principal will be paid on the maturity date, while the loan interest is paid every 3 (three) months. BRI does not provide any collateral for these borrowings.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

b) Syndicated Borrowing - Club Loan (continued)

On August 14, 2020, BRI obtained a syndicated loan facility in the form of Club Loan amounting to USD1,000,000,000 (full amount). This loan is facilitated by Citicorp International Limited (agent), which is divided into:

- a. Facility A amounted to USD200,000,000 (full amount), with an interest rate of three-month LIBOR plus a given margin per annum. The loan period is 12 (twelve) months since August 14, 2020 and has matured on July 30, 2021. The participating banks for this loan are:
- MUFG Bank Ltd amounted to USD32,000,000,
 - China Development Bank, Hong Kong branch, amounted to USD86,000,000,
 - PT Bank Mizuho Indonesia, amounted to USD20,000,000,
 - CTBC Bank Co., Ltd., Singapore branch, amounted to USD20,000,000,
 - Bank of China (Hong Kong) Limited, amounted to USD22,000,000,
 - Citibank, N.A., Indonesia branch, amounted to USD20,000,000.

On October 14, 2020, a withdrawal has been made for the remaining syndicated loan facility in the form of a club loan amounting to USD800,000,000 (full amount) facilitated by Citicorp International Limited (agent), as follows:

- a. Facility A amounted to USD300,000,000 (full amount), with an interest rate of 3 (three) month LIBOR, plus a given margin per annum. The loan period is 9 (nine) months since October 14, 2020 and has matured on July 30, 2021. The participating banks for this loan are:
- MUFG Bank Ltd amounted to USD48,000,000,
 - China Development Bank, Hong Kong branch, amounted to USD129,000,000,
 - PT Bank Mizuho Indonesia, amounted to USD30,000,000,
 - CTBC Bank, Co., Ltd., Singapore branch, amounted to USD30,000,000,
 - Bank of China (Hong Kong) Limited, amounted to USD33,000,000,
 - Citibank, N.A., Indonesia branch, amounted to USD27,000,000,
 - Wells Fargo Bank, amounted to USD900,000,
 - The Hyakugo Bank, Ltd., amounted to USD600,000,
 - PT Bank Permata Tbk, amounted to USD600,000,
 - DZ Bank AG, Deutsche Zentral, amounted to USD900,000,.
- b. Facility B amounted to USD200,000,000 (full amount), with an interest rate of 3 (three) month LIBOR, plus a given margin per annum. The loan period is 24 (twenty four) months since October 14, 2020 and will mature on August 5, 2022. The participating banks for this loan are:
- Bank of China (Hong Kong) Limited, amounted to USD20,000,000,
 - BNP Paribas, Singapore branch, amounted to USD50,000,000,
 - CTBC Bank, Co., Ltd., amounted to USD10,000,000,
 - Sumitomo Mitsui Banking Corporation, Singapore branch, amounted to USD50,000,000,
 - United Overseas Bank Limited, amounted to USD70,000,000.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

b) Syndicated Borrowing - Club Loan (continued)

On October 14, 2020, a withdrawal has been made for the remaining syndicated loan facility in the form of a club loan amounting to USD800,000,000 (full amount) facilitated by Citicorp International Limited (agent), as follows (continued):

- c. Facility C amounted to USD300,000,000 (full amount), with an interest rate of three-month LIBOR, plus a given margin per annum. The loan period is 60 (sixty) months since October 14, 2020 and will mature on August 7, 2025. The participating banks for this loan are:
- China Development Bank, amounted to USD150,000,000,
 - CTBC Bank, Co., Ltd., amounted to USD25,000,000,
 - MUFG Bank, Ltd., Singapore branch, amounted to USD20,000,000,
 - Standard Chartered Bank (Singapore) Limited, amounted to USD50,000,000,
 - Sumitomo Mitsui Banking Corporation, Singapore branch, amounted to USD50,000,000,
 - United Overseas Bank Limited, amounted to USD5,000,000.

c) Borrowing from BNP Paribas

On June 7, 2016, BRI signed a loan facility agreement with BNP Paribas under the Export Credit Financing (ECF) scheme to finance the BRI'sat components and launch services carried out by Arianespace France. This borrowing consists of 2 facilities, which are:

- Banque Publique d'Investissement (BPI) Tranche facility amounted to USD49,961,501.23 (full amount), with a given interest rate per annum. BRI conducted all borrowing drawdowns on August 31, 2017.
- Hermes Tranche facility amounted to USD9,901,308.77 (full amount), with an interest rate of 6-month LIBOR plus a given margin per annum. BRI conducted all borrowing drawdowns on August 31, 2017.

This borrowing facility has a tenor of 7 (seven) years and 6 (six) months and will mature on February 3, 2025. The principal installments are paid every 6 (six) months along with interest payments. For the BPI Tranche facility, the principal installments amounting to USD3,330,767 (full amount) are paid starting from February 5, 2018 until maturity. For Hermes Tranche facility, the principal installments amounting to USD660,087 (full amount) are paid starting from February 5, 2018 until maturity. BRI does not provide any collateral for these borrowings.

The financial covenants in this borrowing agreement, among others, are maintaining the financial ratios as follows:

- Minimum Capital Adequacy Ratio (CAR) of 9%,
- Maximum Non-Performing Loan (NPL) ratio of 5%.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

d) Borrowing from PT Bank Mandiri (Persero) Tbk

PT BRI Multifinance Indonesia

On July 10, 2019, obtained an extension of the Uncommitted Credit Line loan facility in the form of a revolving Short-Term Credit amounting to Rp500,000 and the addition of a new Working Capital Credit facility of Rp500,000. The interest rate will be determined on the withdrawal date based on the market interest rate.

On July 10, 2020, the company obtained an extension of the uncommitted credit line loan facility in the form of a revolving short-term loan amounting to Rp500,000. The interest rate will be determined on the withdrawal date based on the market interest rate.

On December 15, 2020, the Company obtained an additional loan facility in the form of a non-revolving Working Capital Credit amounting to Rp250,000. The interest rate will be determined on the withdrawal date based on the market interest rate.

On December 29, 2020, the Company obtained an additional loan facility in the form of a non-revolving Working Capital Credit amounting to Rp250,000. The interest rate will be determined on the withdrawal date based on the market interest rate.

This facility is collateralized by receivables that have no arrears greater than 90 days for 100% of the total loan balance.

The Company is required to maintain a maximum gearing ratio of 10 times and maintain a Non-Performing Loan ("NPL") ratio of above 90 (ninety) days at a maximum of 5% and the Company has complied with all of these requirements.

Permodalan Nasional Madani

Based on the Deed of Working Capital Credit Agreement No. 37 dated February 23, 2021, PT Bank Mandiri (Persero) Tbk provided a Working Capital Credit facility to the Company amounting to Rp1,000,000 with an interest rate of 8.50% fixed per year with a loan term of 24 (twenty four) months from the signing of the credit agreement and will expire on February 22, 2023. The loan is intended as additional working capital for lending to Micro, Small and Medium Enterprises (MSMEs). The company is required to maintain a maximum gearing ratio of 10x and the quality of the Non-Performing Loan of the entire product is not more than 5%.

Pegadaian

On May 6, 2021, the signing of the Amendment and Restatement of Addendum XVII (Seventeenth) of the Working Capital Credit Agreement Number: KP-CRO/016/PK-KMK/2008 N0.03 of Notary Ir Nanette Cahyanie Handari Adi Warsito, SH in Jakarta with a plafond of Rp5,500,000,000,000 (five trillion five hundred billion rupiah) (full amount) and the Amendment and Restatement of Addendum X (Tenth) of the Working Capital Credit Agreement Number: CRO-KP/050/PK- KMK/12 No.04 with a plafond of Rp6,500,000,000,000 (six trillion five hundred billion rupiah) (full amount) between PT Bank Mandiri (Persero), Tbk ("Bank Mandiri") and PT Pegadaian ("Pegadaian").

Facility with a total plafond of Rp12,000,000,000,000 (twelve trillion rupiahs) (full amount) with a term of up to May 14, 2021 to May 13, 2022. As of December 31, 2021, the interest rate obtained from Bank Mandiri is 4.00% with tenor of 28 days. Determination of the interest rate and tenor is determined at the time of withdrawal/extension of the facility.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

d) Borrowing from PT Bank Mandiri (Persero) Tbk (continued)

The requirements (covenant) in this agreement include the following:

- Guarantee of Receivables/receipts of Pegadaian to customers submitted to the Bank in the amount of a minimum of 100% of the financing OSL, with the criteria of current receivables/collectibility of 1 (one).
- The use of the facility is for additional working capital for Pegadaian's operations.
- Submission of account receivable reports as well as Turnover and performance reports and must be received by the Bank at the latest 30 days after the end of the reporting period.
- Submit a fiduciary guarantee position report (list of fiduciary guarantee objects) every quarter.
- Reporting to the Bank, changes to the articles of association, changes in company status, changes in the composition of the management (Board of Directors) and the Board of Commissioners, distribution of dividends and transfer of collateral.

e) Borrowing from Government Investment Unit of Indonesia

Permodalan Nasional Madani

Based on the Deed of Loan/Financing Agreement Number 15 dated August 14, 2020, the Government Investment Unit of Indonesia provided a Loan/Financing facility to the Company amounting to Rp1,147,000,000,000 (full amount) with an interest rate of 4% effective per year with a loan term of 36 months without a grace period from the date of fund disbursement. The company is required to disburse special loans/financing for the Sharia Mekaar Program and must submit a List of Receivables as Fiduciary Guarantees every 6 months with a minimum value of or equal to 100% of the outstanding loan.

f) Borrowing from Bank Tabungan Negara (Persero) Tbk

Permodalan Nasional Madani

Based on the Deed of Agreement No. 458 dated November 16, 2021, Bank BNI provides an additional facility of Rp250,000,000,000 (full amount) with an interest of 8.5% so that the total plafond becomes Rp1,000,000,000,000, (full amount) with a term of 36 months. The funds will be used to finance ULaMM and Mekaar. The company is required to maintain the quality of the Gearing Ratio of a maximum of 10x, Current Ratio of at least 1.2x, and Non-Performing Loan for the entire product not more than 3% nett and the maturity of the facility ends in November 2022.

g) Borrowing from PT Bank Negara Indonesia (Persero) Tbk

BRI Multifinance Indonesia

On October 30, 2018, BRIF obtained an Uncommitted Credit Line loan facility amounting to Rp300,000. This facility is revolving. This facility is collateralized by current accounts receivable of the total outstanding loan balance of 100%.

BRIF is required to maintain a maximum gearing ratio of 10 times and maintain a Non-Performing Loan ("NPL") ratio of above 90 (ninety) days at a maximum of 5% and BRI Multifinance Indonesia has complied with all of these requirements.

On October 30, 2020, BNI changed its loan facility from an Uncommitted Credit Line to an Uncommitted Working Capital Credit facility of Rp300,000. This facility is revolving. The interest rate is 8.00%-8.50%. This loan facility matured on October 29, 2021.

According to all loans received, BRIF has complied with all the terms and conditions agreed upon by the creditors.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

g) Borrowing from PT Bank Negara Indonesia (Persero) Tbk (continued)

Permodalan Nasional Madani

Based on the Deed of Agreement No. 458 dated November 16, 2021, Bank BNI provides an additional facility of Rp250,000,000,000 (full amount) with an interest of 8.5% so that the total plafond becomes Rp1,000,000,000,000 (full amount) with a term of 36 months. The funds will be used to finance ULaMM and Mekaar. The company is required to maintain the quality of the Gearing Ratio of a maximum of 10x, Current Ratio of at least 1.2x, and Non-Performing Loan for the entire product not more than 3% nett and the maturity of the facility ends in November 2022.

PT Pegadaian

On February 01, 2021, an underhand signing has been carried out, Approval for Amendment to Credit Agreement Number (4) 012/BIN/PK/2018 Maximum Rp3,100,000,000,000 (three trillion one hundred billion rupiah) (full amount) and Number (4) 013/BIN /PK/2018 Maximum Rp3,000,000,000,000 (three trillion rupiah) (full amount) between PT Bank Negara Indonesia (Persero), Tbk ("Bank BNI") and PT Pegadaian (Persero) ("Pegadaian").

Total plafond facility amounting to Rp6,100,000,000,000 (six trillion one hundred billion rupiah) (full amount) with the distribution of facilities Rp3,000,000,000,000 (three trillion rupiah) (full amount) KMK and Rp3,100,000,000,000 (three trillion one hundred billion rupiah) (full amount) Credit Facility Short term (Promissory note) with a term of up to January 15, 2021 to January 14, 2022. As of December 31, 2021 the interest rate obtained from Bank BNI is 4.20% with a tenor of 1 (one) month. Determination of the interest rate / ratio and tenor is determined at the time of withdrawal / extension of the facility.

The covenants in this agreement include:

- Guarantee of Receivables/receipts of Pegadaian to customers submitted to the Bank in the amount of 100% of the financing plafond, with the criteria of current receivables/collectibility of 1 (one).
- The use of the facility is for additional working capital for Pegadaian operations.
- Notify each time there is a recent change to the following documents.
 - a. Deed of amendment to the Company's Articles of Association.
 - b. License that has been extended.
- In the context of monitoring business activities, Bank BNI is allowed to conduct a review of the business location at any time with prior notification.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

h) Borrowing from PT Bank Syariah Indonesia Tbk

Permodalan Nasional Madani

Based on the Deed of Credit Agreement Number 33 dated December 16, 2021, PT Bank Syariah Indonesia provides a credit facility with a limit of Rp150,000,000,000 (full amount) with an interest equivalent to 7.5% per annum with a loan term of 36 months and will expire in December 2024. The funds are for financing micro and small businesses. PNM is required to maintain a Current Ratio of at least 1.2x, Gearing Ratio of max. 10x, NPL nett max 5%, financing to asset ratio min 65%, micro financing ratio min 50%, interest coverage ratio min 1.1x

Based on the Deed of Working Capital Credit Agreement Number 24 dated May 31, 2019, PT Bank Syariah Indonesia Tbk (formerly PT Bank BNI Syariah) provided a Working Capital Credit facility to PNM amounting to Rp750,000,000,000 (full amount) with an interest equivalent to 9.50% per annum with a loan term of 12 months from the signing of the credit agreement. The loan is intended as additional working capital for lending to Micro, Small and Medium Enterprises (MSMEs). The company is obliged to maintain the quality of the Non-Performing Loan of the entire product not more than 5%. The facility has been extended on August 29, 2020 with a loan plafond of Rp750,000,000,000 (full amount) with with an interest rate of 9.50% fixed per annum and a loan term of 12 months.

Based on the Mudharabah Line Facility Agreement Deed No. 13 dated April 26, 2019, PT Bank Syariah Indonesia Tbk (formerly PT Bank BRI Syariah Tbk) provided a Working Capital Credit facility to PNM in the amount of Rp100,000,000,000 (full amount) with a profit sharing of 9.50% fixed per year with a loan term of 42 months from the date of signing. Credit agreement and will expire in October 2022. The loan is intended as additional working capital for lending to Micro, Small and Medium Enterprises (MSMEs). PNM must maintain the quality of the Debt to Equity Ratio (DER) of a maximum of 10x and the Non-Performing Loan of the entire product of not more than 5%.

PT Pegadaian

On January 29, 2021, the signing of the Deed of Addendum 20 (twentieth) Musyawarah Agreement for Revolving Fund Financing No.22 of Notary Ashoya Ratam, SH, Mkn in Jakarta, with a total plafond of Rp400,000,000,000 (four hundred billion rupiah) (full amount) (ex-BSM) and Deed of Addendum I (First) Amendment and Restatement of the Financing Line Facility Agreement Based on Sharia Principles No.23 with a plafond of Rp1,100,000,000,000 (one trillion one hundred billion rupiah) (full amount) (ex -BSM) and Addendum V of the Akad Financing plafond Number 01/ADD-001/Cb1-FOG/III/2021/LF dated March 12, 2021, plafond of Rp500,000,000,000 (five hundred billion rupiah) (full amount) signing is done under the hands of PT Bank Syariah Mandiri and PT BNI Syariah Bank ("BSI Bank") and PT Pegadaian ("Pegadaian").

Facility with a total plafond of PT Bank Syariah Indonesia Tbk (formerly PT Bank BNI Syariah) of Rp1,900,000,000,000 (one trillion nine hundred billion rupiah) (full amount) with a period of:

- Ex-BSM from February 10, 2021 to February 10, 2022.
- Ex-BNISyariah since March 17, 2021 until March 16, 2022.

As of December 31, 2021, the interest rate/*nisbah* obtained from Bank BSI is 4.00% with a maximum tenor of 4 (four) months. Assessment of the interest rate/*nisbah* and tenor is determined at the time of withdrawal / extension of the facility.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

h) Borrowing from PT Bank Syariah Indonesia Tbk (continued)

PT Pegadaian (continued)

The covenants in this agreement include the following:

- Using the financing facility for the interests/needs in accordance with the intended use stated in the financing contract.
- Permit officers and/or proxies/representatives of PT Bank Syariah Indonesia Tbk (formerly PT Bank Syariah Mandiri) or other parties appointed by PT Bank Syariah Indonesia Tbk (formerly PT Bank Syariah Mandiri) to check the books of PT Pegadaian and evidence that is directly related to the financing contract, by PT Bank Syariah Indonesia Tbk (formerly PT Bank Syariah Mandiri) as long as it is related to the implementation of this financing contract, with 7 (seven) working days written notification from PT Bank Syariah Indonesia Tbk (formerly PT Bank Syariah Mandiri) with all costs incurred by PT Bank Syariah Indonesia Tbk (formerly PT Bank Syariah Mandiri).
- As long as this financing is still ongoing, PT Pegadaian must notify in written PT Bank Syariah Indonesia Tbk (formerly PT Bank Syariah Mandiri) no later than 30 (thirty) days in the event that the following have been carried out:
 - a. Amendments to the company's Articles of Association include shareholders, company management, capital and share value.
 - b. Obtain financing facilities or loans from other parties.
 - c. Bind yourself as guarantor of debt or pledge assets to other parties.
 - d. Taking dividends or capital for interests outside the business and personal interests.
 - e. Pay off the company's debts to the owners/shareholders.
- Updating the list of guaranteed sharia receivables:
 - a. Submit the details of the list of sharia receivables at the end of the month which is submitted quarterly no later than 30 (thirty) calendar days after the end of the quarterly period, as the basis for updating the list of sharia receivables not less than 100% (one hundred percent) of the principal owed.
 - b. Submit a statement of sharia receivables list stating that:
 - 1. It belongs to "PT Pegadaian" and no other party owns or participates in owning it.
 - 2. Not being and will not be guaranteed to third parties.
 - 3. Not in a state of dispute and not involved in a civil problem or situation that can cause a dispute with a third party.
 - 4. Not under warranty.
 - c. Renewal of certificate of fiduciary guarantee in a Notary manner for collateral receivables is carried out a maximum of once every 1 (one) year with a minimum Sharia current receivables value of the financing limit.
- Customers should seek to use facilities above 80% of the total financing facilities of PT Bank Syariah Indonesia Tbk (formerly PT Bank Syariah Mandiri).

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

j) Borrowing from Lembaga Pembiayaan Ekspor Indonesia

Bank Raya Indonesia

On June 14, 2021, Bank Raya Indonesia conducted a borrowing transaction on the inter-bank call money market with Indonesia Eximbank (LPEI) in order to fulfill Bank Raya Indonesia's USD liquidity. This transaction has a term of 1 month with an interest rate of 0.17%.

Important conditions (covenants) in conducting borrowing transactions on the inter-bank money market (inter-bank call money), among others, before obtaining written approval, Bank Raya Indonesia is not allowed to:

- File a bankruptcy petition;
- Transferring and/or handing over to other parties the rights and obligations arising from this agreement;
- Bind themselves as guarantor or guarantor of debt and pledge the Bank's assets;
- Using the loan facility not in accordance with its purpose.

Permodalan Nasional Madani

Based on the Deed of Credit Agreement No. 30 dated June 9, 2021, Lembaga Pembiayaan Ekspor Indonesia (LPEI) provides a working capital credit facility with a maximum limit of Rp200,000,000,000 (full amount) with an interest rate of 8.50% per annum with a loan term of 48 months and will mature on June 9, 2025. The funds are for financing micro and small businesses.

k) Borrowing from Danareksa Finance

Permodalan Nasional Madani

On December 27, 2019, PT PNM Ventura Capital obtained a working capital credit facility from PT Danareksa Finance based on the Deed of Credit Agreement No. 17 with a financing limit of Rp200,000,000,000 (full amount) and has been disbursed of Rp75,000,000,000 (full amount) which is used for working capital for capital financing venture. The interest rate is equivalent to 11% per annum with a term of 3 years, administration of 0.02% of the credit limit.

Based on the Addendum to the Working Capital Credit Agreement Number 20 dated December 27, 2019, PT Danareksa Finance provided a Working Capital Credit facility to PNM with a plafond of Rp350,000,000,000 (full amount) with an interest rate of 10.00% p.a.

Based on the Deed of Working Capital Credit Agreement Number: 03 dated May 16, 2019, PT Danareksa Finance provided a Working Capital Credit facility to PNM in the amount of Rp350,000,000,000 (full amount) with an interest rate of 12.00% p.a with a loan term of 12 months from the signing of the credit agreement. The loan is intended as additional working capital for lending to Micro, Small and Medium Enterprises (MSMEs).

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

l) Borrowing from Sarana Multigriya Finansial (Persero)

PT Bank Raya Indonesia Tbk

On December 14, 2020, the Bank signed a loan facility agreement with PT Sarana Multigriya Finansial (Persero) for the distribution of KPR Sejahtera for low-income people.

This loan facility has a maximum term of 20 (twenty) years from the date of disbursement of the loan facility with the lowest interest rate of 4.45% per annum and availability period until June 30, 2021. The principal installment of the loan facility is payable on the 10th (ten) every month together with interest payments, where the first installment of principal will begin to be paid on February 10, 2021 in the amount of Rp157,003 until maturity. The bank does not provide any guarantee for this loan.

Important covenants in these agreements include, among others, prior to obtaining written approval, the Bank is not allowed to:

- File a bankruptcy petition;
- Transferring and/or handing over to other parties the rights and obligations arising from this agreement;
- Bind themselves as guarantor or guarantor of debt and pledge the assets of the Bank;
- Using the loan facility not in accordance with its purpose.

Permodalan Nasional Madani

Based on the Uncommitted Facility Line Agreement Deed No.01 dated September 01, 2021, PT. Sarana Multigriya Finansial provides housing credit facilities with a maximum limit of Rp2,000,000,000,000 (Two Trillion Rupiah) consisting of 1.5 Trillion conventional facilities and 500 Billion Sharia, with an interest rate equivalent to 6.50% per annum fixed with a term of 36 months. PNM must maintain a minimum Current Ratio of 120%, gearing ratio of maximum 10 times, maximum net NPL for all credits 5%, return of assets minimum 0.5%, return of equity minimum 5%, and operating expenses compared to operating income less than 100%.

m) Borrowing from Lembaga Pembiayaan Dana Bergulir

Permodalan Nasional Madani

In 2019, PT PNM Ventura Syariah obtained a working capital credit facility from the Lembaga Pembiayaan Dana Bergulir (LPDB) - KUMKM based on the approval letter for the Provision of Working Capital Credit No. 013/SP3/LPDB/2019 in the amount of Rp30,000,000,000 which is non-revolving which is used for working capital for venture capital financing. Margin rate of 40% : 60% of gross income with a period of 4 years, the margin is calculated at the end of each relevant month.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

o) Other borrowings

	December 31, 2021		December 31, 2020	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
<u>Third parties</u>				
<u>Rupiah</u>				
PT Bank Central Asia, Tbk		8,062,671		7,359,341
PT Bank DKI		2,806,705		1,257,833
PT Bank Permata, Tbk		904,167		283,333
PT Bank Pembangunan Daerah Jawa Barat dan Banten Tbk		866,489		750,000
PT Bank DKI sharia business unit		625,000		925,000
PT Bank CIMB Niaga Tbk		600,869		-
PT Bank Maybank Indonesia Tbk		518,056		584,722
PT Bank Danamon Tbk		450,000		1,000,000
PT Bank Muamalat Indonesia, Tbk		441,667		91,667
PT Bank Victoria Internasional		374,925		499,630
PT Bank China Construction Bank Indonesia Tbk		357,502		-
PT Bank Mega Tbk		349,743		-
PT Bank Mega Syariah		238,645		199,930
PT Bank Permata sharia business unit		216,962		414,215
PT Bank Danamon sharia business unit		200,154		501,362
PT Bank CIMB Niaga sharia business unit		200,000		450,000
PT BPD Sulselbar		144,939		93,504
PT BPD DIY		144,119		86,111
The Bank of Tokyo Mitsubishi UFJ		100,000		-
PT Bank SBI Indonesia		99,615		-
PT BPD Kalimantan Tengah		66,528		216,667
PT Bank J-Trust Indonesia Tbk		42,794		100,000
PT BPD Kalimantan Selatan		40,000		49,500
Bank Indonesia		4,274		12,273
Others		41,766		199,539
		17,897,590		15,075,527
<u>Foreign currency</u>				
<u>United States Dollar</u>				
Bank of Tokyo Mitsubishi	274,500,000	3,912,469	9,870,000	139,216
The Bank of New York Mellon	190,000,000	2,707,975	100,000,000	1,405,000
Standard Chartered Bank	167,405,200	2,385,943	45,000,000	632,250
BNP Paribas	166,492,645	2,372,937	159,453,336	2,240,319
Wells Fargo Bank, N.A.	70,000,000	997,675	50,000,000	702,500
PT Bank UOB	50,000,000	712,624	50,000,000	702,500
PT Bank CTBC Indonesia	11,416,667	162,904	22,416,682	316,188
JP Morgan	9,467,423	134,935	10,238,969	143,858
MUFG Bank	8,200,000	117,006	195,100,000	2,741,986
Bank Pembangunan Asia	433,619	5,725	474,772	6,697
UOB Singapore	-	-	55,000,000	772,750
Bank of Montreal	-	-	50,000,000	702,500
Citibank, N.A.	-	-	50,000,000	702,500
		13,510,193		11,208,264
<u>European Euro</u>				
JP Morgan	266,928	4,300		-
		4,300		-

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

o) Other borrowings (continued)

	December 31, 2021		December 31, 2020	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
<u>Third parties (continued)</u>				
<u>Foreign currency (continued)</u>				
<u>Singaporean Dollar</u>				
The Bank of Tokyo-Mitsubishi UFJ, Ltd.,	107,956,000	1,139,440	-	-
Bank Of America	107,956,000	1,139,440	-	-
CTBC SG	66,797,775	705,028	-	-
Wells Fargo Bank, N.A,	26,395,500	2,706,170	104,438,000	1,107,688
Chinatrust Commercial Bank Singapore Branch	-	-	66,100,000	701,068
Sumitomo Mitsui Banking Corporation	-	-	37,016,000	392,598
		5,690,078		2,201,354
 Great Britain Pound Sterling				
JP Morgan	17,431	336		-
		336		-
		19,204,907		13,409,618
Total		37,102,497		28,485,145

Other borrowing facilities denominated in foreign currencies represent short-term loans from several Banks with maturities of 1 (one) month to 1 (one) year with interest rates of LIBOR or EURIBOR plus a certain margin, including refinancing loan facilities guaranteed by letters of credit (L/C) issued by BRI amounted to USD179,467,423, SGD539,105,275, EUR266,928 and GBP17,431.

The following is other key information in relation to other loans:

Fund Borrowing - BRI Multifinance Indonesia

PT Bank BTPN Tbk

On August 16, 2007, the Company obtained loan facility from Bank Sumitomo amounting to USD 20,000,000 (full amount). Based on the loan amendment on December 18, 2017, the loan was changed from USD20,000,000 (full amount) to USD40,000,000 (full amount). Based on the latest amendment and addendum on December 21, 2019, this loan facility has been extended until December 31, 2021. PT Bank Sumitomo Mitsui Indonesia has merged with PT Bank BTPN Tbk in 2019 into PT Bank BTPN Tbk.

This facility bears interest rate at 0.8% plus cost of fund which will be determined upon withdrawal.

The loan facilities are secured by Standby Letter of Credit (SBLC) from PT Bank Rakyat Indonesia (Persero) Tbk, parent entity.

As of December 31, 2019, all outstanding balance of borrowing is hedged by forward and foreign exchange swap contracts.

Under the loan agreements, the Company is also obliged to comply with financial covenants such as gearing ratio not exceeding 8.5 times and maintain maximum Non Performing Loan ("NPL") ratio above ninety (90) days of 5% and other reporting obligations. The Company has complied with the above requirements.

All of BRIF's borrowings are used for working capital.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

o) Other borrowings (continued)

The following is other key information in relation to other loans (continued):

Fund Borrowing - BRI Multifinance Indonesia (continued)

MUFG Bank, Ltd. Jakarta

On July 26, 2017, BRIF obtained uncommitted short term loan facility amounting to USD60,000,000 (full amount). The term of credit withdrawal is one year from the signing date of Credit Agreement. This facility bears interest rate at ICE Libor + 1.00% (USD) and Jibor + 1.50% (Rp) with maximum period of loan up to 6 months.

Based on Amendment to The Credit Agreement No. 20-0116-GC-LN dated July 26, 2020, MUFG Jakarta agreed to change maturity date of the financing facility to be July 26, 2021.

BRIF is also obliged to comply with financial covenants such as gearing ratio not exceeding 10 times and maintain maximum Non Performing Loan ("NPL") ratio above ninety (90) days of 5% and other reporting obligations. BRIF has complied with the above requirements.

PT Bank Victoria International Tbk

On August 6, 2020, BRIF obtained Uncommitted Credit Line facility in Demand Loan (revolving) amounting to Rp250,000. Interest rate will be determined at the withdrawal date based on money market rate.

This facility is secured by warrant receivable which has overdue of no more than 90 days equivalent to 100% of the total amount of the outstanding borrowings.

BRIF is required to maintain maximum gearing ratio of 8 times and maintain maximum Non Performing Loan ("NPL") ratio above ninety (90) days of 5% and BRIF has complied with that requirement. This loan facility will mature on February 24, 2022

PT Bank CTBC Indonesia

On November 14, 2019, BRIF obtained Uncommitted Credit Line facility in Club Deal Facility (Non revolving) amounting to USD50,000,000 (full amount). Interest rate will be determined at the withdrawal date based on money market rate.

This facility is secured by warrant receivable which has overdue of no more than 90 days equivalent to 100% of the total amount of the outstanding borrowings.

BRIF is required to maintain maximum gearing ratio of 8.5 times and maintain maximum Non Performing Loan ("NPL") ratio above ninety (90) days of 5% and BRIF has complied with that requirement.

This loan facility will mature on November 21, 2022.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

o) Other borrowings (continued)

The following is other key information in relation to other loans (continued):

Fund Borrowing - BRI Multifinance Indonesia (continued)

PT Bank CIMB Niaga Tbk

On January 27, 2021, BRIF obtained Committed Long Term facility amounting to Rp300,000. This facility is on revolving basis. Indicative interest rate is 8%.

This facility is secured by warrant receivables which are equivalent to 100% of the total amount at the outstanding borrowing and promissory notes.

BRIF is required to maintain at the maximum debt to equity ratio of 7 times. This loan facility mature on January 22, 2022.

Fund Borrowing – Permodalan Nasional Madani

PT Bank DKI

Based on the Deed of Credit Agreement No. 11 dated May 10, 2021 between PT Bank DKI and the Company, the Company obtained a credit limit maximum of Rp500,000,000,000, (full amount) a period of 36 months and a fixed interest rate of 9.25% per annum and will mature on May 10, 2024. The funds are for micro and small business financing through ULamm and the Company is required to maintain a maximum gearing ratio of 10x and a maximum gross Non-Performing Loan of 5%.

PT Bank BPD Jabar Banten Syariah

Based on the Deed of Credit Agreement No. 39 dated June 30, 2021, PT Bank BPD Jabar Banten Syariah provides a credit facility with a maximum limit of Rp100,000,000,000 (full amount) with a profit sharing equivalent to 9.25% per annum with a loan term of 24 months and will expire on dated June 30, 2022. The funds will be used to finance micro and small businesses through Mekaar Syariah. The Company is required to maintain a maximum gearing ratio of 10x and a maximum gearing ratio of 10 times.

PT Bank Permata Tbk

Based on the credit agreement deed No.12 dated September 22, 2021, PT Bank Permata Tbk provides a working capital credit facility with a maximum limit of Rp300,000,000,000 (full amount) with a profit sharing of 8.35% per annum and will expire in September 2022. The funds are for financing micro and small enterprises through Mekaar. The company is required to maintain a minimum current ratio of 1.2 x and a maximum gearing ratio of 10x and maintain a maximum NPL of 5%.

Based on the Deed of Credit Agreement No. 10 dated October 21, 2020, PT Bank Permata Tbk provides Musyarakah Mutanaqisah - MMQ II Facilities with a maximum credit limit amount of Rp100,000,000,000, (full amount) with profit sharing 9% per annum and will mature on on October 2021. The funds are for financing micro and small businesses through Mekaar dan ULamm Syariah. The Company must maintain a maximum Gearing Ratio of 10x and Non-Performing Loan arrears above 90 days a maximum of 5%.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

o) Other borrowings (continued)

The following is other key information in relation to other loans (continued):

Fund Borrowing – Permodalan Nasional Madani (continued)

Bank SBI Indonesia

Based on the Deed of Credit Agreement No. 33 dated December 16, 2021, Bank SBI Indonesia provides a credit facility with a limit of Rp150,000,000,000 (full amount) with an interest equivalent to 7.5% per annum with a loan term of 36 months and will expire in December 2024. The funds are for financing micro and small businesses. The Company is required to maintain a minimum current ratio of 1.2x, a maximum gearing ratio of 10x, a maximum net NPL of 5%, a financing to asset ratio of at least 65%, a micro financing ratio of at least 50%, and a minimum interest coverage ratio of 1.1x.

PT Bank National Nobu Tbk

Based on the Deed of Working Capital Credit Agreement No. 9 dated September 6, 2019, PT Bank National Nobu Tbk provides a credit facility to the Company of Rp100,000,000,000 (full amount) with an interest rate of 9.50% fixed per annum with a maximum loan period of 36 months after the credit agreement is signed and will mature on September 6, 2022. The loan is intended as additional working capital for Micro Small and Medium Enterprises (MSMEs). The company is required to maintain the quality of the Non-Performing Loan for the entire product not more than 5%.

PT Bank Pembangunan Daerah D.I. Yogyakarta

Based on the deed of Working Capital Credit agreement No. 19 dated July 9, 2020, PT Bank Pembangunan Daerah D.I. Yogyakarta provides a credit facility to the Company of Rp100,000,000,000 (full amount) with an interest rate of 10.00% per annum with a loan period of 36 months after the credit agreement is signed and will mature on July, 2023. The loan is intended as additional working capital for credit distribution for Micro, Small and Medium Enterprises (MSMEs).

PT Bank Pembangunan Daerah Kalimantan Tengah

Based on the Deed of Working Capital Credit Agreement No. 48 dated November 20, 2020, PT Bank Pembangunan Daerah Kalimantan Tengah provides Working Capital facilities to the Company in the amount of Rp200,000,000,000 (full amount) with an interest rate of 10% fixed per annum with a loan period of 12 months. The loan is intended as additional working capital for credit distribution for Micro, Small and Medium Enterprises (MSMEs). The company is required to maintain the quality of the Non-Performing Loan for the entire product not more than 5%.

PT Bank J Trust Indonesia Tbk

Based on the Deed of Working Capital Credit Agreement No. 82 dated June 30, 2021, PT Bank JTrust Indonesia Tbk provided a Working Capital facility to the Company amounting to Rp100,000,000,000 (full amount) with a term of 18 months and an installment tenor of 12. The interest rate is 9% fixed per annum. The funds are for short-term working capital financing. The company is required to maintain a gearing ratio of a maximum of 9x and arrears of Non-Performing Loans above 90 days at a maximum of 3%.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

o) Other borrowings (continued)

The following is other key information in relation to other loans (continued):

Fund Borrowing – Permodalan Nasional Madani (continued)

PT Bank J Trust Indonesia Tbk (continued)

Based on the Deed Working Capital Credit Agreement No. 4 dated February 23, 2021, PT Bank J Trust Indonesia Tbk provided a Working Capital facility to the Company amounting to Rp100,000,000,000 (full amount) with a facility period of 18 months and an installment tenor of 12 months. Interest rate is 9% fixed per annum. The funds are used for short-term working capital financing. The company is obliged to maintain a maximum Gearing Ratio of 10x and non-performing loan arrears of more than 90 days with a maximum of 3%.

Based on the Deed of Working Capital Credit Agreement No. 3 dated December 2, 2020, PT Bank J Trust Indonesia Tbk provides Working Capital facilities to the Company in the amount of Rp100,000,000,000 (full amount) with loan facility period of 18 months and repayment period of 12 months. The interest rate is 9% fixed per annum and will mature on December 2021. The funds are for short-term working capital financing. The Company must maintain a maximum Gearing Ratio of 9x and

Non-Performing Loan arrears above 90 days a maximum of 3%

PT Bank BCA Syariah

Based on the Deed Addendum Credit Agreement No. 9 dated March 24, 2021, PT Bank BCA Syariah provides a working capital loan with credit limit amounting Rp110,000,000,000. (full amount) The profit sharing ratio will be stated in each financing realization contract. Loan period of 48 months for ULamm facilities and 12 months for Mekaar. The funds are used for financing Mekaar and ULamm Syariah. Companies are required to maintain a maximum Debt to Equity Ratio (DER) of 10x and a maximum of 5% non-performing loan ratio.

PT Bank Victoria International Tbk

Based on the Deed of Working Capital Credit Agreement No. 59 dated March 23, 2021, PT Bank Victoria International Tbk provided a Money Market line credit facility to the Company amounting to Rp100,000,000,000 (full amount) with an interest rate of 9% with a loan facility period of 12 months from the signing of the loan and will mature on March 2022. The loan is intended as additional working capital for credit distribution for Micro, Small and Medium Enterprises (MSMEs). The company is required to maintain the quality of the Non-Performing Loan for the entire product not more than 5%.

PT Bank Muamalat Indonesia Tbk

Based on the Deed of Credit Agreement No. 03 dated November 8, 2021, PT Bank Muamalat Indonesia Tbk provides a credit facility with a maximum limit of Rp300,000,000,000 (full amount) with a profit sharing equivalent to 7.5% per year with a loan term of 12 months and will expire on November 2022. The funds are for micro business financing and small through Mekaar Syariah. The company is required to maintain a gearing ratio of a maximum of 9x and the quality of Non Performance Financing for Mekaar products not more than 2% and a Current Ratio of at least 1.2x

PT Bank China Construction Bank Indonesia Tbk

Based on the Deed of Working Capital Credit Agreement No. 33 dated June 23, 2021, PT Bank China Construction Bank Indonesia Tbk provided a Working Capital Credit facility to the Company amounting to Rp250,000,000,000 (full amount) with an interest rate of 9.25% per annum with a loan term of 12 months from the signing of the credit agreement and installment tenor of 12. The loan is intended as additional working capital for lending to Micro, Small and Medium Enterprises (MSMEs).

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

o) Other borrowings (continued)

The following is other key information in relation to other loans (continued):

Fund Borrowing – Permodalan Nasional Madani (continued)

PT Bank Mega Syariah

Based on the addendum to the Facility Provision Agreement (Wa'd) No. 09 dated December 30, 2021, PT Bank Mega Syariah provides an additional facilities to Rp35,000,000,000, (full amount) so that the total credit limit becomes Rp385,000,000,000 (full amount) with a ratio of 8% per year with a facility period of 36 months for ULaMM and Mekaar. The loan is intended as additional working capital for Micro, Small and Medium Enterprises loans (MSMEs).

PT Bank Mega Tbk

Based on the Deed of Working Capital Credit Agreement Number 31 dated November 15, 2021, PT Bank Mega Tbk provided a facility to the Company amounting to Rp1,000,000,000,000 (full amount) with an interest rate of 8% per annum with a loan term of 12 months for Mekaar and will mature on November 2022. The loan is intended as additional working capital for lending to Micro, Small and Medium Enterprises (MSMEs). The company is required to maintain the quality of the Non-Performing Loan of the entire product not more than 5%, minimum current ratio of 1.2x, maximum gearing ratio of 10x, financing to asset ratio of min 65%, micro financing ratio of min 50%.

Fund Borrowing - PT Pegadaian

PT Bank Central Asia Tbk

On February 25, 2021, of Notary Ashoya Ratam, SH in Jakarta, the Twenty-Fourth Amendment Deed of Loan Agreement No. 18 between PT Bank Central Asia, Tbk ("Bank BCA") and PT Pegadaian (Persero) ("Pegadaian").

This facility has a plafond of Rp8,600,000,000,000 (eight trillion six hundred billion rupiah) (full amount) with a term of up to September 26, 2021. Based on letter from Bank No. 40809/GBK/2021 dated September 13, 2021 regarding Notification of withdrawal extension and/or use of loan facilities, the term of this agreement is temporarily extended started from September 26, 2021 and ended on January 26, 2022. As of December 31, 2021 the interest rate obtained from Bank BCA is 4.00% with a tenor of 1 (one) month. The stipulation of the rate and tenor is determined at the time of withdrawal/extension of the loan facility.

The covenants in this agreement include the following:

- Collateral guaranteed is 100% of the plafond.
- The use of the facility is to fund the distribution of Pegadaian's working capital loans.
- Comply with all applicable laws, government regulations, government policies, directives or instructions from the government.
- Notify in writing if there is a change in institutional status, articles of association, composition of the Board of Directors and composition of the Board of Commissioners no later than 30 (thirty) working days on the effective date of the change, accompanied by supporting documents for the change.
- Submit to the Bank a List of Receivables (AR) every 6 months no later than 45 (forty five) calendar days as of the end of the 6 month reporting period.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

o) Other borrowings (continued)

The following is other key information in relation to other loans (continued):

Fund Borrowing - PT Pegadaian (continued)

PT Bank CIMB Niaga Tbk

On July 28, 2021, the 6th Amendment of the Facility Provision Agreement Number 30 dated May 16, 2016 and Loan Agreement Number: 124/CB/JKT/2021 was signed between PT Bank CIMB Niaga, Tbk ("CIMB Bank") and PT Pegadaian (Persero) ("Pegadaian").

This facility has a plafond of Rp750,000,000,000,- (seven hundred and fifty billion rupiah) (full amount) with a term of up to May 16, 2022. The use of this facility can be done in *musyarakah* or conventional basis according to the needs of Pegadaian. As of December 31, 2021 the interest rate/ratio obtained from CIMB Bank is equal to/equivalent from 4.00% to 4.20% with a tenor of 1 (one) month with calculation/payment of interest rate/ratio of 14 (fourteen) days. The stipulation of the interest rate / ratio and tenor is determined at the time of withdrawal / extension of the facility.

The covenants in this agreement include the following:

- Fiduciary of receivables with a minimum guarantee amounted to 60% of the total financing.
- The use of the facility is to finance the working capital needs of the Pegadaian.
- Provide information to the Bank no later than 30 (thirty) days after the action is taken, in the event of a change in the composition of the Board of Directors, Board of Commissioners and shareholders or management or other equivalent parties and/or there is a change in the company's capital structure including merger, consolidation, acquisition, and separation of the Controller from the Pawnshop and/or Collateral Provider.
- The list of invoices must be signed by the competent authority and must be updated every 3 (three) months (the maximum deadline for submitting the list of receivables is 45 (forty five) days at the end of every 3 (three) months).

PT Bank Permata Tbk

On May 25, 2021, of Notary Adi Triharso, SH in Jakarta, the Deed of Loan Agreement Addendum (Money Market Facility) No.19 and Deed of Agreement on the Provision of *Musyarakah* Financing Facility Addendum No. 20 were signed between PT Bank Permata, Tbk ("Bank Permata") and PT Pegadaian (Persero) ("Pegadaian"). As for the short-term *musyarakah* facility, it is still based on the Addendum of *Musyarakah Mutanaqisah* Financing Agreement No. MMQ/20/0551/AMD/SOE dated October 19, 2020, which was signed privately.

And on November 26, 2021, the signing was done privately:

- Addendum of Agreement for the Provision of *Musyarakah* Financing Facility No. MSYR/21/1938/ADD/SOE with a plafond of Rp200,000,000,000,- (two hundred billion rupiah) (full amount).
- Addendum of *Musyarakah Mutanaqisah* Financing Agreement No. MMQ/21/1939/ADD/SOE with a ceiling of Rp400,000,000,000 (four hundred billion rupiah) (full amount).
- Addendum to the Loan Agreement (Money Market Facility) No. MM/21/1937/ADD/SOE with a plafond of Rp800,000,000,000 (eight hundred billion rupiah) (full amount).

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

o) Other borrowings (continued)

The following is other key information in relation to other loans (continued):

Fund Borrowing - PT Pegadaian (continued)

PT Bank Permata Tbk (continued)

The total facility has a plafond of Rp1,400,000,000,000 (one trillion four hundred billion rupiah) (full amount) with a term from October 25, 2021 to October 25, 2022. As of December 31, 2021, the interest rate/ratio obtained from Bank Permata for *Musyarakah* and conventional facilities are equal to 4.20% with a tenor of 1 (one) month. The stipulation of the interest rate/ratio and tenor is determined at the time of withdrawal/extension of the facility.

The covenants in this agreement include the following:

- Fiduciary of customer's Account Receivable (AR), with a minimum amount of 100% of the outstanding facilities.
- The use of the facility is to finance the business of working capital financing for Pegadaian.
- At the latest within 14 (fourteen) calendar days, Pegadaian shall notify the Bank in writing in the event of receiving a loan or leasing facility from another party, amendment to the articles of association.
- A/R report quarterly, no later than 90 (ninety) days after the end of the reporting period.

PT Bank Danamon Indonesia Tbk

On April 12, 2021, the Amendment of Loan Agreement No.280/PP/EB/0321 and Amendment of Provision of *Musyarakah* Financing Agreement No. 281/PP/EB/0421 was signed between PT Bank Danamon Indonesia, Tbk ("Bank Danamon") and PT Pegadaian (Persero) ("Pegadaian").

This facility has a plafond of Rp1,000,000,000,000 (one trillion rupiah) (full amount) each with a term up to March 20, 2022. As of December 31, 2021, the interest rate/ratio obtained from Bank Danamon for the Loan Term (KB) facility and *Musyarakah* facility is equal to 4.00% with a tenor of 1 (one) month. The stipulation of the interest rate/ratio and tenor is determined at the time of withdrawal/extension of the facility.

The covenants in this agreement include the following:

- Fiduciary of Account Receivables (AR), with a value of 100% of the total loan.
- Using credit facilities solely for the purpose of financing the Pegadaian.
- During the term of the Facility and there is an amount owed to the Bank, with written notification to the Bank (not later than 30 days after the action is taken). The actions referred to are disbanding the company, transferring rights or leasing/handing over the use of all or part of the assets/assets, changing the nature and business activities, conducting mergers, consolidation, business separations (spin-offs) and acquisitions, amend the articles of association (including changing the authority of the Board of Directors, withdrawal of paid-up capital, meeting quorum or line of business), making material investments outside the line of business.
- Provide updated list of Account Receivables per quarter with current category (for list of Account Receivables guaranteed at the Bank) maximum 45 days after the period ends.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

o) Other borrowings (continued)

The following is other key information in relation to other loans (continued):

Fund Borrowing - PT Pegadaian (continued)

PT Bank DKI

On May 19, 2021, of Notary Ashoya Ratam, SH, MKn in Jakarta, the Fifth Addendum Deed of the Company's Money Market Line Loan Agreement PT Pegadaian No. 15 and the Twelfth Addendum Deed of the Musyarakah Financing Facility Agreement No.17 was signer between PT Bank DKI ("Bank DKI") and PT Pegadaian (Persero) ("Pegadaian").

Conventional facilities have a plafond of Rp400,000,000,000 (four hundred billion rupiah) (full amount) and sharia facilities have a plafond of Rp1,200,000,000,000 (one trillion two hundred billion rupiah) (full amount) with a term up to May 19, 2022. As of December 31, 2021, the interest rate/ratio obtained from Bank DKI is equal to 4.20% with a tenor of 1 (one) month. The stipulation of the interest rate/ratio and tenor is determined at the time of withdrawal/extension of the facility.

The covenants in this agreement include the following:

- Receivable Guarantees of Pegadaian to consumers submitted to the Bank in the amount of a minimum of 60% of the financing plafond, with the criteria of current receivables/collectibility of 1 (one).
- The use of the facility is for additional working capital for Pegadaian operations.
- Submit in writing to the Bank, changes in management (Board of Commissioners and Directors) or the Company's Articles of Association, legal status and scope of business as well as issuance of bonds/securities/loans/financing from Banks/other financial institutions, no later than 30 (thirty) days since the change.
- The list of receivables notarized by Notarial Fiduciary and registered with the Fiduciary Registration Office at the time of signing the extension of the loan facility. The list of receivables is updated every 3 (three) months.

PT Bank Muamalat Indonesia Tbk

On June 2, 2021, of Notary Ashoya Ratam, SH, MKn in Jakarta, the Line Facility Agreement for *Musyarakah* Financing No. 01 was signed between PT Bank Muamalat Indonesia, Tbk ("Bank Muamalat") and PT Pegadaian ("Pegadaian").

Facility with a total plafond of Rp200,000,000,000 (two hundred billion rupiah) (full amount) for a period of 12 (twelve months) from the signing of the financing agreement (June 2, 2021 to June 2, 2022). As of December 31, 2021, the interest rate/ratio obtained from Bank Muamalat is 4.00% to 4.20% with a maximum tenor of 6 (six) months. The stipulation of the interest rate/ratio and tenor is determined at the time of withdrawal/extension of the facility.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

o) Other borrowings (continued)

The following is other key information in relation to other loans (continued):

Fund Borrowing - PT Pegadaian (continued)

PT Bank Muamalat Indonesia Tbk (continued))

The covenants in this agreement include the following:

- Distributing financing whose funds are sourced from BMI with Sharia principles (Financing is carried out by the Unit Pegadaian Syariah).
- Quarterly submit un-audited financial reports (March, June, September & December) no later than 60 (sixty) days after the end of the report, and annual audited financial reports no later than 180 (one hundred and eighty) days after the end of the reporting period,
- Notify BMI in writing of the following matters:
 - a. Make changes to the Company's Articles of Association including Changes in Shareholders, Management (Board of Commissioners and Directors), Capital and Nominal Value of Shares.
 - b. Obtain financing facilities from banks/other financing institutions.
- Bind the guarantee issued by the end user/Rahin to PT Pegadaian (Persero) in accordance with the applicable provisions of PT Pegadaian (Persero) and are properly secured and cannot be pledged as collateral to other parties.
- Allowing BMI or other appointed parties to conduct an examination of the business and financial activities of PT Pegadaian (Persero), as well as examination of all guarantees after obtaining written approval from PT Pegadaian (Persero) based on notification from BMI if within 14 calendar days there is no reply then PT Pegadaian (Persero) is deemed to have approved the notification of BMI.

PT Bank Maybank Indonesia Tbk

On October 18, 2021, the Amendment to the *Musarakah* Financing Facility Line Agreement (Business Entity) Number 251/PrbAkad/CDU1/2021 was sign privately between PT Bank Maybank Indonesia, Tbk ("Bank Maybank") and PT Pegadaian ("Pegadaian").

The plafond facility is Rp1,200,000,000,000 (one trillion two hundred billion rupiah) (full amount) with a period starting from October 20, 2021 to October 20, 2022. As of December 31, 2021, there is no withdrawal from Bank Maybank facilities. However, if there is a withdrawal, the stipulation of the interest rate/ratio and tenor is determined at the time of withdrawal/extension of the facility.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

o) Other borrowings (continued)

The following is other key information in relation to other loans (continued):

Fund Borrowing - PT Pegadaian (continued)

PT Bank Maybank Indonesia Tbk (continued))

The covenants in this agreement include the following:

- Receivables Guarantee of Pegadaian to consumers submitted to the Bank in the amount of 100% of the financing plafond, with the criteria of current receivables/collectibility of 1 (one).
- The use of the facility is for additional working capital for Pegadaian operations.
- quarterly Submit unaudited financial statements for the current financial year no later than 60 (sixty) days after the end of the reporting period. This provision only applies to financial statements for the first to third quarters.
- Submit a List of Bank Guarantees in the form of Customer Financing Receivables with Current collectibility, which is submitted every three months/quarterly, no later than 45 (forty five) days after the end of the reporting period.
- Permit Banks to conduct Random Sampling at least 1 (one) time a year on Guaranteed Account Receivables, with a minimum sampling of 100 (one hundred) end users with the largest nominal. The sampling data must be different from the sampling data used previously and selected by the Bank.

PT Bank Pembangunan Daerah Jawa Barat & Banten Tbk

On June 2, 2021, of Notary Dr Agung Iriantoro, SH, MH in Jakarta, Addendum V of Loan Agreement No. 01 eas signed between PT Bank BPD Jawa Barat & Banten, Tbk ("Bank BJB") and PT Pegadaian ("Pegadaian").

Facility with a total plafond of Rp1,000,000,000,000 (one trillion rupiah) (full amount) with a term of 12 (twelve months) from the maturity date of the loan facility (June 2, 2021 to June 02, 2022). As of December 31, 2021, there are no withdrawals from Bank BJB facilities. However, if there is a withdrawal, the stipulation of the interest rate and tenor is determined at the time of withdrawal/extension of the facility.

The covenants in this agreement include the following:

As long as the Loan Facility as referred to the loan agreement has not been paid off, the debtor is obliged to:

- Use this Loan Facility in accordance with the purposes/needs as referred to in Article 3 of this credit agreement.
- Submit a list of trade receivables quarterly (March, June, September, and December) which are used as collateral to the Bank no later than 45 (forty five) calendar days after the reporting period.
- Allowing the Bank or other parties appointed by the Bank to conduct inspections/supervision of accounting, financial records and company administration from time to time as well as examine business activities and everything related to those financed by other parties.
- Notify the Bank in writing no later than 60 (sixty) calendar days after the following events occur:
 - a. Debtors carry out spin offs, mergers, acquisitions and consolidation of new equity capital in other companies and/or co-finance other companies.
 - b. The Debtor takes over or establishes a new subsidiary with the same core business as the Debtor.
 - c. Obtain credit/loan/financing facilities from other parties and pledge assets in any form and purpose to other parties.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

25. FUND BORROWINGS (continued)

The following are other key information related to fund borrowings (continued):

o) Other borrowings (continued)

The following is other key information in relation to other loans (continued):

Fund Borrowing - PT Pegadaian (continued)

PT Bank Pembangunan Daerah Jawa Barat & Banten Tbk (continued)

- Notify the Bank in writing no later than 60 (sixty) calendar days after the following events occur: (continued)
 - d. The Debtor takes over or establishes a new subsidiary outside the Debtor's core business.
 - e. Report any changes to the articles of association, composition of shareholders and composition of the Debtor's management along with acceptance and/or approval from the Ministry of Law and Human Rights of the Republic of Indonesia.

As of December 31, 2021 and 2020, BRI and its subsidiaries have complied with the important covenants required in the loan agreements received.

26. ESTIMATED LOSSES ON COMMITMENTS AND CONTINGENCIES

- a) The details of Estimated Losses on Commitments and Contingencies which bear credit risk are as follows:

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Rupiah</u>		
Guarantees issued	3,245,912	1,796,137
Undrawn loan facilities	2,297,831	935,042
Irrevocable L/C	284,020	105,426
<u>Foreign currency</u>		
Guarantees issued	668,091	633,465
Irrevocable L/C	479,405	109,943
Undrawn loan facilities	25,009	101,696
Total	7,000,268	3,681,709

- b) The details of commitments and contingencies transactions (except undrawn loan facilities) are as follows:

	<u>December 31, 2021</u>		<u>December 31, 2020</u>	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
<u>Third parties</u>				
<u>Rupiah</u>				
Guarantees issued		12,651,210		11,789,349
Irrevocable L/C		856,030		1,261,016
		<u>13,507,240</u>		<u>13,050,365</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

26. ESTIMATED LOSSES ON COMMITMENTS AND CONTINGENCIES (continued)

- b) The details of commitments and contingencies transactions (except undrawn loan facilities) are as follows (continued):

	December 31, 2021		December 31, 2020	
	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent	Notional Amount Foreign Currency (Full Amount)	Rupiah Equivalent
<u>Third parties (continued)</u>				
<u>Foreign currency</u>				
Guarantees issued				
United States Dollar	664,521,303	9,471,090	624,841,432	8,779,022
European Euro	96,397,000	1,553,193	105,080,484	1,811,002
Japanese Yen	10,480,000	1,297	-	-
Australian Dollar	-	-	49,045	527
Malaysian Ringgit	-	-	-	-
		11,025,580		10,590,551
Irrevocable L/C				
United States Dollar	170,020,554	2,423,218	143,235,231	2,012,455
European Euro	10,605,214	170,876	8,691,602	149,795
Japanese Yen	407,466,834	50,432	698,161	94,929
Renminbi	15,164,202	33,903	86,683,075	186,391
Singaporean Dollar	2,949,554	31,132	1,401,751	14,867
Great Britain Pound Sterling	94,282	1,815	838,999	15,951
Malaysian Ringgit	-	-	91,061	317
		2,711,376		2,474,705
		13,736,956		13,065,256
		27,244,196		26,115,621
<u>Related parties (Note 44)</u>				
<u>Rupiah</u>				
Guarantees issued		14,632,834		12,253,235
Irrevocable L/C		1,561,094		1,332,481
		16,193,928		13,585,716
<u>Related parties (Note 44)</u>				
<u>Foreign currency</u>				
Guarantees issued				
United States Dollar	900,126,539	12,829,053	653,483,434	9,181,442
Japanese Yen	3,502,001,444	433,443	3,057,637,714	415,747
Malaysian Ringgit	54,016,500	184,610	98,782,000	343,877
European Euro	5,950,765	95,881	4,653,595	80,202
Thailand Baht	-	-	49,744,000	23,285
Canadian Dollar	-	-	620,000	6,808
		13,542,987		10,051,361
Irrevocable L/C				
United States Dollar	270,466,563	3,854,825	257,485,694	3,617,674
European Euro	40,567,396	653,640	12,096,427	208,475
Japanese Yen	309,732,572	38,336	514,584,099	69,968
Singaporean Dollar	803,924	8,485	220,504	2,339
Great Britain Pound Sterling	208,355	4,011	396,139	7,532
		4,559,297		3,905,988
		18,102,284		13,957,349
		34,296,212		27,543,065
Total		61,540,408		53,658,686
Less allowance for impairment losses		(3,729,347)		(1,783,876)
Net		57,811,061		51,874,810

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

26. ESTIMATED LOSSES ON COMMITMENTS AND CONTINGENCIES (continued)

c) The details of commitments and contingencies transactions by collectibility:

	December 31, 2021	December 31, 2020
Current	200,685,879	177,122,324
Special mention	851,957	860,669
Substandard	64,578	30,199
Doubtful	72,017	753,424
Loss	108,282	68,761
Total	201,782,713	178,835,377
Less allowance for Impairment losses	(7,000,268)	(3,681,709)
Net	194,782,445	175,153,668

d) Movements in estimated losses on commitments and contingencies

The following table presents the changes in carrying value and allowance for expected losses by financial instrument category:

	December 31, 2021			
	Stage 1- 12 - months Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not impaired	Stage 3- Lifetime Expected Credit Loss - Not impaired	Total
<u>Irrevocable L/C measured at amortized costs</u>				
Carrying value beginning balance	8,582,638	372,705	4,396	8,959,739
Transition to	-	-	-	-
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of carrying value	(168,203)	(973,877)	-	(1,142,080)
New commitment and contingencies issued or purchased	7,347,879	1,299,907	153	8,647,939
Derecognized commitment and contingencies	(6,085,000)	(692,237)	(4,396)	(6,781,633)
Written-off commitment and contingencies	-	-	-	-
Recovery from written-off commitment and contingencies	-	-	-	-
Foreign exchange model or parameter changes and other change	236	3,596	-	3,282
	9,677,550	10,094	153	9,687,797
Initial carrying value with sharia principles	-	-	-	14,451
Movements of carrying value with sharia principles	-	-	-	(14,451)
Carrying value ending balance	9,677,550	10,094	153	9,687,797

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

26. ESTIMATED LOSSES ON COMMITMENTS AND CONTINGENCIES (continued)

d) Movements in estimated losses on commitments and contingencies (continued)

The following table presents the changes in carrying value and allowance for expected losses by financial instrument category (continued):

December 31, 2020				
	Stage 1- 12 - months Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not impaired	Stage 3- Lifetime Expected Credit Loss - Not impaired	Total
<u>Irrevocable L/C measured at amortized costs</u>				
Carrying value beginning balance	6,297,120	157,646	-	6,454,766
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of carrying value	(1,029,897)	-	-	(1,029,897)
New commitment and contingencies issued or purchased	10,496,419	372,705	4,396	10,873,520
Derecognized commitment and contingencies	(7,257,499)	(157,646)	-	(7,415,145)
Written-off commitment and contingencies	-	-	-	-
Recovery from written-off commitment and contingencies	-	-	-	-
Foreign exchange model or parameter changes and other change	76,495	-	-	76,495
	8,582,638	372,705	4,396	8,959,739
Initial carrying value with sharia principles	-	-	-	4,715
Movements of carrying value with sharia principles	-	-	-	9,736
Carrying value ending balance	8,582,638	372,705	4,396	8,974,190

December 31, 2021				
	Stage 1- 12 - months Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not impaired	Stage 3- Lifetime Expected Credit Loss - Not impaired	Total
<u>Irrevocable L/C measured at amortized costs</u>				
Allowance for expected credit loss beginning balance	76,327	134,646	4,396	215,369
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of allowance for losses	(532)	171,885	-	171,353
New commitment and contingencies issued or purchased	67,323	420,809	236	488,368
Derecognized commitment and contingencies	(71,045)	(36,929)	(4,479)	(112,453)
Written-off commitment and contingencies	-	-	-	-
Recovery from written-off commitment and contingencies	-	-	-	-
Foreign exchange model or parameter changes and other change	25	763	-	788
Allowance for expected credit loss ending balance	72,098	691,174	153	763,425

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

26. ESTIMATED LOSSES ON COMMITMENTS AND CONTINGENCIES (continued)

d) Movements in estimated losses on commitments and contingencies (continued)

The following table presents the changes in carrying value and allowance for expected losses by financial instrument category (continued):

	December 31, 2020			
	Stage 1- 12 - months Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not impaired	Stage 3- Lifetime Expected Credit Loss - Not impaired	Total
<u>Irrevocable L/C measured at amortized costs</u>				
Balance at the beginning of the year	-	-	-	135,313
Impact of initial application of SFAS 71	-	-	-	34,803
Allowance for expected credit loss beginning balance of SFAS 71	22,917	147,199	-	170,116
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of allowance for losses	(7,107)	-	-	(7,107)
New commitment and contingencies issued or purchased	77,224	18,421	4,396	100,041
Derecognized commitment and contingencies	(16,918)	(31,230)	-	(48,148)
Written-off commitment and contingencies	-	-	-	-
Recovery from written-off commitment and contingencies	-	-	-	-
Foreign exchange model or parameter changes and other change	211	256	-	467
Allowance for expected credit loss ending balance	76,327	134,646	4,396	215,369

	December 31, 2021			
	Stage 1- 12 - months Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not impaired	Stage 3- Lifetime Expected Credit Loss - Not impaired	Total
<u>Guarantees issued measured at Amortized cost</u>				
Carrying value beginning balance	42,799,528	1,514,795	1,299	44,315,622
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of carrying value	(468,146)	-	-	(468,146)
New commitment and contingencies issued or purchased	33,661,490	3,072,519	81,289	36,815,298
Derecognized commitment and contingencie	(24,024,764)	(4,583,304)	777	(28,607,291)
Written-off commitment and contingencies	-	-	-	-
Recovery from written-off commitment and contingencies	-	-	-	-
Foreign exchange model or parameter changes and other change	(207,046)	4,174	-	(202,872)
	51,761,062	8,184	83,365	51,852,611
Initial carrying value with sharia principles	-	-	-	368,874
Movements of carrying value with sharia principles	-	-	-	(368,874)
Carrying value ending balance	51,761,062	8,184	83,365	51,852,611

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

26. ESTIMATED LOSSES ON COMMITMENTS AND CONTINGENCIES (continued)

d) Movements in estimated losses on commitments and contingencies (continued)

The following table presents the changes in carrying value and allowance for expected losses by financial instrument category (continued):

	December 31, 2020			
	Stage 1- 12 - months Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not impaired	Stage 3- Lifetime Expected Credit Loss - Not impaired	Total
<u>Guarantees issued measured at</u>				
<u>Amortized cost</u>				
Carrying value beginning balance	43,952,185	789,582	103,666	44,845,433
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of carrying value	50,049	1,622,054	-	1,672,103
New commitment and contingencies				
issued or purchased	20,319,890	-	-	20,319,890
Derecognized commitment and contingencies	(22,853,295)	(896,841)	(102,367)	(23,852,503)
Written-off commitment and contingencies	-	-	-	-
Recovery from written-off commitment and contingencies	-	-	-	-
Foreign exchange model or parameter changes and other change	1,330,699	-	-	1,330,699
	42,799,528	1,514,795	1,299	44,315,622
Initial carrying value with sharia principles	-	-	-	205,932
Movements of carrying value with sharia principles	-	-	-	162,942
Carrying value ending balance	42,799,528	1,514,795	1,299	44,684,496

	December 31, 2021			
	Stage 1- 12 - months Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not impaired	Stage 3- Lifetime Expected Credit Loss - Not impaired	Total
<u>Guarantees issued measured at</u>				
<u>Amortized cost</u>				
Allowance for expected credit loss beginning balance	919,432	644,176	1,299	1,564,907
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of allowance for losses	(100,144)	-	-	(100,144)
New commitment and contingencie				
issued or purchased	600,689	1,579,648	81,289	2,261,626
Derecognized commitment and contingencies	(796,750)	36,410	369	(759,971)
Written-off commitment and contingencies	-	-	-	-
Recovery from written-off commitment and contingencies	-	-	-	-
changes and other change	(495)	(1)	-	(496)
	622,732	2,260,233	82,957	2,965,922
Initial carrying value with sharia principles	-	-	-	3,600
Movements of carrying value With sharia principles	-	-	-	(3,600)
Allowance for expected credit loss ending balance	622,732	2,260,233	82,957	2,965,922

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

26. ESTIMATED LOSSES ON COMMITMENTS AND CONTINGENCIES (continued)

d) Movements in estimated losses on commitments and contingencies (continued)

The following table presents the changes in carrying value and allowance for expected losses by financial instrument category (continued):

December 31, 2020				
	Stage 1- 12 - months Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not impaired	Stage 3- Lifetime Expected Credit Loss - Not impaired	Total
<u>Guarantees issued measured at</u>				
<u>Amortized cost</u>				
Balance at the beginning of the year	-	-	-	472,244
Impact of initial application of SFAS 71	-	-	-	393,390
Allowance for expected credit loss beginning balance of SFAS 71	184,517	577,451	103,666	865,634
Transition to				
Stage 1	-	-	-	-
Stage 2	-	-	-	-
Stage 3	-	-	-	-
Net remeasurement of allowance for losses	(105,935)	(21,301)	-	(127,236)
New commitment and contingencies issued or purchased	1,542,653	396,989	-	1,939,642
Derecognized commitment and contingencies	(463,057)	(47,277)	(102,367)	(612,701)
Written-off commitment and contingencies	-	-	-	-
Recovery from written-off commitment and contingencies	-	-	-	-
Foreign exchange model or parameter changes and other change	(238,746)	(261,686)	-	(500,432)
	919,432	644,176	1,299	1,564,907
Initial carrying value with sharia principles	-	-	-	1,936
Movements of carrying value with sharia principles	-	-	-	1,664
Allowance for expected credit loss ending balance	919,432	644,176	1,299	1,568,507

December 31, 2021				
	Stage 1- 12 - months Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not impaired	Stage 3- Lifetime Expected Credit Loss - Not impaired	Total
<u>Undrawn loan facilities measured at</u>				
<u>amortized costs</u>				
Carrying value beginning balance	107,385,138	16,633,800	539,301	124,558,239
Transition to				
Stage 1	1,742,763	(1,603,944)	(138,819)	-
Stage 2	(3,001,602)	3,018,329	(16,727)	-
Stage 3	(264,655)	(76,183)	340,838	-
Net remeasurement of carrying value	10,477,201	(3,437,195)	(3,088)	7,036,918
New commitment and contingencies issued or purchased	8,922,549	1,306,076	75,455	10,304,080
Derecognized commitment and contingencies	(728,417)	(765,553)	(459,332)	(1,953,302)
Written-off commitment and contingencies	(207)	(1,533)	(176,268)	(178,008)
Recovery from written-off commitment and contingencies	-	-	-	-
Foreign exchange model or parameter changes and other change	474,352	27	-	474,379
Carrying value ending balance	125,007,122	15,073,824	161,360	140,242,306

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

26. ESTIMATED LOSSES ON COMMITMENTS AND CONTINGENCIES (continued)

d) Movements in estimated losses on commitments and contingencies (continued)

The following table presents the changes in carrying value and allowance for expected losses by financial instrument category (continued):

December 31, 2020				
	Stage 1- 12 - months Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not impaired	Stage 3- Lifetime Expected Credit Loss - Not impaired	Total
<u>Undrawn loan facilities measured at amortized costs</u>				
Carrying value beginning balance	91,702,174	39,578,171	65,279	131,345,624
Transition to				
Stage 1	1,763,691	(1,723,453)	(40,238)	-
Stage 2	(1,015,757)	1,046,973	(31,216)	-
Stage 3	(215,615)	(126,872)	342,487	-
Net remeasurement of carrying value	(1,864,242)	(981,600)	(13,273)	(2,859,115)
New commitment and contingencies issued or purchased	19,715,413	1,357,890	520,174	21,593,477
Derecognized commitment and contingencies	(4,579,841)	(22,347,746)	(140,751)	(27,068,338)
Written-off commitment and contingencies	(10,817)	(171,570)	(163,163)	(345,550)
Recovery from written-off commitment and contingencies	-	-	-	-
Foreign exchange model or parameter changes and other change	1,890,132	2,007	2	1,892,141
	107,385,138	16,633,800	539,301	124,558,239
Initial carrying value with sharia principles	-	-	-	145,544
Movements of carrying value with sharia principles	-	-	-	472,908
Carrying value ending balance	107,385,138	16,633,800	539,301	125,176,691

December 31, 2021				
	Stage 1- 12 - months Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not impaired	Stage 3- Lifetime Expected Credit Loss - Not impaired	Total
<u>Undrawn loan facilities measured at amortized costs</u>				
Allowance for expected credit loss beginning balance	769,843	984,971	143,019	1,897,833
Transition to				
Stage 1	26,200	(25,751)	(449)	-
Stage 2	(31,352)	36,050	(4,698)	-
Stage 3	(3,780)	(3,876)	7,656	-
Net remeasurement of allowance for losses	159,458	1,366,634	(45,333)	1,480,759
New commitment and contingencies issued or purchased	130,336	91,877	213	222,426
Derecognized commitment and contingencies	(257,029)	(43,379)	(30,290)	(330,698)
Written-off commitment and contingencies	(207)	(1,533)	(56,178)	(57,918)
Recovery from written-off commitment and contingencies	-	-	-	-
Foreign exchange model or parameter changes and other change	50,403	8,116	-	58,519
Allowance for expected credit loss ending balance	843,872	2,413,109	13,940	3,270,921

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

26. ESTIMATED LOSSES ON COMMITMENTS AND CONTINGENCIES (continued)

d) Movements in estimated losses on commitments and contingencies (continued)

The following table presents the changes in carrying value and allowance for expected losses by financial instrument category (continued):

	December 31, 2020			
	Stage 1- 12 - months Expected Credit Loss	Stage 2- Lifetime Expected Credit Loss - Not impaired	Stage 3- Lifetime Expected Credit Loss - Not impaired	Total
<u>Undrawn loan facilities measured at amortized costs</u>				
Balance at the beginning of the year	-	-	-	-
Impact of initial application of SFAS 71	-	-	-	1,084,883
Allowance for expected credit loss beginning balance of SFAS 71	435,781	516,097	133,005	1,084,883
Transition to				
Stage 1	43,602	(37,871)	(5,731)	-
Stage 2	(7,669)	16,507	(8,838)	-
Stage 3	(1,813)	(4,601)	6,414	-
Net remeasurement of allowance for losses	(91,044)	169,782	32,281	111,019
New commitment and contingencies issued or purchased	977,562	326,046	292,297	1,595,905
Derecognized commitment and contingencies	(591,133)	-	(302,641)	(893,774)
Written-off commitment and contingencies	(298)	(1,031)	(3,769)	(5,098)
Recovery from written-off commitment and contingencies	-	-	-	-
Foreign exchange model or parameter changes and other change	4,855	42	1	4,898
Allowance for expected credit loss ending balance	769,843	984,971	143,019	1,897,833

BRI assessed commitment and contingency transactions which bear credit risk individually based on whether objective evidence of impairment exists.

The minimum estimated losses on commitments and contingencies that must be provided in accordance with Bank Indonesia Regulations amounted to Rp3,600 as of December 31, 2020.

Management argues that the estimated amount of commitment and contingency losses as of December 31, 2021 and 2020, are adequate.

27. LIABILITIES FOR EMPLOYEE BENEFITS

Liabilities for employee benefits consist of:

	December 31, 2021	December 31, 2020
Provision for Bonuses and Incentives	6,487,862	3,627,108
Provision for long-term employee benefit program (Note 42)	9,597,223	8,901,588
Provision for Religious Festify Allowance	1,314,852	567,362
Provision for Contract worker	705,984	-
Special provision for work separation scheme (Qonun)	-	339,784
Total	18,105,921	13,435,842

Provisions for employee benefit program include defined benefit pension program, old-age benefit program and other long-term benefit program (gratuity for services program, grand leave, post-employment health BPJS and other benefit program of additional benefit fund) in accordance with BRI and its subsidiaries policies calculated in accordance with the calculation of an independent actuary.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

28. OTHER LIABILITIES

Other liabilities consist of:

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Third parties</u>		
<u>Rupiah</u>		
Future policy benefit liabilities	6,293,662	6,530,727
Investment contract liabilities	4,093,453	3,145,743
Allowance for litigation liabilities (Notes 45b)	1,972,029	1,141,920
Unearned premium	1,460,797	1,213,923
Interest payables	766,219	1,292,044
Estimated claim liabilities	328,231	268,710
Temporary <i>Syirkah</i> Funds	181,227	153,260
Reinsurance payables	155,736	155,609
Credit card liabilities	143,493	105,606
Allowance for timely interest payment	105,887	140,036
Unearned income	78,268	112,799
Provision for simpedes gift tax	19,931	22,139
Guarantee deposits	15,477	16,128
Accrued profit sharing	-	188,444
Others	5,369,741	6,589,640
	<u>20,984,151</u>	<u>21,076,728</u>
<u>Foreign currency</u>		
Interest payable	272,583	367,850
Unearned income	250,546	202,819
Others	1,246,047	612,123
	<u>1,769,176</u>	<u>1,182,792</u>
Total	<u>22,753,327</u>	<u>22,259,520</u>

29. SUBORDINATED LOANS AND MARKETABLE SECURITIES

BRI obtained subordinated loans and marketable securities with details as follows:

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Rupiah</u>		
Subordinated Bonds III	498,682	497,712
Two-step loan	2,693	3,175
Subordinated Sukuk <i>Mudharabah</i> I	-	964,505
Total	<u>501,375</u>	<u>1,465,392</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

29. SUBORDINATED LOANS AND MARKETABLE SECURITIES (continued)

BRI obtained subordinated loans and marketable securities with details as follows (continued):

a. Subordinated Sukuk *Mudharabah* I (continued)

On November 17, 2016, BRIS issued Subordinated Sukuk *Mudharabah* I Year 2016 amounting to Rp1,000,000 with profit-sharing income and was issued at 100.00% of its nominal value. The amount of Sukuk holder's nisbah is 80.2013%, calculated from cash gross revenue, which is indicated at 11.8452%. Profit sharing is paid every 3 (three) months and will mature on November 16, 2023. At the time of issuance, this Subordinated Sukuk *Mudharabah* I was rated A+(idn) by Fitch.

The proceeds from the issuance of the Subordinated Sukuk *Mudharabah* I are used to strengthen the capital structure in order to support business development activities through financing distributions.

This Subordinated Sukuk *Mudharabah* I is not guaranteed by special collateral nor guaranteed by the Republic of Indonesia or other third parties and not included in the bank guarantee program implemented by the Deposit Insurance Institute (Lembaga Penjamin Simpanan/LPS) or other insurance institutes.

As of December 31, 2020, the Subordinated Sukuk *Mudharabah* I obtained an A(idn), A(idn), A+(idn) and A+(idn) rating from Fitch, respectively. Acting as trustee for the Subordinated Sukuk *Mudharabah* I is PT Bank Negara Indonesia (Persero) Tbk.

BRIS's restrictions and obligations are, without written approval from the trustee, to not conduct the following:

- Issuing another Sukuk or MTN with higher ranking and priority in payment over Subordinated Sukuk *Mudharabah*.
- Changing its main business.
- Reducing the authorized, issued and paid-up capital
- Conducting merger, consolidation, acquisition with other companies that caused dissolution of BRISyariah, or would have negative impact on business continuity.
- Selling or transferring premises and equipment of BRISyariah to other parties, either all or most (over 50%) of BRIS's premises and equipment based on the latest audited financial statement.
- Conducting transactions with affiliated parties, unless the transaction is performed under favorable terms for BRIS or at least equal to the requirements obtained by BRIS from non-affiliated third parties in customary transactions.
- Providing financing or investment in shares to other parties.

According to the merger of sharia banks where BRIS will become the surviving entity merger, the trustee has been informed through letter No. S.B.06-MDB/01-2021 dated January 6, 2021, regarding "Information Regarding the Planned Merger of PT Bank BRISyariah Tbk, PT Bank BNI Syariah and PT Bank Syariah Mandiri".

b. Two-step loan

The two-step loans in Rupiah represent the loans from the Government which were funded by the Asian Development Bank (ADB), International Bank for Reconstruction and Development (IBRD), International Fund for Agricultural Development (IFAD), United States Agency for International Development (USAID) and Islamic Development Bank (IDB). The interest rates of these loans vary according to the respective agreements with periods ranging from 15 (fifteen) to 40 (forty) years.

The average interest rates for this subordinated loan are 2.09% and 2.00% for the year ended December 31, 2021 and 2020. These loans will mature on various dates up to 2027.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

29. SUBORDINATED LOANS AND MARKETABLE SECURITIES (continued)

BRI obtained subordinated loans and marketable securities with details as follows (continued):

c. Subordinated Bond III Year 2018

On June 27, 2018, BRI issued Subordinated Bonds III Year 2018 with a nominal value of Rp500,000 with an interest of 7.70% per annum, for a period of 5 (five) years and will mature on June 26, 2023. The interest of Subordinated Bonds III Year 2018 is paid every 3 (three) months, starting from June 26, 2018. At the time of issuance, the Subordinated Bonds III Year 2018 were rated AA by Pefindo.

As of December 31, 2021 and 2020, Subordinated Bonds III year 2018 obtained an AA rating from Pefindo.

Management believes that all covenants or restrictions stipulated in the trustee agreements have been complied with.

The classification of subordinated loans and marketable securities based on their remaining period until maturity are as follows:

	December 31, 2021	December 31, 2020
<u>Rupiah</u>		
> 1 year - 5 years	498,682	1,462,217
> 5 years	2,693	3,175
Total	501,375	1,465,392

30. STOCK OPTION

Based on the Extraordinary General Meeting of Shareholders on March 23, 2016, the Shareholder agreed to transfer BRI shares from the proceeds of the buyback held in treasury stock to the management and employee share ownership program.

The aims of this program are to encourage ownership of the Bank's shares by program participants, aligning the Bank's objectives with the objectives of program participants who are management and employees of the Bank as well as improving their performance.

The Bank issued the MESOP program on May 15, 2020 (granting date) amounting to 194,008,300 shares in 2 (two) stages as follows:

- a. Phase I of 97,004,150 shares with vesting period ending October 31, 2020.
- b. Phase II of 97,004,150 shares with vesting period ending May 31, 2021.

The option validity period starts from the distribution date until October 31, 2021. After such date, all the unused option rights will become void.

The eligible parties to receive the MESOP are directors, board of commissioners except independent commissioners and permanent employees with reference to tenure, performance assessment, group of positions and titles.

The calculations, methods and assumptions regarding the MESOP are obtained from the reports of independent actuaries, Willis Towers Watson on August 6, 2020.

The compensation expenses recognized in the consolidated statements of profit or loss and other comprehensive income with respect to Phase I and Phase II stock options for the year ended December 31, 2021 and 2020 are each amounting to RpNil and Rp14,686, and Rp33,466 and Rp22,370, respectively, and credited to stock option in the equity.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

30. STOCK OPTION (continued)

The fair value of each option right is estimated on the date of granting the option rights by using the "Black-scholes" model, assuming the following main assumptions:

	MESOP Phase 1	MESOP Phase 2
Vesting period (month)	5.5	12.5
Share price on the date of option (Full Rupiah)	2,240	2,240
Option execution price (Full Rupiah)	2,240	2,240
Fair value options (Full Rupiah)	345	382
Share price volatility	58.46%	43.85%
Risk-free interest rates	5.23	5.56
Dividend rate	5.10	5.10

31. EQUITY

a. Capital Stock

The details of authorized, issued and fully paid capital stock of BRI as of December 31, 2021 and 2020 are as follows:

	December 31, 2021			
	Number of Shares	Nominal Value per Share (Full Rupiah)	Total Share Value (Full Rupiah)	Percentage of ownership
Authorized capital stock				
Series A Dwiwarna Share	1	50	50	0.00%
Series B Common Shares	299,999,999,999	50	14,999,999,999,950	100.00
Total	300,000,000,000		15,000,000,000,000	100.00%
Issued and fully paid capital stock				
Series A Dwiwarna Share				
Republic of Indonesia	1	50	50	0.00%
Series B Common Shares B				
Republic of Indonesia	80,610,976,875	50	4,030,548,843,750	53.19
Commissioners:				
- Kartika Wirjoatmodjo	178,300	50	8,915,000	0.00
- Nicolaus Teguh Budi Harjanto	849,161	50	42,458,050	0.00
- Hadiyanto	810,700	50	40,535,000	0.00
- Rabin Indrajad Hattari	160,400	50	8,020,000	0.00
Directors:				
- Sunarso	1,810,356	50	90,517,800	0.00
- Catur Budi Harto	815,957	50	40,797,850	0.00
- Ahmad Solichin Lutfiyanto	2,621,270	50	131,063,500	0.00
- Indra Utoyo	2,511,792	50	125,589,600	0.00
- Handayani	2,459,000	50	122,950,000	0.00
- Supari	1,923,514	50	96,175,700	0.00
- Agus Noorsanto	899,841	50	44,992,050	0.00
- Agus Sudiarto	751,200	50	37,560,000	0.00
- Amam Sukriyanto	537,454	50	26,872,700	0.00
- Agus Winardono	509,981	50	25,499,050	0.00
- Viviana Dyah Ayu R.K	473,500	50	23,675,000	0.00
- Arga Mahanana Nugraha	374,485	50	18,724,250	0.00
Public	70,914,406,217	50	3,545,720,310,850	46.79%
	151,543,070,004		7,577,153,500,200	99.99%
Treasury Stock (Note 1d)	15,931,600		796,580,000	0.01
Total	151,559,001,604		7,577,950,080,200	100.00%

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

31. EQUITY (continued)

a. Capital Stock (continued)

The details of authorized, issued and fully paid capital stock of BRI as of December 31, 2021 and 2020 are as follows (continued):

	December 31, 2020			
	Number of Shares	Nominal Value per Share (Full Rupiah)	Total Share Value (Full Rupiah)	Percentage of ownership
Authorized capital stock				
Series A Dwiwarna Share	1	50	50	0.00%
Series B Common Shares	299,999,999,999	50	14,999,999,999,950	100.00
Total	300,000,000,000		15,000,000,000,000	100.00%
Issued and fully paid capital stock				
Series A Dwiwarna Share	1	50	50	0.00%
Republic of Indonesia				
Series B Common Shares	69,999,999,999	50	3,499,999,999,950	56.75
Republic of Indonesia				
Commissioners:				
- Nicolaus Teguh Budi Harjanto	816,300	50	40,815,000	0.00
- Hadiyanto	625,800	50	31,290,000	0.00
Directors:				
- Sunarso	1,008,000	50	50,400,000	0.00
- Catur Budi Harto	329,200	50	16,460,000	0.00
- Haru Koesmahargyo	1,835,600	50	91,780,000	0.00
- Priyastomo	1,835,600	50	91,780,000	0.00
- Ahmad Solichin Lutfiyanto	1,819,400	50	90,970,000	0.00
- Indra Utoyo	1,726,400	50	86,320,000	0.00
- Handayani	1,602,500	50	80,125,000	0.00
- Supari	1,242,300	50	62,115,000	0.00
- Agus Noorsanto	380,800	50	19,040,000	0.00
- Herdy Rosadi Harman	311,900	50	15,595,000	0.00
- Agus Sudiarto	294,600	50	14,730,000	0.00
Public	52,581,518,100	50	2,629,075,905,000	42.64%
	122,595,346,500		6,129,767,325,000	99.39%
Treasury Stock (Note 1d)	750,463,500		37,523,175,000	0.61
Total	123,345,810,000		6,167,290,500,000	100.00%

Series A Dwiwarna share is the share that gives the shareholder preferential rights to approve the appointment and dismissal of Board of Commissioners and Directors, amendments in the articles of association, approval on BRI's merger, dissolution, acquisition and separation, as well as submission of BRI's bankruptcy and liquidation declaration request.

Series B shares are common shares that can be owned by the public.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

31. EQUITY (continued)

b. Additional Paid-in Capital

The details of additional paid-in capital are as follows:

Additional capital by the Government related to recapitalization program	1,092,144
Remaining balance of paid-up capital by the Government	5
Additional paid-in capital from IPO	589,762
Exercise of stock options	
Year 2004	49,514
Year 2005	184,859
Year 2006	619,376
Year 2007	140,960
Year 2008	29,013
Year 2009	14,367
Year 2010	43,062
Stock option MSOP Stage-I which is already expired	504
Stock option MSOP Stage-II which is already expired	1,845
Stock option MSOP Stage-III which is already expired	8,447
Stock option MSOP Stage-IV which is already expired	62,862
Acquisition of merging entities in 2018	(81,195)
Bonus Shares compensation in 2019	208,331
Bonus Shares compensation in 2020	510,819
Bonus Shares compensation in 2021	1,154,211
Loss of control over subsidiaries	565,209
Additional Capital for PMHMETD transactions	94,419,142
Acquisition transaction under common control in 2021	(23,370,339)
Total	76,242,898

In line with the realization of the Recapitalization Program for Commercial Banks in accordance with Government Regulation No. 52 Year 1999 regarding the "Increase in Investment by the Republic of Indonesia in State-Owned Banks", the Government determined that the recapitalization requirement amount of BRI to achieve Capital Adequacy Ratio (CAR) of 4% was Rp29,063,531. Up to June 30, 2003, the authorized and issued capital stock of BRI has not yet been increased by additional capital from the above recapitalization program, therefore, the paid-up capital from the Government of Rp29,063,531 was recorded temporarily in "Additional Paid-in Capital" account together with the previous balance of paid-up capital of Rp5 from the Government.

Based on the Decision Letter of the Minister of Finance No. 427/KMK.02/2003 dated September 30, 2003, the final recapitalization requirement of BRI amounted to Rp29,063,531. The amount of Rp3,272,000 was converted to paid-up capital and the remaining balance of Rp25,791,531 was recorded as additional paid-in capital. Furthermore, with the implementation of the quasi-reorganization by BRI, the accumulated losses before quasi-reorganization as of September 30, 2003 amounting to Rp24,699,387 was eliminated against additional paid-in capital, resulting in additional paid-in capital amounting to Rp1,092,149 as of June 30, 2003.

On November 10, 2003, BRI conducted an IPO by issuing 1,764,705,000 new Series B common shares with a par value of Rp500 (full Rupiah) per share at the offering price of Rp875 (full Rupiah) per share, resulting in additional paid-in capital as follows:

Total New Series B Common Shares Issued to the Public Under the IPO (Shares) (Note 1c)	1,764,705,000
Additional paid-in capital per share (Full Rupiah)	375
Total additional paid-in capital Share (Full Rupiah)	661,764
Less	
- 3% discount given to BRI customers	(2,961)
- Cost of IPO	(69,041)
Additional paid-in capital from IPO	589,762

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

31. EQUITY (continued)

b. Additional Paid-in Capital (continued)

In accordance with the Extraordinary General Meeting of Shareholders on October 3, 2003, as disclosed in the Deed No. 6 of Notary Imas Fatimah, S.H., the shareholders approved the issuance of stock options to be implemented in 3 (three) phases. The stock options are granted to Directors and employees in certain positions and appointments who have fulfilled the stipulated requirements (Management Stock Option Plan (MSOP)).

The compensation cost of the MSOP is recognized as stock options which is part of equity.

BRI employees have exercised their stock options for MSOP I starting from November 10, 2004, MSOP II starting from November 10, 2005 and MSOP III starting from November 15, 2006. MSOP I, II and III stock options that have been exercised from 2004 to 2010 amounted to 569,876,000 shares where there were 4,728,500 shares in 2010, 4,553,000 shares in 2009, 7,499,000 shares in 2008, 31,379,000 shares in 2007, 250,721,000 shares in 2006, 185,610,000 shares in 2005 and 85,385,500 shares in 2004. The additional paid-in capital arising from the exercise of stock options amounted to Rp43,062 in 2010, Rp14,367 in 2009, Rp29,013 in 2008, Rp140,960 in 2007, Rp619,376 in 2006, Rp184,859 in 2005 and Rp49,514 in 2004.

Entities under common control transaction

Based on the Deed Sale and Purchase of Shares No. 70 dated December 20, 2018, of Ashoya Ratam, S.H., M.Kn, PT Bahana Artha Ventura transferred 15,874 shares of BRI Ventura to BRI (Note 1f). Based on the Deed of Shares Takeover No. 53 dated December 21, 2018, of Notary M. Nova Faisal, S.H., M.Kn, PT Danareksa (Persero) sold 335,000,000 shares of Danareksa Sekuritas to BRI (Note 1f).

These sale and purchase transactions constitute a business combination of entities under common control where the ultimate shareholder of BRI, PT Danareksa (Persero) and PT Bahana Artha Ventura is the Government of the Republic of Indonesia. Therefore, the transactions are treated based on the pooling of interests method in accordance with the SFAS No. 38 (Revised 2012), "Business Combination of Entities Under Common Control".

The difference between the amount of the considerations transferred and the carrying amount of the investment obtained from this transaction is recorded in the "additional paid-in capital" account in equity, with details as follows:

	Considerations transferred	Investment Carrying amount	Additional Paid- in Capital
Danareksa Sekuritas	446,888	366,359	80,529
BRI Ventures	3,090	2,424	666
Total	449,978	368,783	81,195

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

31. EQUITY (continued)

b. Additional Paid-in Capital (continued)

Loss of control over the subsidiary (BRIS)

On October 12, 2020, PT Bank Mandiri (Persero) Tbk (Mandiri), PT Bank Rakyat Indonesia (Persero) Tbk (BRI), PT Bank Negara Indonesia (Persero) Tbk (BNI), PT Bank Syariah Mandiri (BSM), PT Bank BRISyariah Tbk (BRIS) and PT Bank BNI Syariah (BNIS) have signed a Conditional Merger Agreement (CMA) for the purpose of merging BSM, BRIS and BNIS (Merger Participating Banks).

Based on the CMA, after the effective date of the merger, PT Bank BRISyariah Tbk (BRIS) will become the surviving entity and all shareholders of PT Bank BNI Syariah (BNIS) and PT Bank Syariah Mandiri (BSM) will become shareholders of the entity that accept the merger based on the combined ratio.

Based on the combined ratio of BRI's ownership of BSI, it is 17.29% or 7,092,761,655 shares worth Rp3,546,381.

This merger transaction is a business combination transaction of entities under common control in which the ultimate shareholder of BRI, BNI, Mandiri, BSM, BRIS and BNIS is the Government of the Republic of Indonesia. Therefore, the transaction is treated based on the combined interest method in accordance with Statement of Financial Accounting Standards ("SFAS") No. 38 (Revised 2012), "Business Combination of Entities Under Common Control".

The difference between the carrying amount of the previous investment and the carrying amount of the investment obtained from this transaction is recorded in the "Additional Paid-in Capital" account in the equity section, with details as follows:

	Carrying amount of previous investment	Carrying amount of investment due to merger	Additional paid-in capital
BRI ownership of BSI	2,981,172	3,546,381	565,209

Additional Capital for PMHMETD transactions

In accordance with the Extraordinary General Meeting of Shareholders on July 22, 2021, as disclosed in the Deed No. 61 of Notary Fathiah Helmi, S.H., the shareholders approved the company issues new shares in connection with the issuance of Additional Capital with Preemptive Rights of 28,677,086,000 shares at most with nominal value of Rp50.00 per share through the Additional Capital with Preemptive Rights I (PMHMETD I) mechanism.

Additional Capital with Preemptive Rights I has received an effective statement from the Financial Services Authority ("OJK") on 30 August 2021. The Government of the Republic of Indonesia, as the controlling shareholder of the Company, with a current ownership of 56.75% (fifty six point seven five percent), subscribes to all Preemptive Rights to which it is entitled by conducting *Inbreng* on shares owned by the Government as follows:

- a) 6,249,999 Series B shares or representing 99.99% of the issued and fully paid capital in Pegadaian
- b) 3,799,999 Series B shares or representing 99.99% of the issued and fully paid capital in PNM.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

31. EQUITY (continued)

b. Additional Paid-in Capital (continued)

Additional Capital for PMHMETD transactions (continued)

The *inbreng* transaction is in accordance with the Deed of Transfer of Rights to Shares of the Republic of Indonesia for the Company (Persero) PT Pegadaian, the Limited Liability Company (Persero) PT Permodalan Nasional Madani for and in the context of Additional State Participation of the Republic of Indonesia in the Company's Equity Participation Company (Persero) PT Bank Rakyat Indonesia Tbk No. 13 dated September 13, 2021, Notary Fathiah Helmi, S.H, for the *Inbreng* Transaction is a business combination transaction of entities under common control in which the ultimate shareholder of BRI, PT Pegadaian (Persero) and PT Permodalan Nasional Madani is the Government of the Republic of Indonesia. Therefore, the transaction is treated based on the pooling of interest method in accordance with Statement of Financial Accounting Standards ("SFAS") No. 38 (Revised 2012), "Business Combination of Entities Under Common Control".

The difference between the nominal of investment and carrying amount of investment from this transaction is recorded in "Additional paid-in capital" in equity section as follows:

	Nominal of Investment	Carrying amount of investment	Additional paid-in capital
PNM	6,100,068	6,073,819	26,249
Pegadaian	48,6790,528	25,326,438	23,344,090
Total	54,770,596	31,400,257	23,370,339

The nominal amount of investment transferred is in accordance with the fair value result from the External Independent Appraisal (KJPP) Suwendho Rinaldy and Partners, in accordance with report no. 00244/2.0059-02/BS/07/0242/1/VI/2021 dated June 30, 2021 and No. 00245/2.0059-02/BS/07/0242/1/VI/202 dated June 30, 2021.

The PMHMETD I increased the issued and fully paid capital of 28,213,191,604 shares or Rp1,410,659, consisting of the Government *inbreng* shares totaling 16,108,998,710 shares or Rp805,450 and the public as many as 12,104,192,894 shares or Rp605,210, which resulted in an increase in additional paid-in capital of Rp94,419,142 (after deducting issuance costs).

c. Differences Arising from Translation of Foreign Currency Financial Statements

This account represents the exchange rate differences arising from the translation of the financial statements of BRI overseas branches/representative offices (Cayman Islands, New York, Hong Kong, Singapore, Timor Leste and Taipei) and subsidiaries with functional currency of United States Dollar, Hong Kong Dollar, Singaporean Dollar and Taiwanese Dollar into Rupiah (Note 2ai). Assets and liabilities as well as commitments and contingencies denominated in other foreign currency were translated into Rupiah using the Reuters spot rates at 4.00 p.m. WIB (Western Indonesian time) on the statements of financial position date. The consolidated statements of profit or loss and other comprehensive income for the year ended December 31, 2021 and 2020, is the sum of consolidated statements of profit or loss and other comprehensive income which are translated into Rupiah using the average mid-rate of currency exchange for the respective month.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

31. EQUITY (continued)

d. Distribution of Net Income

In the Annual General Meetings of BRI's Shareholders held on March 25, 2021 and February 18, 2020 the Shareholders agreed to distribute dividend from net income for the years ended December 31, 2020 and 2019 are as follows:

	Income for the year	
	Ended December 31,	
	2020	2019
Consolidated	12,125,589	20,623,565

e. Reclassification of Appropriated Retained Earnings

In order to maintain its capital structure, BRI has reclassified its appropriated retained earnings into unappropriated retained earnings amounting to Rp15,093,056. This is in accordance with the implementation of the Financial Services Authority Regulation (POJK) No. 34/POJK.03/2016 dated September 26, 2016 regarding "Amendment to POJK No. 11/POJK.03/2016 regarding Minimum Capital Adequacy Requirement for Commercial Banks".

f. Bonus Shares Program

Taking into account the development of BRI's business performance and in order to increase the employee's sense of belongingness to the company and provide long-term incentives for employees to achieve the determined targets, the BRI's Board of Directors decided to provide a share ownership bonus program for management and employees (Employee Stock Allocation (ESA)). The allocation of shares is given to each worker based on the individual and company performance.

Payment of the BRI Phase 1 ESA I Program has been carried out in accordance with the Directors' Letter No. 751-DIR/KHC/05/2019 dated May 22, 2019 concerning the Implementation of the Management and Employee Stock Ownership Program to 50,775 employees totaling 143,415,500 shares (Note 1d).

Payment of the BRI Phase 2 ESA I Program has been carried out in accordance with Letter No. B.442-DIR/HCS/03/2020 to 173 employees totaling 4,396,700 shares (Note 1d).

According to the letter of the Board of Directors No. B.03-DIR/HCS/01/2020 dated on January 2, 2020, BRI re-implemented the ESA II, III, and IV programs. The ESA program has a grant date on January 2, 2020, with the vesting period ended on January 31, 2020 (ESA II), March 31, 2021 (ESA III), and October 31, 2021 (ESA IV).

The fair value of ESA II BRI at the time of allocation is Rp995,148 which is recognized in the consolidated profit or loss and other comprehensive income. BRI has made payment of ESA II program on February 25, 2020.

The fair value of ESA III and ESA IV at the time of allocation on January 2, 2020 amounted to Rp953,005 and Rp930,721, respectively. The fair value of ESA III and IV are amortized during the vesting period and recognized in consolidated profit or loss and other comprehensive income, while accumulated costs during the vesting period were recognized in equity.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

31. EQUITY (continued)

f. Bonus Shares Program (continued)

The costs of ESA III and IV recognized in consolidated profit or loss and other comprehensive income for the year ended December 31, 2021 amounted to Rp953,005 and Rp930,721, and for the year ended December 31, 2020 amounted to Rp764,083 and Rp464,722, respectively.

g. Changes in the proportion of ownership by non-controlling interests in PT Asuransi BRI Life (BRI Life)

Based on Deed No. 8 dated March 2, 2021, of Jose Dima Satria, SH., M.Kn, Notary in South Jakarta, where the shareholders agreed to issue new shares so that the authorized capital of BRI Life becomes Rp400,000,000,000 (four hundred billion rupiah), divided into 4,000,000 (four million) shares with each share having a nominal value of Rp100,000 (one hundred thousand rupiah) (Note 1f).

Based on the Shareholders Agreement dated March 2, 2021, FWD Financial Services Pte. Ltd. will acquire 936,458 (nine hundred and thirty six thousand four hundred and fifty eight) shares as a continuation of the long-term strategic cooperation. So that the composition of BRI Life's share ownership is BRI at 63.83%, BRI Employee Welfare Foundation at 6.31% and FWD Financial Services Pte. Ltd by 29.86% (Note 1f).

As the proportion of equity held by non-controlling interests changed, BRI adjusted the carrying amount of controlling and non-controlling interests to reflect changes in ownership in BRI Life. The difference between the adjusted carrying amount of the non-controlling interest and the fair value of the benefits received by BRI is recognized directly in equity, namely in the "Impact of Non-Controlling Control Transactions" account amounting to Rp1,758,580.

h. Non-controlling interest

Below are the details of non-controlling interests:

	December 31, 2021	December 31, 2020
<u>Non-controlling interests:</u>		
Parent Entity		
PT Asuransi BRI Life	2,443,371	368,471
PT Bank Raya Indonesia Tbk	357,683	547,974
PT BRI Asuransi Indonesia	131,948	103,859
PT BRI Danareksa Sekuritas	92,820	60,681
PT Bank BRI Syariah Tbk	-	1,452,824
Subsidiaries	25,999	17,022
Total	3,051,821	2,530,831

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

31. EQUITY (continued)

- i. Partially Transfer of Series B Shares owned by the Republic of Indonesia to the Indonesia Investment Authority

Based on Government Regulation of the Republic of Indonesia No. 111 of 2021 regarding the Addition of the State Equity Participation of the Republic of Indonesia into the Capital of the Investment Management Institution, it has been stipulated of the addition of the state's equity participation to the Investment Management Institution (in this case the Indonesia Investment Authority). The additional capital participation comes from the transfer of the Bank's series B shares owned by the Republic of Indonesia to the Company.

Subsequently, it was in accordance with the Notarial Deed No. 33 Regarding the Agreement on the Transfer of Rights to the Shares of the Republic of Indonesia in the Company (Persero) of PT Bank Rakyat Indonesia (Persero) Tbk, to and in the context of the addition of the State Equity Participation of the Republic of Indonesia into the Capital of the Investment Management Institution, made by Notary Fathiah Helmi, SH. The transfer of part of the series B shares belonging to the Republic of Indonesia in the Bank to the Indonesia Investment Authority has been effective upon the signing of the Deed on December 23, 2021.

The transfer of part of the series B shares owned by the Republic of Indonesia in the Bank to the Indonesia Investment Authority was amounted to 5,498,021,834 shares or 3.63%, so that the series B shares owned by the Republic of Indonesia in the Bank amounting to 80,610,976,875 shares or 53.19% .

32. INTEREST AND SHARIAH INCOME

Interest income are derived from:

	For the year ended December 31,	
	2021	2020
<u>Rupiah</u>		
Loan		
Micro	70,712,937	61,749,482
Retail	37,697,355	37,052,147
Corporate	5,490,439	6,602,197
Finance Receivable	8,832,218	5,953,408
Securities		
Fair value through profit or loss		
Government Bonds	157,922	599,221
Bonds	17,253	41,253
Negotiable Certificate of Deposit	-	400
Fair value through Other Comprehensive Income		
Government Bonds	5,076,641	5,149,623
Bonds	893,381	656,994
Negotiable Certificate of Deposit	11,394	71,002
Medium-Term Note	17,368	29,365
Bank Indonesia Certificate		2,306
Amortized Costs		
Government Bonds	5,027,597	3,101,370
Bonds	183,245	180,222
Medium-Term Note	4,002	6,335
Negotiable Certificate of Deposit	587	9,610
Bank Indonesia Certificate	-	11,314
Securities Sold Under Agreement to Repurchase	703,213	1,368,312

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

32. INTEREST AND SHARIAH INCOME (continued)

Interest income are derived from (continued):

	For the year ended December 31,	
	2021	2020
<u>Rupiah (continued)</u>		
Government Recapitalization Bonds		
Amortized Costs	-	20,994
Placement with Bank Indonesia and other financial instruments		
Inter-bank call money	1,598	40,923
Deposit Facility/Term Deposit	566,771	595,656
Others	322,210	231,890
Current accounts with Bank Indonesia	5,580	2,292
Others	263,063	288,114
	135,984,774	123,764,430
<u>Foreign currency</u>		
Loan		
Corporate	2,446,608	2,387,848
Retail	418,276	495,299
Securities		
Fair value through profit or loss		
Government Bonds	5,685	18,508
Bonds	585	2,687
Fair value through Other Comprehensive Income		
Government Bonds	1,296,269	1,027,971
Bonds	89,266	81,452
Bank Indonesia Certificate	19,071	112,445
Amortized Costs		
Government Bonds	688,738	520,101
Bonds	19,645	21,802
Placement with Bank Indonesia and other financial instruments		
Inter-bank call money	72,649	77,028
Deposit Facility/Term Deposit	14,656	148,517
Others	90,657	110,593
Current accounts with Bank Indonesia	66	33
Others	17,839	141,903
	5,180,010	5,146,187
	141,164,784	128,910,617
Sharia income are derived from:		
Murabahah	-	2,184,362
Musyarakah	-	1,316,953
Others	2,358,545	3,352,629
Total Sharia Income	2,358,545	6,853,944
Total	143,523,329	135,764,561

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

33. INTEREST AND SHARIA EXPENSES

This account represents interest expense on:

	For the year ended December 31,	
	2021	2020
<u>Rupiah</u>		
Time Deposits	12,249,296	19,570,294
Marketable securities issued	3,049,926	2,922,127
Fund borrowing	2,191,626	3,165,133
Demand Deposits	2,172,458	3,001,817
Saving Deposits	2,006,450	2,832,365
Deposits from other Bank and Financial Institution	336,032	413,391
Securities sold under agreement to repurchase	212,345	676,803
Subordinated Loan	39,470	47,184
Deposits Certificate	13,170	-
Others	2,975,964	3,023,151
	25,246,737	35,652,265
<u>Foreign currency</u>		
Fund borrowing	858,472	661,356
Time Deposits	681,519	2,113,824
Marketable securities issued	635,051	630,847
Demand Deposits	451,443	479,900
Deposits from other Bank and Financial Institution	131,588	195,938
Securities sold under agreement to repurchase	21,535	40,416
Saving Deposits	5,489	7,044
Others	103,963	101,815
	2,889,060	4,231,140
	28,135,797	39,883,405
Sharia expense are derived from:		
Mudharabah time deposits	1,293,103	1,289,073
Others	-	1,007,970
Sharia Expense Total	1,293,103	2,297,043
Total	29,428,900	42,180,448

34. PROVISION FOR IMPAIRMENT LOSSES ON FINANCIAL ASSETS - NET

This account represents provision for (reversal of) impairment losses on financial assets as follows:

	For the year ended December 31,	
	2021	2020
Loans (Notes 11f)	35,653,778	30,254,939
Sharia receivables and financing (Notes 12)	278,229	2,093,237
Finance receivables (Notes 13c)	644,287	417,160
Securities (Notes 7j)	(459,279)	1,173,553
Export Bills and Notes Receivable (Notes 8d)	(175,830)	(1,431,524)
Acceptances Receivables (Notes 14d)	(58,215)	405,907

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

34. PROVISION FOR IMPAIRMENT LOSSES ON FINANCIAL ASSETS - NET (continued)

This account represents provision for (reversal of) impairment losses on financial assets as follows (continued):

	For the year ended December 31,	
	2021	2020
Securities sold under agreement to repurchase (Note 9b)	-	(1)
Current accounts with Other Banks (Notes 5e)	(64,765)	93,819
Placement with Bank Indonesia and other financial institutions (Notes 6e)	(11,893)	17,402
Total	35,806,312	33,024,492

35. SALARIES AND EMPLOYEE BENEFIT

The details of this account are as follows:

	For the year ended December 31,	
	2021	2020
Salaries, wages and allowances	18,813,732	16,169,197
Bonuses, incentives and tantiem	7,909,183	7,404,511
Defined benefit pension (Note 42a and 42f)	1,946,190	485,941
Share compensation costs	1,432,715	2,279,789
Grand leaves (Note 42f)	997,448	485,016
Jamsostek contribution	945,898	907,877
Work separation scheme (Note 42d)	807,682	177,916
Medical allowances	714,813	788,051
Training and Developments	434,207	499,111
Defined contribution pension (Note 42c)	381,603	352,766
Allowance for gratuity for services (Note 42f)	332,633	247,454
Post employment BPJS health program (Note 42f)	148,829	906,326
Pension preparations (Note 42e)	2,797	2,993
Others	3,179,396	2,398,321
Total	38,047,126	33,105,269

Total salaries and allowances of the Board of Directors amounted to Rp177,412 and Rp168,326 for the year ended December 31, 2021 and 2020, respectively, allowances of the Board of Commissioners amounted to Rp70,085 and Rp63,579 for the year ended December 31, 2021 and 2020, respectively, (Note 44).

Bonuses, incentives and tantiem of BRI's Boards of Directors, Commissioners and key employees amounting to Rp1,290,440 and Rp1,390,356 for the year ended December 31, 2021 and 2020, respectively, (Note 44).

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

36. GENERAL AND ADMINISTRATIVE EXPENSES

The details of this account are as follows:

	For the year ended December 31,	
	2021	2020
Outsourcing service	4,835,352	4,646,980
Third party goods and services	3,027,955	1,720,913
Depreciation of premises and equipment (Note 16)	2,759,154	3,199,102
E-Channel	2,274,091	1,854,217
Rent	1,548,255	1,677,060
Repairs and maintenance	1,390,913	1,366,489
Transportation	888,666	845,067
Electricity and water	756,023	805,020
Professional fees	693,611	418,905
Printing and postage	532,264	471,896
Office supplies	457,913	467,889
Research and product development	365,317	185,431
Communications	216,127	184,948
Computer installations	67,782	74,721
Others	3,455,621	3,086,044
Total	23,269,044	21,004,683

37. NON OPERATING INCOME - NET

The details of this account are as follows:

	For the year ended December 31,	
	2021	2020
Gain/(Loss) on sale of premises and equipments	44,164	41,211
Rent Income	1,375	4,927
Donation	(10,143)	(9,257)
Non PUMK Social and Environmental Responsibility	(270,460)	(179,226)
Corporate Social Responsibility	(21,071)	(30,074)
Others - net	103,818	387,122
Total	(152,317)	214,705

38. TAXATION

a) Taxes Payable

As of December 31, 2021 and 2020, the details of taxes payable are as follows:

	December 31, 2021	December 31, 2020
<u>BRI (parent entity)</u>		
Income tax		
Article 29	3,490,305	1,064,461
	<u>3,490,305</u>	<u>1,064,461</u>
<u>Subsidiaries</u>		
Income tax	645,588	815,955
Value-added tax	78,425	68,940
	<u>724,013</u>	<u>884,895</u>
Total	4,214,318	1,949,356

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

38. TAXATION (continued)

b) Tax Expense

	For the year ended December 31,	
	2021	2020
<u>BRI (parent entity)</u>		
Current tax expense of:		
Current year	12,495,926	7,611,026
Deffered income tax (benefit) expense	(5,454,680)	196,782
	<u>7,005,246</u>	<u>7,807,808</u>
<u>Subsidiaries</u>		
Current tax expense of:		
Current year	1,680,576	1,737,101
Prior year tax assessment	-	11,178
Deffered income tax (benefit) expense	(850,214)	(604,116)
	<u>830,362</u>	<u>1,144,163</u>
Total	<u>7,835,608</u>	<u>8,951,971</u>

The reconciliation between income before tax expense as presented in the consolidated statement of profit or loss and other comprehensive income and estimated taxable income are as follows:

	For the year ended December 31,	
	2021	2020
Income before tax expense as presented in the consolidated statement profit or loss and other comprehensive income	40,992,065	29,993,406
Pro forma income from acquisition transaction under common control	(3,200,921)	(3,268,560)
Income of subsidiaries	<u>1,429,563</u>	<u>(563,735)</u>
Income before tax expense of BRI (parent entity)	<u>39,220,707</u>	<u>26,161,111</u>
Temporary differences:		
Allowance for impairment losses on productive assets	16,532,791	8,827,772
Provision for employee expense	4,448,894	(1,936,490)
Provision for estimated losses on commitments and contingencies	3,305,535	1,548,413
Share-based employee benefit payments	(1,058,078)	1,262,845
Depreciation of premises and equipment	209,055	47,234
Unrealized losses (gain) of Securities measured at fair value through profit or loss	<u>172,611</u>	<u>(87,225)</u>
	<u>23,610,808</u>	<u>9,662,549</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

38. TAXATION (continued)

b) Tax Expense (continued)

The reconciliation between income before tax expense as presented in the consolidated statement of profit or loss and other comprehensive income and estimated taxable income are as follows (continued):

	For the year ended December 31,	
	2021	2020
Permanent differences:		
Promotion	1,572,735	1,846,027
Income of associated entities	(523,044)	(8,148)
Representations and donation	185,595	176,566
Public relation	68,865	300,243
Physical and spiritual development	49,519	40,737
Travel and compensation	46,647	288,040
Prizes without raffle	9,068	547,819
Income subjected to final tax	(1,038,451)	(88,040)
Others	2,376,102	1,131,128
	2,747,036	4,234,372
Estimated taxable Income	65,578,551	40,058,032
<u>Parent entity</u>		
Income tax expense - current	(12,459,926)	(7,611,026)
Payment of income tax Installments during current year	8,969,621	6,504,817
Foreign tax credit	-	41,748
Estimated income tax payable - Article 29	(3,490,305)	(1,064,461)
Payment of income tax installments during current year	-	22,720
<u>Subsidiaries</u>		
Income tax expense - current	(1,680,576)	(1,737,102)
Payment of income tax installments during current year	1,164,555	1,085,319
Estimated income tax payable - Article 29 - net	(516,021)	(651,783)

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

38. TAXATION (continued)

b) Tax Expense (continued)

The reconciliation of income tax expense by multiplying the income before tax expense and the applicable tax rate are as follows:

	For the year ended December 31,	
	2021	2020
Income before tax expense as presented in the consolidated statement of profit or loss and other comprehensive income	40,992,065	29,993,406
Tax expense with applicable tax rates	7,841,634	5,813,716
Income that cannot be deductible for tax purposes		
BRI	521,937	804,531
Subsidiaries	440,664	301,057
The effect of usage differences rates in calculation deferred tax	-	193,251
Effect of lower tax rates	(968,627)	1,839,416
	7,835,608	8,951,971

c) Deferred Tax Assets

The calculations of deferred income tax (expense) benefit BRI are as follow:

	For the year ended December 31,	
	2021	2020
<u>Parent entity</u>		
(Reversal of)/provision for possible losses on earning assets	3,851,272	(633,222)
(Reversal of)/Provision for employee expense	1,017,445	82,364
Allowance for estimated losses on commitments and contingencies	701,411	93,668
Share-based employee benefit payments	(175,341)	212,940
Unrealized losses (gain) of Securities measured fair value through profit or loss	32,794	(14,828)
Depreciation of premises and equipments	27,099	62,296
	5,454,680	(196,782)
<u>Subsidiaries</u>	850,214	604,116
Total	6,304,894	407,334

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

38. TAXATION (continued)

c) Deferred Tax Assets (continued)

The tax effects of significant temporary differences between commercial and tax reporting (recorded under "Deferred Tax Assets" account) are as follows:

	<u>December 31, 2021**)</u>	<u>December 31, 2020</u>
<u>Parent entity</u>		
Allowance for impairment losses on productive assets *)	9,886,624	6,035,360
Allowance for estimated losses on commitments and contingencies *)	1,324,961	623,550
Provision for employee expense	2,480,767	1,463,322
Depreciation of premises and Equipment	(80,189)	(107,288)
Remeasurement of defined benefit plans	301,080	296,183
Unrealized losses (gain) of securities and Government Recapitalization Bonds measured at fair value through profit or loss	6,549	(26,245)
Share-based employee benefit payments	43,047	218,388
Unrealized losses (gain) of securities and Government Recapitalization Bonds measured at fair value through other comprehensive income	(438,445)	(898,168)
	<u>13,524,394</u>	<u>7,605,102</u>
<u>Subsidiaries</u>	<u>2,760,504</u>	<u>2,280,888</u>
Total	<u>16,284,898</u>	<u>9,885,990</u>

*) Including the impact of the initial application of SFAS 71 which is charged to retained earnings on January 1, 2020 for allowance for loss of earning assets and reserves for estimated commitments and contingencies amounting to Rp3,681,136 and Rp377,994, respectively.

**) Including Deferred Tax Assets amounting Rp968,627 as impact of implementation Harmonization of Tax Regulations due to rate changes in 2022.

On June 30, 2020, the Government issued Government Regulation in Lieu of Law (PERPU) of the Republic of Indonesia No. 1 year 2020 which has become Law (UU) No. 2 year 2020, as well as stipulating Government Regulation (PP) No. 30 year 2020 concerning Decreasing Income Tax Rates for Domestic Corporate Tax payers in the Form of Public Companies and effective from the date of promulgation on June 19, 2020.

The regulation has stipulated reduction in income tax rates for domestic corporate tax payers and permanent establishments from 25% to 22% for fiscal year 2020 and, and a further reduction of the tax rate by 3% for corporate income tax payers that fulfill certain criteria.

Based on the certificate No. DE/I/2022-0025 dated January 3, 2022 and the monthly shareholding report from the Securities Administration Bureau, Datindo Entrycom on BRI's share ownership during 2021, all of the certain requirements above to obtain the said tax rate reduction facility on the BRI's financial report for the year ended December 31, 2021 have been fulfilled.

Based on the certificate No. DE/I/2020-0282 dated January 8, 2021 and the monthly shareholding report from the Securities Administration Bureau, Datindo Entrycom on BRI's share ownership during 2020, all of the certain requirements above to obtain the said tax rate reduction facility on the BRI's financial report for the year ended December 31, 2020 have been fulfilled.

Management believes that there is no need to establish a tax reserve for the 2016 to 2020 fiscal year which has not been audited by the Directorate General of Taxes.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT

BRI's business activities are always faced with risks related to its function as a financial intermediary institution. Rapid development in the external and internal environments of banks also leads to increasingly complex business risks. Therefore, in order to be able to adapt in the business environment, BRI is required to manage risks in an integrated and systematic way, namely management of credit risk, liquidity risk, operational risk, market risk, strategic risk, compliance risk, reputation risk, and legal risk.

The principles of having an integrated and systematic risk management by BRI are embedded into a number of policies and procedures, among others, the Risk Management General Policy (KMR) which serves as the highest guiding policy for the implementation of risk management procedures in all BRI business operations, starting from general policies, strategies, organisation, risk management in information system, process and the implementation of risk management to internal control system. The implementation of risk management differs according to the type of risks involved and is governed by policies which can be derived from other policies.

Board of Commissioners (BOC) and Board of Directors (BOD) are responsible for effectiveness of risk management at BRI and have an important role in supporting and overseeing the implementation of risk management in all business units.

BOC evaluates the risk management policies and implementation carried out by the BOD. Evaluation is carried out in order to ensure that BOD manages BRI's activities and risk effectively. In carrying out its active supervision, BOC was assisted by the Risk Management Oversight Committee (KPMR).

BOD sets the strategy, direction and implementation of risk management policy. Moreover, BOD has the responsibility to ensure that all material risks and their impacts have been addressed and that corrective measures have been taken to remedy the problems and irregularities found in BRI's business activities. BOD appoints Director of Risk Management to implement the process of monitoring and controlling the risks bank-wide.

BOD is assisted by individual Risk Management Committee (RMC) and integrated RMC (consolidated with the subsidiaries) as the committee in BRI's risk management system which are assigned to provide recommendations to the President Director in formulating policies, enhancing policy implementation and evaluating the development and conditions of risk profiles as well as providing advises corrective actions.

Credit risk is the risk due to failure of the debtor and/or other parties to fulfill obligations to BRI, including settlement failure, BRI identifies and measures the risk level of potential borrowers through the development of an Internal Risk Rating, BRI monitors credit quality as part of early identification of credit deterioration, Management Credit risk is carried out through comprehensive and integrated risk management policies, BRI formulates credit Risk Management policies including governance, limit management on acceptable risk exposure limits, limit management on geographic boundaries, and concentration limit management per industry, Credit risk ratings are updated regularly periodically to estimate potential loss as a risk due to credit expansion and determine follow-up improvements.

In addition to complying with applicable regulations, the implementation of credit risk management is also a must in order to implement a credit risk management system at an optimum level of risk and return and in accordance with banking practices. The application of credit risk management is expected to be able to encourage BRI's business activities but still pay attention the precautionary principle.

Loan granting carried out by the business units has considered and paid attention to credit risk, from the time of loan disbursement to repayment. The loan ratings are monitored periodically to prevent the occurrence of Non-Performing Loan (NPL).

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Credit Risk Management

Through the implementation of Early Warning System (EWS) to the debtor's developments of the debtor's business condition, the effective credit risk management can minimize the risk of losses and optimize the use of capital to earn maximum income.

BRI's credit risk management is intended to minimize the possible losses due to loans default and/or default on other financial contracts, either at the individual level or overall level as credit portfolios. The credit risk management is also carried out by BRI as an effort to fulfill the regulatory requirements.

BRI continues to improve its credit risk assessment methodology in order to improve the accuracy of credit risk management, especially in the process of identifying, measuring, monitoring and controlling risks.

1. Analysis of the maximum exposure to credit risks after considering the value of collaterals and other mitigations of credit risks.

The carrying value of BRI's financial assets, other than loans and securities purchased under agreement to resell depicts the maximum amount of exposure to credit risk.

The tables below show the net maximum exposure to credit risk for securities purchased under the under agreement to resell As of December 31, 2021 and 2020:

December 31, 2021			
	Maximum Exposure	Collateral	Net Exposure
Securities purchased under agreement to resell	54,915,498	54,883,360	32,138

December 31, 2020			
	Maximum Exposure	Collateral	Net Exposure
Securities purchased under agreement to resell	46,818,568	46,756,681	61,887

BRI uses collaterals to minimise the credit risks of credits issued. BRI credits or loans can be classified into 2 (two) major categories:

1. Secured loans
2. Unsecured loans

For secured loans, BRI sets the type and collateral value guaranteed according to the credit scheme. The types of collateral consist of:

- a. Physical collateral, in the form of land and buildings, Certificate of Vehicles Ownership (BPKB) and properties.
- b. Financial collateral, in the form of deposits (time deposits, saving deposits and current accounts), securities and gold.
- c. Others, in the form of guarantees, government guarantees and guarantor institutions

In the event of default, however, BRI uses collaterals as the last resort to fulfill counterparty's credit obligations.

Unsecured loans are comprised of fully unsecured loans such as credit cards and partially secured loans such as loans for fixed income employees, loans for retirees, and other consumer loans. The repayment of partially secured loans is generally made through automatic payroll deduction.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Credit Risk Management (continued)

1. Analysis of the maximum exposure to credit risks after considering the value of collaterals and other mitigations of credit risks. (continued)

Thus, although partially secured loans are considered to be unsecured loans, their risk level is lower than their carrying value whereas the risk level of fully unsecured loan is equal to their carrying value.

Credit risk mitigation for partially secured loans consist of employee appointment decision letter and certificate of retirement.

2. Risk Concentration Analysis

a. Geographical Sectors

Tables below details the credit risk exposure of consolidated BRI's financial assets at carrying value, categorized according to their geographical regions as of December 31, 2021 and 2020. Geographical area category based on the operational location of BRI's business which also describes the business potential of each area:

December 31, 2021								
	Jakarta	West Java	Central Java and DIY	East Java	Sumatera	Central Indonesia and East	Others	Total
Assets								
Current Account								
With Bank Indonesia	56,426,573	-	-	-	-	-	-	56,426,573
Current Account in Other Bank	8,683,018	-	1	3	15	7,174	5,374,886	14,065,097
Placement in Other Bank								
And Other Financial Institution	51,423,589	184,818	-	83,502	3,000	9,500	7,278,433	58,982,842
Securities								
Fair Value Through Profit or Loss	19,001,253	-	-	-	-	-	-	19,001,253
Fair Value Through Other Comprehensive Income	187,872,269	-	-	-	-	-	13,654,100	201,526,369
Amortized cost	150,473,482	-	-	-	-	-	1,047,544	151,521,026
Export Bills and Note Receivables	22,752,541	287,404	76,934	819,892	1,965,984	442,385	3,319,085	29,664,225
Securities purchased under agreement to resell	54,915,498	-	-	-	-	-	-	54,915,498
Derivative receivables	730,083	-	-	-	-	-	-	730,083
Loans								
Micro	35,431,923	46,770,918	74,755,587	64,725,674	84,884,299	130,341,576	-	436,909,977
Ritel	94,193,213	27,591,617	43,207,273	50,562,763	61,705,392	111,216,887	759,364	389,236,509
Corporate	121,573,725	10,773,528	2,581,293	5,254,105	11,131,092	5,731,822	11,224,472	168,270,037
Sharia receivables and financing	1,375,909	790,445	631,780	1,711,083	1,811,533	2,838,751	-	9,159,501
Finance receivables	2,958,929	9,388,240	4,645,217	7,109,769	9,246,196	5,943,078	-	39,291,429
Acceptance receivables	7,957,280	691,777	6,860	822,467	34,994	40,860	-	9,554,238
Investment in associated entities*)	1,546,184	-	-	-	-	-	-	1,546,184
Other assets**)	12,432,776	1,236,165	274,103	327,180	502,384	1,021,808	258,211	16,052,627
Total	829,748,245	97,714,912	126,179,048	131,416,438	171,284,889	257,593,841	42,916,095	1,656,853,468
Less allowance for impairment losses								(89,806,374)
Net								1,567,047,094
Administrative Accounts								
Irrevocable L/C	4,172,199	2,924,471	4,511	385,959	1,720,885	479,772	-	9,687,797
Guarantees issued	41,464,449	3,234,175	765,241	1,439,379	1,597,680	3,351,687	-	51,852,611
Total	45,636,648	6,158,646	769,752	1,825,338	3,318,565	3,831,459	-	61,540,408
Less allowance for impairment Losses								(3,729,347)
Net								51,811,061

*) Investment in associated entities with no significant influence

**) Other assets consist of interest receivables, other receivables, and accrued income based on sharia principles

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Credit Risk Management (continued)

2. Risk Concentration Analysis (continued)

a. Geographical Sectors (continued)

Tables below details the credit risk exposure of consolidated BRI's financial assets at carrying value, categorized according to their geographical regions as of December 31, 2021 and 2020. Geographical area category based on the operational location of BRI's business which also describes the business potential of each area (continued):

	December 31, 2020							
	Jakarta	West Java	Central Java and DIY	East Java	Sumatera	Central Indonesia and East	Others	Total
Assets								
Current accounts								
with Bank Indonesia	51,530,969	-	-	-	-	-	-	51,530,969
Current accounts								
with other banks	11,264,040	8,081	8,425	13,372	10,271	23,035	937,042	12,266,266
Placements with Bank Indonesia and other financial institutions	67,814,640	17,900	1,835	1,356	3,100	9,075	3,500	67,851,406
Securities								
Fair value through profit or loss	28,165,784	-	-	-	-	-	-	28,165,784
Fair value through other comprehensive income	177,026,188	-	-	-	-	-	11,913,977	188,940,165
Amortized cost	107,475,833	-	-	-	-	-	2,723,837	110,199,670
Export Bills and notes receivables	21,887,866	825,026	217,788	921,541	1,407,817	2,218,397	94,569	27,573,004
Securities purchased under agreement to resell	46,818,568	-	-	-	-	-	-	46,818,568
Derivative receivables	1,576,659	-	-	-	-	-	-	1,576,659
Loan								
Micro	31,514,428	40,105,038	65,018,922	55,095,200	72,687,882	118,576,537	-	382,998,007
Retail	107,127,424	27,695,572	41,829,294	48,089,485	60,350,970	109,528,928	957,586	395,579,259
Corporate	118,766,721	10,103,872	3,436,499	5,152,959	12,931,601	4,355,262	10,463,454	165,210,368
Sharia receivables and financing	19,227,804	3,852,646	2,675,118	3,320,262	15,055,087	4,934,561	-	49,065,478
Finance receivables	5,411,740	2,722,696	1,322,993	6,847,520	8,518,721	2,516,186	-	27,339,856
Acceptance receivables	5,724,790	537,162	77,519	252,610	225,355	-	-	6,817,436
Investment in associated entites*)	1,045,044	-	-	-	-	-	-	1,045,044
Other assets**)	10,296,454	49,513	37,687	59,098	143,016	69,487	15,546,836	26,202,091
Total	812,674,952	85,917,506	114,626,080	119,753,403	171,333,820	242,233,468	42,640,801	1,589,180,030
Less allowance for impairment losses								(72,727,957)
Net								1,516,452,073
Irrevocable L/C	3,980,956	2,784,047	1,063	662,244	1,459,418	86,462	-	8,974,190
Guarantees issued	35,346,682	2,343,702	789,155	1,034,316	2,006,160	3,164,481	-	44,684,496
Total	39,327,638	5,127,749	790,218	1,696,560	3,465,578	3,250,943	-	53,658,686
Less allowance for impairment losses								(1,783,876)
Net								51,874,810

*) Investment in associated entities with no significant influence

**) Other assets consist of interest receivables, other receivables, and accrued income based on sharia principles

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Credit Risk Management (continued)

2. Risk Concentration Analysis (continued)

b. Industrial Sector

Tables below detail the credit risk exposure at carrying value, categorized according to their industrial sector as of December 31, 2021 and 2020:

	December 31, 2021						
	Government (Including BI)	Banks and Other Financial Institutions	Agriculture	Industry	Trading, hotels and Restaurant	Business Service	Others
							Total
Assets							
Current accounts							
with Bank Indonesia	56,426,573	-	-	-	-	-	56,426,573
Current accounts							
with other banks	-	14,065,097	-	-	-	-	14,065,097
Placements with Bank Indonesia							
and other financial institutions	47,373,399	11,609,443	-	-	-	-	58,982,842
Securities							
Fair value through profit or loss	10,311,218	8,407,365	-	114,228	-	13,698	19,001,253
Fair value through other							
comprehensive income	176,367,288	15,744,561	-	7,930,270	-	1,134,317	201,526,369
Amortized cost	129,288,448	21,129,402	11,000	137,867	-	853,570	151,521,026
Export Bills and							
notes receivable	91,227	-	-	6,868,457	5,839,289	3,877,342	29,664,225
Securities purchased under							
agreement to resell	54,915,498	-	-	-	-	-	54,915,498
Derivative receivables	-	730,083	-	-	-	-	730,083
Loan							
Micro	-	-	86,892,871	34,793,779	185,695,673	32,230,818	436,909,977
Retail	-	316,166	22,438,337	14,229,043	139,605,072	12,294,419	389,236,509
Corporate	41,398	-	25,676,061	44,844,784	12,488,852	13,543,001	168,270,037
Sharia receivables and financing	-	-	750,680	183,424	2,714,029	16,732	9,159,501
Finance receivables	-	206,410	4,983,168	2,553,718	21,943,570	3,567,818	39,291,429
Acceptance Receivables	3,759,799	-	-	710,089	26,962	2,391	9,554,238
Investment in associated entities*)	-	13,959	-	-	-	-	1,546,184
Other assets**)	3,870,720	122,824	-	1,215,605	460	162,508	16,052,627
Total	482,445,568	72,345,310	140,752,117	113,581,264	368,313,907	67,696,614	1,656,853,468
Less allowance for impairment losses							(89,806,374)
Net							1,567,047,094
Administrative Accounts							
Irrevocable L/C	-	-	93,202	1,840,031	-	2,691,756	9,687,797
Guarantees issued	-	-	571,599	19,595,096	279,028	5,374,610	51,852,611
Total	-	-	664,801	21,435,127	279,028	8,066,366	61,540,408
Less allowance for impairment losses							(3,729,347)
Net							57,811,061

*) Investment in associated entities with no significant influence

**) Other assets consist of interest receivables, other receivables, and accrued income based on sharia principles

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Credit Risk Management (continued)

2. Risk Concentration Analysis (continued)

b. Industrial Sector (continued)

Tables below detail the credit risk exposure at carrying value, categorized according to their industrial sector as of December 31, 2021 and 2020 (continued):

	December 31, 2020						
	Government (Including BI)	Banks and Other Financial Institutions	Agriculture	Industry	Trading, hotels and Restaurant	Business Service	Others
Assets							
Current accounts							
with Bank Indonesia	51,530,969	-	-	-	-	-	51,530,969
Current accounts							
with other banks	-	12,266,266	-	-	-	-	12,266,266
Placements with Bank Indonesia							
and other financial institutions	55,983,929	11,867,477	-	-	-	-	67,851,406
Securities							
Fair value through profit or loss	18,575,636	9,070,673	-	60,078	-	119,645	28,165,784
Fair value through other							
comprehensive income	171,197,849	10,369,235	-	517,953	-	2,940,380	188,940,165
Amortized cost	105,100,849	3,40,156	11,000	75,000	-	990,298	110,199,670
Export Bills and							
notes receivable	1,782,970	-	55,250	12,940,357	212,171	887,213	27,573,004
Securities purchased under							
agreement to resell	46,818,568	-	-	-	-	-	46,818,568
Derivative receivables	-	1,576,659	-	-	-	-	1,576,659
Loan							
Micro	-	-	67,760,520	27,911,865	162,511,654	27,141,062	382,998,007
Retail	-	420,250	25,575,487	21,572,504	136,762,746	12,361,178	395,579,259
Corporate	82,797	-	31,054,552	36,570,772	11,290,133	9,589,700	76,622,414
Sharia receivables and financing	-	75,180	3,770,249	5,453,591	10,182,701	3,580,982	26,002,775
Finance receivables	-	227,270	68,387	583,887	555,131	379,753	25,525,428
Acceptance receivables	1,659,002	-	-	65,401	1,017	20,000	5,072,016
Investment in associated entities*)	-	14,179	-	-	-	-	1,035,865
Other assets**)	3,349,799	109,055	-	1,071,776	-	156,882	26,202,091
Total	456,082,368	49,336,400	128,295,445	106,823,184	321,515,553	58,167,093	1,589,180,030
Less allowance for impairment losses							(72,727,957)
Total							1,516,452,073
Administrative Accounts							
Irrevocable L/C	4,611,858	-	-	170,961	3,869	1,379	8,974,190
Guarantees issued	17,144,401	284	563,200	1,570,424	305,548	131,872	44,684,496
Total	21,756,259	284	563,200	1,741,385	309,417	133,251	53,658,686
Less allowance for impairment losses							(1,783,876)
Total							51,874,810

*) Investment in associated entities with no significant influence

**) Other assets consist of interest receivables, other receivables, and accrued income based on sharia principles

3. Impairment of financial assets as of December 31, 2021 and 2020

a. Current accounts with other banks

As of December 31, 2021 and 2020, this financial asset is collectively impaired.

b. Placements with Bank Indonesia and other financial institutions

As of December 31, 2021 and 2020, this financial asset is collectively impaired.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Credit Risk Management (continued)

3. Impairment of financial assets as of December 31, 2021 and 2020 (continued)

c. Securities

As of December 31, 2021 and 2020, all marketable securities were classified as "Current", except for Bond I Year 2003 issued by PT Great River International Tbk which were classified as "Loss" owned by BRI Life (a subsidiary), where the bonds matured on October 13, 2008 amounting to Rp758.

d. Finance receivables

As of December 31, 2021 and 2020, this financial asset is impaired as follows:

	December 31, 2021	December 31, 2020
Impaired	280,479	188,226
Past due but not impaired	351,132	109,595
Neither past due not impaired	38,659,818	27,042,035
	39,291,429	27,339,856
Less allowance for impairment losses	(1,584,776)	(1,002,307)
Total	37,706,653	26,337,549

e. Loan, sharia receivables and financing

As of December 31, 2021 and 2020, this financial asset is impaired individually or collectively with the following details:

	December 31, 2021				
	Neither Past due not impaired		Past due but not Impaired	Impaired*)	Total
	High Grade	Standard Grade			
<u>Rupiah</u>					
Trading, hotels and restaurant	212,102,157	96,349,514	13,113,785	12,874,778	334,440,234
Agriculture	92,242,617	15,138,134	2,416,698	15,973,391	125,770,840
Manufacturing	45,837,431	10,109,279	1,620,870	7,364,150	64,931,730
Business services	31,843,867	10,613,701	1,578,035	5,029,465	49,065,068
Construction	18,184,733	2,091,511	413,485	8,702,482	29,392,211
Transportation, warehousing and communication	8,563,903	3,518,489	413,173	6,854,314	19,349,879
Electricity, gas and water	15,231,219	278,509	32,748	849,026	16,391,502
Social Service	3,874,112	1,556,353	165,231	556,635	6,152,331
Mining	1,704,984	492,039	67,266	647,104	2,911,393
Others	216,451,777	45,017,770	5,772,421	3,331,645	270,573,613
	646,036,800	185,165,299	25,593,712	62,182,990	918,978,801

*) Including all loans analyzed individually

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Credit Risk Management (continued)

3. Impairment of financial assets as of December 31, 2021 and 2020 (continued)

e. Loan, sharia receivables and financing (continued)

As of December 31, 2021 and 2020, this financial asset is impaired individually or collectively with the following details (continued):

	December 31, 2021				
	Neither Past due not impaired		Past due but not impaired	Impaired*)	Total
	High Grade	Standard Grade			
<u>Foreign currency</u>					
Manufacturing	21,159,353	11,722	113,898	7,897,203	29,182,176
Electricity, gas and water	17,367,641	-	-	1,804,875	19,172,516
Agriculture	8,134,471	-	-	1,854,251	9,988,722
Business servicers	4,757,643	6,579	122,017	4,259,690	9,145,929
Trading, hotels and restaurant	5,981,621	1,596	2,072	198,537	6,183,826
Mining	2,890,675	1,542	-	2,342,786	5,235,003
Construction	3,526,194	1,710	-	382	3,528,286
Social Service	718,146	-	-	-	718,146
Transportation, warehousing and communication	484,667	1,460	-	170,633	656,760
Others	780,154	-	2,073	3,632	785,859
	65,800,565	24,609	240,060	18,531,989	84,597,223
Total	711,837,365	185,189,908	25,833,772	80,714,979	1,003,576,024
Less allowance for Impairment losses					(86,244,641)
Net					917,331,383

	December 31, 2020				
	Neither Past due not impaired		Past due but not impaired	Impaired*)	Total
	High Grade	Standard Grade			
<u>Rupiah</u>					
Trading, hotels and restaurant	162,562,544	119,360,695	10,366,570	14,347,732	306,637,541
Agriculture	72,477,264	19,898,349	2,140,713	16,879,041	111,395,367
Business servicers	36,350,885	12,579,423	981,749	6,381,114	56,293,171
Manufacturing	25,125,220	13,763,822	1,167,364	3,499,094	43,555,500
Electricity, gas and water	24,767,747	2,165,270	222,803	7,818,564	34,974,384
Construction	19,253,751	347,724	32,316	953,316	20,587,107
Transportation, warehousing and communication	10,325,974	4,388,777	347,843	3,676,821	18,739,415
Social Service	3,226,453	2,083,024	177,585	543,874	6,030,936
Mining	1,374,467	511,014	56,470	917,541	2,859,492
Others	209,319,560	43,648,564	5,866,395	3,465,452	262,299,971
	564,783,865	218,746,662	21,359,808	58,482,549	863,372,884

*) Including all loans analyzed individually

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Credit Risk Management (continued)

3. Impairment of financial assets as of December 31, 2021 and 2020 (continued)

e. Loan, sharia receivables and financing (continued)

As of December 31, 2021 and 2020, this financial asset is impaired individually or collectively with the following details (continued):

	December 31, 2020				
	Neither Past due not impaired		Past due but not Impaired	Impaired*)	Total
	High Grade	Standard Grade			
<u>Foreign Currency</u>					
Manufacturing	22,395,818	21,365	12,360	7,441,701	29,871,244
Electricity, gas and water	13,948,658	-	-	1,991,101	15,939,759
Agriculture	10,992,105	-	-	2,003,688	12,995,793
Business services	5,697,699	-	-	7,471	5,705,170
Mining	2,356,956	2,402	-	2,580,731	4,940,089
Trading, hotels and restaurant	3,820,819	6,227	14,442	237,085	4,078,573
Construction	3,669,656	1,686	-	2,138	3,673,480
Social services	1,462,131	-	-	-	1,462,131
Transportation, warehousing and communication	717,064	29,551	-	140,500	887,115
Others	845,355	-	11,889	4,152	861,396
	65,906,261	61,231	38,691	14,408,567	80,414,750
Total	630,690,126	218,807,893	21,398,499	72,891,116	943,787,634
Less allowance for impairment losses					(66,614,491)
Total					877,173,143

*) Including all loans analyzed individually

f. Export Bills and notes receivables

As of December 31, 2021 and 2020 this financial asset was impaired both individually and collectively.

g. Acceptance receivable

As of December 31, 2021 and 2020, this financial asset was impaired both individually and collectively.

h. Securities purchased under agreement to resell

As of December 31, 2021 and 2020, this financial asset is neither individually nor collectively impaired.

i. Other assets

As of December 31, 2021 and 2020, this financial asset is individually impaired.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Credit Risk Management (continued)

3. Impairment of financial assets as of December 31, 2021 and 2020 (continued)

j. Administrative accounts

As of December 31, 2021 and 2020, these administrative accounts were impaired as follows:

	December 31, 2021	December 31, 2020
<u>Rupiah</u>		
Guarantees issued	27,284,044	24,042,584
Irrevocable L/C	2,417,124	2,593,497
	<u>29,701,168</u>	<u>26,636,081</u>
<u>Foreign Currency</u>		
Guarantees issued	24,568,567	20,641,912
Irrevocable L/C	7,270,673	6,380,693
	<u>31,839,240</u>	<u>27,022,605</u>
	61,540,408	53,658,686
Less allowance for impairment losses	(3,729,347)	(1,783,876)
Total	<u>54,811,061</u>	<u>51,874,810</u>

4. Quality of financial assets

The following tables show the quality of financial assets by class for all financial assets with credit risk, amounts presented at gross.

	December 31, 2021				
	Neither Past due not impaired		Past due but not impaired	Impaired	Total
	High Grade	Standard Grade			
<u>Assets</u>					
Current Account with Bank Indonesia	56,426,573	-	-	-	56,426,573
Current Account with other bank	13,493,391	571,706	-	-	14,065,097
Placement with Bank Indonesia and other financial institutions	58,982,842	-	-	-	58,982,842
Securities					
Fair value through profit or loss	18,832,007	169,246	-	-	19,001,253
Fair value through other Comprehensive income	197,493,082	4,033,287	-	-	201,526,369
Amortized cost	151,188,845	332,181	-	-	151,521,026
Export Bills and receivables	29,664,225	-	-	-	29,664,225
Securities under purchase					
Agreement to resell	54,915,498	-	-	-	54,915,498
Derivative receivables	730,083	-	-	-	730,083
Loans					
Micro	350,360,301	66,793,149	13,335,390	6,421,137	436,909,977
Ritel	247,184,077	110,346,999	11,471,523	20,233,910	389,236,509
Corporate	144,292,988	-	235,913	53,741,137	168,270,037
Sharia receivable and financing	-	8,049,760	790,946	318,795	9,159,501
Finance receivables	37,705,011	954,807	351,132	280,479	39,291,429
Acceptance receivables	9,554,238	-	-	-	9,554,238
Investment in associate*)	1,546,184	-	-	-	1,546,184
Others Assets**)	10,322,681	5,729,946	-	-	16,052,627
Total	<u>1,352,692,025</u>	<u>196,981,081</u>	<u>26,184,904</u>	<u>80,955,458</u>	<u>1,656,853,468</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Credit Risk Management (continued)

4. Quality of financial assets (continued)

The following tables show the quality of financial assets by class for all financial assets with credit risk, amounts presented at gross. (continued)

	December 31, 2020				
	Neither Past due not impaired		Past due but not impaired	Impaired***)	Total
	High Grade	Standard Grade			
Assets					
Current Account with Bank Indonesia	51,530,969	-	-	-	51,530,969
Current Account with other bank	11,853,100	413,166	-	-	12,266,266
Placement with Bank Indonesia and other financial institutions	67,851,406	-	-	-	67,851,406
Securities					
Fair value through profit or loss	28,014,345	151,439	-	-	28,165,784
Fair value through other Comprehensive income	188,940,165	-	-	-	188,940,165
Amortized cost	109,707,669	491,243	-	758	110,199,670
Export Bills and receivables	27,573,004	-	-	-	27,573,004
Securities under purchased Agreement to resell	46,818,568	-	-	-	46,818,568
Derivatif receivables	1,576,659	-	-	-	1,576,659
Loans					
Micro	274,708,957	90,290,107	10,679,068	3,319,875	382,998,007
Ritel	234,971,081	124,308,220	10,719,431	25,580,527	395,579,259
Corporate	121,010,086	209,567	-	43,990,715	165,210,368
Sharia receivable and financing	39,048,965	7,442,946	1,379,218	1,194,349	49,065,478
Finance receivables	26,038,322	1,003,713	109,595	188,226	27,339,856
Acceptance receivables	6,817,436	-	-	-	6,817,436
Investment in associate*)	1,045,044	-	-	-	1,045,044
Others Assets**)	24,558,172	1,643,919	-	-	26,202,091
Total	1,262,063,948	229,954,320	22,887,312	74,274,450	1,589,180,030

*) Investment in associated entities with no significant influence.

**) Other assets consist of interest receivables, other receivables, and accrued income based on sharia principles.

***) Including all loans analyzed individually.

Credit quality is defined as follows:

1. High Grade

- a) Current accounts with Bank Indonesia, current accounts with other banks, placements with Bank Indonesia and other financial institutions are current accounts or placements in Government institutions and transactions with banks listed in the Stock Exchange.
- b) Loan and sharia receivables and financing, are loans to third parties receivables that are neither past due nor impaired, and have never been restructured.
- c) Export bills and notes receivable as well as acceptances receivable, are third party receivables that are not past due, and have strong financial capacity in terms of repaying all obligations in a timely manner.
- d) Securities and Government bonds are securities issued by Government, investment grade securities and bonds with a rating of at least idA- (Pefindo), A- (Fitch), A- (Standard & Poor's), or A3 (Moody's).
- e) Investment in associated entities, are investments in entities listed in Stock Exchange which have an overall good performance level.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Credit Risk Management (continued)

4. Quality of financial assets (continued)

Credit quality is defined as follows (continued):

2. Standard Grade

- a) Current accounts with other banks, placements with Bank Indonesia and other financial institutions are current accounts or placements with banks not listed in Stock Exchange.
- b) Loan and sharia receivables and financing, are loans to third parties that are neither past due nor impaired, but have been restructured.
- c) Export bills and notes receivable as well as acceptances receivable, are third party receivables that are not past due and have adequate financial capacity in terms of repaying all obligations in a timely manner.
- d) Securities and Government Bonds are securities and bonds with a rating between idBBB+ and idBBB- (Pefindo), BBB+ and BBB- (Fitch), BBB+ and BBB- (Standard & Poor's) or Baa1 and Baa3 (Moody's).
- e) Investment in associated entities, are investment in entities which are not listed in stock exchange which have an overall good performance level.

Credit Quality Analysis

Measurement of Expected Credit Losses

a. Significant Increase on Credit Risk

When determining whether the risk of default on financial instruments has increased significantly since initial recognition, the Bank considers reasonable and supportable, relevant information that is available without excessive costs or efforts. This includes quantitative and qualitative information and analysis, based on historical experience and credit expert judgment and including forward-looking estimates.

The purpose of this assessment is to identify whether a significant increase in credit risk of exposure has occurred by comparing:

- 1. Probability of default (PD) for the remaining age at the reporting date; with
- 2. Probability of default (PD) for the estimated remaining age at initial recognition of the exposure (if relevant, adjusted for changes in expectations of prepayment).

The Bank also uses the following criteria in determining whether a significant increase in credit risk over exposure has occurred:

- 1. Quantitative testing based on changes in the probability of default (PD)
- 2. Qualitative indicators
- 3. Overdue for 30 days.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Credit Risk Management (continued)

4. Quality of financial assets (continued)

Credit Quality Analysis (continued)

Measurement of Expected Credit Losses (continued)

b. Credit Risk Grades

The Bank allocates each exposure to credit risk grades based on a variety of data that is determined to predict the risk of default and apply credit experience. Credit risk grades are determined using qualitative and quantitative factors that can indicate the risk of default. These factors vary depending on the nature of the exposure and the type of borrower.

Credit risk grades are determined and calibrated in such a way that the risk of default is increasing exponentially as credit risk decreases, for example, the difference between credit risk rating grades 1 and 2 is smaller than the difference between credit rating grades 2 and 3.

Each exposure is allocated to credit risk grades at initial recognition based on available information about the borrower. This exposure is monitored on an ongoing basis, and can result in the exposure being transferred to different credit risk grades. Monitoring usually uses the following data: financial statements, use of credit facilities, estimates of economic conditions.

c. Determination of Probability of Default Structure

Credit risk grades are the main input in determining the PD term structure of the exposure. The Bank collects performance and default information about credit risk exposures, which are analyzed by jurisdiction or region and by product and borrower type and credit risk assessment. For some portfolios, information purchased from external credit assessors is also used.

The Bank uses a statistical model to analyze the data collected and produce an estimate of the probability of default (PD) for the remaining life and how this is expected to change as a result of the passage of time.

This analysis includes the identification and calibration of the relationship between changes in default rates and changes in key macroeconomic factors as well as an in-depth analysis of the impact of certain other factors (e.g. restructuring) on the risk of default. For most exposures, the main macroeconomic indicators include: Gross Domestic Product (GDP) growth, benchmark interest rates, and the unemployment rate. For exposures in certain industries and/or regions, the analysis can include commodity prices and/or relevant property prices.

d. Determination of Significant Increase in Credit Risk

Criteria for determining whether credit risk has increased significantly varies for each portfolio and includes quantitative changes in PD and qualitative factors, including determination based on arrears day status.

Credit risk from certain exposures is considered to have increased significantly since initial recognition if, based on the Bank's quantitative modeling, the probability of default (PD) for the remaining life has increased significantly.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Credit Risk Management (continued)

4. Quality of financial assets (continued)

Credit Quality Analysis (continued)

Measurement of Expected Credit Losses (continued)

d. Determination of Significant Increase in Credit Risk (continued)

The Bank can also use the judgment of credit analysts and, if possible, relevant historical experience, in determining that exposure may have experienced a significant increase in credit risk based on certain qualitative indicators that are considered to indicate this and their effects may not be fully reflected in quantitative analysis in a comprehensive manner on time.

The Bank determines that a significant increase in credit risk has not occurred if it is still less than 30 days in arrears. Arrears days are determined by calculating the number of days from the initial due date where full payment has not been received. The due date is determined without considering the grace period that might be available to the borrower.

The Bank monitors the effectiveness of the criteria used in identifying significant increases in credit risk by periodic review.

e. Modification of Financial Assets

The contractual terms of the loan can be modified for several reasons, including changes in market conditions, customer retention and other factors not related to the current credit decline. Loan with modified contractual terms can cause the initial loan to be derecognized and the loan as a result of the modification is recognized as a new loan at fair value.

When the contractual terms of the loan are modified and do not result in termination of recognition, determining the occurrence of a significant increase in credit risk is done by comparing:

- Remaining PD for life at reporting date based on modified provisions; with
- Remaining PD throughout the estimated age based on data at initial recognition and initial contractual provisions.

f. Definition of Default

The Group considers financial assets as default when:

- The debtor is unlikely to pay its credit obligations to the full, without recourse from the business group; or
- The debtor has more than 90 days past due for any material credit obligations to the business group.

In assessing whether a debtor is in default, the Group considers the following indicators:

- Qualitative - such as violations of the terms of the covenants;
- Quantitative - such as arrears status; and
- Based on data developed internally and obtained from external sources.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Credit Risk Management (continued)

4. Quality of financial assets (continued)

Credit Quality Analysis (continued)

Inputs, Assumptions, and Techniques used in estimating impairment

a. Use of forward-looking information

The Bank uses forward-looking information in assessing whether there has been a significant increase in credit risk and in measuring expected credit losses. Based on suggestions from the Risk Management Committee, economic experts and consideration of various actual and external forecast information, the Bank formulates a base case on the movement of relevant economic variables in the future as well as estimates of other possible scenarios. This process involves developing two or more additional economic scenarios and considering the relative probability of the possible outputs. External information includes economic data and forecasts published by, such as government agencies and selected private sector analysts and academics.

The base case reflects the output with the highest probability and is used in strategic planning and budgeting. The other scenario reflects a more optimistic output and a more pessimistic outcome.

The economic scenario is formulated using the following main indicator ranges:

	2020	2021
GDP Growth	baseline -0.89% Ranges from -1.21 to -0.59%	baseline 4.58% Ranges from 3.98 to 5.18%
Consumption Rate	baseline 1.97% Ranges from -1.38 to 2.87%	baseline 5.48% Ranges from 1.12 to 5.67%
Investment rate	baseline 6.71% Ranges from 0.97 to 7.17%	baseline 6.83% Ranges from 0.95 to 7.25%

b. Measurement of Expected Credit Losses

The main inputs in measuring expected credit losses are the following variables:

- Probability of Default (PD)
- Loss of Given Default (LGD)
- Exposure at Default (EAD)

These parameters generally come from internally developed statistical models and other historical data. This parameter is adjusted to reflect forward-looking information.

PD estimation is an estimate at a specific date, which is calculated based on a statistical ranking model, and is assessed using a rating adjusted for various categories of debtors and exposures. This statistical model is based on internally compiled data consisting of quantitative and qualitative factors.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Credit Risk Management (continued)

4. Quality of financial assets (continued)

Credit Quality Analysis (continued)

Inputs, Assumptions, and Techniques used in estimating impairment (continued)

b. Measurement of Expected Credit Losses (continued)

LGD is the amount of loss in the event of default. The LGD parameter is estimated historically based on the rate of recovery of claims against defaulters. The LGD model takes into account the structure, guarantees, seniority of claims, the debtor's industry, and the cost of recovery of each guarantee that is an integral part of a financial asset.

EAD represents the estimated exposure in the event of default. The EAD of a financial asset is the gross carrying amount. For loan commitments and financial guarantees, EAD includes the amount that has been drawn, as well as the potential future amount to be withdrawn, which is estimated based on historical observations and forward-looking estimates.

When parameter modeling is carried out collectively, financial instruments are grouped based on common risk characteristics which include:

- Type of instrument;
- Credit risk rating;
- Collateral type;
- Initial recognition date;
- Remaining time due.

5. Based on SFAS 60, past due financial assets are determined when a debtor fails to make payments on schedule. The following table shows the aging analysis of loans, receivables and sharia financing, and finance receivables that are past due but not impaired.

December 31, 2021				
	≤ 30 days	> 30 - 60 days	> 60 - 90 days	Total
Loans				
Micro	5,316,118	3,414,742	4,604,530	13,335,390
Ritel	5,854,507	2,935,287	2,681,729	11,471,523
Corporate	235,913	-	-	235,913
Sharia receivables and financing	222,493	80,127	488,326	790,946
Finance receivables	309,788	30,742	10,602	351,132
Total	11,938,819	6,460,898	7,785,187	26,184,904
December 31, 2020				
	≤ 30 days	> 30 - 60 days	> 60 - 90 days	Total
Loan				
Micro	4,813,047	2,629,162	3,236,859	10,679,068
Retail	5,972,110	2,707,394	2,039,927	10,719,431
Sharia receivables and financing	912,213	264,890	202,115	1,379,218
Finance receivables	41,123	56,141	12,331	109,595
Total	11,738,493	5,657,587	5,491,232	22,887,312

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Liquidity Risk Management

Liquidity Risk is a risk of the BRI's inability to meet the maturity obligations of cash flow fund sources and/or of high quality liquid assets that can be mortgaged so as not to interfere with the activities and financial condition of the BRI.

BRI manages liquidity risks in order to meet every financial liability that has been agreed upon in a timely manner and to maintain adequate and optimal liquidity level.

In order to support liquidity management, BRI put in place Policy and Guidelines for the Implementation of Liquidity Risk Management (*Pedoman Pelaksanaan Penerapan Manajemen Risiko Likuiditas*/"PPPMRL") which encompasses liquidity management, projected cash flows, maturity gap, net stable funding ratio and liquidity coverage ratio, the adequacy policies and guidelines for determination of liquidity risk limit, liquidity risk stress test, contingency funding plan, and information system of liquidity risk. The purpose of this policy is to ensure that BRI has sufficient daily liquidity risk management in fulfilling its obligations in normal or crisis conditions in a timely manner from various available sources to ensure the availability of high quality liquid assets, and having a healthy and sustainable structure of deposits from customer.

BRI also stimulates stress testing on a quarterly basis which is submitted to the Board of Commissioners and Directors through Risk Management Committee (RMC). The purpose of stress testing is to measure the resistance or ability to meet liquidity and capital adequacy during crisis (stress). Moreover, stress test is also used as reference for developing or improving emergency funding plans (contingency plan) and liquidity risk limits.

Analysis of Asset and Liability According to Remaining Contractual Maturity

Potential liquidity risks which BRI will encounter in the future are measured through Liquidity Gap Analysis which projects the mismatch of liquidity based on the maturity of assets and liabilities, after taking into account the business expansion needs. This information is also considered when planning and managing liquidity, including business expansion needs. With the implementation of effective liquidity risk management, it is expected that liquidity risks can be minimized while simultaneously enhancing the overall banking system's stability.

The tables below represent information on the mapping of financial assets and liabilities within a certain maturity buckets based on their remaining maturity as of December 31, 2021 and 2020:

December 31, 2021						
Description	Total	< 1 month	> 1 month- 3 month	> 3 month- 1 Year	> 1 Year	Others without maturity
Assets						
Cash	26,299,973	-	-	-	-	26,299,973
Current Account With Bank						
Indonesia	56,426,573	56,426,573	-	-	-	-
Current Account With						
Other Bank	14,065,097	14,065,097	-	-	-	-
Allowance for impairment	(29,078)	-	-	-	-	(29,078)
Placement with Bank						
Indonesia and other						
Financial institutions	58,982,842	57,754,782	1,081,934	146,126	-	-
Allowance for Impairment	(6,177)	-	-	-	-	(6,177)
Securities	372,048,648	224,646,920	5,601,849	19,264,324	122,535,555	-
Allowance for Impairment	(311,120)	-	-	-	-	(311,120)
Export Bills						
And notes receivables	29,664,225	5,553,156	13,881,769	10,229,300	-	-
Allowance for Impairment	(1,142,349)	-	-	-	-	(1,142,349)
Securities purchased under Agreement to resell	54,915,498	48,275,488	6,640,010	-	-	-

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Liquidity Risk Management (continued)

Analysis of Asset and Liability According to Remaining Contractual Maturity (continued)

The tables below represent information on the mapping of financial assets and liabilities within a certain maturity buckets based on their remaining maturity as of December 31, 2021 and 2020 (continued):

December 31, 2021						
Description	Total	< 1 month	> 1 month - 3 months	> 3 months - 1 Year	> 1 Year	Others without maturity
Assets (continued)						
Derivative receivables	730,083	263,928	168,106	91,592	206,457	-
Loans						
Micro	436,909,977	4,351,325	9,609,741	52,441,089	370,507,822	-
Ritel	389,236,509	12,651,301	21,356,134	131,221,896	224,007,178	-
Corporate	168,270,037	5,632,720	7,127,497	20,343,352	135,166,468	-
Allowance for Impairment	(84,833,734)	-	-	-	-	(84,833,734)
Sharia receivables and financing	9,159,501	6,558	14,727	6,567,241	2,570,975	-
Allowance for Impairment	(1,410,907)	-	-	-	-	(1,410,907)
Finance receivables	39,291,429	15,488	51,822	192,861	39,031,258	-
Allowance for impairment	(1,584,776)	-	-	-	-	(1,584,776)
Acceptance receivables	9,554,238	3,437,312	3,244,266	2,872,660	-	-
Allowance for impairment	(488,233)	-	-	-	-	(488,233)
Investment in associate*)	1,546,184	-	-	-	-	1,546,184
Others Assets**)	16,052,627	387,470	2,925,918	2,510,734	4,067,505	6,161,000
	1,593,347,067	433,468,118	71,703,773	245,881,175	898,093,218	(55,799,217)
Liability						
Liability due immediately	18,735,387	-	-	-	-	18,735,387
Deposits from customers						
Demand Deposits	220,590,197	220,590,197	-	-	-	-
Saving Deposits	497,676,740	497,676,740	-	-	-	-
Time Deposits	420,476,279	212,158,376	115,766,343	91,567,481	984,079	-
Deposits from other Bank and other						
Financial institutions	13,329,434	13,329,434	-	-	-	-
Securities sold under Agreement to Repurchase	29,408,508	18,993,456	4,493,222	2,625,424	3,296,406	-
Derivative liability	199,695	38,763	26,450	29,665	104,817	-
Acceptance liability	9,554,238	3,437,312	3,244,266	2,872,660	-	-
Marketable securities issued	55,306,698	-	-	3,740,619	51,566,079	-
Fund borrowing	68,458,547	16,871,742	7,353,878	21,193,830	23,039,097	-
Subordinated loans and Marketable Securities	501,375	-	-	-	501,375	-
Other liabilities***)	10,691,741	711,989	1,766,105	1,088,067	6,418,623	706,957
	1,344,928,839	983,808,009	132,650,264	123,117,746	85,910,476	19,442,344
Temporary Difference	248,418,228	(550,339,891)	(60,946,491)	122,763,429	812,182,742	(75,241,561)

*) Investment in associated entities with no significant influence.

**) Other assets consist of interest receivables, other receivables, and accrued income based on sharia principles.

***) Other liabilities consist of interest payables, guarantee deposits, investment contract liabilities, co-insurance liabilities, reinsurance and classified as available for sale, tabarru' fund and temporary syirkah funds.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Liquidity Risk Management (continued)

Analysis of Asset and Liability According to Remaining Contractual Maturity (continued)

The tables below represent information on the mapping of financial assets and liabilities within a certain maturity buckets based on their remaining maturity as of December 31, 2021 and 2020 (continued):

December 31, 2020						
Description	Total	< 1 month	> 1 month - 3 months	> 3 months - 1 Year	> 1 Year	Others without maturity
Assets						
Cash	32,274,988	-	-	-	-	32,274,988
Current Account With Bank Indonesia	51,530,969	51,530,969	-	-	-	-
Current Account With Other Bank	12,266,266	12,266,266	-	-	-	-
Allowance for Impairment	(93,843)	-	-	-	-	(93,843)
Placement with Bank Indonesia and other Financial institutions	67,851,406	57,614,764	9,744,892	491,750	-	-
Allowance for Impairment	(18,070)	-	-	-	-	(18,070)
Securities	327,305,619	218,132,187	940,587	12,324,225	95,908,620	-
Allowance for Impairment	(348,941)	-	-	-	-	(348,941)
Export Bills and Notes receivables	27,573,004	6,797,656	11,192,438	9,582,910	-	-
Allowance for Impairment	(1,326,190)	-	-	-	-	(1,326,190)
Securities purchased Under agreement To resell	46,818,568	44,433,840	1,259,335	1,125,393	-	-
Derivative receivables	1,576,659	608,655	621,679	135,996	210,329	-
Loans						
Micro	382,998,007	3,796,380	8,009,083	41,660,179	329,532,365	-
Ritel	395,579,259	11,481,006	20,829,008	137,664,536	225,604,709	-
Corporate	165,210,368	8,415,684	12,319,777	19,137,880	125,301,027	-
Allowance for Impairment	(66,810,179)	-	-	-	-	(66,810,179)
Sharia receivables and Financing	49,065,478	1,728,557	1,666,653	3,574,110	42,096,158	-
Allowance for Impairment	(2,582,167)	-	-	-	-	(2,582,167)
Finance receivable	27,339,856	41,251	42,680	486,485	26,769,440	-
Allowance for Impairment	(1,002,307)	-	-	-	-	(1,002,307)
Acceptance receivables	6,817,436	2,166	3,170,443	3,644,827	-	-
Allowance for Impairment	(546,260)	-	-	-	-	(546,260)
Investment in associate*)	1,045,044	-	-	-	-	1,045,044
Other Assets**)	26,202,091	452,394	2,635,364	2,061,124	188,692	20,864,517
	1,548,727,061	417,301,775	72,431,939	231,925,415	845,611,340	(18,543,408)
Liability						
Liability due immediately	15,473,574	-	-	-	-	15,473,574
Deposits from customers						
Demand Deposits	184,848,351	184,848,351	-	-	-	-
Wadiah Demand Deposits	6,258,078	6,258,078	-	-	-	-
Mudharabah Demand Deposits	1,623,563	1,623,563	-	-	-	-
Saving Deposits	460,671,367	460,671,367	-	-	-	-
Wadiah Saving Deposits	9,247,604	9,247,604	-	-	-	-
Mudharabah Saving Deposits	6,147,015	6,147,015	-	-	-	-
Time Deposits	426,399,550	245,018,175	124,908,581	48,032,767	8,440,027	-
Mudharabah Time Deposits	25,726,398	18,272,475	6,722,692	731,231	-	-

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Liquidity Risk Management (continued)

Analysis of Asset and Liability According to Remaining Contractual Maturity (continued)

The tables below represent information on the mapping of financial assets and liabilities within a certain maturity buckets based on their remaining maturity as of December 31, 2021 and 2020 (continued):

December 31, 2020						
Description	Total	< 1 month	> 1 month - 3 months	> 3 months - 1 Year	> 1 Year	Others without maturity
Liability (continued)						
Deposits from other						
Bank and other						
Financial institutions	23,785,997	23,336,497	449,500	-	-	-
Securities sold under						
Agreement to resell	40,478,672	31,380,589	4,263,236	2,819,748	2,015,099	-
Derivative liabilities	407,774	102,160	136,061	26,960	142,593	-
Acceptance liabilities	6,817,436	2,166	3,170,443	3,644,827	-	-
Marketable securities issued						
securities	57,757,028	-	3,423,443	6,125,533	48,208,052	-
Fund borrowing	72,164,236	4,494,350	5,281,837	36,584,829	25,803,220	-
Subordinated loans and						
Marketable Securities	1,465,392	-	-	-	1,465,392	-
Other liabilities****)	9,054,084	1,349,947	485,666	818,382	6,101,205	298,884
	1,348,326,119	992,752,337	148,841,459	98,784,277	92,175,588	15,772,458
Temporary Difference	200,400,942	(575,450,562)	(76,409,520)	133,141,138	753,435,752	(34,315,866)

*) Investment in associated entities with no significant influence.

**) Other assets consist of interest receivables, other receivables, and accrued income based on sharia principles.

****) Other liabilities consist of interest payables, guarantee deposits, investment contract liabilities, co-insurance liabilities, reinsurance and classified as available for sale, tabarru' fund and temporary syirkah funds

Market Risk Management

Market risk arises because of the movement of market factors which include interest rates and exchange rates that are against the BRI's positions, both positions in the statements of financial position or in the administrative accounts. These positions are those which exist in trading book and banking book.

BRI has implemented treasury and market risk application system (GUAVA), an integrated system used by the front, middle, and back office functions. The middle office can measure market risk using an internal model (Value-at-Risk) that is integrated with the daily transaction process. Other than monitoring the instruments risk exposures, the middle office also monitors market risk limit.

1. Value-at-Risk (VaR): Purpose and Limitation of the Method

BRI uses an internal model approach to measure VaR potential loss due to changes in market price of trading portfolio based on historical data. VaR potential loss that arise from market risk is measured using the assumptions that the change in risk factors follow normal distribution. BRI uses VaR to measure exchange rate risk for trading and banking book positions and interest rate risk for trading book positions.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Market Risk Management (continued)

2. Value-at-Risk (VaR) Assumption

VaR potential loss is estimated value that is measured using 99% confidence level and market risk position that is unchanged within 1 (one) day holding period. This is an indicator that the potential loss which might exceed VaR value in normal market condition, in average, may occur once every one hundred days. The method used in VaR is Delta Gamma.

The following tables represent information on VaR value starting from January 1, 2021 until December 31, 2021 and January 1, 2020 until December 31, 2020:

December 31, 2021		
	Exchange rate *)	Interest rate
Daily Average	13,099.57	60,651.27
Highest	32,807.51	501,987.12
Lowest	64.85	4,679.94

December 31, 2020 (unaudited)		
	Exchange rate *)	Interest rate
Daily Average	7,549.36	19,796.99
Highest	13,946.91	29,419.18
Lowest	134.90	14,237.66

*) Include trading and banking book.

3. Back Testing

The purpose of implementing back testing is to ensure that the result of internal model calculation for interest rate risk and exchange rate risk is appropriate. When performing back testing, BRI compares estimations from daily VaR with realised change of price.

Based on the back testing procedures for exchange rate risk and interest rate risk, the actual loss throughout the year is significantly consistent with VaR forecast model.

4. Market Risk Outside of Trading Book

a. Interest Rate Risk

Financial instruments based on the interest rate have risks because of potential fluctuations in interest rates with potential impacts on future cash flow.

BRI has developed a methodology of measurement impact for interest rate movements in the banking book through Interest Rate Risk in The Banking Book in accordance with SEOJK No. 12/SEOJK.03/2018 dated August 21, 2018. As of December 2021, individually BRI has delta value EVE (Economic Value of Equity) amounting to 6.03% (comparison to Tier 1 equity).

Board of Directors and Management are responsible for determining, managing and controlling interest rate by weighing the Bank's risk appetite and financial performance target. The review of interest rate determination is conducted at least once in a month in the Asset and Liability Committee (ALCO) forum.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Market Risk Management (continued)

4. Market Risk Outside of Trading Book

b. Interest Rate Risk

The following table represents information regarding the average interest rates for financial assets and liabilities position for the year ended December 31, 2021 and 2020:

	Rupiah (%)	
	December 31, 2021	December 31, 2020
<u>Assets</u>		
Placement with Bank Indonesia and other financial institutions	0.70	3.34
Securities	6.75	6.90
Loans	11.96	10.40
Finance receivables	16.99	18.53
<u>Liability</u>		
Deposits from customers		
Demand Deposits	1.98	2.85
Saving Deposits	0.42	0.69
Time Deposits	3.45	5.61
Deposits with other Bank and other financial institutions	1.8	3.17
Fund Borrowing	0.02	0.02
Subordinated loans and marketable securities	4.37	4.85
Marketable issued securities	9.5	8.12
	Foreign Currency (%)	
	December 31, 2021	December 31, 2020
<u>Assets</u>		
Placement with Bank Indonesia and other financial institutions	0.10	0.40
Securities	1.98	2.74
Loans	4.01	3.80
Finance receivables	6.19	5.63
<u>Liability</u>		
Deposits from customers		
Demand Deposits	0.65	0.96
Saving Deposits	0.18	0.31
Time Deposits	0.78	2.24
Deposits with other Bank and other financial institutions	0.51	0.53
Fund Borrowing	1.15	1.30
Marketable issued securities	4.29	4.29

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Market Risk Management (continued)

4. Market Risk Outside of Trading Book (continued)

a. Interest Rate Risk (continued)

The following table presents the sensitivity of BRI's statement of profit or loss and other comprehensive income towards possible changes in the interest rate of banking book, with all other variables held constant.

December 31, 2021	
Changes in Percentage	Impact on Statement Of Profit or Loss and other Comprehensive Income
+/- 1 %	+/-2,093,634
December 31, 2020 (unaudited)	
Changes in Percentage	Impact on Statement Of Profit or Loss and other Comprehensive Income
+/- 1 %	+/- 2,044,636

The tables below summarise the exposure of financial assets and liabilities to interest rate risks (gross):

December 31, 2021						
Description	Floating Interest rate			Fixed Interest rate	Non-Interest rate	Total
	< 3 months	> 3 months - 1 Year	> 1 Year			
Assets						
Cash	-	-	-	-	26,299,973	26,299,973
Current account with Bank Indonesia	56,426,573	-	-	-	-	56,426,573
Current account with Other Bank	14,065,097	-	-	-	-	14,065,097
Placement with Bank Indonesia and other financial institutions	58,836,717	146,125	-	-	-	58,982,842
Securities						
Fair value through Profit or loss	-	-	-	19,001,253	-	19,001,253
Fair value through Other comprehensive Income	-	-	-	201,526,369	-	201,526,369
Amortized cost	-	-	-	151,521,026	-	151,521,026
Export Bills and other receivables	29,664,225	-	-	-	-	29,664,225
Securities purchased Under agreement To resell	54,915,498	-	-	-	-	54,915,498
Derivative receivables	-	-	-	-	730,083	730,083
Loans						
Micro	416,743	2,092,488	33,296,344	401,104,402	-	436,909,977
Ritel	33,523,151	91,651,345	120,128,471	143,933,542	-	389,236,509
Corporate	16,320,556	16,783,013	135,166,468	-	-	168,270,037
Sharia receivables and Financing	-	-	-	-	9,159,501	9,159,501
Finance receivables	15,488	51,822	192,861	39,031,258	-	39,291,429
Acceptance receivables	-	-	-	-	9,554,238	9,554,238
Investment in associated*)	-	-	-	-	1,546,184	1,546,184
Other Assets**)	1,799,414	-	-	-	14,253,213	16,052,627
	265,983,462	110,724,793	288,784,144	956,117,850	61,543,192	1,683,153,441

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Market Risk Management (continued)

4. Market Risk Outside of Trading Book (continued)

a. Interest Rate Risk (continued)

The tables below summarise the exposure of financial assets and liabilities to interest rate risks (gross) (continued):

December 31, 2021						
Description	Floating Interest rate			Fixed Interest rate	Non-Interest rate	Total
	< 3 months	> 3 months - 1 Year	> 1 Year			
Liability						
Liability due immediately	-	-	-	-	18,735,387	18,735,387
Deposits from customers						
Demand Time Deposits	-	-	-	220,590,197	-	220,590,197
Saving Time Deposits	229,589,042	-	-	268,087,698	-	497,676,740
Time Deposits	212,158,376	115,766,343	91,567,481	984,079	-	420,476,279
Deposits with other Bank						
And other financial Institutions	13,329,434	-	-	-	-	13,329,434
Securities sold under Agreement to Repurchased	23,486,678	2,625,424	3,296,406	-	-	29,408,508
Derivative liabilities	-	-	-	-	199,695	199,695
Acceptance liabilities	-	-	-	-	9,554,238	9,554,238
Marketable issued securities	-	-	3,740,619	51,566,078	-	55,306,697
Fund Borrowing	24,225,620	21,193,830	23,039,097	-	-	68,458,547
Subordinated loans and Marketable Securities	-	-	-	501,375	-	501,375
Other Liabilities***)	-	-	-	-	10,691,741	10,691,741
	502,789,150	139,585,567	121,643,603	541,729,427	39,181,061	1,344,928,838
Diference (gap) repricing interest rate in Financial Assets and Liability	(236,805,688)	(28,860,804)	167,140,541	414,388,423	22,362,131	338,224,603

December 31, 2020 (unaudited)						
Description	Floating Interest rate			Fixed Interest rate	Non-Interest rate	Total
	< 3 months	> 3 months - 1 Year	> 1 Year			
Assets						
Cash	-	-	-	-	32,274,988	32,274,988
Current account with Bank Indonesia	51,530,969	-	-	-	-	51,530,969
Current account with Other Bank	6,401,964	-	-	3,555,564	2,308,738	12,266,266
Placement with Bank Indonesia and other financial institutions	58,926,485	8,924,921	-	-	-	67,851,406
Securities						
Fair value through Profit or loss	-	-	-	28,165,784	-	28,165,784
Fair value through other comprehensive income	-	-	-	188,940,165	-	188,940,165
Amortized cost	-	-	-	110,199,670	-	110,199,670

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Market Risk Management (continued)

4. Market Risk Outside of Trading Book (continued)

a. Interest Rate Risk (continued)

The tables below summarise the exposure of financial assets and liabilities to interest rate risks (gross):

December 31, 2020 (unaudited)						
Description	Floating Interest rate			Fixed Interest rate	Non-Interest rate	Total
	< 3 months	> 3 months - 1 Year	> 1 Year			
Assets (continued)						
Export Bills and other receivables	27,573,004	-	-	-	-	27,573,004
Securities purchased Under agreement To resell	45,693,175	1,125,393	-	-	-	46,818,568
Derivative receivables	-	-	-	-	1,567,659	1,567,659
Loans						
Micro	11,747,994	64,883,617	-	306,366,396	-	382,998,007
Ritel	32,007,686	172,870,293	49,999,634	140,701,646	-	395,579,259
Corporate	18,349,442	146,860,926	-	-	-	165,210,368
Sharia receivables and Financing	-	-	-	-	49,065,478	49,065,478
Finance receivables	22,834	111,590	415,550	26,788,380	1,502	27,339,856
Acceptance receivables	-	-	-	-	6,817,436	6,817,436
Investment in associated*)	-	-	-	-	1,045,044	1,045,044
Other Assets**)	1,576,987	-	-	-	24,625,104	26,202,091
	253,830,540	394,776,740	50,415,184	804,717,605	117,714,949	1,621,455,018
Liability						
Liability due immediately	-	-	-	-	15,473,574	15,473,574
Deposits form customers						
Demand Deposits	-	-	-	184,848,351	-	184,848,351
Wadiah Demand Deposits	-	-	-	-	6,258,078	6,258,078
Mudharabah Deman Deposits	-	-	-	-	1,623,563	1,623,563
Saving Deposits	213,723,819	-	-	246,947,548	-	460,671,367
Wadiah Saving Deposits	-	-	-	-	9,247,604	9,247,604
Mudharabah Saving Deposits	-	-	-	-	6,147,015	6,147,015
Time Deposits	369,926,756	48,032,767	8,440,027	-	-	426,399,550
Mudharabah Time Deposits	-	-	-	-	25,726,398	25,726,398
Deposits with other Bank And other financial Institutions	23,785,997	-	-	-	-	23,785,997
Securities sold under Agreement to Repurchased	35,643,825	2,819,748	2,015,099	-	-	40,478,672
Derivative liabilities	-	-	-	-	407,774	407,774
Acceptance liabilities	-	-	-	-	6,817,436	6,817,436
Marketable securities issued	-	-	-	57,757,028	-	57,757,028
Fund Borrowing	9,776,188	36,584,830	25,803,220	-	-	72,164,236
Subordinated loans and Marketable securities	-	-	-	500,887	964,505	1,465,392
Other liabilities***)	-	-	-	-	9,054,084	9,054,084
	652,856,585	87,437,345	36,258,346	490,053,814	81,720,031	1,348,326,119
Diference (gap) repricing interest rate in Financial Assets and Liability						
	(399,026,045)	307,339,395	14,156,838	314,663,791	35,994,918	273,128,899

*) Investment in associated entities with no significant influence.

**) Other assets consist of interest receivables, other receivables, and accrued income based on sharia principles.

***) Other liabilities consist of interest payables, guarantee deposits, investment contract liabilities, co-insurance liabilities, reinsurance and classified as available for sale, tabarru' fund and temporary syirkah funds.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Market Risk Management (continued)

4. Market Risk Outside of Trading Book (continued)

b. Exchange Rate Risk

Exchange rate risk is a risk arising from foreign exchange rate fluctuations against Rupiah of foreign exchange positions held by BRI. Included in the foreign exchange positions are trading book positions held to generate profit both from foreign exchange transactions in the short term and banking book positions held to control the Net Open Position (NOP).

Based on Bank Indonesia's Regulation PBI No. 17/5/PBI/2015 dated May 29, 2015, regarding the Fourth Amendment of PBI No. 5/13/PBI/2003, regarding Net Open Position for Commercial Banks dated July 1, 2010, NOP is set to a maximum of 20% of capital.

NOP is the sum of the absolute amount from the net difference between assets and liabilities for each foreign currency on statement of financial position add with the net difference between receivables and payables of commitments and contingencies for each foreign currency recorded in administrative accounts, which presented in Rupiah.

The tables below represent NOP (BRI only) as of December 31, 2021 and 2020, respectively, by currency, as follows:

December 31, 2021			
Currencies	Assets	Liabilities	NOP
Statement of Financial Position and Administrative Accounts			
United States Dollar	290,693,514	289,479,384	1,214,130
Canada Dollar	9,481	30,866	21,385
Renminbi	1,155,380	1,141,126	14,254
Japanese Yen	1,277,056	1,264,337	12,719
Singaporean Dollar	19,116,295	19,103,798	12,497
European Euro	2,531,448	2,543,191	11,743
Australian Dollar	312,770	314,390	1,620
Great Britain Pound Sterling	166,372	165,259	1,113
Others	1,021,442	378,804	642,638
			1,932,099
Capital (Note 48a)			241,660,763
NOP Ratio			0.81%

December 31, 2020			
Currencies	Assets	Liabilities	NOP
Statement of Financial Position and Administrative Accounts			
United States Dollar	268,939,015	267,729,710	1,209,305
Singaporean Dollar	13,361,892	13,785,073	423,181
Canadian Dollar	7,635	40,090	32,455
European Euro	4,068,561	4,046,125	22,436
Japanese Yen	909,294	888,710	20,584
Australian Dollar	354,057	344,763	9,294
Great Britain Pound Sterling	213,020	219,389	6,369
Renminbi	1,025,266	1,019,655	5,611
Others	728,317	503,740	224,577
			1,953,812
Capital (Note 48a)			183,337,537
NOP Ratio			1.07%

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Operational Risk Management

Implementation of Operational Risk Management is carried out according to Financial Services Authority Regulation (POJK) No. 18/POJK.03/2016 dated March 22, 2016 regarding Risk Management Implementation for Commercial Banks, which requires the risk management implementation to cover the pillars of active monitoring by the Board of Commissioners and Directors, adequacy of policies, limit procedure and determination, adequacy of identification, measurement, monitoring and management of risk process adequacy as well as information system of risk management and internal control system.

The implementation of operational risk management is intended to manage operational risk exposure due to internal and external factors that impact the business and operational activities, such as inadequate human resources, internal processes, information technology system failures, natural disasters and external party's crimes against the Bank that potentially cause financial and non-financial losses. Operational risk exposure management in BRI includes management of legal, reputational, compliance and strategic risk exposures that occur in every business process and operational activity.

Each of BRI's operational business units are responsible for the implementation of risk management process in the business and operational activities of each business unit through the internal control system. This is done starting from the phase of identification, measurement, monitoring to risk control. To coordinate and ensure that the implementation of risk management processes is carried out in accordance with the rules, BRI's Board of Directors established a risk management function in every business unit starting from the level of Head Office (Division/Desk), Regional Offices, Special Branch Office, Branch Offices, Sub-Branch Offices, BRI Priority Service Centers and Overseas Business Units.

The risk management unit (SKMRO) is responsible for preparing guidelines for implementing operational risk management, developing and implementing policies/procedures and methodologies, supervising, reviewing, and monitoring the operational risk management process. Furthermore, SKMRO also plays a role in the preparation and monitoring of BRI's risk profile, assessment of the adequacy of risk management of a new product and/or activity, and supports operational work units/risk owners in developing a culture of risk awareness, implementation of anti-fraud strategies, and compliance with related risk management principles. In the context of discussing the management and improvement of control over operational risks, the Operational and Market Risk Management Division coordinates the implementation of the Operational Risk Management Committee (ORMC) forum, which is conducted quarterly by SKMRO and other Division/Desk.

Internal audit as the third line of defense including the Head Office Audit and BRI's Inspectorate Office throughout Indonesia is responsible for monitoring and validating the internal control adequacy and effectiveness of business and operational activities in every operational business unit and the consistency of bankwide operational risk management implementation in BRI.

BRI's operational risk management implementation is facilitated by operational risk management tools in the form of BRI Operational Risk Assessor (BRI OPRA), which includes the of Risk and Control Self Assessment (RCSA) module, Key Risk Indicator (KRI), Loss Even Database (LED), Risk Management and Maturity forum. Operational risk management tools policy has been updated in the decree of BRI Decision Letter No. S.17-DIR/MOP/03/2020 dated March 6, 2020.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Operational Risk Management (continued)

In order to improve understanding on risk management, BRI focused on building risk awareness culture and risk management training/socialization continuously to all BRI employees and also improving internal control quality in each of BRI's operational activities.

1. Risk Control and Self Assessment (RCSA)

RCSA is a qualitative and predictive risk management tool which is used to identify and measure the impact and likelihood of risks. RCSA has been implemented in BRI's Head Office (Desk/Division), Regional Offices, Special Branch Office, Branch Offices which also represents BRI Units, Sub Branch Offices and Priority Service Centres.

RCSA is intended to assist the operational business unit in identifying and measuring operational risk in every business and operational activities independently, including monitoring and determining corrective actions or the future action plans.

The risk issue in RCSA is updated by considering BRI's business development which include the new product and or activity implementation, new market segment and business competition, change in internal/external regulation and other changes that affect BRI's risk exposure. These assessment is carried out by considering Incident Management (IM)/Loss Event Database (LED) data, Key Risk Indicator (KRI) and Audit Result report (LHA). RCSA is performed semi-annually and the frequency will be increased if there is a significant change in risk exposure.

2. Incident Management (IM) and Loss Event Database (LED)

Incident Management (IM) is BRI's Loss Event Database (LED) which includes data documentation process of loss events for all types of loss, financial and non-financial loss, which includes actual loss, potential loss and near misses, since occurrence up to settlement, including corrective actions and incident handling conducted.

Based on loss event data in IM module, loss event analysis can be performed based on causes, functional activities, event types and business lines of BRI. The information system can be used to determine the preventive actions in risk controls, based on the documentation process of incident handling or settlement for the non-financial loss, financial loss, loss recovery and litigation process.

In order to calculate operational capital charge and Operational Capital Adequacy Ratio (Operational CAR), according to regulator policy BRI used the Basic Indicator Approach (BIA) method, since it has been implemented in 2010. However, BRI prepared the implementation of the Minimum Capital Operational Risk Measurement (MMRO) Standard Approach which is guided by the Basel III Framework.

3. Key Risk Indicator (KRI)

KRI is a tool to detect risks/favorable risk trends increase and or risks decrease both leading/futuristic or historical. Risk trend prediction is used to determine action plans in order to mitigate operational risk before it causes the financial or non-financial loss.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Operational Risk Management (continued)

3. Key Risk Indicator (KRI) (continued)

BRI has identified key risk indicators for all risk types and determined the risks threshold or limit which portrays the acceptable condition and risk appetite of BRI. Identification of main risk indicator and KRI threshold determination is established using the best judgement, considering BRI risk exposures and risk appetite. Threshold determination involved internal auditor, risk owner and other related business units. BRI's KRI are reflected on its Bank-Wide Risk Profile and Regional Risk Profile Report which are monitored and reported monthly to the management.

4. Risk Management Forum (RM Forum)

Risk Management Forum (RM Forum) is a risk management tool to hold a meeting or forum among the head of BRI's operational business units with the lower level employees and staff to discuss inherent risks in the daily business or operational activities that might be the constraint in achieving the business target or standard business performance. Risk management forum, which are held in each business unit, are expected to support the growth of BRI's risk awareness culture.

5. Maturity

Maturity is a self-assessment process on the establishment level of risk management implementation in each of BRI business unit. Maturity assessment is performed at every end of year by each business unit head using certain parameters. By performing maturity assessment, it is expected that each business unit will be able to evaluate the risk management implementation, in order to compose future improvement plan.

6. Business Continuity Management (BCM)

The possibility of disruption/disaster caused by nature, human or technology pose a threat to BRI's business continuity, as BRI has business units spread across Indonesia. Therefore, the Board of Directors are developing and implementing Business Continuity Management (BCM) Policies in order to ensure the employees, customers and stakeholders in the vicinity of BRI business unit environment's safety and security (Emergency Response Plan) and maintain the continuity of critical businesses and operational activities, protect BRI's assets and provide sufficient response during disruption or disaster conditions (Business Continuity Plan). BCM policies are stipulated through BRI Circular Letter No.SO.67-ORD/11/2021 dated November 29, 2021.

BRI BCM implementation covers all BRI work units, among others through the formation of a Crisis Management Team, the preparation of Call Tree and the establishment of alternate sites. BRI work units have also carried out a Threat and Disaster Risk Assessment which aims to identify the resources needed in preparation for facing threats/disasters in each work unit. As one of the implementation of BCM BRI has Emergency Response Plan (ER Plan) and Business Continuity Plan (BC Plan) policies for Critical Work Units. To ensure that the policy can be used during disruptions/disasters, the ER Plan and BC Plan trials are carried out annually and prioritized in disaster-prone work units.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

Operational Risk Management (continued)

6. Business Continuity Management (BCM) (continued)

The readiness of the BRI organization to ensure that the implementation of business continuity procedures has been well tested in disaster events experienced by several BRI Work Units. Provisions regarding disaster emergency response in the workplace are formulated in Circular Letter No. 110-DIR/MOP/12/2019 concerning Occupational Health and Safety Management System (SMK3).

7. Assessment of Risk Management Adequacy on New Product and/or Activity Launching

In order to launch each BRI's new product and/or activity, it involves risk management process that covers risk assessment done by product owner on every possible risk types from the launch of new product and/or activity, including control determination to mitigate the risks that might appear.

SKMRO is responsible to assess the risk mitigation adequacy and recommend the assessment result for the approval of the Risk Management Director. New Product and/or Activity Launching is stipulated through BRI Circular Letter No. SE.75-DIR/DOR/12/2020 dated December 30, 2020.

8. BRI Anti-Fraud Strategy Implementation

The implementation of the fraud control system has been carried out in accordance with the provisions and procedures of BRI's internal control, where special attention is paid to prevention so that the incidence of fraud can be minimized. In this connection BRI has developed a tool as an early warning system. BRI management has committed not to tolerate fraud (zero tolerance). As a form of increasing employee awareness and fraud prevention, Directors and Commissioners, management and all BRI employees regularly sign Anti Fraud Commitments as stated in the Anti Fraud Strategy Policy set forth through BRI Circular Letter No. S.18-DIR/MOP/03/2020 dated March 20, 2020.

The impact of the spread of the Covid-19 virus

Global economic conditions show a trend of recovery. In Q3-2021, the world faced the third wave of Covid-19 caused by the Delta variant. These variants cause severe infections and moderately severe symptoms, so the global daily death rate has increased. As a result, many countries have re-implemented a lockdown policy. This certainly has an impact on the decline in community activities, and affects the momentum of global economic recovery. Economic growth in various countries in Q3-2021 showed a slower pace compared to Q2-2021. The two main countries driving the global economy, namely the US and China, experienced slower economic growth in Q3-2021 compared to the previous quarter, where the economic growth of the two countries in Q3-2021 was 4.9% yoy. Globally, world economic growth in 2021 is expected to slow down due to the impact of the Delta variant. Several international institutions have issued their latest economic growth projections, and show a downward revision to global economic growth in 2021 compared to projections before the Delta variant spread. The IMF in October 2021 projected global economic growth in 2021 at 5.9% yoy, down from the July 2021 projection of 6.0% yoy. In addition, the OECD in December 2021 also lowered its global economic growth projection to 5.6% yoy from the previous 5.7% in September 2021.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

The impact of the spread of the Covid-19 virus (continued)

After successfully controlling the daily rate of cases and passing through the Delta variant wave, the world economy is starting to return to the positive track. The decline in the daily Covid-19 case rate prompted the government to loosen its lockdown policy and re-invigorate community activities in Q4-2021. This has led to an increase in demand and manufacturing performance. This can be seen from the level of the Purchasing Manager's Index (PMI) of Global manufacturing which increased in November 2021 to 54.2, compared to the position in October 2021 of 54.1. The trend of economic recovery is expected to continue in 2022. However, several challenges may overshadow the future economic recovery. In addition to the presence of Omicron, the economic recovery is also accompanied by high inflation rates in various countries at the end of 2021. This can encourage hawkish policies from the central bank and can encourage monetary policy tightening.

Indonesia's domestic economy in Q3-2021 experienced a slowdown compared to the previous quarter, where the national economy grew by only 3.51% yoy. The existence of a second wave in Indonesia due to the Delta variant led to a rapid increase in daily cases accompanied by a high daily death rate, thus making the Indonesian government implement a strict restriction policy known as Leveled PPKM which resulted in decreased community mobility and disrupted economic activity. Even though it caused an economic slowdown in Q3-2021, the PPKM Level policy implemented by the government was effective in reducing daily cases of Covid-19

After successfully controlling the spread of the Delta variant, since September 2021 the daily movement of COVID-19 cases in Indonesia has decreased. This causes the government to relax the PPKM policy and encourage increased community activities, where the effect is to encourage an increase in community demand and national production activities. This is indicated by the return of the manufacturing sector to the expansion zone (PMI > 50) during Q4-2021, namely 52.2 in September 2021; 57.2 in October 2021; 53.9 in November 2021; and 53.5 in December 2021. The level of retail sales also continued to increase in line with the increase in community activity. Retail sales growth in December 2021 is estimated at 8.9% yoy, up from September's position which contracted by -2.2% yoy. In terms of trade, Indonesia's Trade Balance (BOP) also continues to show good performance. In October 2021, the BOP recorded the highest surplus value in history, which was USD5.73 billion. The trade balance surplus was driven by higher export growth than imports. Overall, the BOP has recorded a surplus of USD34.32 billion in January-November 2021, much larger than the same period in 2020 which was USD19.52 billion.

The Indonesian banking industry as a whole has begun to move again on a positive and expansionary path. Bank credit growth continues to move positively with an increasing trend since June 2021. In November 2021 credit growth reached 4.7% yoy. This increase in credit growth was also followed by better credit quality as seen in the decline in non-performing loans (NPL). In November 2021, the Gross NPL of banking in general was 3.19%. In addition, the liquidity of the banking industry is still quite adequate, supported by growth in deposits which are increasing by 10.4% yoy in November 2021.

Indonesia's economic recovery is expected to continue in 2022 despite being accompanied by various challenges such as the presence of the Omicron and global inflationary pressures. The acceleration of recovery will depend on the handling of Covid-19 cases in the country and the acceleration of vaccination. A good Covid-19 handling process will have a direct impact on the economy and banking business.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

39. RISK MANAGEMENT (continued)

The impact of the spread of the Covid-19 virus (continued)

To resolve those conditions, BRI management has implemented and planned to do the following:

1. People's first policy

- a. Implementation of health and safety protocols;
 - 1. Performing disinfection and sterilization in the work environment;
 - 2. Vaccinations for employee; and
 - 3. Providing supporting tools for employee to anticipate the spread of Covid-19, such as hand sanitizers, mask and vitamins.
- b. Work from Home policy
 - 1. Limitation of operational working hours;
 - 2. Work From Home (WFH); and
 - 3. Providing flexible office space.
- c. Optimizing Digital Initiatives
 - 1. Digital office Applications;
 - 2. Digital loan processing Applications; and
 - 3. Daily dashboard monitoring to anticipate through loan restructuring for the affected sectors when there are symptoms of decreasing in cash flow.

2. Sustainable business growth strategy

a. Loan portfolio

- 1. Selective business growth by utilizing government stimulus, as well as conducting new growth engine exploration including ultramicro business.
- 2. Restructuring program
- 3. Loan relaxation program

b. Liquidity and market activities

- 1. Maintain GWM, secondary reserve, loan to deposit ratio, and Macroprudential Intermediation Ratio (RIM)
- 2. Maintain the net open position in the long position
- 3. Maintain cash ratio

c. Asset Quality

Maintain the quality of business assets, including to improve the quality of business enablers (Capability HC and System) through:

- 1. Fraud risk management
- 2. Credit Decision Engine & Credit Risk Model
- 3. Strengthening EWS

d. Efficiency

Efficiency efforts as a form of adaptation to the economic slowdown are carried out through controlling the cost of funds, operational costs, through digitalization.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

40. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

The tables below represent the comparison of the carrying values and fair values of financial assets and liabilities. The fair values disclosed below are based on relevant information available as of December 31, 2021 and 2020 and are not updated to reflect changes in market conditions which have occurred subsequently.

	December 31, 2021		December 31, 2020	
	Carrying Value	Fair Value	Carrying Value	Fair Value
Assets				
Cash	26,299,973	26,299,973	32,274,988	32,274,988
Current account with Bank Indonesia	56,426,573	56,426,574	51,530,969	51,530,969
Current account with other Bank	14,036,019	14,036,019	12,172,423	12,172,423
Placement with Bank Indonesia and other financial institutions	58,976,665	58,976,665	67,833,336	67,833,336
Securities				
Fair value through profit or loss	19,001,253	19,001,253	28,190,828	28,165,782
Fair value through other comprehensive income	201,526,369	201,526,369	189,545,941	188,940,166
Amortized cost	151,209,906	154,620,237	109,219,909	118,676,275
Export bills and notes receivables	28,521,876	28,521,876	26,246,814	26,246,814
Securities purchased under agreement to resell	54,915,498	54,915,498	46,818,568	46,818,568
Derivative receivables	730,083	730,083	1,576,659	1,576,659
Loans, Sharia receivables and financing	917,331,383	886,140,204	923,460,766	910,384,489
Finance receivables	37,706,653	37,518,153	26,337,549	27,340,447
Acceptance receivables	9,066,005	9,066,005	6,271,176	6,271,176
Investment in associate *)	1,546,184	1,546,184	1,045,044	1,045,044
Other Assets **)	16,052,627	16,052,627	26,202,091	26,202,091
Total	1,593,347,067	1,565,377,719	1,548,777,061	1,545,529,187
Liability				
Liability due immediately	18,735,387	18,735,387	15,473,574	15,473,574
Deposits from customers ***)				
Demand Deposits	220,590,197	220,590,197	191,106,429	191,106,429
Saving Deposits	497,676,739	497,676,739	469,918,971	469,918,971
Time Deposits	420,476,279	420,476,279	426,399,550	426,399,550
Deposits from other Bank and other financial institutions				
Demand Deposits	1,402,510	1,402,510	829,698	829,698
Saving Deposits	6,763	6,763	30,720	30,720
Time Deposits and deposit on call	8,160,030	8,160,030	14,544,000	14,544,000
Inter-bank call money	3,760,131	3,760,131	8,381,578	8,381,579
Securities sold under agreement to repurchased	29,408,508	29,408,508	40,478,672	40,478,672
Derivative liabilities	199,695	199,695	407,774	407,774
Acceptance liabilities	9,554,238	9,554,238	6,817,436	6,817,436
Marketable issued securities	55,306,697	54,248,850	57,757,028	56,005,459
Fund borrowing	68,458,547	68,458,547	72,164,236	72,164,236
Subordinated loans and marketable securities	501,375	519,492	1,465,392	1,479,040
Other liabilities ****)	10,691,741	10,691,741	9,054,084	9,054,084
Total	1,344,928,837	1,343,889,107	1,314,829,143	1,313,091,222

*) Investment associated entities with no significant influence.

**) Other assets consist of interest receivable, other receivable and income that will be received under sharia principle.

***) Include deposits from customer with sharia principle.

****) Other liabilities consist of interest payable, guarantee deposits, investment contract liabilities, co-insurance payable, re-insurance and classified ready to sell, *tabarru'* fund and temporary *syirkah* fund.

Methods and assumptions used to estimate fair value are as follows:

- a) The fair values of certain financial assets and liabilities, except for securities and Government Recapitalization Bonds classified as amortized cost, loans, sharia receivables and financing, finance receivables, derivative receivables and payable, fund borrowings, marketable securities issued and subordinated loans and marketable securities approximate their carrying values due to their short-term maturities.

The estimated fair values of certain financial assets are determined based on discounted cash flows using money market interest rates for debts with similar credit risk and remaining maturities.

The estimates of the fair value of certain financial liabilities which are not quoted in an active market are determined based on discounted cash flows using interest rates of a new debt with similar remaining maturities.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

40. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES (continued)

Methods and assumptions used to estimate fair value are as follows: (continued)

b) Securities

The fair values of securities classified as held to maturity are determined based on market prices or quoted price of intermediary (broker)/securities traders (dealers). If the information is not available, the fair values are estimated by using quoted market price of securities with similar credit characteristics, maturities and yields.

c) Loans and sharia receivables and financing

BRI's loan portfolio generally consists of loans with floating and fixed interest rates. Loans are stated at the carrying amount. The fair value of loans represents the discounted value of estimated future cash flows expected to be received by BRI. The estimated future cash flow is discounted using market interest rate to determine the fair value.

Sharia receivables and financing portfolio generally has a floating margin and short-term sharia receivables and financing has a fixed margin.

d) Finance receivables

The fair values are calculated based on the discounted cash flow models using market interest rates.

e) Derivative receivables and payables

The fair values of derivatives instrument are assessed using valuation techniques that use components which can be observed in the market, which include primarily interest rate swaps, currency swaps and currency exchange contracts. The most widely used valuation techniques include forward and swap valuation models using present value calculation. The models incorporate various components which include the credit quality of the counterparty, spot value and future contracts as well as interest rate curve.

f) Fund borrowings, marketable securities issued and subordinated loans and marketable securities

The fair values are calculated based on the discounted cash flow models using market rates for the remaining maturity period.

The following tables present financial instruments recognized at fair value based on the hierarchy used by BRI and its subsidiaries to determine and disclose the fair value of financial instruments (Note 2c):

December 31, 2021				
	Fair Value	Level 1	Level 2	Level 3
Financial Assets				
Fair value through profit or loss				
Government Bonds	10,311,218	10,311,218	-	-
Mutual Fund	6,810,496	6,810,496	-	-
Derivative Receivables	730,083	-	730,083	-
Bonds	167,115	167,115	-	-
Negotiable Certificate of Deposit	127,009	127,009	-	-
Stock	120,687	120,687	-	-
Subordinated Bond	50,966	50,966	-	-
Others	1,413,764	1,413,764	-	-
	19,731,338	19,001,255	730,083	-

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

40. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES (continued)

The following tables present financial instruments recognized at fair value based on the hierarchy used by BRI and its subsidiaries to determine and disclose the fair value of financial instruments (Note 2c) (continued):

	December 31, 2021			
	Fair Value	Level 1	Level 2	Level 3
Financial Assets (continued)				
Fair value through other Comprehensive income				
Government Bonds	164,216,608	164,216,608	-	-
Bonds	16,848,434	16,848,434	-	-
Certificate Bank Indonesia	9,811,165	9,811,165	-	-
Mutual Fund	7,800,156	7,800,156	-	-
Monetary Authority of Singapore (MAS) Bills	1,097,226	1,097,226	-	-
U.S Treasury Bonds	807,533	807,533	-	-
Singapore Government Securities	434,757	434,757	-	-
Stock	248,886	248,886	-	-
Subordinated Bonds	126,763	126,763	-	-
Negotiable Certificate of Deposit	67,444	67,444	-	-
Medium-Term Note	67,397	67,397	-	-
	<u>201,526,369</u>	<u>201,526,369</u>	<u>-</u>	<u>-</u>
Amortized cost				
Government Bonds	129,288,448	129,288,448	-	-
Bonds	1,529,893	1,529,893	-	-
Negotiable Certificate of Deposit	96,676	96,676	-	-
Medium-Term Note	11,000	11,000	-	-
Subordinated Bonds	41,056	41,056	-	-
Risk Participation Receivables	20,553,953	20,553,953	-	-
	<u>151,521,026</u>	<u>151,521,026</u>	<u>-</u>	<u>-</u>
Loans and receivables				
Loans	886,140,204	-	827,314,308	58,825,896
Finance receivables	37,518,153	-	-	37,518,153
	<u>923,658,357</u>	<u>-</u>	<u>827,314,308</u>	<u>96,344,049</u>
Total financial assets	<u>1,296,437,090</u>	<u>372,048,650</u>	<u>828,044,391</u>	<u>96,344,049</u>
Financial liabilities				
Fair value through profit or loss				
Derivative liability	199,695	-	199,695	-
Other liability				
Marketable issued securities	-	-	-	-
Subordinated loans and marketables securities	519,492	519,492	-	-
	<u>519,492</u>	<u>519,492</u>	<u>-</u>	<u>-</u>
Total financial liabilities	<u>719,187</u>	<u>519,492</u>	<u>199,695</u>	<u>-</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

40. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES (continued)

The following tables present financial instruments recognized at fair value based on the hierarchy used by BRI and its subsidiaries to determine and disclose the fair value of financial instruments (Note 2c) (continued):

December 31, 2020				
	Fair Value	Level 1	Level 2	Level 3
Financial Assets				
Fair value through profit or loss				
Government bonds	18,560,819	18,560,819	-	-
Singapore Government Securities (SIGB)	10,606	10,606	-	-
Mutual fund	8,283,969	8,283,969	-	-
Bonds	363,445	363,445	-	-
Negotiable Certificate of Deposit	49,419	49,419	-	-
U.S Treasury Bonds	14,816	14,816	-	-
Subordinated bonds	48,313	48,313	-	-
Others	834,395	834,395	-	-
Derivative receivables	1,576,659	-	1,576,659	-
	29,742,441	28,165,782	1,576,659	-
Fair value through other comprehensive income				
Government bonds	159,132,122	159,132,122	-	-
Bonds	14,039,242	14,039,242	-	-
Bank Indonesia Certificate	10,674,207	10,674,207	-	-
Mutual fund	473,676	473,676	-	-
Negotiable Certificate of Deposit	680,462	680,462	-	-
MAS Bills	816,470	816,470	-	-
U.S Treasury Bonds	778,499	778,499	-	-
U.S Treasury Bills	210,746	210,746	-	-
Subordinated bonds	196,344	196,344	-	-
Medium-Term Note	341,167	341,167	-	-
Singapore Government Securities (SIGB)	402,275	402,275	-	-
Others	294,956	294,956	-	-
	188,940,166	188,940,166	-	-
Amortized cost				
Government bonds	113,050,341	113,050,341	-	-
Bonds	2,716,319	2,716,319	-	-
Subordinated bonds	37,587	37,587	-	-
Medium-Term Note	114,299	114,299	-	-
Risk Participation	2,723,837	2,723,837	-	-
Treasury Bill	33,892	33,892	-	-
	118,676,275	118,676,275	-	-
Loans and receivables				
Loans, sharia receivables and financing	910,384,489	-	848,201,482	62,183,007
Finance receivables	27,340,447	-	-	27,340,447
	937,724,936	-	848,201,482	66,592,069
Total financial assets	1,275,083,818	335,782,223	849,778,141	89,523,454
Financial Liabilities				
Fair value through profit or loss				
Derivative payables	407,774	-	407,774	-
Others Liabilities				
Marketable securites issued	56,005,459	56,005,459	-	-
Subordinated loan and marketable securities	1,479,040	1,479,040	-	-
	57,484,499	57,484,499	-	-
Total financial liabilities	57,892,273	57,484,499	407,774	-

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

41. SEGMENT INFORMATION

Information concerning the segments of BRI and Subsidiaries are as follows:

a. Company Name	Business Field
PT Bank Rakyat Indonesia (Persero) Tbk	Conventional Banking
PT Bank Raya Indonesia Tbk (formerly PT Bank Rakyat Indonesia Agroniaga Tbk)	Conventional Banking
BRI Remittance Co. Limited Hong Kong	Financial Service
PT Asuransi BRI Life	Life Insurance
PT BRI Multifinance Indonesia	Financing Company
PT BRI Danareksa Sekuritas	Securities Company
PT BRI Ventura Investama	Venture Capital Company
PT BRI Asuransi Indonesia	General Insurance
PT Bank Syariah Indonesia Tbk (formerly PT Bank BRISyariah Tbk*)	Sharia Banking
PT Pegadaian	Financing Company
PT Permodalan Nasional Madani	Financing Company

*) Since February 1, 2021, it is no longer a subsidiary of BRI

b. Operating Segment

For management purposes, BRI is organized into 5 (five) operating segments based on products which are as follows:

- Micro Segment
- Retail Segment
- Corporate Segment
- Other Segments
- Subsidiaries

The following is information on segments of BRI and its subsidiaries as of December 31, 2021 and for the year then ended based on operating segments:

Description	Year ended December 31, 2021					
	Micro	Retail	Corporate	Others	Subsidiaries	Total
Interest and premium income - net	51,845,156	25,577,930	3,058,623	15,337,403	19,318,392	115,137,504
Other operating income	12,331,701	11,402,685	2,746,155	5,919,971	8,815,295	41,215,807
Total income	64,176,857	36,980,615	5,804,778	21,257,374	28,133,687	156,353,311
Other operating expense	(33,277,144)	(18,137,277)	(1,823,531)	(1,539,750)	(21,140,406)	(75,918,108)
Provision for impairment losses	(11,112,437)	(10,612,154)	(11,775,361)	(518,124)	(5,272,745)	(39,290,821)
Total expense	(44,389,581)	(28,749,431)	(13,598,892)	(2,057,874)	(26,413,151)	(115,208,929)
Non operating income (expense) - net	(9,875)	(61,529)	(101,586)	(30,149)	50,822	(152,317)
Income before Tax expense	19,777,401	8,169,655	(7,895,700)	19,169,351	1,771,358	40,992,065
Tax expense	(2,571,062)	(1,877,540)	-	(2,556,644)	(830,362)	(7,835,608)
Income Before Pro Forma Net Income Arising From Acquisition Transaction With Entities Under Common Control	17,206,339	6,292,115	(7,895,700)	16,612,707	940,996	33,156,457

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

41. SEGMENT INFORMATION (continued)

Information concerning the segments of BRI and Subsidiaries are as follows (continued):

b. Operating Segment (continued)

The following is information on segments of BRI and its subsidiaries as of December 31, 2021 and for the year then ended based on operating segments: (continued)

Description	Year ended December 31, 2021					
	Micro	Retail	Corporate	Others	Subsidiaries	Total
Pro Forma Net Income Arising From Acquisition Transaction with Entities Under Common Control	-	-	-	-	(2,400,691)	(2,400,691)
Income for the year	17,206,339	6,292,115	(7,895,700)	16,612,707	(1,459,695)	30,755,766
Segment assets						
Loans - gross	396,959,250	374,318,653	172,424,790	-	50,713,830	994,416,523
Total assets	374,607,910	352,638,995	173,770,090	658,219,646	102,576,195	1,661,812,836
Segment liabilities						
Total deposits from customers	356,268,411	429,700,844	341,879,461	-	10,894,499	1,138,743,215
Total liability	356,268,411	429,700,844	358,314,617	142,059,534	99,967,524	1,386,310,930

The following is information on segments of BRI and its subsidiaries as of December 31, 2020 and for the year then ended based on operating segments (unaudited):

Description	Year ended December 31, 2020					
	Micro	Retail	Corporate	Others	Subsidiaries	Total
Interest and premium income - net	35,234,044	27,969,778	4,685,993	7,257,183	19,315,825	94,462,823
Other operating income	9,074,782	12,020,213	3,583,072	3,752,066	9,669,622	38,099,755
Total income	44,308,826	39,989,991	8,269,065	11,009,249	28,985,447	132,562,578
Other operating expense	(19,658,307)	(18,911,219)	(3,129,596)	(4,697,136)	(21,107,591)	(67,503,849)
Provision for impairment losses	(12,370,463)	(12,654,674)	(3,488,650)	(2,475,351)	(4,290,890)	(35,280,028)
Total expense	(32,028,770)	(31,565,893)	(6,618,246)	(7,172,487)	(25,398,481)	(102,783,877)
Non operating income (expense) - net	(38,614)	37,234	(30,077)	833	245,329	214,705
Income before tax expense	12,241,442	8,461,332	1,620,742	3,837,595	3,832,295	29,993,406
Tax expense	(3,653,469)	(2,525,292)	(483,712)	(1,145,335)	(1,144,163)	(8,951,971)
Income Before Pro Forma Net Income Arising From Acquisition Transaction With Entities Under Common Control	8,587,973	5,936,040	1,137,030	2,692,260	2,688,132	21,041,435
Pro Forma Net Income Arising From Acquisition Transaction with Entities Under Common Control	-	-	-	-	(2,381,042)	(2,381,042)
Income for the year	8,587,973	5,936,040	1,137,030	2,692,260	307,090	18,660,393
Segment assets						
Loans - gross	351,356,224	360,333,387	168,985,146	-	63,112,877	943,787,634
Total assets	334,248,320	341,745,828	140,551,343	597,634,414	185,999,449	1,600,179,354
Segment liabilities						
Total deposits customers	335,422,171	410,298,277	306,943,422	-	68,258,056	1,120,921,926
Total liabilities	335,422,171	410,298,277	306,943,422	174,762,035	153,172,557	1,380,598,462

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

41. SEGMENT INFORMATION (continued)

Information concerning the segments of BRI and Subsidiaries are as follows (continued):

c. Geographical Segment

The following are information on the geographical segment of BRI and subsidiaries:

Description	Total Income	
	For the year ended December 31,	
	2021	2020
Indonesia	155,591,153	131,771,610
United States of America	472,261	510,377
Singapore	184,666	170,540
Timor-Leste	95,089	101,482
Hong Kong	10,097	8,569
Taiwan	45	-
Total	156,353,311	132,562,578

Description	Income before tax expense	
	For the year ended December 31,	
	2021	2020
Indonesia	40,556,868	29,529,835
United States of America	275,570	275,445
Singapore	96,861	124,907
Timor-Leste	70,013	62,597
Hong Kong	2,120	622
Taiwan	(9,367)	-
Total	40,992,065	29,993,406

Description	Total Assets	
	December 31, 2021	December 31, 2020
Indonesia	1,622,979,782	1,567,580,966
United States of America	21,170,200	19,708,131
Singapore	15,513,263	11,695,606
Timor-Leste	2,016,606	1,186,169
Hong Kong	13,094	8,482
Taiwan	119,891	-
Total	1,661,812,836	1,610,179,354

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

41. SEGMENT INFORMATION (continued)

c. Geographical Segment (continued)

Information concerning the segments of BRI and Subsidiaries are as follows (continued):

Description	Total Liability	
	December 31, 2021	December 31, 2020
Indonesia	1,348,381,407	1,319,059,048
United States of America	20,664,957	18,970,475
Singapore	15,297,947	11,500,136
Timor-Leste	1,834,188	1,067,486
Hong Kong	3,231	1,317
Taiwan	129,200	-
Total	1,386,310,930	1,380,598,462

42. EMPLOYEES PROGRAM

Provisions for employee benefit plans consist of:

	December 31, 2021	December 31, 2020
Grand leaves program	2,948,868	2,460,616
Merit award program	2,160,113	2,078,850
Termination program	1,962,302	1,773,676
Jubilee program	1,753,660	1,527,953
Post-employment health BPJS program	598,635	774,578
Other benefit program of additional benefit fund	153,617	265,245
Defined Benefit Pension Plan	20,028	20,670
Total (Note 27)	9,597,223	8,901,588

Actuarial assessment of the respective employee benefit plans as of December 31, 2021 and 2020 performed by independent actuaries as follows:

Entity	Independent Actuarial	Reporting Date	
		December 31, 2021	December 31, 2020
Parent Entity	KKA Enny Diah Awal (formerly PT Bestama Aktuaria)	January 5, 2022	January 15, 2021
Subsidiary			
PT Bank Syariah Indonesia Tbk (formerly PT Bank BRISyariah Tbk)	KKA Enny Diah Awal (formerly PT Bestama Aktuaria)	-	January 4, 2021
PT Bank Rakyat Indonesia Agroniaga Tbk	KKA Enny Diah Awal (formerly PT Bestama Aktuaria)	January 3, 2022	January 4, 2021
PT Asuransi BRI Life	KKA Riana & Rekan (formerly PT Padma Raya Aktuaria)	January 4, 2022	January 4, 2021
PT BRI Multifinance Indonesia	KKA Nandi Dan Utama (formerly PT Jasa Aktuaria Praptasentosa Gunajasa)	January 10, 2022	January 8, 2021
PT BRI Danareksa Sekuritas	KKA Enny Diah Awal (formerly PT Jasa Aktuaria Praptasentosa Gunajasa)	January 18, 2022	January 22, 2021

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

42. EMPLOYEES PROGRAM (continued)

Actuarial assessment of the respective employee benefit plans as of December 31, 2021 and 2020 performed by independent actuaries as follows: (continued)

		Reporting Date	
Entity	Independent Actuarial	December 31, 2021	December 31, 2020
Subsidiary (continued)			
PT BRI Ventura Investama	KKA Enny Diah Awal (formerly PT Bestama Aktuaria)	January 3, 2022	January 4, 2021
PT BRI Asuransi Indonesia	KKA Steven & Mourits	January 3, 2022	January 3, 2021
PT Pegadaian	PT Dian Artha Tama	January 10, 2022	January 22, 2021
PT Permodalan Nasional Madani	KKA Riana & Rekan	January 5, 2022	January 4, 2021

a. Defined Benefit Pension Plan

Effective on January 1, 2007, all newly appointed permanent employees are not included in this program and the right for pension benefits is given based on the established requirements stated in the regulations by considering the annual gratuity factor over the working period and income on the pension fund. BRI's pension plan is managed by Dana Pensiun BRI (DPBRI). According to the provisions stipulated in BRI Board of Directors' Decree, BRI employee's contribution for pension contribution amounted to 7% of the employee's pension-based salary and for the remaining amount required to be funded by DPBRI represents the contribution by BRI, which is the BRI's contribution is amounted to 42.96% of pension-based salary since January 1, 2020.

The actuarial calculation of BRI's pension costs as of December 31, 2021 and 2020 which was prepared in accordance with SFAS No. 24 using the Projected Unit Credit method and considering the following assumptions:

	December 31, 2021	December 31, 2020
Parent Entity		
Discount Rate	7.60%	7.70%
Basic pension salary growth rate	7.50	7.50
Pension benefit growth rate	4.00	4.00
Mortality Rate	TMI 2019	TMI 2019
Disability Rate	10.00% from TMI 2019	10.00% from TMI 2019
Normal retirement age	56 Years	56 Years
Subsidiary		
Discount Rate	6.00%	6.10%
Basic pension salary growth rate	5.00	5.00
Mortality Rate	TMI 2019	GAM - 1971
Disability Rate	0.01% from TMI 2019	0.01% from GAM-1971
Normal retirement age	56 Years	56 Years

The assets of DPBRI mainly consist of saving deposits, time deposits, securities, mutual fund units, securities with collateral assets and long-term investments in the form of shares of stocks and property.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

42. EMPLOYEES PROGRAM (continued)

a. Defined Benefit Pension Plan (continued)

Movements in present value of defined benefit pension liabilities as of December 31, 2021 and 2020 are as follows :

	December 31, 2021	December 31, 2020
Present value of defined benefit pension -		
Beginning balance	23,322,115	21,024,005
Interest expense	1,705,433	1,655,229
Current service cost	430,030	383,363
Past service cost	1,327,616	-
Benefit Paid	(1,343,640)	(1,113,727)
Actuarial (gain) loss	177,192	1,373,245
Present value of defined benefit Pension liabilities ending balance	25,618,746	23,322,115

Movements in fair value of defined benefit pension liabilities as of December 31, 2021 and 2020 are as follows:

	December 31, 2021	December 31, 2020
Fair value of program assets - beginning	21,243,264	18,829,621
Real development result	1,214,231	1,252,352
Contributions paid - employer	2,269,336	2,180,410
Contributions paid - participants	62,655	68,290
Actuarial Gain/ Loss of Asset	12,675	26,318
Benefit Paid	(1,343,640)	(1,113,727)
Total program assets	23,458,521	21,243,264

Movements in defined benefit pension liabilities as of December 31, 2021 and 2020 are as follows:

	December 31, 2021	December 31, 2020
Beginning balance	2,078,850	2,194,385
Defined benefit pension expense - net (Note 35)	1,820,323	463,277
Contributions paid - current year	(2,269,448)	(2,180,410)
Remeasurement of liabilities (assets) for defined pension benefit - net	530,388	1,601,598
Ending Balance (Note 27)	2,160,113	2,078,850

Remeasurement of liabilities (assets) for defined benefit pension as of December 31, 2021 and 2020 are as follows:

	December 31, 2021	December 31, 2020
Beginning balance	2,859,090	1,257,492
Actuarial (gain) loss	177,192	1,373,245
Yields on program assets	353,195	228,354
Remeasurement of (assets) for defined pension benefit - net	3,389,477	2,859,091

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

42. EMPLOYEES PROGRAM (continued)

a. Defined Benefit Pension Plan (continued)

Pension benefit expense calculation for the year ended December 31, 2021 and 2020, respectively, in accordance with the actuarial calculation is as follows:

	For the year ended December 31,	
	2021	2020
Current service cost	430,030	382,836
Contributions paid - participants	(62,655)	(67,817)
Interest expense - net	125,332	148,080
Past service cost	1,327,616	-
Defined benefit pension expense (Note 35)	1,820,323	462,626

b. Retirement Benefits Plan

BRI's employees are also given retirement benefits (THT) in accordance with the provisions stipulated in the Decree of the Board of Directors of BRI. BRI's retirement benefits plan is managed by BRI Employee Welfare Foundation.

Retirement benefits contributions consist of contributions from the employees and BRI in accordance with the provisions stipulated in the Decree of BRI's Board of Directors.

Based on the actuarial calculation of BRI's retirement benefits as of December 31, 2021 and 2020 it was prepared in accordance with SFAS No. 24 using the Projected Unit Credit method and considering the following assumptions:

	December 31, 2021	December 31, 2020
Discount Rate	7.50%	7.20%
Salary growth rate	7.50	7.50
Mortality Rate	TMI 2019	TMI 2019
Disability Rate	10.00% from TMI 2019	10.00% from TMI 2019

The status of the Retirement Benefits as of December 31, 2021 and 2020, are as follows:

	December 31, 2021	December 31, 2020
Fair value of assets	5,169,471	4,929,907
Present value of retirement benefits liabilities	(3,129,510)	(2,672,216)
Surplus	2,039,961	2,257,691

Movements of the Retirement Benefits liabilities as of December 31, 2021 and 2020 are as follows:

	December 31, 2021	December 31, 2020
Beginning balance	-	-
Retirement benefits expense	672,842	138,778
Remeasurement of retirement benefits liabilities - net	(553,505)	(21,690)
Contribution paid in current period	(119,337)	(117,088)
Ending Balance of liability	-	-

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

42. EMPLOYEES PROGRAM (continued)

b. Retirement Benefits Plan (continued)

Remeasurement of the Retirement Benefits liabilities as of December 31, 2021 and 2020, are as follows:

	December 31, 2021	December 31, 2020
Beginning balance	278,119	299,809
Actuarial (gain) loss	(210,317)	286,505
Yields on program liabilities (assets)	37,096	(346,933)
Changes on impact of assets other than interest - net	(380,284)	38,738
Remeasurement of retirement benefits liabilities - net	(275,386)	278,119

Retirement benefits expense calculation for the year ended December 31, 2021 and 2020 respectively, in accordance with the actuarial calculation is as follows:

	For the year ended December 31,	
	2021	2020
Current service cost	284,312	201,631
Contributions paid - participants	(56,925)	(55,849)
Interest expense - net	(6,345)	(7,004)
Past service cost	451,800	-
Retirement benefits expense	672,842	138,778

As of December 31, 2021 and 2020, BRI does not recognize the existence of prepaid of retirement benefits plan and benefits of retirement benefits plan because management of BRI does not have the benefit over the assets and BRI has no plans to reduce its contribution in the future.

c. Defined Contribution Pension Plan

(i) BRI (parent entity)

The employees of BRI are also included in the defined contribution pension plan in accordance with BRI Board of Directors' decree which was effective since October 2000. BRI's contributions to this plan which are reported in the consolidated statement of profit or loss and other comprehensive income amounted to Rp380,726 and Rp351,955 for the year ended December 31, 2021 and 2020, respectively (Note 35). Defined contribution pension plan is managed by DPBRI.

(ii) Bank Raya (subsidiary)

Bank Raya conducted defined contribution pension plans for all of its permanent employees which is managed by Dana Pensiun Lembaga Keuangan (Financial Institutions Pension Fund) PT Bank Negara Indonesia (Persero) Tbk. BRI Agro's total contribution for the pension funds amounted to 87.8% of the contributions that have been determined based on the level of each employee which are reported in the consolidated statement of profit or loss and other comprehensive income amounting to Rp877 and Rp811 for the year ended December 31, 2021 and 2020 (Note 35).

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

42. EMPLOYEES PROGRAM (continued)

d. Work Separation Scheme

The calculation of Work Pension Scheme uses actuarial valuation assumption for BRI's liabilities related to allowance for severance, gratuity for services and compensation benefits which were prepared based on Labor Law No. 13/2003 dated March 25, 2003, as of December 31, 2021 and 2020, respectively, using the Projected Unit Credit method and considering the following assumptions:

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
Parent Entity		
Discount Rate	7.60%	7.60%
Salary growth rate	7.50	7.50
Mortality Rate	TMI 2019	TMI 2019
Disability Rate	% from TMI 2019	10.00% from TMI 2019
Subsidiary		
Discount Rate	7.20 – 8.30%	6.50 - 7.80%
Salary growth rate	7.00 – 10.00	5.00 - 10.00
Mortality Rate	TMI 2019	TMI 2019
	TMI-II 1999	TMI-II 1999
Disability Rate	0.01 - 10% from mortality	0.01 - 10% from mortality

Movements in the work separation scheme liabilities (assets) as of December 31, 2021 and 2020, are as follows:

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
Defined benefit pension expense - net (Note 35)	1,773,676	1,432,305
Real development result	807,682	177,916
Remeasurement on liabilities (assets) for work separation - net	(618,937)	(54,534)
Contributions paid	3,912	222,376
Termination cost	-	(3,617)
Assets ceiling	(4,621)	(770)
Remeasurement of fair value assets	1,885	-
Contributions - entity	(952)	-
	(343)	-
Ending Balance (Note 27)	1,962,302	1,773,676

Remeasurement of liabilities (assets) for defined Work Separation Scheme as of December 31, 2021 and 2020, are as follows:

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
Beginning balance	(781,130)	(1,003,506)
Actuarial (loss) gain	3,912	222,376
Remeasurement on liabilities (assets) for work separation - net	(777,218)	(781,130)

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

42. EMPLOYEES PROGRAM (continued)

d. Work Separation Scheme (continued)

Work Separation Scheme expense calculation for the year ended December 31, 2021 and 2020 in accordance with the actuarial calculation is as follows:

	For the year ended December 31,	
	2021	2020
Current service cost	209,118	112,802
Interest expense	104,028	56,528
Severance cost	418,740	14
Past service cost	161,803	1,630
Remeasurement of other		
Long term benefits	-	443
Payment of termination fee	2,858	295
Difference in employee benefits		
Recorded in expense	472	6,204
Actuarial Gain/ Loss	(89,337)	-
Work separation scheme expense (Note 35)	807,682	177,916

e. Defined Benefit Pension Plan (PT Pegadaian)

The actuarial calculation of PT Pegadaian defined pension plan as of December 31, 2021 and 2020 which was prepared in accordance with SFAS No. 24 using the Projected Unit Credit and considering the following assumptions:

	December 31, 2021	December 31, 2020
Parent Entity		
Discount rate	7.50%	7.30%
Salary growth rate	7.00	7.00
Mortality rate	TMI 2019	GAM - 1971
Disability rate	0.01% of TMI	0.01% of GAM
	from mortality	from mortality
Normal retirement age	56 year old	56 year old

Movements in liabilities (assets) program defined benefit pension plan as of December 31, 2021 and 2020 are as follows:

	December 31, 2021	December 31, 2020
Beginning balance	20,670	19,560
Defined benefit pension		
expense (Note 35)	2,797	2,993
Contributions paid – current period	(10,106)	(7,198)
Remeasurement of liabilities (assets)		
For defined pension benefit – net	6,667	5,315
Ending Balance (Note 27)	20,028	20,670

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

42. EMPLOYEES PROGRAM (continued)

e. Defined Benefit Pension Plan (PT Pegadaian) (continued)

Remeasurement of assets for defined benefit pension as of December 31, 2021 and 2020 are as follows:

	December 31, 2021	December 31, 2020
Beginning Balance	32,373	27,058
Actuarial Gain	6,667	5,315
Remeasurement of liabilities		
For defined pension benefit - net	39,040	32,373

Pension benefit expense calculation for the year then ended December 31, 2021 and 2020, respectively, in accordance with the actuarial calculation is as follows:

	For the year ended December 31,	
	2021	2020
Current service cost	1,288	1,409
Interest expense	1,509	1,584
Defined benefit pension		
Expense (Note 35)	2,797	2,993

f. Other Long-term Employee Benefits

BRI employees also have long-term employee benefits, such as gratuity for services, grand leaves, post employment BPJS health program and other benefit program of additional benefit fund.

(i) Allowance for gratuity services

The actuarial calculation on gratuity for services as of December 31, 2021 and 2020 which was prepared in accordance with SFAS No. 24 (Revised 2013) using the Projected Unit Credit method and considering the following assumptions:

	December 31, 2021	December 31, 2020
Parent Entity		
Discount Rate	7.60%	7.30%
Salary growth rate	7.50	7.50
Gold price growth rate	10.00	10.00
Mortality Rate	TMI 2019	TMI 2019
Disability Rate	10.00% from TMI	10.00% from TMI
Subsidiary		
Discount Rate	4.40 – 7.50%	7.30 - 8.10%
Salary growth rate	7.00 – 10.00	7.00 - 10.00
Gold price growth rate	(Bank Raya)	8.00 (Bank Raya)
Mortality Rate	TMI II 1999 and TM IV 2019 GAM-1971	TMI II 1999, TM IV 2019 GAM-1971
Disability Rate	0.01 - 10% from mortality	0.01 - 10.00% from mortality

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

42. EMPLOYEES PROGRAM (continued)

f. Other Long-term Employee Benefits (continued)

(i) Allowance for gratuity services (continued)

Movements in the liability for gratuity for services as of December 31, 2021 and 2020 are as follows:

	December 31, 2021	December 31, 2020
Beginning Balance	1,527,953	1,383,775
Gratuity of service expense	332,633	247,454
Actual benefit paid by BRI	(88,701)	(139,285)
Actuarial gain/ loss	(18,225)	36,009
Gratuity for services liability (Note 27)	1,753,660	1,527,953

The gratuity for services expense calculation for the year ended December 31, 2021 and 2020, in accordance with the actuarial calculation is as follows:

	For the year ended December 31,	
	2021	2020
Current service cost	160,716	125,956
Interest expense	108,600	107,071
Past service cost	137,164	4,131
Recognized actuarial gain	(73,847)	10,296
Gratuity for service Expense (Note 35)	332,633	247,454

(ii) Grand leaves

The actuarial calculation on grand leaves as of December 31, 2021 and 2020 telah was prepared in accordance with SFAS No. 24 (Revised 2013) using the Projected Unit Credit method and considering the following assumptions:

	December 31, 2021	December 31, 2020
Parent Entity		
Discount Rate	7.30%	6.90%
Salary growth rate	7.50	7.50
Gold price growth rate	10.00	10.00
Mortality Rate	TMI 2019	TMI 2019
Disability Rate	10.00% from TMI 2019	10.00% from TMI 2019

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

42. EMPLOYEES PROGRAM (continued)

f. Other Long-term Employee Benefits (continued)

(ii) Grand leaves (continued)

The actuarial calculation on grand leaves as of December 31, 2021 and 2020 telah was prepared in accordance with SFAS No. 24 (Revised 2013) using the Projected Unit Credit method and considering the following assumptions:

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
Subsidiary		
Discount Rate	4.70 - 7.50%	4.90 - 7.50%
Salary growth rate	5.00 – 10.00	5.00 - 10.00
Mortality Rate	TMI 2019 TMI-II 1999 GAM-1971	TMI 2019 TMI-II 1999 GAM-1971
Disability Rate	0.01 – 10.00% from mortality	0.10 - 10.00% from mortality

Movements in the liability for grand leaves as of December 31, 2021 and 2020 are as follows:

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
Beginning balance of liability	2,460,616	2,291,243
Grand leaves expense (Note 35)	997,448	485,016
Actual benefit paid by BRI	(509,196)	(315,643)
Grand leaves liability (Note 27)	2,948,868	2,460,616

The grand leaves expense calculation for the year ended December 31, 2021 and 2020 in accordance with the actuarial calculation is as follows:

	<u>For the year ended December 31,</u>	
	<u>2021</u>	<u>2020</u>
Current service cost	395,700	312,629
Interest expense	152,956	169,974
Recognized actuarial (gain)/loss	106,735	2,013
Past service cost	342,057	400
Grand leaves expense (Note 35)	997,448	485,016

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

42. EMPLOYEES PROGRAM (continued)

f. Other Long-term Employee Benefits (continued)

(iii) Post Employment BPJS Health Program

The actuarial calculation on Post Employment BPJS Health Program as of December 31, 2021 and 2020 which was prepared in accordance with SFAS No. 24 (Revised 2013) using the Projected Unit Credit method and considering the following assumptions (parent entity):

	December 31, 2021	December 31, 2020
Discount Rate	7.50%	7.10%
Salary growth rate	4.88	4.88
Mortality Rate	TMI 2019	TMI 2019
Disability Rate	10.00% from TMI 2019	10.00% from TMI 2019

Post Employment BPJS Health Program status in accordance with the actuarial valuation as of December 31, 2021 and 2020 are as follows:

	December 31, 2021	December 31, 2020
Present value of post employment BPJS health program liability	2,056,353	2,242,107
Fair value of assets	(1,457,718)	(1,467,529)
Deficit	598,635	774,578

Movements in the liability for Post Employment BPJS Health Program as of December 31, 2021 and 2020 are as follows:

	December 31, 2021	December 31, 2020
Beginning balance of liabilities	774,578	22,737
Post employment BPJS health program expense (Note 35)	148,829	906,326
Contribution paid in current period	-	(570,082)
Remeasurement of post employment BPJS health program liabilities (assets)	(324,772)	415,597
Post employment BPJS health program liability (Note 27)	598,635	774,578

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

42. EMPLOYEES PROGRAM (continued)

f. Other Long-term Employee Benefits (continued)

(iii) Post Employment BPJS Health Program (continued)

Remeasurement of liabilities (assets) for Post Employment BPJS Health Program as of December 31, 2021 and 2020 are as follows:

	December 31, 2021	December 31, 2020
Beginning balance	395,603	(19,994)
Actuarial (gain) loss	(391,626)	335,603
Yields of program assets	66,854	79,994
Remeasurement on defined benefit liabilities - net	70,831	395.603

The post employment BPJS Health Program expense calculation for the year ended December 31, 2021 and 2020 in accordance with the actuarial calculation is as follows:

	For the year ended December 31,	
	2021	2020
Current service cost	93,834	50,531
Interest expense - net	54,995	(21,247)
Past service cost	-	877,042
Post employment BPJS health program expense (Note 35)	148,829	906,326

(iv) Other benefit program of additional benefit fund

The actuarial calculation on BRI's other benefit program of additional benefit fund as of December 31, 2021 and 2020 was prepared in accordance with SFAS No. 24 (Revised 2013), using the Projected Unit Credit method and considering the following assumptions:

	December 31, 2021	December 31, 2020
Discount Rate	7.60%	7.70%
Salary growth rate	7.50	7.50
Pension benefit growth rate	4.00	4.00
Mortality Rate	TMI 2019	TMI 2019
Disability Rate	10% from TMI 2019	10% from TMI 2019
Normal retirement age	56 Years	56 Years

The assets of DPBRI mainly consist of saving deposits, time deposits, securities, mutual fund units, securities with collateral assets and long-term investments in the form of shares of stocks and property.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

42. EMPLOYEES PROGRAM (continued)

f. Other Long-term Employee Benefits (continued)

(iv) Other benefit program of additional benefit fund (continued)

Movement in the of fair value of program assets as of December 31, 2021 and 2020 are as follows:

	December 31, 2021	December 31, 2020
Present value of defined benefit pension liability - beginning balance	1,998,863	1,893,175
Interest expense	147,895	145,101
Current service cost	17,787	18,071
Past service cost	91,412	-
Benefit Paid	(156,309)	(247,304)
Actuarial (gain) loss	28,083	189,820
Present value of defined benefit pension liabilities - ending balance	2,127,731	1,998,863

Movement in the of fair value of program assets as of December 31, 2021 and 2020 are as follows:

	December 31, 2021	December 31, 2020
Fair value of program assets - beginning	1,733,620	1,827,092
Benefit paid	(156,309)	(247,304)
Real development result	299,267	149,547
Contribution paid - employer	97,536	4,285
Total program assets	1,974,114	1,733,620

Movement in the other benefit program of additional benefit fund liability as of December 31, 2021 and 2020 are as follows:

	December 31, 2021	December 31, 2020
Beginning balance	265,245	66,084
Other benefit program of additional Benefit fund expense - net	125,867	23,315
Remeasurement of liabilities (assets) - net	(139,959)	180,131
Contribution paid - employer	(97,536)	(4,285)
Ending Balance (Note 27)	153,617	265,245

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

42. EMPLOYEES PROGRAM (continued)

f. Other Long-term Employee Benefits (continued)

(iv) Other benefit program of additional benefit fund (continued)

Remeasurement of liabilities (assets) for other benefit program of additional benefit fund as of December 31, 2021 and 2020 are as follows:

	December 31, 2021	December 31, 2020
Beginning balance	208,702	28,571
Actuarial (gain)/loss	28,083	189,820
Yields of program assets	(168,042)	(9,689)
Remeasurement of liabilities (assets) for defined pension benefit - net	68,743	208,702

Other benefit program of additional benefit fund expense for the year ended December 31, 2021 and 2020 based on the actuarial calculation is as follows:

	For the year ended December 31,	
	2021	2020
Past service cost	91,412	-
Current service cost	17,787	18,072
Interest expense - net	16,668	5,243
Other benefit program of additional benefit fund expense (Note 35)	125,867	23,315

g. Sensitivity of long-term benefit liability towards changes in actuarial assumptions and analysis of maturity benefits are as follows (BRI only) (unaudited):

(i) Work Separation Scheme

	December 31, 2021	
	Discount rate Assumption	Effect of present value on employee benefit liability
Increase	+1.00%	(86,346)
Decrease	-1.00%	223,745
	December 31, 2020	
	Discount rate Assumption	Effect of present value on employee benefit liability
Increase	+1.00%	(83,766)
Decrease	-1.00%	227,117

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

42. EMPLOYEES PROGRAM (continued)

- g. Sensitivity of long-term benefit liability towards changes in actuarial assumptions and analysis of maturity benefits are as follows (BRI only) (unaudited) (continued):

- (i) Work Separation Scheme (continued)

Present Value of Defined Benefit Liability

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Maturity</u>		
< 1 year	64,100	56,458
1 - < 2 years	59,613	51,710
2 - < 3 years	55,481	48,008
3 - < 4 years	51,231	44,129
4 - < 5 years	48,293	40,531
> 5 years	547,688	460,918

- (ii) Defined Benefit Pension Plan

<u>December 31, 2021</u>		
	<u>Discount rate Assumption</u>	<u>Effect of present value on employee benefit liability</u>
Increase	+1.00%	(603,999)
Decrease	-1.00%	675,426
<u>December 31, 2020</u>		
	<u>Discount rate Assumption</u>	<u>Effect of present value on employee benefit liability</u>
Increase	+1.00%	(509,615)
Decrease	-1.00%	570,339

Maturity Contribution

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Maturity</u>		
< 1 year	337,535	313,033
1 - < 2 years	308,436	284,962
2 - < 3 years	304,606	281,411
3 - < 4 years	299,565	276,288
4 - < 5 years	293,503	269,731
> 5 years	893,639	811,185

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

42. EMPLOYEES PROGRAM (continued)

- g. Sensitivity of long-term benefit liability towards changes in actuarial assumptions and analysis of maturity benefits are as follows (BRI only) (unaudited) (continued):

(iii) Retirement Benefits Plan

December 31, 2021		
	Discount rate Assumption	Effect of present value on employee benefit liability
Increase	+1.00%	(268,757)
Decrease	-1.00%	310,736

December 31, 2020		
	Discount rate Assumption	Effect of present value on employee benefit liability
Increase	+1.00%	(217,042)
Decrease	-1.00%	250,687

Present Value of Defined Benefit Liability

	December 31, 2021	December 31, 2020
<u>Maturity</u>		
< 1 year	150,774	160,660
1 - < 2 years	133,437	118,883
2 - < 3 years	125,522	123,256
3 - < 4 years	124,395	120,447
4 - < 5 years	116,334	117,896
> 5 years	2,479,047	2,031,073

(iv) Post Employment BPJS Health Program

December 31, 2021		
	Discount rate Assumption	Effect of present value on employee benefit liability
Increase	+1.00%	(311,716)
Decrease	-1.00%	410,280

December 31, 2020		
	Discount rate Assumption	Effect of present value on employee benefit liability
Increase	+1.00%	(347,202)
Decrease	-1.00%	455,622

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

42. EMPLOYEES PROGRAM (continued)

- g. Sensitivity of long-term benefit liability towards changes in actuarial assumptions and analysis of maturity benefits are as follows (BRI only) (unaudited) (continued):

- (iv) Post Employment BPJS Health Program (continued)

Maturity Contribution

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Maturity</u>		
< 1 year	83,912	94,360
1 - < 2 years	88,487	98,986
2 - < 3 years	93,086	103,970
3 - < 4 years	97,896	108,924
4 - < 5 years	103,066	114,058
> 5 years	3,071,983	3,464,172

- (v) Allowance for gratuity for services

<u>December 31, 2021</u>		
	<u>Discount rate Assumption</u>	<u>Effect of present value on employee benefit liability</u>
Increase	+1.00%	(155,544)
Decrease	-1.00%	180,494
<u>December 31, 2020</u>		
	<u>Discount rate Assumption</u>	<u>Effect of present value on employee benefit liability</u>
Increase	+1.00%	(133,063)
Decrease	-1.00%	154,967

Present Value of Defined Benefit Liability

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
<u>Maturity</u>		
< 1 year	103,712	89,521
1 - < 2 years	64,611	86,669
2 - < 3 years	62,445	53,155
3 - < 4 years	86,043	52,553
4 - < 5 years	87,029	72,089
> 5 years	1,246,763	1,055,471

- (vi) Grand leaves

<u>December 31, 2021</u>		
	<u>Discount rate Assumption</u>	<u>Effect of present value on employee benefit liability</u>
Increase	+1.00%	(175,396)
Decrease	-1.00%	197,905

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

42. EMPLOYEES PROGRAM (continued)

- g. Sensitivity of long-term benefit liability towards changes in actuarial assumptions and analysis of maturity benefits are as follows (BRI only) (unaudited) (continued):

(vi) Grand leaves (continued)

	December 31, 2020	
	Discount rate Assumption	Effect of present value on employee benefit liability
Increase	+1.00%	(136,108)
Decrease	-1.00%	153,998

Present Value of Defined Benefit Liability

	December 31, 2021	December 31, 2020
<u>Maturity</u>		
< 1 year	246,079	296,462
1 - < 2 years	192,167	168,277
2 - < 3 years	203,626	128,931
3 - < 4 years	237,897	139,280
4 - < 5 years	223,580	161,658
> 5 years	1,531,638	1,195,996

43. INFORMATION ON COMMITMENTS AND CONTINGENCIES

	December 31, 2021	December 31, 2020
<u>Commitments</u>		
Commitments receivable		
Purchase of foreign currencies spot and futures	11,120,883	3,078,534
Commitments liabilities		
Unused loan facilities granted to debtors (Note 26d)	140,242,306	125,176,691
Sale of foreign currencies spot and futures	74,761,798	55,418,797
Irrevocable Letters of Credit (Note 26d)	9,687,798	8,974,190
Unused financing facilities granted to debtors	-	618,452
	224,691,901	190,188,130
Commitments - net	(213,571,018)	(187,109,596)
<u>Contingencies</u>		
Contingencies receivable		
Interest receivable in progress	3,537	144,901
Contingent liabilities		
Guarantees issued (Note 26d)		
in the form of:		
Bank Guarantee	36,518,208	35,931,693
Stand by Letters of Credits	15,334,403	8,752,803
	51,852,611	44,684,496
Contingencies - net	(51,849,074)	(44,539,595)

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

44. TRANSACTIONS WITH RELATED PARTIES

In the normal course of business, BRI engages in transactions with related parties due to ownership and/or management relationship. All transactions with related parties have been carried out according to the mutually agreed policies and terms.

Balances and transactions with related parties are as follows:

Related parties	Type of relationship	Element of related party transactions
Key employees	Control relationship on company's activities	Loans, Deposits from customers
Government of the Republic of Indonesia (RI)	Ownership of majority shares through the Ministry of Finance of the Republic of Indonesia	Securities
Perum BULOG	Ownership relationship through the Government of the Republic of Indonesia	Loans
PT Pupuk Indonesia (Persero)	Ownership relationship through the Government of the Republic of Indonesia	Securities
PT Sarana Multigriya Finansial (Persero)	Ownership relationship through the Government of the Republic of Indonesia	Securities
PT Sarana Multi Infrastruktur (Persero)	Ownership relationship through the Government of the Republic of Indonesia	Securities
PT Bank Mandiri (Persero) Tbk	Ownership relationship through the Government of the Republic of Indonesia	Securities, Current account with other banks, Placements with Bank Indonesia and other financial Institutions
PT Bank Negara Indonesia (Persero) Tbk	Ownership relationship through the Government of the Republic of Indonesia	Current account with other banks, Placements with Bank Indonesia and other financial institutions
PT Telekomunikasi Indonesia (Persero) Tbk	Ownership relationship through the Government of the Republic of Indonesia	Loans
PT Petrokimia Gresik	Ownership relationship through the Government of the Republic of Indonesia	Irrevocable L/C
PT Perusahaan Listrik Negara (Persero)	Ownership relationship through the Government of the Republic of Indonesia	Securities, Loans, Irrevocable L/C
PT Bahana Artha Ventura	Ownership relationship through the Government of the Republic of Indonesia	Investment in associated entities
PT Bahana TWC Investment Management	Ownership relationship through the Government of the Republic of Indonesia	Securities
PT Bank Syariah Indonesia Tbk	Ownership relationship through the Government of the Republic of Indonesia	Investment in associated entities, Current account with other banks, Placements with Bank Indonesia and other financial institutions
PT Perusahaan Gas Negara (Persero)	Ownership relationship through the Government of the Republic of Indonesia	Guarantees issued
PT Pupuk Kalimantan Timur	Ownership relationship through the Government of the Republic of Indonesia	Irrevocable L/C
PT PP Urban	Ownership relationship through the Government of the Republic of Indonesia	Export bills and notes receivables

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

44. TRANSACTIONS WITH RELATED PARTIES (continued)

In the normal course of business, BRI engages in transactions with related parties due to ownership and/or management relationship. All transactions with related parties have been carried out according to the mutually agreed policies and terms. (continued)

Balances and transactions with related parties are as follows (continued):

Related parties	Type of relationship	Element of related party transactions
PT Bank Tabungan Negara (Persero) Tbk	Ownership relationship through the Government of the Republic of Indonesia	Current account with other banks, Placements with Bank Indonesia and other financial institutions
PT Danareksa Investment Management	Ownership relationship through the Government of the Republic of Indonesia	Investment in associated entities, securities
PT Dirgantara Indonesia (Persero)	Ownership relationship through the Government of the Republic of Indonesia	Loans, Irrevocable L/C, Export bills and notes receivable
PT Garuda Indonesia (Persero) Tbk	Ownership relationship through the Government of the Republic of Indonesia	Loans
PT Garuda Maintenance Facility Aero Asia Tbk	Ownership relationship through the Government of the Republic of Indonesia	Loans
PT Kereta Api Indonesia (Persero)	Ownership relationship through the Government of the Republic of Indonesia	Irrevocable L/C, Loans, Acceptance receivable
PT Krakatau Steel (Persero) Tbk	Ownership relationship through the Government of the Republic of Indonesia	Loans Export bills and notes receivable Acceptances receivable,
PT Pembangunan Perumahan (Persero) Tbk	Ownership relationship through the Government of the Republic of Indonesia	Guarantees issued, Acceptances receivable, Irrevocable L/C
PT Pertamina (Persero)	Ownership relationship through the Government of the Republic of Indonesia	Guarantees issued, Irrevocable L/C, Securities
PT Pertamina Patra Niaga	Ownership relationship through the Government of the Republic of Indonesia	Acceptance receivable, Guarantees issued Irrevocable L/C
PT Adhi Karya (Persero) Tbk	Ownership relationship through the Government of the Republic of Indonesia	Guarantees issued
PT Indonesia Asahan Aluminium (Persero)	Ownership relationship through the Government of the Republic of Indonesia	Securities, Irrevocable L/C Acceptances receivable,
PT Wijaya Karya Beton Tbk	Ownership relationship through the Government of the Republic of Indonesia	Export bills and notes receivable
PT Telekomunikasi Selular	Ownership relationship through the Government of the Republic of Indonesia	Guarantees issued
PT Bank Ekspor Indonesia	Ownership relationship through the Government of the Republic of Indonesia	Guarantees issued

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

44. TRANSACTIONS WITH RELATED PARTIES (continued)

In the normal course of business, BRI engages in transactions with related parties due to ownership and/or management relationship. All transactions with related parties have been carried out according to the mutually agreed policies and terms. (continued)

Balances and transactions with related parties are as follows (continued):

Related parties	Type of relationship	Element of related party transactions
PT Rekayasa Industri	Ownership relationship through the Government of the Republic of Indonesia	Acceptances receivable
PT Pertamina Hulu Rokan	Ownership relationship through the Government of the Republic of Indonesia	Guarantees issued
PT Bio Farma (Persero)	Ownership relationship through the Government of the Republic of Indonesia	Irrevocable L/C
PT PP Presisi Tbk	Ownership relationship through the Government of the Republic of Indonesia	Export bills and notes receivable
PT Adhi Persada Beton	Ownership relationship through the Government of the Republic of Indonesia	Export bills and notes receivable
PT Petrosida Gresik	Ownership relationship through the Government of the Republic of Indonesia	Acceptances receivable Export bills and notes receivable
PT Trans Jabar Tol	Ownership relationship through the Government of the Republic of Indonesia	Loans
PT Waskita Karya (Persero) Tbk	Ownership relationship through the Government of the Republic of Indonesia	Loans, Guarantees issued
PT Wijaya Karya (Persero) Tbk	Ownership relationship through the Government of the Republic of Indonesia	Guarantees issued Export bills and notes receivable
PT Wijaya Karya Bangunan Gedung Tbk	Ownership relationship through the Government of the Republic of Indonesia	Acceptances receivable, Export bills and notes receivable
PT Utama Karya (Persero)	Ownership relationship through the Government of the Republic of Indonesia	Finance receivable
PT Hakaaston	Ownership relationship through the Government of the Republic of Indonesia	Finance receivable
PT Prima Armada Raya	Ownership relationship through the Government of the Republic of Indonesia	Finance receivable
PT Pindad (Persero)	Ownership relationship through the Government of the Republic of Indonesia	Acceptances receivable, Export bills and notes receivable
PT Wijaya Karya Industri Energi	Ownership relationship through the Government of the Republic of Indonesia	Acceptances receivable
PT Fintek Karya Nusantara	Ownership relationship through the Government of the Republic of Indonesia	Investment in associated entities
PT Pefindo Biro Kredit	Ownership relationship through the Government of the Republic of Indonesia	Investment in associated entities

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

44. TRANSACTIONS WITH RELATED PARTIES (continued)

	December 31, 2021	December 31, 2020
Assets		
Current account with other banks (Note 5)		
PT Bank Negara Indonesia (Persero) Tbk	1,070,862	897,748
PT Bank Tabungan Negara (Persero) Tbk	504,703	1,163,378
PT Bank Syariah Indonesia Tbk	209,764	-
PT Bank Mandiri (Persero) Tbk	197,265	376,287
PT Bank Syariah Mandiri	-	87,855
PT Bank BNI Syariah	-	92,326
	1,982,594	2,617,594
Placement with Bank Indonesia and other financial institution (Note 6)		
PT Bank Mandiri (Persero) Tbk	1,252,463	1,098,850
PT Bank Tabungan Negara (Persero) Tbk	553,250	561,400
PT Bank Negara Indonesia (Persero) Tbk	434,775	228,650
PT Bank Syariah Indonesia Tbk	324,200	-
PT Bank Syariah Mandiri	-	12,000
PT Bank BNI Syariah	-	6,500
	2,564,688	1,907,400
Securities (Note 7)		
Republic of Indonesia (RI)	303,816,274	282,793,766
PT Danareksa Investment Management	2,244,865	170,890
PT Perusahaan Listrik Negara (Persero)	2,073,214	2,144,784
PT Bank Mandiri (Persero) Tbk	1,237,701	1,374,914
PT Sarana Multigriya Finansial (Persero)	1,186,714	1,455,260
PT Sarana Multi Infrastruktur (Persero)	1,155,296	1,003,489
PT Pertamina (Persero)	1,132,101	882,056
PT Bahana TCW Investment Management	979,889	134,101
PT Indonesia Asahan Aluminium (Persero)	956,684	-
PT Pupuk Indonesia (Persero)	926,582	333,298
Others	7,859,325	8,048,595
	323,568,645	298,341,153
Export Bills and notes receivables (Note 8)		
PT Wijaya Karya Beton (Persero) Tbk	299,362	10,228
PT Krakatau Steel (Persero) Tbk	283,035	-
PT Wijaya Karya (Persero) Tbk	278,417	-
PT PP Presisi Tbk	228,445	90,658
PT Wijaya Karya Bangunan Gedung Tbk	223,256	63,244
PT Adhi Persada Beton	99,725	1,286
PT Dirgantara Indonesia	72,786	824,381
PT Pindad	60,078	78,889
PT PP Urban	45,628	37,324
PT Petrosida Gresik	42,147	-
Others	211,992	709,682
	1,844,871	1,815,692

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

44. TRANSACTIONS WITH RELATED PARTIES (continued)

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
Assets (continued)		
Loans (Note 11)		
PT Perusahaan Listrik Negara (Persero)	12,048,560	16,182,590
Perum BULOG	5,258,303	5,841,839
PT Waskita Karya (Persero)	4,541,653	2,617,195
PT Garuda Indonesia (Persero)	4,203,263	2,414,805
PT Kereta Api (Persero)	2,976,708	2,355,585
PT Telekomunikasi Indonesia (Persero)	2,218,182	2,800,000
PT Dirgantara Indonesia	2,125,426	1,813,992
PT Krakatau Steel	2,074,259	2,031,937
PT Garuda Maintenance Facility Aero AsiaTbk	2,009,097	1,317,915
PT Trans Jabar Tol	1,654,829	1,848,697
Key employees	185,023	186,633
Others	28,287,531	32,962,505
	<u>67,582,834</u>	<u>72,373,693</u>
Sharia receivables and financing (Note 12)		
PT Angkasa Pura I (Persero)	-	1,000,000
PT Pegadaian (Persero)	-	558,387
PT Waskita Beton Precast Tbk	-	470,000
PT Semen Indonesia Tbk	-	341,088
PT Citra Waspphutowa	-	324,529
PT Kimia Farma Apotek	-	270,000
PT Jasa Marga JalanLayang Cikampek	-	180,255
PT Perusahaan Listrik Negara (Persero)	-	101,276
PT Cimanggis Cibitung Tollways	-	98,773
PT Jasamarga Balikpapan Samarinda	-	84,919
Key employees	-	8,274
Others	-	361,356
	<u>-</u>	<u>3,798,857</u>
Finance receivables (Note 13)		
PT Hutama Karya Infrastruktur	16,308	24,478
PT Prima Armada Raya	9,546	-
PT Hakaaston	865	13,667
PT Hutama Karya (Persero)	-	3,008
	<u>26,719</u>	<u>41,153</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

44. TRANSACTIONS WITH RELATED PARTIES (continued)

	December 31, 2021	December 31, 2020
Assets (continued)		
Acceptances receivable & payable (Note 14)		
PT Pembangunan Perumahan (Persero) Tbk	1,243,621	683,041
PT Pertamina Patra Niaga	1,544,375	20,507
PT Krakatau Steel (Persero) Tbk	418,481	500,603
PT Kereta Api Indonesia (Persero)	170,317	-
PT Wijaya Karya Bangunan Gedung Tbk	153,426	38,271
PT Pindad (Persero)	93,127	33,119
PT Petrosida Gresik	89,624	21,702
PT Rekayasa Industri	22,910	19,153
PT Wijaya Karya Industri Energi	18,619	36,389
PT Indonesia Asahan Aluminium	7,846	-
Others	8,959	420,295
	3,771,305	1,773,080
Investment in associated entites (Note 15)		
PT Bank Syariah Indonesia Tbk	4,055,195	-
PT Fintek Karya Nusantara	565,564	565,245
PT Danareksa Investment Management	388,677	380,198
PT Bahana Artha Ventura	75,947	74,396
PT Pefindo Biro Kredit	5,725	690
	5,091,108	1,020,529
Total assets from related parties	406,432,764	383,689,151
Total consolidated assets	1,678,097,734	1,610,065,344
Percentage of total assets from related Parties to total consolidated assets	24.22%	23.83%
Liabilities		
Demand Deposits (Note 19)		
Government Entities and Institutions	94,443,538	57,426,534
Key employees	6,656	17,430
Others	200,138	427,677
	94,650,332	57,871,641
Saving Deposits (Note 20)		
Government Entities and Institutions	117,482	158,893
Key employees	203,830	221,796
Others	258,907	279,585
	580,219	660,274
Time deposits (Note 21)		
Government Entities and Institutions	122,359,789	75,966,314
Key employees	140,226	176,670
Others	987,190	1,228,527
	123,487,205	77,371,511

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

44. TRANSACTIONS WITH RELATED PARTIES (continued)

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
Liabilities (continued)		
Deposits from other banks and financial institutions (Note 22)		
Government Entities and Institutions	1,041,927	1,281,947
Securities sold under agreement to repurchase (Note 23)		
Government Entities and Institutions	3,784,315	654,089
Fund borrowings (Note 25)		
Government Entities and Institutions	20,107,689	22,262,333
Compensation to key employee management (Note 42)		
Present value of defined benefit pension liability	1,015,376	745,340
Present value of work separation scheme liability	155,645	117,881
Present value of old age benefit liability	280,972	173,811
Present value of grand leaves liability	163,469	79,271
Present value of gratuity for service liability	117,397	61,502
Present value of other benefit program of defined benefit payment liability	21,677	19,544
Present value of BPJS liability	34,789	28,964
	<u>1,789,325</u>	<u>1,226,313</u>
Total liabilities to related parties	245,441,012	161,328,108
Total consolidation liabilities	1,386,310,930	1,347,101,486
Percentage of liabilities to related parties to total consolidated liabilities	17.70%	11.98%
<i>Syirkah</i> temporary fund		
Government entities, institution, and key employee	-	6,613,045
Percentage to total <i>syirkah</i> temporary fund	0.00%	19.71%
	<u>December 31, 2021</u>	<u>December 31, 2020</u>
Commitment and contingencies in the administrative accounts		
Guarantees issued (Note 26b)		
PT Wijaya Karya (Persero) Tbk	5,140,216	5,172,180
PT Pertamina Patra Niaga	3,955,689	-
PT Pembangunan Perumahan (Persero) Tbk	3,733,058	3,662,833
PT Waskita Karya (Persero) Tbk	2,982,871	1,545,340
PT Pertamina (Persero)	2,317,099	1,571,164
PT Adhi Karya (Persero) Tbk	1,930,965	1,058,282
PT Perusahaan Gas Negara	1,622,196	459,194
PT Pertamina Hulu Rokan	886,819	702,500
PT Bank Ekspor Indonesia	814,532	-
PT Telekomunikasi Selular	619,484	590,219
Others	4,172,892	7,542,884
	<u>28,175,821</u>	<u>22,304,596</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

44. TRANSACTIONS WITH RELATED PARTIES (continued)

	December 31, 2021	December 31, 2020
Commitment and contingencies in the administrative accounts (continued)		
Irrevocable L/C (Note 26b)		
PT Kereta Api Indonesia (Persero)	1,839,233	1,812,164
PT Pertamina Patra Niaga	852,523	91,416
PT Bio Farma (Persero)	834,440	-
PT Indonesia Asahan Aluminium (Persero)	702,885	522,705
PT Pembangunan Perumahan (Persero) Tbk	530,925	428,660
PT Perusahaan Listrik Negara (Persero)	380,945	134,566
PT Pupuk Kalimantan Timur	293,710	30,036
PT Dirgantara Indonesia	172,036	299,607
PT Pertamina (Persero)	93,670	633,404
PT Petrokimia Gresik	96,324	236,615
Others	323,700	1,049,296
	6,120,391	5,238,469
	For the year ended December 31,	
	2021	2020
Salaries and allowance for the Board of Commissioners and Directors (Note 35)		
Salaries and allowance for the Board of Directors	177,412	168,326
Salaries and allowance for the Board of Commissioners	70,085	63,579
Total	247,497	231,905
Tantiem, bonuses and incentives Board of Commissioners, Directors and key employee (Note 35)		
Tantiem for Directors	339,890	292,518
Tantiem for Commissioners	135,632	136,333
Bonuses and Incentives for key employee	814,918	961,505
Total	1,290,440	1,390,356

Percentage of transactions with related parties to total consolidated assets and liabilities of BRI and subsidiaries are as follows:

	December 31, 2021	December 31, 2020
Assets		
Current accounts with other banks	0.118%	0.163%
Placement with Bank Indonesia and other financial institution	0.153	0.018
Securities	19.282	18.530
Export Bills and notes receivables	0.110	0.113
Loan	4.027	4.495
Sharia receivables and financing	0.000	0.236
Finance receivables	0.002	0.003
Acceptance receivable	0.225	0.110
Investment in associated entities	0.303	0.063
Total	24.220%	23.831%

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

44. TRANSACTIONS WITH RELATED PARTIES (continued)

Percentage of transactions with related parties to total consolidated assets and liabilities of BRI and subsidiaries are as follows (continued):

	December 31, 2021	December 31, 2020
Liabilities		
Demand Deposits	6.827%	4.296%
Saving Deposits	0.042	0.049
Time Deposits	8.908	5.744
Deposits from other bank and other financial institution	0.075	0.095
Securities sold under agreement to repurchased	0.273	0.049
Fund borrowing	1.450	1.653
Compensation to key employees management	0.129	0.091
Total	17.704%	11.977%

45. SIGNIFICANT AGREEMENTS, COMMITMENTS AND CONTINGENCIES

a. Significant Agreements

- 1) On July 26, 2021, BRI entered into an agreement with PT Bringin Inti Teknologi in connection with the Procurement of Managed Service CRM RBB in 2021 (Zone 1 and Zone 2) for a period of 60 (sixty) months with a contract value of Rp613,766.
- 2) On July 26, 2021, BRI entered into an agreement with PT Insan Teknologi Semesta in connection with the Procurement of Managed Service CRM RBB in 2021 (Zone 3) for a period of 60 (sixty) months with a contract value of Rp315,225.
- 3) On March 22, 2021 and March 24, 2021, BRI entered into an agreement with PT Bringin Gigantara, PT Swadharma Sarana Informatika, PT Tunas Artha Gardatama, PT Advantage Supply Chain Management and PT Jalin Pembayaran Nusantara in connection with the Procurement of ATM Management Services Extension by Third Parties in 2021 (CRO Versions 3 and 4), then on June 9, 2021, BRI entered into an agreement with PT Bringin Gigantara in connection with the Procurement of ATM Management Services extension by Third Parties in 2021 (CRO Kolaborasi) for a period of 365 (three hundred and sixty-five) days with a contract value of Rp838,736.
- 4) On May 3, 2021, BRI entered into an agreement with PT SAP Indonesia in connection with the Procurement of BRIFIRST Software for a period of 36 (thirty-six) months with a contract value of Rp280,000.
- 5) On March 2, 2021, BRI signed a Distribution Agreement with BRI Life in connection with bri life product marketing cooperation through BRI distribution channels.
- 6) On January 5, 2021, BRI entered into an agreement with PT Adhi Karya (Persero) Tbk in connection with the Procurement of Contractor Services implementing the Construction Work of the BRI Medan Tower Building for a period of 420 (four hundred and twenty) days with a contract value of Rp316,500.
- 7) On January 15, 2021, BRI entered into an agreement with PT Satkomindo Mediyasa in connection with the Procurement of SPK Extension of MPLS Provider Satkomindo Communication Network Lease for a period of 24 (twenty-four) months with a contract value of Rp82,144.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

45. SIGNIFICANT AGREEMENTS, COMMITMENTS AND CONTINGENCIES (continued)

a. Significant Agreements (continued)

- 8) On November 13, 2020, BRI entered into an agreement with PT Bringin Inti Teknologi and PT Datindo Infonet Prima in connection with the 2020 RBB Managed Service CRM Procurement (Zone 1, 2 and 3) for a period of 60 (sixty) months with a contract value worth Rp682,328 and Rp308,396, respectively.
- 9) On November 3, 2020, BRI entered into an agreement with PT Telekomunikasi Indonesia (Persero) Tbk in connection with the Procurement of Communication Line Leases for the Need for Replacement of BRISPOT Equipment for Micro Business Line Credit Officers with a contract value of Rp260,899.
- 10) On July 8, 2020, BRI entered into an agreement with PT Telekomunikasi Indonesia (Persero) in connection with the Procurement of VSAT Remote Terminal and VSAT Satlink Managed Services for Phase 3 BRISat Integration for a period of 5 (five) years with a contract value of Rp181,776.

b. Contingent Liabilities

In conducting its business, BRI faces various legal cases and lawsuit, in which BRI is the defendant, mainly regarding the compliance with contracts. Although there is no clear certainty, BRI believes that based on existing information and the ultimate resolution of these cases, these legal cases and lawsuits will not likely have a material effect on the operations, financial position or liquidity level of BRI.

As of December 31, 2021 and 2020, BRI has provided an allowance (presented in "Other Liabilities" account) for several pending lawsuits filed against BRI amounting Rp1,972,029 and Rp1,141,920, respectively (Note 28). Management believes that the allowance is adequately provided to cover possible losses arising from pending lawsuits or currently in progress.

46. GOVERNMENT GUARANTEE ON OBLIGATIONS OF COMMERCIAL BANKS

Based on the Presidential Decree No. 26 Year 1998 as implemented through the Minister of Finance Decree dated January 28, 1998 and the Joint Decrees No. 30/270/KEP/DIR and No. 1/BPPN/1998 dated March 6, 1998, of the Board of Directors of Bank Indonesia and Chairman of Indonesian Bank Restructuring Agency (IBRA), the Government provided a guarantee on certain obligations for all commercial banks incorporated in Indonesia. Based on the latest amendment under the Decree of the Minister of Finance No.179/KMK.017/2000 dated May 26, 2000, this guarantee is valid from January 26, 1998 up to January 31, 2001 and can be renewed automatically every 6 (six) months continuously, unless if within 6 (six) months before the maturity of the Guarantee Program period or its extension period, the Minister of Finance announces the termination and/or amendment of the Guarantee Program to the public. For this guarantee, the Government charges premium which is calculated based on a certain percentage in accordance with the prevailing regulations.

In accordance with Minister of Finance Regulation No. 17/PMK.05/2005 dated March 3, 2005, starting from April 18, 2005, the types of commercial bank obligations guaranteed under the Government Guarantee Program include demand deposits, saving deposits, time deposits and borrowings from other banks in the form of inter-bank money market transactions.

The Government Guarantee Program through UP3 ended on September 22, 2005 as stated in the Minister of Finance Regulation No. 68/PMK.05/2005 dated August 10, 2005 regarding the "Calculation and Payment of Premium on Government Guarantee Program on the Payment of Obligations of Commercial Banks" for the period from July 1 to September 21, 2005.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

46. GOVERNMENT GUARANTEE ON OBLIGATIONS OF COMMERCIAL BANKS (continued)

As the substitute for UP3, the Government established an independent institution, the Deposit Insurance Corporation (LPS), based on Law No. 24 Year 2004 dated September 22, 2004 regarding "Deposit Insurance Corporation", in order to provide guarantees on public funds including funds from other banks in the form of demand deposits, time deposits, deposit certificates, saving deposits and/or other similar forms.

Based on Government Regulation No. 66 Year 2008, dated October 13, 2008 regarding "The Amount of Deposit Value Guaranteed by the Deposit Insurance Corporation" amended through LPS Regulation No. 2/PLPS/2010 dated November 25, 2010 regarding the Deposit Insurance Program, Article 29 which stated the guaranteed balance for each customer in each bank is at most Rp2,000,000,000 (full Rupiah)

LPS guarantee interest rate as of December 31, 2021 and 2020 were 3.50% and 4.50%, respectively, for deposits in Rupiah. For deposits in foreign currency as of December 31, 2021 and 2020 were 0.25% and 1.00%, respectively.

47. ISSUED AND REVISED STATEMENTS OF FINANCIAL ACCOUNTING STANDARDS (SFAS) AND INTERPRETATION OF FINANCIAL ACCOUNTING STANDARDS (IFAS)

The following summarizes the SFAS and IFAS which were issued by the Financial Accounting Standards Board (FASB) and Sharia Accounting Standards Board (SASB) and are relevant to BRI and Subsidiaries, but not yet effective for the consolidated financial statements as of December 31, 2021:

Effective on or after January 1, 2022:

- a. Amendment to SFAS No. 22, "Business Combinations on Reference to Conceptual Frameworks". This amendment clarifies the interaction between SFAS No. 22, SFAS No. 57, IFAS No. 30 and the Conceptual Framework of Financial Reporting.
- b. Amendment to SFAS No. 57, "Provisions, Contingent Liabilities, and Contingent Assets regarding Aggravating Contracts - Contract Fulfillment Costs". This amendment clarifies the cost of fulfilling a contract in relation to determining whether a contract is an burdensome contract.
- c. Annual Adjustment 2020 - SFAS No. 71, "Financial Instruments - Fee under test "10 per cent" for derecognition of a financial liability". The amendments clarify the costs included in the entity when assessing whether the terms of the new or modified financial liabilities are substantially different from the terms of the original financial liabilities.

Effective on or after January 1, 2023:

- a. Amendments to SFAS No. 1, "Presentation of Financial Statements regarding the Classification of Liabilities as Short-Term or Long-Term", earlier application is permitted. The amendments specify the requirements for classifying a liability as current or non-current.

Effective on or after January 1, 2025:

- a. SFAS No. 74, "Insurance Contract", adopted from IFRS 17, with earlier application permitted for entities that have also applied SFAS 71 and SFAS 72.

In this time, BRI and its subsidiaries are evaluating and have not determined the impact of the revised SFAS on the consolidated financial statements.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

48. OTHER DISCLOSURES

a. Capital Adequacy Ratio (CAR)

BRI actively manages its capital in accordance with the applicable regulations. The primary objective is to ensure that BRI, at any time, can maintain adequate its capital adequacy to cover inherent risks to its banking activities without reducing the optimization of shareholder's value.

CAR as of December 31, 2021 and 2020 is calculated based on the Financial Services Authority Regulation (POJK) No. 34/POJK.03/2016 regarding the amendment to POJK No. 11/POJK.03/2016 regarding the Minimum Capital Requirement for Commercial Banks.

Based on POJK No. 34/POJK.03/2016, PBI No. 17/22/PBI/2015 regarding the Mandatory Formation of Countercyclical Buffer and POJK No. 46/POJK.03/2015 regarding the Determination of Systemically Important Banks and Capital Surcharges, in addition to the minimum capital requirement in accordance with the risk profile, BRI is required to form additional capital (buffer), in the form of Capital Conservation Buffer, Countercyclical Buffer, and Capital Surcharge, which must be formed gradually since January 1, 2016.

Formation of buffer capital in the form of Capital Conservation Buffer, Countercyclical Buffer and Capital Surcharge that must be formed by BRI based on a certain percentage of risk-weighted assets are 2.5%, 0% and 2.5%, respectively. According to Financial Services Authority Regulation No. 48/POJK.03/2020 dated December 3, 2020 regarding "Amendments to Financial Services Authority Regulation No. 11/POJK.03/2020 regarding the National Economic Stimulus as a Countercyclical Policy for the Impact of the Spread of Coronavirus Disease 2019 (Amendment to POJK Covid-19 Stimulus)", the obligation to fulfill the Capital Conservation Buffer in the capital component of 2.5% of the risk-weighted assets for BUKU 3 and BUKU 4 Banks is temporarily suspended until March 31, 2022.

Based on the BRI's risk profile as of December 31, 2021 and 2020, which are satisfactory, the minimum CAR as of December 31, 2021 and 2020 is set at 9% up to less than 10%.

The determination of BRI's compliance with applicable regulations and ratios is based on the practical accounting regulations that differ from the Indonesian Financial Accounting Standards in several respects. As of December 31, 2021 and 2020, BRI has fulfilled the ratio as required by Bank Indonesia (BI) and Financial Service Authority for capital adequacy ratio.

BRI's CAR (parent entity) as of December 31, 2021 and 2020 are calculated as follows:

	December 31, 2021	December 31, 2020
Core Capital (Tier 1)		
Common Equity (CET 1)	231,982,043	174,297,803
Supplementary Capital (Tier 2)	9,678,720	9,039,734
Total Capital	241,660,763	183,337,537
Risk Weighted Asset (RWA)		
RWA for Credit Risk ^{*)}	761,302,147	702,318,932
RWA for Market Risk ^{**)}	3,275,350	4,705,830
RWA for Operational Risk ^{***)}	191,178,694	182,571,933
Total RWA	955,756,191	889,596,695

^{*)} Credit risk is calculated based on SE OJK No. 42/SEOJK.03/2016 dated September 28, 2016.

^{**)} Market risk is calculated based on SE OJK No. 38/SEOJK.03/2016 dated September 8, 2016.

^{***)} Operational risk is calculated based on SE OJK No. 24/SEOJK.03/2016 dated July 14, 2016.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

48. OTHER DISCLOSURES (continued)

a. Capital Adequacy Ratio (CAR) (continued)

BRI's CAR (parent entity) as of December 31, 2021 and 2020 are calculated as follows (continued):

	December 31, 2021	December 31, 2020
CAR Ratio		
CET 1 Ratio	24.27%	19.59%
Tier 1 Ratio	24.27	19.59
Tier 2 Ratio	1.01	1.02
Total Ratio	25.28	20.61
Tier 1 Minimum Ratio	6.00%	6.00%
CET 1 Minimum Ratio	4.50	4.50
Minimum CAR Based on Risk Profile	9.00	9.00

b. Non-Performing Loans (NPL) Ratio

As of December 31, 2021 and 2020, the NPL ratio of BRI is as follows:

(i) Consolidated (BRI, Bank Raya, BRI Finance, Permodalan Nasional Madani, and Pegadaian)

	December 31, 2021	December 31, 2020
NPL ratio – gross ^{*)}	3.00%	2.88%
NPL ratio - net ^{*)}	0.70	0.87

NPL ratio - net is calculated based on NPL less the minimum allowance for impairment losses in accordance with Bank Indonesia Regulations divided by the total loans.

^{*)} Consolidated as of December 31, 2020 (BRI, Bank Raya, BRI Finance, Permodalan Nasional Madani, Pegadaian, dan BRI Syariah).

c. Custodian Service Activities

BRI conducted custodian services (custodian bank) since 1996 based on its operating license through Bapepam's Chairman Decree No. 91/PM/1996 dated April 11, 1996 and was appointed as the Sub-Registry in conducting Government bonds transactions and administration of Scriptless Bank Indonesia Certificates by Bank Indonesia.

These custodian services are part of the Investment Services Division Activities, which include the following services:

- Safekeeping services and portfolio valuation;
- Settlement handling services;
- Income collection services, including the related tax payments;
- Corporate actions and proxy services;
- Information and reporting services;
- Custody Unit Link and DPLK services;
- Custodian services for asset securitization; and
- Global custodian services for securities issued abroad.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

48. OTHER DISCLOSURES (continued)

c. Custodian Service Activities (continued)

BRI has 438 (four hundred thirty eight) and 384 (three hundred eighty four) customers (unaudited) as of December 31, 2021 and 2020 which mainly consist of pension funds, financial institutions, insurance institutions and companies, securities companies, mutual funds and other institutions.

The customers' assets deposited in BRI's Custodian (unaudited) amounted to Rp523,266,664 and Rp440,482,007 as of December 31, 2021 and 2020, respectively. Assets held in custodian services activities are not included in the consolidated financial position statements of BRI and its Subsidiaries.

d. Trustee Activities

BRI conducted trustee service activities since 1996. BRI's operating license as trustee was granted by the Minister of Finance based on its Decree No. 1554/KMK.013/1990 dated December 6, 1990 and registered in OJK in accordance with its Registered Certificate as Trustee No. 08/STTD-WA/PM/1996 dated June 11, 1996.

This trustee services are part of the Investment Services Division activities, which include the following services:

- Trustee
- Guarantee agent
- Monitoring agent

e. Trust Services

BRI's Trust Service is a deposit services for customers' assets in the form of financial assets for and on behalf of customers. BRI is the first bank in Indonesia to obtain a license from Bank Indonesia to perform Trust Services in Indonesia through Bank Indonesia letter No. 15/19/DPB1/PB1-3 dated February 12, 2013 and Bank Indonesia confirmation letter No. 15/30/DPB1/PB1-3 dated March 19, 2013.

The scope of BRI's Trust Services includes:

- Paying agent services
- Lending agent services
- Investment agent services
- Other agency services, such as Reception Agent and Guarantees Agent

Currently, BRI has been provided Trust Services for financial transactions involving oil and gas projects, carried out by members of the Cooperation Contract Contractors (K3S) under the auspices of SKK Migas and non K3S projects.

In addition to providing Trust Services, BRI also provides services for Paying Agent and Reception Agent (non-Trust) for other sectors, such as infrastructure, energy, trading and chemical industries. Beside service to direct customers, BRI's Trust Services also participate in supporting BRI's financing business unit in the financing transaction of infrastructure, energy and syndicated financing transactions activities.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

48. OTHER DISCLOSURES (continued)

f. Syndicated Agent

BRI currently provides Syndicated Agent Services for syndicated loan from several sectors/industries including agribusiness sector, infrastructure such as toll roads, ports, airports, power plants, oil and gas, textiles, property and manufacturing involving government projects (BUMN) and private projects.

Syndication agent services is part of the activities of the *Syndication & Financial Services Division*, which include the following services:

- Arranger
- Facilities Agent
- Guarantees Agent
- Suspend Agent

BRI Syndicated Agent Services have managed various syndicated projects with a total project value of Rp397,742,856 and Rp464,327,597 for December 31, 2021 and 2020, respectively.

49. EARNINGS PER SHARE

The calculation of earnings per share (EPS) and diluted share for BRI (the parent entity) are as follows:

	December 31, 2021		
	Income for the Year	Weighted average number of outsandings common shares	Earnings per share (full rupiah)
Basic earnings per share attributable to equity holders of the parent entity	31,066,592	130,552,591,419	238
Addition: Issuance of bonuses shares and stock options	-	20,948,648	-
Diluted earnings per share	31,066,592	130,573,540,067	238

	December 31, 2020		
	Income for the Year	Weighted average number of outsandings common shares	Earnings per share (full rupiah)
Basic earnings per share attributable to equity holders of the parent entity	18,654,753	122,564,847,240	152
Addition: Issuance of bonuses shares and stock options	-	750,463,400	-
Diluted earnings per share	18,654,753	123,315,310,640	151

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

50. CHANGES IN FINANCING ACTIVITIES

	December 31, 2020	Cashflows		Non-cash Changes	December 31, 2021
		Receipts	Disbursements		
Fund borrowings	72,164,236	6,053,470	(10,282,669)	523,510	68,458,547
Subordinated loans and securities	1,465,392	-	-	(964,017)	501,375
Marketable securities issued	57,757,028	12,547,672	(14,608,236)	(389,767)	55,306,697
Total	131,386,656	18,601,142	(24,890,905)	(830,274)	124,266,619

	December 31, 2019	Cashflows		Non-cash Changes	December 31, 2020
		Receipts	Disbursements		
Fund borrowings	30,921,771	45,360,252	(4,229,198)	111,411	72,164,236
Subordinated loans and securities	1,465,366	-	-	26	1,465,392
Marketable securities issued	38,620,837	12,619,200	(11,245,300)	17,762,291	57,757,028
Total	71,007,974	57,979,452	(15,474,498)	17,873,728	131,386,656

51. RESTATEMENT OF CONSOLIDATED FINANCIAL STATEMENTS

On September 13, 2021, the State of the Republic of Indonesia represented by the Minister of State-Owned Enterprises (BUMN) and BRI signed an agreement on the transfer of rights to shares of the Republic of Indonesia in 2011. PT Pegadaian (Pegadaian) and at PT Permodalan Nasional Madani (PNM) in order to increase the participation of capital of the Republic of Indonesia into BRI capital stock. Through the agreement, the State of the Republic of Indonesia transferred to BRI in the form of rights to all Series B shares owned by the Republic of Indonesia in Pegadaian with a total of 6,249,999 series B shares worth Rp48,670,528 and Series B shares belonging to the Republic of Indonesia in PNM with a total of 3,799,999 series B shares totaling Rp6,100,068. Thus, since September 13, 2021, BRI is the owner of the transferred shares and has the right to exercise the rights as the owner of the transferred shares. (Note 1f)

The *inbreng* transaction is a business combination under common control entities where the ultimate shareholder of BRI, PT Pegadaian and PT Permodalan Nasional Madani (PNM) is the Government of the Republic of Indonesia. Therefore, transactions are treated on the basis of pooling of ownership method in accordance with the Statement of Financial Accounting Standards ("SFAS") No. 38 (Revision 2012), "Business Combination of Controlling Entities". Presentation for the business combination transactions under common control based on the pooling ownership method, the financial statements as of December 31, 2020 and for the year then ended are presented as if the business combination had occurred since the beginning of the period when the combining entities had merged under common control.

The difference between the nominal amount of investment transferred and the carrying amount of investment earned from this transaction is recorded in an account of "additional paid-up capital" in the equity portion. Equity from Pegadaian and PNM prior the acquisition date are presented as "Pro forma capital arising from acquisition transaction with an entities under common control" on the Equity.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

51. RESTATEMENT OF CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

Impact restatement of consolidated financial statement as of December 31, 2020 and for the year then ended are as follow:

	December 31, 2020		
	Before Restatement	Restatement	After Restatement
<u>Consolidated Satatement of</u>			
<u>Financial Position</u>			
Assets			
Cash	32,161,564	113,424	32,274,988
Current account with Bank Indonesia	9,154,378	3,111,888	12,266,266
Placement with Bank Indonesia			
and other financial institutions	66,539,685	1,311,721	67,851,406
Securities	327,615,655	(310,036)	327,305,619
Loans	899,458,207	44,329,427	943,787,634
Allowance for impairment			
losses	(65,165,002)	(1,645,177)	(66,810,179)
Sharia receivables and financing	38,915,673	10,149,805	49,065,478
Allowance for impairment			
losses	(1,449,489)	(1,132,678)	(2,582,167)
Finance receivables	3,619,224	23,720,632	27,339,856
Allowance for impairment			
losses	(213,060)	(789,247)	(1,002,307)
Investment in associated	1,489,800	10,529	1,500,329
Premises and equipment			
Cost	46,837,964	14,046,890	60,884,854
Accumulated depreciation	(14,652,804)	(2,525,418)	(17,178,222)
Deffered tax assets - net	8,313,545	1,572,445	9,885,990
Other assets - net	27,195,956	6,296,511	33,492,467
Liabilities			
Liabilities due immediately	11,845,910	3,627,664	15,473,574
Deposits from customers			
Demand Deposits	185,151,229	(302,878)	184,848,351
Wadiah Demand Deposits	6,303,202	(45,124)	6,258,078
Saving Deposits	460,453,588	217,779	460,671,367
Tax payable	1,400,638	548,718	1,949,356
Marketable issued securities	34,489,091	23,267,937	57,757,028
Fund borrowing	35,968,985	36,195,251	72,164,236
Liabilities for employee benefit	10,821,083	2,614,759	13,450,842
Other liabilities	19,628,417	2,631,103	22,244,520
Equity			
Pro forma capital arising from			
acquisition transaction with an			
entities under common control	-	29,538,484	29,538,484
Non controlling interest	2,533,809	17,022	2,550,831

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

51. RESTATEMENT OF CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

Impact restatement of consolidated financial statement as of December 31, 2020 and for the year then ended are as follow (continued):

	December 31, 2020		
	Before Account Adjustment	Account Adjustment	After Account Adjustment
Consolidated Statement of Profit or Loss and Other Comprehensive Income			
Sharia and interest income			
Interest income	112,584,087	16,326,530	128,910,617
Sharia income	4,348,425	2,505,519	6,853,944
Sharia and interest expense			
Interest expense	(36,190,771)	(3,692,634)	(39,833,405)
Sharia expense	(1,531,824)	(765,219)	(2,297,043)
Premium income	6,208,716	(2,941)	6,205,775
Claim expense	(5,327,065)	-	(5,327,065)
Other operating income			
Other fees and commissions	15,122,682	1,058,253	16,180,935
Recovery of assets			
Written - off	7,239,896	12,275	7,252,171
Gain on sale of securities			
And government recapitalization			
Bonds - net	2,860,653	10,678	2,871,331
Gain on foreign Exchange - net	1,257,984	(146)	1,257,838
Others	2,640,273	7,554,856	10,195,129
Provision for allowance for impairment			
Losses on financial assets - net	(30,617,491)	(2,407,001)	(33,024,492)
Provision for allowance for impairment			
Losses on non financial assets - net	(75,231)	(23,143)	(98,374)
Other operating expense			
Salaries and employee benefits	(26,319,791)	(6,785,478)	(33,105,269)
General and administrative	(17,269,844)	(3,734,838)	(21,004,682)
Others	(6,341,724)	(7,052,174)	(13,393,898)
Other non operating income	(49,318)	264,023	214,705
Tax expense	(8,064,453)	(887,518)	(8,951,971)
Consolidated Statement of Cash Flow			
Cash flows from operating activities:			
Income received:			
Interest received	109,112,566	16,326,530	125,439,096
Interest paid	4,348,425	2,505,519	6,853,944
Premium income	6,208,716	(2,941)	6,205,775
Expense paid:			
Interest expense	(36,190,771)	(3,692,634)	(39,883,405)
Sharia expense	(1,531,824)	(765,219)	(2,297,043)
Recovery of assets written – off	7,239,896	12,275	7,252,171
Other operating income	25,210,052	6,370,917	31,580,969
Other operating expense	(49,474,810)	(14,134,836)	(63,609,646)
(Expense) non operating income – net	(84,532)	264,023	179,491
Payment of corporate income tax	(4,953,877)	(982,567)	(5,936,444)
Changes in operating assets and liabilities:			
(Increase) decrease in operating assets:			
Securities purchased under			
Agreement to resell	(11,940,401)	(499,765)	(12,440,166)
Loans	(35,685,632)	(45,030,143)	(80,715,775)
Sharia receivables and financing	(13,149,476)	(10,149,805)	(23,299,281)
Receivables financing	572,372	(23,720,632)	(23,148,260)
Others Assets	(11,322,226)	34,633,965	23,311,739

PT BANK RAKYAT INDONESIA (PERSERO) Tbk AND ITS SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
As of December 31, 2021 and for the Year then Ended
(Expressed in millions of Rupiah, unless otherwise stated)

51. RESTATEMENT OF CONSOLIDATED FINANCIAL STATEMENTS (CONTINUED)

Impact restatement of consolidated financial statement as of December 31, 2020 and for the year then ended are as follow (continued):

	December 31, 2020		
	Before Account Adjustment	Account Adjustment	After Account Adjustment
Consolidated Statement of Cash Flow			
(continued)			
Cash flows from operating activities:			
(continued)			
Changes in operating assets and liabilities (continued):			
(Decrease) increase in operating liabilities:			
Liabilities due immediately	4,296,598	3,627,664	7,924,262
Deposits:			
Demand Deposits	16,325,094	(302,878)	16,022,216
Wadiah Demand Deposits	4,282,336	(45,124)	4,237,212
Saving Deposits	55,098,105	217,779	55,315,884
Other Liabilities	291,044	(1,689,881)	(1,398,837)
(Increase) decrease in syirkah fund:			
Temporary	8,728,142	(50,000)	8,678,142
Net cash (used in) provided by operating activities	66,689,167	(36,884,583)	29,804,584
Cash flows from investing activities:			
Investment in associated entities	(280,175)	(4,172)	(284,347)
Proceed from dividend	6,669	(1,139)	5,530
Decrease (Increase) in fair value through other comprehensive income and amortized cost on securities and government recapitalization bond	(112,640,485)	809,798	(111,830,687)
Acquisition of premises and equipment	(3,129,034)	(1,246,032)	(4,375,066)
Net cash used in investing activities	(116,007,811)	(441,545)	(116,449,356)
Cash flows from financing activities:			
(Payment of) receipt from fund borrowing	4,935,803	36,195,251	41,131,054
Proceed from marketable securities			
Issued	1,998,840	10,620,360	12,619,200
Payment of marketable securities due	(6,292,850)	(4,952,450)	(11,245,300)
Net cash used in financing activities	(19,981,772)	41,863,161	21,881,389
(Decrease) increase in cash and cash Equivalent	(69,300,416)	4,537,033	(64,763,383)
Cash and cash equivalents			
At the end of the year	167,253,135	4,537,033	171,790,168

52. COMPLETION OF THE CONSOLIDATED FINANCIAL STATEMENTS

The management of BRI is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with Indonesian Financial Accounting Standards, which were completed and authorized for issuance by the Board of Directors of BRI on February 3, 2022.

PT BANK RAKYAT INDONESIA (PERSERO) Tbk
STATEMENT OF FINANCIAL POSITION - PARENT ENTITY
As of December 31, 2021
(Expressed in millions of Rupiah, unless otherwise stated)

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
ASSETS		
Cash	26,190,241	31,020,724
Current account with Bank Indonesia	55,869,067	49,690,493
Current Accounts with Other Banks	10,694,557	9,591,417
Allowance for impairment losses	(27,059)	(92,690)
	<u>10,667,498</u>	<u>9,498,727</u>
Placements with Bank Indonesia and Other Financial Institutions	56,227,675	64,941,821
Allowance for impairment losses	(3,201)	(8,998)
	<u>56,224,474</u>	<u>64,932,823</u>
Securities	353,999,955	300,759,740
Allowance for impairment losses	(296,295)	(340,375)
	<u>353,703,660</u>	<u>300,419,365</u>
Export Bills and Others Receivable	29,664,225	27,521,765
Allowance for impairment losses	(1,142,349)	(1,326,171)
	<u>28,521,876</u>	<u>26,195,594</u>
Security Purchased Under Agreement to Resell	54,265,120	43,770,835
Derivative Receivables	730,083	1,576,659
Loans	943,702,693	880,674,757
Allowance for impairment losses	(80,911,213)	(64,129,266)
	<u>862,791,480</u>	<u>816,545,491</u>
Acceptance Receivable	9,461,677	6,773,743
Allowance for impairment losses	(488,121)	(546,260)
	<u>8,973,556</u>	<u>6,227,483</u>
Investment in Associated Entities	46,050,734	12,566,424
Premises and Equipment		
Cost	47,254,040	44,189,284
Accumulated Depreciation	(13,336,745)	(13,659,238)
Book value - net	<u>33,908,295</u>	<u>30,530,046</u>
Deffered Tax Assets - net	13,524,394	7,605,102
Other Assets - net	21,340,557	21,205,241
TOTAL ASSETS	<u>1,572,761,035</u>	<u>1,421,785,007</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk
STATEMENT OF FINANCIAL POSITION - PARENT ENTITY (continued)
As of December 31, 2021
(Expressed in millions of Rupiah, unless otherwise stated)

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
LIABILITIES AND EQUITY		
LIABILITIES		
Liabilities Due Immediately	12,544,849	11,392,992
Deposits from Customers		
Demand Deposits	219,397,152	183,002,153
Saving Deposits	494,575,745	459,148,270
Time Deposits	413,875,819	410,513,447
Total Deposits from Customers	<u>1,127,848,716</u>	<u>1,052,663,870</u>
Deposits From Other Banks and Financial Institutions	13,125,761	25,318,719
Securities Sold Under Agreement To Repurchase	29,408,508	40,478,672
Derivative Payables	198,369	397,088
Acceptances Payable	9,461,677	6,773,743
Taxes Payable	3,490,305	1,064,461
Marketable Securities Issued	30,131,995	34,450,311
Fund Borrowings	30,036,351	34,163,564
Estimated Losses on Commitments And Contingencies	6,973,479	3,667,943
Liabilities for Employee Benefits	14,594,171	10,350,027
Other Liabilities	8,027,850	6,203,628
Subordinated Loans and Marketable Securities	501,375	500,887
TOTAL LIABILITIES	<u>1,286,343,406</u>	<u>1,227,425,905</u>

PT BANK RAKYAT INDONESIA (PERSERO) Tbk
STATEMENT OF FINANCIAL POSITION – PARENT ENTITY (continued)
As of December 31, 2021
(Expressed in millions of Rupiah, unless otherwise stated)

	<u>December 31, 2021</u>	<u>December 31, 2020</u>
LIABILITIES AND EQUITY (continued)		
EQUITY		
Capital stock - par value Rp50 (full Rupiah) per share Authorized capital - 300,000,000,000 shares (consisting of 1 Series A Dwiwarna Shares and 299,999,999,999 Series B shares)		
Issued and fully paid capital		
- 151,559,001,604 shares (consisting of 1 Series A Dwiwarna shares and 151,559,001,603 Series B shares) for December 31, 2021 and 123,345,810,000 shares (consisting of 1 Series A Dwiwarna shares and 123,345,809,999 Series B shares) for December 31, 2020	7,577,950	6,167,291
Additional paid-in-capital	76,324,093	3,493,008
Revaluation surplus arising from premises and equipment - net of tax	16,864,083	16,864,083
Differences arising from the translation of foreign currency financial statements	(116,522)	(54,510)
Unrealized gain (loss) on fair value through other comprehensive income securities - net of deferred tax	1,869,163	4,385,145
Allowance for impairment losses on fair value through other comprehensive income securities	533,238	935,856
Gain/(loss) on remeasurement of defined benefit plan - net of deferred tax	(1,283,547)	(1,446,069)
Treasury stock	(45,997)	(1,649,076)
Stock option	16,297	55,836
Provision for bonus shares compensation	210,266	1,228,805
Retained earnings		
Appropriated	3,022,685	3,022,685
Unappropriated	181,445,920	161,356,048
Total retained earnings	184,468,605	164,378,733
TOTAL EQUITY	286,417,629	194,359,102
TOTAL LIABILITIES AND EQUITY	1,572,761,035	1,421,785,007

PT BANK RAKYAT INDONESIA (PERSERO) Tbk
STATEMENT OF PROFIT OR LOSS AND
OTHER COMPREHENSIVE INCOME - PARENT ENTITY
For the Year Ended December 31, 2021
(Expressed in millions of Rupiah, unless otherwise stated)

	For the year ended December 31,	
	2021	2020
INCOME AND EXPENSES FROM OPERATIONS		
Interest income	119,827,583	109,958,749
Interest expense	(24,008,471)	(34,811,751)
Total interest and income - net	95,819,112	75,146,998
Other operating income		
Other fees and commissions	16,548,485	15,183,058
Recovery of assets written-off	8,917,595	7,161,452
Gain on foreign exchange - net	1,735,943	1,252,339
Gain on sale of securities and Government Recapitalization Bonds - net	3,190,019	2,513,408
Unrealized gain on changes in fair value on securities	-	285,367
Others	2,008,470	2,034,509
Total other operating income	32,400,512	28,430,133
Provision for allowance for impairment losses on financial assets - net	(30,550,081)	(28,714,311)
Provision for allowance for estimated losses on commitments and contingencies - net	(3,305,535)	(2,155,970)
Provision for allowance for impairment losses on non-financial assets - net	(162,460)	(118,857)
Other operating expenses		
Salaries and employee benefits	(29,960,850)	(24,980,447)
General and administrative	(17,692,713)	(16,107,140)
Defisit unreleased from change Fair value of securities	(34,477)	-
Others	(7,089,662)	(5,308,671)
Total other operating expenses	(54,777,702)	(46,396,258)
OPERATING INCOME	39,423,846	26,191,735
NON OPERATING (EXPENSES) INCOME - NET	(203,139)	(30,624)
INCOME BEFORE TAX EXPENSE	39,220,707	26,161,111
TAX EXPENSE	(7,005,246)	(7,807,808)
INCOME FOR THE YEAR	32,215,461	18,353,303

PT BANK RAKYAT INDONESIA (PERSERO) Tbk
STATEMENT OF PROFIT OR LOSS AND
OTHER COMPREHENSIVE INCOME - PARENT ENTITY (continued)
For the Year Ended December 31, 2021
(Expressed in millions of Rupiah, unless otherwise stated)

	For the year ended December 31,	
	2021	2020
Other comprehensive income:		
Items not to be reclassified to profit or loss		
Remeasurement of liabilities for employee benefits	157,626	(2,007,031)
Income taxes related to items not to be reclassified to profit or loss	4,896	362,378
Items to be reclassified to profit or loss		
Differences arising from the translation of foreign currency financial statements	(62,012)	(39,642)
Unrealized gain (loss) on Fair value through other comprehensive income securities and Government Recapitalization Bonds	(2,975,698)	4,314,399
Allowance for impairment losses on fair value through other comprehensive income securities	(402,618)	824,471
Income taxes related to items to be reclassified to profit or loss	459,716	(655,935)
Other comprehensive income for the year - after tax	(2,818,090)	2,798,640
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	29,397,371	21,151,943
EARNINGS PER SHARE ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT ENTITY (full Rupiah)		
Basic	247	150
Diluted	247	149

PT BANK RAKYAT INDONESIA (PERSERO) Tbk
STATEMENT OF CHANGES IN EQUITY - PARENT ENTITY (continued)
For the Year Ended As of December 31, 2021
(Expressed in millions of Rupiah, unless otherwise stated)

	Issued and fully paid capital	Additional paid-in capital	Allowance for impairment losses on fair value through other comprehensive income securities	Differences arising from the translation of foreign currency financial statements	Unrealized gain (loss) on fair value through other comprehensive income securities net of deferred tax	Gain on remeasurement of defined benefit plan- net of deferred tax	Treasury stock	Provision for bonus share compensation	Revaluation surplus arising from premises and equipment - net of tax	Retained Earnings		Total equity
										Appropriated	Unappropriated	
Balance as of December 31, 2019	6,167,291	2,981,523	-	(14,868)	726,681	198,584	(2,106,014)	21,796	16,864,083	3,022,685	175,803,701	203,665,462
Initial implementation of SFAS 71	-	-	111,385	-	-	-	-	-	-	-	(12,177,391)	(12,066,006)
Balance as of January 1, 2020 After adjustment	6,167,291	2,981,523	111,385	(14,868)	726,681	198,584	(2,106,014)	21,796	16,864,083	3,022,685	163,626,310	191,599,456
Income for the year	-	-	-	-	-	-	-	-	-	-	18,353,303	18,353,303
Other Comprehensive income	-	-	824,471	(39,642)	3,658,464	(1,644,653)	-	-	-	-	-	2,798,640
Total Comprehensive income for the year	-	-	824,471	(39,642)	3,658,464	(1,644,653)	-	-	-	-	18,353,303	21,151,943
Distribution of Dividend income	-	-	-	-	-	-	-	-	-	-	(20,623,565)	(20,623,565)
Stock option	-	-	-	-	-	-	-	55,836	-	-	-	55,836
Bonus Shares	-	511,485	-	-	-	-	456,938	1,207,009	-	-	-	2,175,432
Balance as of December 31, 2020	6,167,291	3,493,008	935,856	(54,510)	4,385,145	(1,446,069)	(1,649,076)	1,284,641	16,864,083	3,022,685	161,356,048	194,359,102

PT BANK RAKYAT INDONESIA (PERSERO) Tbk
STATEMENT OF CHANGES IN EQUITY - PARENT ENTITY (continued)
For the Year Ended As of December 31, 2021
(Expressed in millions of Rupiah, unless otherwise stated)

	Issued and fully paid capital	Additional paid-in capital	Allowance for impairment losses on fair value through other comprehensive income securities	Differences arising from the translation of foreign currency financial statements	Unrealized gain (loss) on fair value through other comprehensive income securities net of deferred tax	Gain on remeasurement of defined benefit plan- net of deferred tax	Treasury stock	Provision for bonus share compensation	Revaluation surplus arising from premises and equipment - net of tax	Retained Earnings		Total equity
										Appropriated	Unappropriated	
Balance as of December 31, 2020	6,167,291	3,493,008	935,856	(54,510)	4,385,145	(1,446,069)	(1,649,076)	1,284,641	16,864,083	3,022,685	161,356,048	194,359,102
Income for the year	-	-	-	-	-	-	-	-	-	-	32,215,461	32,215,461
Other comprehensive Income	-	-	(402,618)	(62,012)	(2,515,982)	162,522	-	-	-	-	-	(2,818,090)
Total other comprehensive income For the year	-	-	(402,618)	(62,012)	(2,515,982)	162,522	-	-	-	-	32,215,461	29,397,371
Loss of controlling on subsidiary	-	565,209	-	-	-	-	-	-	-	-	-	565,209
Distribution of Dividend income	-	-	-	-	-	-	-	-	-	-	(12,125,589)	(12,125,589)
Acquisition of transactions of entities under control	-	(23,370,339)	-	-	-	-	-	-	-	-	-	(23,370,339)
Shares issuance	1,410,659	94,419,142	-	-	-	-	-	-	-	-	-	95,829,801
Stock option	-	62,862	-	-	-	-	324,957	(39,539)	-	-	-	348,280
Bonus Shares	-	1,154,211	-	-	-	-	(1,278,122)	(1,018,539)	-	-	-	1,801,611
Balance as of December 31, 2021	7,577,950	76,324,093	533,238	(116,522)	1,869,163	(1,283,547)	(45,997)	226,563	16,864,083	3,022,685	181,445,920	286,417,629

PT BANK RAKYAT INDONESIA (PERSERO) Tbk
STATEMENT OF CASH FLOWS - PARENT ENTITY
For the Year Ended December 31, 2021
(Expressed in millions of Rupiah, unless otherwise stated)

	For the year ended December 31,	
	2021	2020
CASH FLOWS FROM OPERATING ACTIVITIES		
Interest received	118,391,824	106,487,228
Interest paid	(24,381,368)	(34,811,751)
Recovery of assets written-off	8,917,595	7,161,451
Other operating income	25,042,815	23,830,524
Other operating expense	(52,346,899)	(45,869,753)
(Expense) non operating income - net	(254,793)	(65,389)
Payment of corporate income tax	(9,999,876)	(4,851,126)
Cash flows before changes in operating assets and liabilities	65,369,298	51,881,184
Changes in operating assets and liabilities:		
(Increase) decrease in operating assets:		
Placement with Bank Indonesia and other Financial Institutions	1,092,058	44,146
Securities at fair value through profit or loss	10,867,514	(12,741,315)
Export Bills and notes receivables	(2,142,460)	6,354,998
Securities purchased under agreement to resell	(10,494,285)	(23,457,571)
Loans	(77,802,558)	(34,775,080)
Other assets	32,841,368	(7,682,868)
(Decrease) increase in operating liabilities:		
Liabilities due immediately	1,151,857	3,989,828
Deposits:		
Demand Deposits	36,394,999	15,159,596
Saving Deposits	35,427,475	54,788,009
Time Deposits	3,362,372	12,966,259
Deposits from other banks and financial institutions	(12,192,958)	7,447,128
Securities sold under agreement to repurchase	(11,070,164)	(9,424,266)
Derivative liabilities	(198,719)	-
Other liabilities	(2,835,848)	275,477
Net cash (used in) provided by operating activities	69,769,949	64,825,525

PT BANK RAKYAT INDONESIA (PERSERO) Tbk
STATEMENT OF CASH FLOWS - PARENT ENTITY (continued)
For the Year Ended December 31, 2021
(Expressed in millions of Rupiah, unless otherwise stated)

	For the year ended December 31,	
	2021	2020
CASH FLOWS FROM INVESTING ACTIVITIES		
Proceed from dividend	40,991	38,052
Investment in associated entities	(1,000,000)	(263,582)
Acquisition of premises and equipment	(5,483,279)	(2,101,581)
Sale from premises and equipment	51,654	34,766
Decrease/(Increase) in fair value through other comprehensive income and amortized cost securities	(77,297,918)	(109,015,200)
Net cash provided by (used in) investing activities	(83,688,552)	(111,307,545)
CASH FLOWS FROM FINANCING ACTIVITIES		
(Payment of) receipt from fund borrowing	(4,127,213)	4,966,785
Additional of capital	18,901,826	-
Distribution of dividend income	(12,125,589)	(20,623,565)
Proceed from marketable securities issued	-	1,998,840
Payment of marketable securities due	(4,567,500)	(6,031,850)
Net cash used in financing activities	(1,918,476)	(19,689,790)
(DECREASE) INCREASE IN CASH AND CASH EQUIVALENTS	(15,837,079)	(66,171,810)
EFFECT OF EXCHANGE RATE CHANGES ON FOREIGN CURRENCIES	(2,190)	(354,303)
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR	162,899,663	229,425,776
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	147,060,394	162,899,663
Cash and cash equivalents at the end of the year consisting of:		
Cash	26,190,241	31,020,724
Current account with Bank Indonesia	55,869,067	46,690,493
Current account with other banks	10,694,557	9,591,417
Placement with Bank Indonesia and other financial institutions maturing within three months or less since the acquisition date	54,306,529	61,922,822
Bank Indonesia Certificates and Bank Indonesia Deposits Certificates maturing within three months or less since the acquisition date	-	10,674,207
Total Cash and cash equivalents	147,060,394	162,899,663

PT BANK RAKYAT INDONESIA (PERSERO) Tbk
NOTES TO THE FINANCIAL STATEMENTS - PARENT ENTITY
As of December 31, 2021 and for the Year Ended
(Expressed in millions of Rupiah, unless otherwise stated)

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The basis for preparing separate financial statements of the parent entity

The separate financial statements of the parent entity was prepared in accordance with the Statement of Financial Accounting Standards ("SFAS") No. 4, "Separate Financial Statements".

SFAS No. 4 stipulates, in the event that the entity presents separate financial statements, the report can only be presented as additional information in the consolidated financial statements. The separate financial statements are the financial statements presented by the parent entity which recorded investments in subsidiaries, associated and joint controlled entities using the acquisition cost method.

The accounting policies applied in the preparation of separate financial statements of the parent entity are the same with the accounting policies applied in the preparation of the consolidated financial statements as disclosed in Note 2 to the consolidated financial statements, except for investments in subsidiaries.

2. INVESTMENTS IN SUBSIDIARIES

Information related to subsidiaries owned by BRI is disclosed in Note 1f to the consolidated financial statements.

As of December 31, 2021 and 2020, the parent entity has investment in subsidiaries as follows:

	December 31, 2021		December 31, 2020	
	Acquisition cost	Percentage of ownership	Acquisition cost	Percentage of ownership
PT Bank Syariah Indonesia Tbk (formerly PT Bank BRISyariah Tbk)	-	-	2,981,172	71.64%
PT Bank Raya Indonesia Tbk (formerly PT Bank Rakyat Indonesia Agroniaga Tbk)	4,454,636	85.72%	3,454,636	87.10
BRI Remittance Co, Limited	2,289	100.00	2,289	100.00
PT Asuransi BRI Life	1,626,643	63.83	1,626,643	91.00
PT BRI Multifinance Indonesia	1,055,003	99.88	1,055,003	99.88
PT BRI Danareksa Sekuritas	446,888	67.00	446,888	67.00
PT BRI Ventura Investama	1,503,090	99.97	1,503,090	99.97
PT BRI Asuransi Indonesia	1,041,000	90.00	1,041,000	90.00
PT Pegadaian	25,326,438	99.99	-	-
PT Permodalan Nasional Madani	6,073,819	99.99	-	-